Aavas Financiers Ltd. (AAVAS)

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FINANCIERS LTD
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TO, To,
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Dear Sir/Madam,
Sub: Earning Conference Call Transcript
In reference to letter No.AAVAS/SEC/2022-23/405 dated July 20, 2022, please find attached the transcript in respect to the earning conference call on the financial and operational performance of the Company for the quarter ended June 30, 2022 held on Friday, July 29, 2022 at 03:30 PM (1ST).
The transcript and the audio recording of the conference call can be accessed at the website of the Company at www.aavas.in .
We request you to take the same on your record.
-------------------------------------- I
AAVAS FINANCIERS LIMITED
(Formerly known as "Au HOUSING FINANCE LIMITED")
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“Aavas Financiers Limited
Q1 FY23 Earnings Conference Call”
July 29, 2022
Management : M r. Sushil Agarwal - MD & CEO
Mr. Ghanshyam Rawat - CFO
Mr. Himanshu Agrawal - Investor Relations

Moderator : Ladies and gentlemen, good day and welcome to Aavas Financiers Limited Q1 FY23 Earnings Conference Call. Standard Disclaimer: This conference call may contain forward looking statements about the company, which are based on the belief, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing and then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sushil Agarwal, MD & CEO. Thank you and over to you, Sir!
Sushil Agarwal : Good afternoon. Thank you for participating on the earning call to discuss the performance of our company for Q1 FY23. With me, I have Mr. Ghanshyam Rawat - CFO, Himanshu Agrawal - Investor Relations, other senior members of the management team and SGA, our IR Advisors. The results & the presentations are available on the stock exchanges as well as our company’s website and I hope everyone has had a chance to look at it. I am happy to inform you that during the quarter, company's long-term credit rating was upgraded from AA- / Positive outlook to AA / Stable outlook by ICRA. I take this opportunity to thank all our stakeholders for their continued trust and support. During the quarter, RBI raised the repo rate by 40bps in an off-cycle meet on May 04, 2022, followed by another 50bps hike in the scheduled meet on June 08, 2022. Consequently, all the financial institutions have started hiking their lending rates with varying amount. We have also increased our prime lending rate by 25bps with effect from June 05, 2022 and further announced hike of 50bps with effect from August 05, 2022. For Q1 FY23, we disbursed Rs. 10936 Mn registering a 136% YoY growth and achieving 85% of the disbursements done in seasonably strong Q4 last year. We continued to grow in a calibrated manner and registered AUM growth of 24% YoY as of Jun-22 while maintaining our operating metrics and delivered PAT growth of 49% YoY for Q1 FY23. With our continued focus on collections, 1+ DPD stood at 4.67%

& 90+ DPD stood at 0.82% in Jun-22. But we have also categorized 0.26% of up to 90 DPD assets as GNPA following RBI's notification dated November 12, 2021 to harmonize IRACP norms across all lending institutions. As a result, the total Gross Stage 3 stood at 1.08% in Jun-22. We will continue our strategy of controlling early delinquencies and strive to maintain 1+ DPD below 5% & 90+ DPD below 1%. I would now hand over the line to Ghanshyamji to discuss various business parameters in detail.

Ghanshyam Rawat : Thank you, Sushilji. Good afternoon everyone and a warm welcome to our earnings call. During the year, company borrowed an incremental amount of Rs.8984 Mn at 5.65%. As of Jun-22, our average cost of borrowing stood at 6.86% on an outstanding amount of Rs.104.76 Bn. During the quarter, our long-term credit rating was upgraded by ICRA from

AA- / Positive outlook to AA / Stable outlook while CARE continues to maintain long-term credit rating of AA- with Positive outlook. Despite the highest short-term rating of A1+, we continue to maintain zero exposure to commercial papers as a prudent borrowing practice. IGAAP to Ind-AS reconciliation has been explained in detail for PAT and Net worth on slide number 31 & 33 of the presentation.

Key parameters: as on June 30, 2022, total number of live accounts stood at 158979 i.e. 23% YoY growth; total number of branches was 318 i.e. 34 new branches added in last 12 months; employee count of 5389 i.e. 22% YoY growth. Assets under management grew 24% YoY to Rs.118.94 Bn as on June 30, 2022; product-wise breakup: home loans 71.1%, other mortgage loans 28.9%; occupation-wise breakup: salaried 39.9%, self-employed 60.1%. Disbursements increased by 136% YoY to Rs.10936 Mn for Q1 FY23. As on June 30, 2022, average borrowing cost of 6.86% against average portfolio yield of 12.67% resulted in spread at 5.81%. Borrowings: access to diversified & cost-effective long-term financing, strong relationship with development financial institutions, overall borrowing mix as on June 30, 2022 is 38.8% from term loans, 22.5% from assignment/ securitization, 22.9% from national housing bank & 15.8% from debt capital market instruments. Assets quality and provisioning: 1 day past due stood at 4.67%, Gross Stage 3 stood at 1.08% & Net Stage 3 stood at 0.84% as on June 30, 2022; Gross Stage 3 of 1.08 includes 0.26% of up to 90 DPD assets, which have been categorized as GNPA following RBI's notification dated November 12, 2021. During FY22, resolution plan was implemented for certain borrower accounts as per RBI's Resolution Framework 2.0 dated May 5, 2021. Some such accounts with an outstanding amount of Rs. 1111.5 Mn as on June 30, 2022 have been classified as a Stage 2 and provided for as per the regulatory guidelines. Total ECL provisioning including that for COVID-19 impact as well as Resolution Framework 2.0 stood at Rs. 646.8 Mn as on June 30, 2022. Liquidity of Rs.22910 Mn as on June 30, 2022; cash & cash equivalent Rs.14600 Mn, unavailed CC limit of Rs.1100 Mn, documented un availed sanction from other banks of Rs.7210 Mn. Profitability: PAT increased by 49% YoY to Rs.892 Mn for 3M FY23. ROA was 3.2% & ROE was 12.5% for Q1 FY23. As on June 30, 2022, we are well capitalized with a Net worth of Rs.29050 Mn. Our book value per share stood at Rs.367.9. Now with this, I open the floor for Q&A session. Thank you.

Moderator : Thank you. We will now begin the question and answer session. We have the first question from the line of Karthik Chellappa from Buena Vista Fund Management. Please go ahead.

Karthik Chellappa : Thank you very much for the opportunity, Sir and congrats on the quarter. I have three questions, first if we look at our NIM for the first quarter compared to the exit in FY22 it has actually come off quite a despite the spreads been stable, how do we reconcile that? My second then is one on slide #29, if I look at the reversal income on earlier assigned loans that is up almost 38% YoY in the first quarter of this year, could you clarify what that

Ghanshyam Rawat :relates to and why is the growth so strong in that reversal income and my last question is again on slide #25 where you have given your liquidity position. I notice that the principal collection & surplus from operation estimate that you have in first quarter FY24, is actually lower than the second quarter of this year and meaningfully lower than the fourth quarter of FY23, I am just wondering why that is the case, these are my three questions, Thank you.

Thanks, Karthik. I think generally if you see in the trend of the last few quarters, few years also, first quarter generally NIM remained little low then it start to mop-up in quarter two and quarter three as disbursement improve as AUM also start to improve in that category apart from that there is nothing much difference on account of anything on the NIM because spread is very much stable and secondly obviously capital utilization is also increasing gradually, which will also have some effect on NIM, but overall I think it is on the right trajectory. Reversal basically as I explained in earlier few calls also as we are doing the

assignment every year around Rs.700 crores to Rs.800 crores to Rs.900 crores depending upon the business, depending upon the demand in the market, if we do one assignment overall assignment book get increased, so reversal also will increase every year, every quarter as we progress, as AUM increase off-book quantum also increase basically because when do assignment income get booked then it gets reverse in the coming years basically, so that the steady stake reversal will happen in that as the volume will increase it will also increase basically.
Sushil Agarwal : Karthik, in this principal collection & surplus from operation, profit is also included, so Q1 profit is normally less than Q4 profit will be high that is the reason.
Karthik Chellappa : Thank you. Sir, as far as this reversal is concerned, this reversal of assignment income, this has nothing to do with let us say some of your loans either became BT-out after being assigned and hence you have to reverse it then it is nothing to do that, this is a normal process of reversal is it?
Ghanshyam Rawat : Yes, normal process once the income gets recognized when we do assignment, average life of contract, the income gets reversed because we adopt the behavioral life, so we give the loan, let us say contractual life is 14-15 years income get recognized for 6-7 years, it get reversed between 6-7 years also.
Karthik Chellappa : Can you just share the BT-out for the quarter? That is all from my side.
Ghanshyam Rawat : BT-out is again I think steady state basis, I think we are observing in the last few quarters also; 0.5% of opening AUM per month basis.
Sushil Agarwal : Karthik for the quarter it is 1.58%.

Karthik Chellappa : So, 1.5% of opening AUM, right?
Sushil Agarwal : Yes.
Karthik Chellappa : Which is basically 6% annualized?
Sushil Agarwal : Yes.
Karthik Chellappa : That is all from side, Sir. Wish you on the team all the very best for the remaining quarters.
Moderator : Thank you. We have the next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Thank you for taking my question and congratulations on a good quarter. Sir, I just wanted to understand, how should we think about our operating expenses, they continue to remain elevated so if you could just give some more granular colour on what is leading to this higher operating expenses, understandably you have suggested in the past that you have on-boarded employees, you have given out increments, I am sure for FY23, I mean you have effective increments from April or May onwards, but are there also components of investments in technology, infrastructure that you are doing which are more in terms of capital investment and one off in nature, which can kind of not repeat in the coming quarter so that is the first question and I wanted to understand? The other thing is I mean understandably you are making a lot of investments and which is why perhaps operating expenses are elevated, but when can it kind of start leading to a higher momentum in disbursements and lastly I mean on the asset quality side, there has been a sequential deterioration especially in the greater than 90 DPD bucket, while I mean if I kind of look at the other HFCs or if I look at the broader narrative today in the HFC space, everyone is talking about an improvement in asset quality and just despite the fact that we have grown our AUM by about 5% on a QoQ basis, so is there a way to kind of explain this divergence that we have seen in this quarter? Thank you so much.
Sushil Agarwal : On the opex side, we have already given the statement in the last quarter also that we are a going concern organization, we need to keep on investing on future distribution, technology and other capex and during current 12 to 18 months' time, we are taking a large technology investment, infrastructure cost in the past, anyway we have also invested in distribution, so we clearly told that this year our opex will be in the same range, but going forward then 20 25-30bps incremental reduction in opex we can assume for next three to five years. On the disbursement side, yes, we have invested in capacity and that is where you can see we are almost Rs.350-400 crores per month business, so whatever capacity we have invested that is giving the results and we always says we will grow our AUM 20-25% so we are in the right

Abhijit Tibrewal :trajectory as per our plans. Third is NPA, normally we always say that one day past due will be less than 5%, we will attempt that and NPA around 1%, so we are in the trajectory which we have defined; 10bps here and there it will always be there, normally Q1s are always 10 15bps elevated than Q4 and on this side I think we are much more confident on asset quality at this point of time, this quarter from restructured book around Rs.16 crores shifted

to Stage 3, but that was anticipated so no issues on that side.
Thank you, Sir and if can just squeeze in one last question here, even kind of excluding the reversal that we see on the earlier assigned pool, if I just quickly look at the interest income on loans and try to calculate your core lending yields, interest income that you make on loans even there we are seeing some kind of a sequential deterioration, so is there way to explain that given that last quarter it was about 310 crores at this time 320 crores increasing on an absolute basis, but if I calculate the yield it is declining from 14% to about 13.6% and I am assuming given that borrowing costs have started going up, you would have taken some maybe an interest rate increase maybe in the month of May or June in the last quarter and despite that there has been a moderation in lending yields, can help explain this?
Sushil Agarwal : Abhijit, which slide you are referring because Q1 and Q4 interest absolute income is on an increasing trend.
Abhijit Tibrewal : For the interest income of loans?
Sushil Agarwal : Yes.
Abhijit Tibrewal : Alright, no problem, I think maybe I will take this offline, thank you so much for patiently answering my questions, thanks.
Moderator : Thank you. We have the next question from the line of Kunal Shah from ICICI Securities. Please go ahead.
Kunal Shah : Sir, firstly on this disbursement run rate in first quarter itself we are almost 350-370 crores odd, so how should we see it in fact we are investing a lot as well & incrementally we have seen branch expansion in Rajasthan, Maharashtra and Gujarat our core markets, so how should we overall look at the growth and are we confident that instead of 20-25 now, we would be more near to 25 & above rather than being in 20 over the past several quarters?
Sushil Agarwal : Kunal, the way we always describe that on the sales side we always keep around 40-50% buffer capacity and other department side 15-20% and if competition does not come we overperform our number and in the difficult scenarios also we continue our consistent numbers, which we have demonstrated even in COVID-1, COVID-2, even during that

Kunal Shah :difficult time we were able to give 21% CAGR growth and now the COVID is past behind, I hope so we will be able to deliver better numbers on that side.
Okay, but overall in terms of the guidance if we have to look at it could it be more towards 25% odd now, we have already been more than 23%?
Sushil Agarwal : Yes, 20-25%, we always say we have capacity to deliver more and this quarter also some of the subsidy component is there, otherwise, the growth is 24-25%, so that will be there, we will like you have already said Rs.370-380 crores per month run-rate even if we take Rs.400 crores per month run-rate, disbursement number should be around that range and that will translates into 23-24% or maybe 25% growth for this year.
Kunal Shah : Secondly I am not sure if you have touched upon this but overall in terms of the rate hike earlier I think we have been slow in terms of passing it on, but now what would be the stance in terms of maybe increasing the rates going forward and looking at our profile where we look at it in terms of fixed rate that is also like almost 5000-5500 crores is likely fixed on the asset side, so how should we look at it in terms of the margin, so in fact the floating would only get repriced and fixed would take time to get repriced?
Sushil Agarwal : Kunal, if you see over liability profile slide #23, so our floating & fixed rare borrowing vs. floating & fixed rate lending both are almost in sync, so we have 40% fixed rate borrowing and 40% fixed rate lending and we have 60% floating rate lending and the fund is in tune with that and we have done 25bps increase in last quarter and from 05th August we have also announced 50bps increase in our PLR rate and this is a ALCO decision every quarter we have discussions and ALCO committee meetings, we see the next two to three quarters situation of borrowing rate and how it will impact and accordingly we take the decision, but at this point of time if you will see this quarter also we were able to maintain our spread and I hope in the next two quarters with this hike we will be able to maintain our spread, so on that fixed and floating rate side I think we are perfectly match on ALM.
Kunal Shah : Sure, so 50bps from August and that will be having an effect on the floating?
Sushil Agarwal : Yes, 50bps.
Kunal Shah : And this floating, how does it get reset?
Sushil Agarwal : Reset means like August 05, 2022, we will reset.
Kunal Shah : This is a one month, two months kind of a period?

Sushil Agarwal : No, like in this ALCO we have decided and from August 05 which is our installment cycle we will implement it.

Kunal Shah : Okay, so right now, August 5, 2022, on the entire back book we still get reclassified?
Sushil Agarwal : Yes.
Kunal Shah : And overall maybe our stance in terms of earlier we have been highlighting that at this time the rise in interest rates will slightly go slow in terms of hiking the rates and try to pass on some benefits to customers, but I think overall borrowing costs would have also gone up to a similar extent, so broadly then we should be comfortable maintaining spreads & margins?
Sushil Agarwal : Spreads are stable; in next 2-3 quarters we are seeing that it will remain stable in that range.
Kunal Shah : Sure, thank you.
Moderator : Thank you. We have the next question from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi : Sir, wanted to understand, how are the approval rates or the login rate, login to approval rate in the newer states that we have entered vs. the same in the vintage states that we are present in, so from the cases that from the applications that we receive, what percentage would actually get logged in and what percentage would actually be approved, so just wanted to understand this trend for our vintage states and for our newer states?
Sushil Agarwal : Normally at company level number of cases wise we source 13000-15000 cases and 5000 gets approved and disbursed, on amount wise we are sourcing almost around Rs.1600 crores per month and disbursing Rs.375 crores per month, normally in new states when we go first 30 months we go slow because it takes time to understand the local nuances, cash flow patterns, seasonability, things which impact our mortgage and other things, so in new states first 30 months we go slow so might be a little bit less sanction percentage in those states in the early time because focus is that first 30 months there should not be any 30+, if you will see last four and five states where we have entered in the last four to five years we were able to see this getting successful and once we become comfortable understanding the local businesses, income patterns, seasonability, how the judiciary works, how the other market works and then we go for a normal business kind of stride in the new markets, so may be 5-6% less than the mature market in the sanction rate or the disbursement rate.
Shreepal Doshi : Got it, so basically fair to say that 35% would be the approval rate in the mature states?

Sushil Agarwal : Yes.
Shreepal Doshi : Second question was with respect to asset quality, so I think somebody else also touched upon this question, so if look at the 3B stage bucket, which is actually more than 90 DPD bucket, so there, there is increase so what explains that increase?
Sushil Agarwal : If you see we have a restructured book of around Rs.100 crores which is in Stage 2 out of that around Rs.16 crores has slipped to Stage 3 so that is where, but I think we always say that this 1% of NPA; absolute term is 82bps with new guidelines because we implemented last November itself it is around 1.1 %, and in first quarter if you are marking them NPA so in next three quarters you are able to resolve it within a year's time, so that helps us maintaining the asset quality over a period of time, so from restructured book shifting to Stage 3 that is the reason for this quarter's increase, but we are compatible with around 1% kind of NPA overall on the book side and one day past due less than 5%.
Shreepal Doshi : Got it. Sir, the last question was with respect to the borrowing, so on the liability side, the bank borrowing that we have that would be linked to the MCLR, if you could give some colour on like what percentage would be linked to one month, three months sort of MCLR?
Ghanshyam Rawat : You see total bank borrowing is around 40% of which 90% plus is linked with 1yr MCLR.
Shreepal Doshi : One year MCLR?
Ghanshyam Rawat : Yes.
Shreepal Doshi : Got it. Thank you so much and good luck for the next quarters.
Moderator : Thank you. We have the next question from the line of Nischint Chawathe from Kotak Securities. Please go ahead.
Nischint Chawathe: Just one question from my side and this is on your incremental borrowing costs, I believe last quarter it was around 6.04% and this quarter it has gone down to 5.65%, so I wanted to check first of all if this is accurate and what would be the reason for the same?
Ghanshyam Rawat : Yes, both numbers are accurate obviously on both the quarters we have borrowed good money from national housing bank also, there are certain deals we negotiated earlier period also, which got disburse in this quarter that is why we see a very good price around Rs.1000 crores borrowed new at very good rate during this year also, but there is no harm to assume that interest rate is on rising trend, bank have increased their MCLR also, capital market

Nischint Chawathe:rate is also increasing, so going forward our cost of borrowing will also have a impact of rising interest rate scenario.

Just to put the same question differently see, now go to a bank or we now get quote from a bank for loans versus what you got around three months back, how much is the difference in the rate of interest?
Ghanshyam Rawat : The difference is the same; whatever 1yr MCLR got increased, earlier we also borrowed 1yr MCLR, right now again we are borrowing at 1yr MCLR both the time it's the same rate.
Nischint Chawathe: So, no difference on the terms right in the terms of fees ?
Ghanshyam Rawat : No.
Nischint Chawathe: Sure and incrementally what is the plan in this year, you will be probably doing more of NCDs or borrowing more linked to repo; what is the borrowing plan for this year?
Ghanshyam Rawat : As you know market is very dynamic in last one quarter and we are observing that market is again dynamic because interest rates are hiked by Fed, recently again hike by RBI & I think again RBI meeting is there, so it is difficult to comment on where we will focus, it will depend upon how market reacts, but obviously we have a huge strength with the banks, we generally borrow very long tenor; for all large banks already we got a few sanctions, where small tranche we are taking from them & locking our rates for coming few quarters, so will depend on bank side; we do not see any major change whatever mix we are seeing today.
Nischint Chawathe: Just one more question is when interest rates go up have you seen in the past typical borrower behavior where he will come in and probably prepay a loan?
Sushil Agarwal : Right now there are no signs; in the past also that was not the sign, we anyway closely monitor this situation if anything changes on that side we will come back to you, but at this point of time, there is no sign on that side.
Nischint Chawathe: Sir, thank you very much and all the best.
Moderator : Thank you. We have the next question from the line of Nidhesh Jain from Investec. Please go ahead.
Nidhesh Jain : Thanks for the opportunity. Sir, on the fixed rate loans are they end to end fixed rates so for full tenor they are fixed on the asset side?

Sushil Agarwal : So, Nidhesh, they are three year fixed though our borrowings are full tenor fixed loans, but on the lending side we have clause where we can reset every three years.
Nidhesh Jain : Sure and secondly on the MSME book, which we are building, we have seen good traction, so can you share some more details into the ticket size, what is the collateral behind these loans, what are the yields on these loans?
Sushil Agarwal : It's the same business owners requires the loan for the business purpose, average ticket size is somewhere around Rs.8-10 lakhs, tenure is normally up to 7 years and yields are up to 15% and secured by SORP/self-occupied registered property.
Nidhesh Jain : Okay, so it is most like a LAP sort of loan?
Sushil Agarwal : But in the LAP it can be for personal use also, tenure is 10-15 years, here it' s only business use and tenure is almost up to 7 years.
Nidhesh Jain : Understood. Thirdly, do we source any loan from DSA or completely in-sourcing from our own employee base?
Sushil Agarwal : So, of the total business 98.9% business is through direct team and 1.1% business is through LP, connector, DSA etc.
Nidhesh Jain : And lastly can you share the incremental yields on home loan and non-home loan book?
Sushil Agarwal : So, 12.5% overall for this quarter; home loan is around 11.6% & non-home loan is 14.1%.
Nidhesh Jain : Sure, thank you. That is from my side.
Moderator : Thank you. We have the next question from the line of Sanket Chheda from B&K. Please go ahead.
Sanket Chheda : Sir, just wanted to ask that in terms of asset resolution apart from SARFAESI which are the other tools that we use or have we done any sales to ARC in recent quarters?
Sushil Agarwal : In collection there are 5 stages, one is X bucket, which is current month bouncing, there we use call center and mostly digital mode of payment collection from the customers, then it comes the bucket 1 to 30 and plus, so 1 to 30, we do use call center plus field collection team and mostly mode of payment is digital, from 30 to 90 bucket we use field collection team along with we use section 138 proceedings and after 90 DPD case it is a field team and SARFAESI proceedings so these are normal steps of our collection.

Sanket Chheda : So, have we done any sales to ARCs apart from this?
Sushil Agarwal : No, last in 2016 we did.
Sanket Chheda : Sure, and second question was on employee per branch and maybe AUM per branch and AUM per employee metric, now we have seen that since last 4-5 years our AUM per employee & AUM per branch has almost remain stagnant so AUM per employee is around

2-2.5 crores & AUM per branch has been between 30-35 crores, so that matrix has not changed much in last 3-4 years, so where do we see it moving going ahead, do we see the operating efficiency coming in or this matrix that are looked upon by you?
Sushil Agarwal : So, normally if you will see the basic nature of our business; 100% sourcing is through inhouse team, ticket size is Rs.8-10 lakhs, working in tier 2 to tier 5 basically, every year we are opening 30-40 new branches & then branches are also classified into A to E category depending on town potential; and I hope so in the next 2-3 years this trajectory will remain on that side because we are increasing our distribution network of branches also.
Sanket Chheda : Sir, initial 1-2 years is okay when we are at the new branches, but over the period of time say 5-7 years that becomes a part of the business as routine wherein the back book or the back branches should at least start displaying higher efficiency right?
Sushil Agarwal : Yes, you are rightly said, but like our 85% of the branches are C and D category, which are tier 3, tier 4, tier 5, and normally most of our branches becomes ROE positive in 12 months time and in those town we are doing consistent businesses, so if a town is doing 1 crore business within first 12 months it continues to do 1-1.5 crores, but it will not reach 2-3 crores and that is not the expectation from our side also, so we see the matrix like whether branches are ROE positive in the first 12 months or not, whether the branches opex are met by the fee income from those branches or not so those are the critical things we are seeing when the branch operating or unit economics are coming to picture.
Sanket Chheda : Sir, the 1% you said you source through DSA is it incrementally also a similar split between in-house and DSA?
Sushil Agarwal : No, that includes LP also, Aavas Mitra, DSA maybe some bit of it; we will mostly remain inhouse sourcing model for the next 3-5 years.
Sanket Chheda : Lastly we had a CBO change recently right and I mean, now Mr. Siddharth Srivastava has come in, so any reasons why Mr. Ram left and any light you can throw on the new CBO?

Sushil Agarwal : So, as you know we are an organization which has a very robust employee organization, we have layer 1, layer 2, layer 3, layer 4; and we have a very strong management team, but yes, Ram has helped us in last 7 years journey & we thank him for his contribution; organization remains the same and now Siddharth has joined, Siddharth has 22 years of experience out of his 20 years around in ICICI Bank, he has seen most of the other products, below Siddharth, we have almost 40 people leadership team in sales which is more or less same, so that will be there in all the organizations.
Sanket Chheda : Sure, those were all my questions, thanks a lot, Sir.
Moderator : Thank you. We have the next question from the line of Nitin Kothari from Antara Capital. Please go ahead.
Nitin Kothari : Thank you so much for taking my call. Sir, I had three questions, so currently we are doing ROE of 14%, so what are the factors that would lead to ROE expansion and what is the long to medium term ROE guidance, and the second one is, we are doing NIMs of around 8% so are the NIMs sustainable over longer term given that opening up of market would lead to higher competitiveness and can you give us a breakup of other mortgage loan like how much his LAP and how much is MSME?
Sushil Agarwal : I will go by the third question, so in incremental non-housing loan book, we are almost 40% MSME & 60% non-MSME like LAP and other loans. Coming back to NIMs normally we work on spreads & we try to maintain 5% spread; when we started our journey we said that though in last 12 years we are able to maintain 5% spread, but at the scale there might be chance that we might not be able to maintain 5% spread, but QoQ right now we are able to maintain because of treasury support, rating upgrade continuously & the segment which we focus, but we always says that even if there will be contradiction in the spread we will be able to sustain our ROA more than 2.5%; or if we are leveraged less we can be more on that side and we can bring those efficiencies in our opex cycle, if you see pre-COVID we were able to reduce the opex 20-30bps YoY basis, during COVID it remains stable and increased now, we are in investment phase in technology, etc., so for the first 12-18 months this will look at the same level, but again in the next 3-5 years we will be in a position to reduce our opex by 20-30bps on YoY basis, so that is the trajectory for spread and ROA. ROE, we see as ROA & leverage output, so if ROA remains around 2.5-3% and leverage increase over a period of time, I think ROE will improve in a sustainable manner in the next 3-5 years.
Nitin Kothari : Understood, Sir, are we looking to venture into some other fee-based income products to improve our ROE?

Sushil Agarwal : No, Nitin, right now we do not have any aspiration for that. We think the market in which we are there is a huge potential for growth in next 10-15 years 20-25% kind of growth and with that growth rate anyway every 3-3.5 years you are doubling your book, so at this point of time we are not seeing any fee-based product in the business.

Nitin Kothari : Understood, thank you so much and that was useful.

Moderator : Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Thanks for taking my question. Sir, just a couple of clarifications in June we hiked our yields by 50bps and now another 50bps is that correct?

Sushil Agarwal : No, in June we hiked the PLR by 25bps and from August 5, 2022, another 50bps hike.

Piran Engineer : Understood, the NHB borrowing of 1000 crores this is over the last one year we borrowed and these are at floating rates or fixed rates?

Sushil Agarwal : So, NHB borrowing first is not 1000 crores this quarter over a period, but NHB borrowing comprises of different kind of instruments some of them are fixed, some of them are floating, some are at lower interest rates, some are G-Sec linked, so there is a combination of borrowing depending on your lending pattern, organization rating & other standards.

Piran Engineer : Just to confirm the yield of 12.67% and cost of funds of 6.86% that is as of July 1, 2022, right, that is how you all report?

Ghanshyam Rawat : Yes, it is a contractual date on July 1, 2022.

Piran Engineer : Got it. That is all from my end. Thank you.

Moderator : Thank you. We have the next question from the line of Bhavya Sanghvi from Fortress Group. Please go ahead.

Bhavya Sanghvi : Sir, I had two questions. I wanted your view on the competition, so we feel large organization with almost AAA or AA kind of rating profile is entering this business line, so can you give us your sense on the competition and second question was on the credit rating update, so congratulations on that, can you tell us what is the incremental benefit that you would get because of this rating? Thank you.

Sushil Agarwal : On the competition landscape, the areas and geographies where we work, I think housing loan penetration is average less than 5%, some market is 2-3%, some market is 9-10% and that market has huge potential so even if large players will come there everybody can

Bhavya Sanghvi :sustainably grow for the next 10 years with 20-25% kind of growth, so we do not see a large threat on that side, but those markets require a specific knowledge for which we have created our niche over the period of last 12 years and with the use of technology and the kind of niche we have created we are hopeful that we will be able to maintain our strength in those markets and with the use of technology we are improving customer experience that will also further help us strengthening our position in those markets vis-a-vis competition.

Got it, Sir, but you know sometimes the cost differentials that the larger organizations would have would not that play a part in your sense?

Sushil Agarwal : Now between the larger player and our cost of borrowing I think there is not difference of more than 25-50bps, so we are more competitive in those geographies I think.

Bhavya Sanghvi : Right, Sir. Thank you for the insights.

Moderator : That was the last question. I now hand it over to management for closing comments.

Sushil Agarwal : Thank you all for attending the call. For any further information, we request you to get in touch with Himanshu in our Investor Relations Team or SGA, our IR advisors. They would be happy to help you. Thank you for coming on call & giving us opportunity to showcase the company and clarifying the doubts or the questions which the audience had.

Moderator : Thank you. On behalf of Aavas Financiers Limited we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer:

This document is subject to some grammatical & punctuation errors. It may or may not contain words which have been included / omitted due to human error while transcribing the conference call. For any further clarification, the reader is requested to refer to audio recording of the call uploaded on company website or verify the same with the company.

Call: Oct 2022

Ref.No. AAVAS/SEC/2022-23/652
Date: October 31, 2022

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call for the quarter and half year ended September 30, 2022
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to letter number AAVAS/SEC/2022-23/604 dated October 10, 2022, please find enclosed the transcript of the Earnings Conference Call on the financial and operational performance of the Company for the quarter and half year ended September 30, 2022 held on Friday, October 21, 2022.

The above information is also available on the website of the Company at https://www.aavas.in/investor-relations/investor-intimation

We request you to take the same on your record.

Thanking You,

For Aavas Financiers Limited

Sharad Pathak
Company Secretary and Compliance Officer
(FCS-9587) To,
The National Stock Exchange of India Limited
The Listing Department
Exchange Plaza,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

Scrip Code: 541988
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SHARAD PATHAK Date: 2022.10.31 12:26:07 +05'30'

"Aavas Financi ers Limited Q2 FY20 23
Earnings Conference Call "

October 21, 2022

MANAGEMENT : MR. SUSHIL KUMAR AGARWAL - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER - AAVAS FINANCI ERS LIMITED
MR. GHANSHYAM RAWAT – CHIEF FINANCIAL OFFICER - AAVA S FINANCI ERS LIMITED
MR. GHANSHYAM GUPTA – INVESTOR RELATIONSHIP OFFICER – AAVAS FINANCIERS LIMITED
Aavas Financiers Limited
October 21, 2022

Page 2 of 16 Moderator: Ladies and gentlemen, good day and welcome to Aavas Financials Limited Q2 FY2023 Earnings Conference Call . This conference call may contain fo rward looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficu lt to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sushil Kumar Agarwal, MD & CEO . Thank you and over to you, Sir!

Sushil Kumar Agarwal : Good afternoon everybody . Tha nk you for participating on the earning call to discuss the performance of our company for Q2 and H1 FY20 23. With me I have Mr. Ghanshyam Rawat , CFO, Mr. Ghanshyam Gupta , Investor Relationship Office r and other senior member of the management team and SGA, our investor relationship advisor. The results in the presentations are available on the stock exchanges as well as our company website and I hope everyone has had a chance to look at it. I am happy to inform you that during the quarter , the company's lon g term credit rating was updated from AA minus positive outlook to AA stable outlook by CARE in line with the ICRA. I take this opportunity to thank all our stakeholders for their continued trust and support. After witnessing 90-basis point increase in rep o rate in first quarter, RBI has further increased the repo rate by 100 -basis points during the second quarter.

Consequently, we have also increased our prime lending rate by 7 5-basis poi nt during H1 FY2023 and further increase of 50 -basis point with effe ct from October 5, 2022. For Q2 FY2023 we disbursed Rs.1146.7 Crores registering a 27% year -on-year growth and achieving 89% of the disbursement done in seasonally strong Q4 last year. We continue to grow in a calibra

ted manner and registered AUM growth of 24% as of September 2022.

While maintaining our operating metrics we have delivered PAT growth of 29% year -on-year for H1 FY2023. With our continued focus on collections, one plus DPD stood at 4.45% with an improvement of 22 -basis point from first quarter . 90 day past due stood at 0.93% in September 2022, but we have also categorized 0.17% of up to 90 day past -due asset as gross NPA or G ross Stage 3 following RBI notification dated November 12, 2021 to harmonize IRACP norms across all lending institutions . As a resu lt, total Gross Stage 3 is 1.10% in September 2022. We will continue our strategy of controlling early delinquenc ies and strive to maintain 1+ DPD below 5% and 90 day past -due below 1%. I would now hand over the line to Mr. Ghanshyam , CFO to disc uss variou s business parameters in detail.

Page 3 of 16 Ghanshyam Rawat : Thank you Sushil Ji. Good afternoon everyone and a warm welcome to our earning call. During the quarter, company borrowed an incremental amount of Rs.9 467 million at 7.55% as of September 2022, ou r average cost of borrowing stood at 6.99% on an outstanding amount of Rs.1 09711 million. During the quarter, our long term rating was upgraded by CARE from AA -/positive outlook to AA stable. While ICRA continued to maintain long term credit rating AA stab le despite the highest short term rating A1 plus, we continued to maintain zero exposure to commercial p apers as a prudent borrow ing practice . IGAAP to Ind-AS reconciliation has been explained in detail for profit after tax and net worth on slide #31 and # 33 of our presentation .

Key parameters. As on September 30, 2022 total number of live account stood at Rs.16 6639 that is 23% year -on-year growth, total numbe r of branches was 321, 24 new branches added in last 12 months. Employee count 5702, 23% year -on-year grow th. Asset under management grew 24% year-on-year to Rs.1254 37 million as on September 30, 2022. Product -wise breakup: home loan 7 0.9%, other mortgage loans 29 .1%; occupation -wise breakup: salaried 39. 8%, self -employed 60.2%. Disbursements increased by 27.2% year-on-year to Rs.1 1467 million for Q 2 FY2023 and 64.2% year -on-year to Rs.2240 4 million for H1 FY2023 . As on September 30, 2022, average borrowing cost of 6. 99% against an average portfolio yield of 12. 85% resulted in spread at 5.8 6%.

Borrowin gs: access to diversified and cost-effective long -term financing, strong relationship with development financial institutions . During the half year, we borrowed Rs.18451 million at an average rate of 6.62%. Overall borrowing mix as on September 30, 2022 is 41.8% from term loans, 2 3% from assignment and securitization, 20.5% from National Housing Bank, 14.7% from debt capital market s.

Now Assets Quality and Provisioning: 1 day past due stood at 4. 45%, Gross Stage 3 stood at 1.10%, Net Stage 3 stood at 0.84 % as on Septem ber 30, 2022; Gross Stage 3 of 1. 10% includes 0. 17% up to 90 day DPD assets, which have been categorized as GNPA following RBI notification dated November 12, 2021. During FY 2022, resolution plan was

implemented for certain borrower accounts as per RBI's R esolution Framework 2.0 dated
May 5, 2021. Some such accounts with an outstanding amount of Rs. 1 012.5 million as on
September 30, 2022 have been classified as Stage 2 and provided for as per the regulatory
guidelines. The ECL provisioning in cluding th at for COVID -19 impact as well as
Resolution Framework 2.0 stood at Rs. 64 9.1 million as on September 30, 2022.
Liquidity of Rs.2 8370 million as on September 30, 2022 , cash and cash equivalent of
Rs.13270 million , un-availed CC limit of Rs.1100 million, document un -availed sanction
limited from other banks Rs. 14000 million.

 Profitability: PAT increased by 29% year-on-year to Rs. 1962.6 million for H1 FY2023.
ROA was 3. 42%, ROE was 1 3.44% for H1 FY2023. As on September 30, 2022, we are
well capit alized with a net worth of Rs. 30314 million, book value per share stood at
Rs.383.6. With this, now I open the fl oor for Q&A session. Thank you.
Moderator : Thank you very much Sir. Ladies and gentlemen we will now begin the question and
answer session. First question is from the line of Abhijit Tibrewal . Please go ahead.
Abhijit Tibrewal : Thanks for taking my question. Good afternoon Sushil ji and Ghanshyam ji. I hope both of
you are doing well. First thing that I wanted to understand is the absolute increa se in your
Stage 3b which is greater than 90 DPD and is now up 50% in the last two quarters, just
wanted to understand are these loans which have slipped from your restructured pool or are
these customers who have defaulted because their EMIs have increase d when you increased
your PLR and related question here is , from your past experience you think that there is a
need for the industry to be worried about higher delinquencies in the affordable housing
segment when the EMI of the customer is increased.
Sush il Kumar Agarwal : You are asking from Q4 last year to Q2 this year?
Abhijit Tibrewal : Yes.
Sushil Kumar Agarwal : I think we are normally in 1% here and there and now from April 1, 2022 we have stock
mark in cases AFS which was earlier whenever any asset re possessed in the sarfaesi , we
used to mark AFS and it will go away, but now AFL will remain in the book, so th is
amount is an addition , otherwise it is around 0.9 . Secondly , the old AFS book we hope it
will also get over so we thought we should be more con servative on that aspect and this is
why this number is looking like this .
Abhijit Tibrewal : Understood Sir, now we do not classify any assets that we repossessed as AFS they are still
classified as stage 3 .
Sushil Kumar Agarwal : Yes. That amount is Rs.12 Crores.
Abhijit Tibrewal : Got it. Related to question that I asked that when the EMI of the customer is increased, is
the reason to be worried that it can lead to higher delinquencies in the affordable housing
segment?
Sushil Kumar Agarwal : It is a cycle , we give 20 years loan sometimes it gets higher but mostly tenure based, the
tenure will go up and down, very few cases where we need to increase the EMI of the

 customers also that is I think less than 1% or 2%, so I do not think so there is a much impact
of that in t he portfolio and we have seen th is cycle two to three times in the last 12 years.
Abhijit Tibrewal : Understood. Sir, my question was on the opex, just trying to understand that this elevated
opex or cost to income ratio is it really a function o f higher wa ges since that attrition in the
industry especially at the field level is really high or is it more a function of your investment
in branches and technology which you have not really officially opened yet and once it
should be officially opened branches, wh ich will be opened in the second half of this fiscal
year, but expenditure you have already incurred in the first half itself?
Sushil Kumar Agarwal : I have already mentioned in the last call also that for this year opex will be a little high an d
going forw ard in coming years then the leverage will come into the balance sheet, this year
we are spending a lot much amount on the digital transformation and last quarter, we started
implementing LOS which is SFDC and now we have signed up for LMS whic h is core
banking system, so we are moving core banking system FLEXCUBE which is by the large
bank like HDFC and AU and for accounting software also which is now called ERP in the
banking parlance , so we are sh ifting to Oracle Fusion which is used by the l arge banks l ike
Kotak and 10 Lac

kind of balance sheet . So once this will be implemented we have already
given six to nine months or either it will take for implementation of this. Secondly, we
continue to do investment and this year again we will open 35 branches . First half, the
branches which are already open ed are around 7, now in second half most of the branches
will also be opened. Thirdly, we are also investing in manpower and leadership keeping in

mind five or seven year horizon, also now that we ar e at the stag e of like Rs.12500 Crores and in next three years if the balance sheet gets double, so we are also spending money for leadership development like this year we have tied up with IIM Ahmedabad we have our 35 officers got that training and certif ication and this will be a second line, third line creation in the organization , so I think continuous investment in people process and technology, but technology, the one big change which will complete in the next six to nine months from next year onwards , the opex t rajectory will also help us in getting optimization .
Abhijit Tibrewal : Thank you Sushil Ji, very good to hear that we are spendi ng or investing in manpower and the carrier progression of the leadership team . The last question that I had is tha t have you availed any NHB borrowings in the first half of this fiscal year and looking at the sanction that you have on your expecting from NHB what is the impact on spreads and margins that you foresee in the second half of this fiscal year, Sushil ji, what I am trying to und erstand is today there are two schools of thoughts, one says it is okay if there is some spread and margin compression, but we want to focus overall growth while another school of thought is we want to maintain the current spreads and margins that we have, so how are we thinking about these two things.
 Sushil Kumar Agarwal : In Q1, we have borrowed around Rs.400 Crores, Q2, we have not borrowed any money from NHB , but recently we have got sanctioned of around Rs.900 Crores from NHB for the next fiscal year. As a CEO may be we want to attain both, we can achieve growth also and we can maintain our spreads and even the growth in our narrated trajectory 22% to 25%, we are already at 24% and at the same time we are able to maintain our sprea d and profitability , as in the ALCO and board meeting, we continuously review what impact we will have, because there are three kind of asset liability risk, but in tenure wise, one is fixed and floating wise, one is earning a t risk wise and we have foreca sted that next three t o six months how much price impact will get on borrowing . In accordance with that we have announced that October 5, we are raising our prime lending rate by 50 -basis point , so next till December 31, whatever things we were able to en visage as a board and as a management team on the borrowing side, we have taken into account and accordingly the price, the assets for variable size.
Abhijit Tibrewal : This is very, very useful. That is all from my side. Thank you Sushil ji and wish you an d your team a very ha ppy Deepa wali.
Moderator : Thank you very much. The next question is from the line of Karthik Chellappa from Buena Vista Fund Management . Please go ahead.
Karthik Chellappa : Thank you very much for the opportunity. Good afternoon Sushil ji and Ghanshyam ji. I have three questions. The first one is, what would be your labor attrition rate in the second quarter and across the industry it seems that the attrition rate especially at the field staff level has remained high, you talked about f ew measures as far as let us say tieing up with IIM Ahmedabad etc ., but at a field staff level what initiatives are you planning to improve this attrition that is my first question.
Sushil Kumar Agarwal : Thankfully, Anshul joined us around six months back and as a org

anization we have kept
one of the key operating metrics which needs to be track ed is employee attrition, so we took the target that can we reduce it by 50% and I am happy to announce that Q2 we have been able to significantly reduce our attriti on rate in comparison to Q1 this year and half year last year, so the measures which we have taken at the ground level in terms of training, in terms of incentive level changes, now we are focusing and we are creating a result of contribute performers and everybody should contrib ute and we are going for performance increment, so earlier we used to see everybody on one scale , now we are seeing if somebody 50 can be moved into 75 level, if somebody 75 can be moved into 100 level, if somebody is doing 100 can be moved into 125 levels and I think that has helped as organization though we are not at the range where we wanted to be, but we are happy with the success we have got in the last four to five months after all our efforts on this particular piece .
 Karthik Chellappa : Just one cla rification Sushil ji, you said the second quarter, labor attrition rate is down significantly, could you give us some number or a range by how much is down?
Sushil Kumar Agarwal : Around 20% down.
Karthik Chellappa : The second questi on Sushil ji, as far as your payment medium mix is concerned, have you noticed any notable change let us say away from mediums like NACH to either walle ts or using UPI in the last couple of quarters?
Sushil Kumar Agarwal : When we give the loan, we ensure t hat digital payment thro ugh NA CH only and any customer which bounces then we give the customer option either to pay through UPI,

wallet, chat, cash, online, website, different options, but our 100% incremental lending is supported by NA CH, the repayment op tion.
Karthik Chellappa : Even when it bounces you have not noticed any change in payment through UPI, is it like when your bounce rates go up or so people opt for UPI immediately, you have not noticed any such pattern yet?
Sushil Kumar Agarwal : Anyway 1+ n umber is very less, so w allet to UPI, yes, there is a change but overall number is so less that is not significant to talk about.
Karthik Chellappa : My last question Sushil ji, basically on the economics of the sector itself, what we notice even for Aavas as well as other industr y participants, in the last few quarters, the opex growth has been higher than the AUM growth. In your case of course there are very specific initiatives whether in IT platforms or training etc, but this is a trend that we generally observe. Now given wher e spreads are and given the interest rate outlook, would it be fair to say that going forward, the PPOP growth will to some extent lag the AUM growth and if not what are the other levers that you have to actually ensure that growth is more or less in sync?
Sushil Kumar Agarwal : I am in s ync with what you are saying, but I want to throw some number here. Q1 to Q2 net income has increased 16%, opex has increased 12% and profit has increased around 20%, so the jaws chart increase in inc ome, but vis -à-vis increase in opex , we are already in that trajectory that thing is coming up, once we have seen cumulative number H1, it is looking like this, so at Aavas we are cognizant of this and though we are investing in people process and technolo gy and with the huge amount, but st ill Q2 is showing that we are already in that what you can say jaws chart favorable for the Aavas .
Karthik Chellappa : That is all from my side. Thank you very much Sushil ji and Ghanshyam ji and wish you and your team a v ery, very Happy Diwali and all the best for the remaining quarters.
 Moderator : Thank you very much. Our next question is from the line of Kunal Shah from ICICI Securi

ties. Please go ahead.
Kunal Shah : Good afternoon Sushil ji and Ghanshyam ji. Firstly with respect to the repricing as we clearly see in terms of almost Rs.7500 Crores odd, Rs.7200 Crores is a floating rate loan and Rs.5300 on a fixed side, so when we increase this and lending rates by say 75 -basis points and another 50 -odd basis points, when d o we see this repricing getting reflecte d in this Rs.7200 Crores book, a monthly reset or may be quarterly one?
Ghanshyam Rawat : As we announced we published a date of effective also , like this 50 -basis will be effective from October 5, so it will have imp act from October 5 itself on a floating loan book. As far as fixed rate book, we have contractual agreement for each and every borrower, every three year, suffix with contract also get repriced like in the month of October around 1300 fixed rate account wh ich sanctioned three year back got repriced, so every year certain fixed rate book gets repriced.
Kunal Shah : It would be fair to say that just Rs.7200 Crores odd x of disbursement which have been done in this quarter or may be the last quarter besides tha t the entire book would g et reprice by 125 -basis point from October 5, cumulatively?
Ghanshyam Rawat : October 5, we have announced 50 -basis points?
Kunal Shah : And earlier 75?
Ghanshyam Rawat : 75 which we have announced earlier as 25 -basis points and then 50-basis points those get s effective those days.
Kunal Shah : Got that and when we are seeing this may be this behavior of this 7200, because we are relatively on a higher side with respect to passing on the rates compared to that of other affordable housin g finance companies, so a ny change in terms of the BT-out or something may be when we did this 75 -basis, because many players have not yet increased it?
Sushil Kumar Agarwal : On that side also the positive news, our BT -out have come down , so earlier it was around 0.6% per month wh ich has reduced to now 0.5%, but 0.6% count as a 7% to 8% on a yearly basis, now the current run rate is going 0.5% or below so that is significant for next 12 months if everything will be in control, it is less than 6%, so the re are also we are on a positive side.
Kunal Shah : And lastly again touching upon may be in terms of the growth, so when we look at it in terms of the traction, it still seems to lag with the industry peers and there is huge amount of
 investment which is happe ning, so when do we actually see the productivity improvement as w ell and may be given the kind of branch network, employee network that we have, in fact we should get back to in terms of disbursement per branch, we could see a significant improvement ?

Sushil Kumar Agarwal : As a comp any, we are okay with growth of 20% to 25%, we are already on 24% plus trajectory, so I do not think so there is a challenge on that side, I do not see from industry peers also whe n we were at the size of industry peers o ur grow th was more than 40% , at current AUM size, we are okay with 20% to 25% growth consistently year -on-year with maintaining asset quality and maintaining operating metric.
Kunal Shah : And one last question was with respect to securitization, so we have adequa te liquidity may be in terms of securitization momentum compared to that of the previous years, it seems to be on a higher side, so would we see this may be in the second half should we assume that the run rate could be relatively lower if I have to look a t on a full year basis, is it like , for similar run rate might continue?
Sushil Kumar Agarwal : Ghanshyam will reply, but as a company, as a n organization, overall ratio has not changed, overall 20% of book is assigned as a organization and we are into that trajectory as a company as of H1 FY2023 also, so I do not think so there is a challenge or the change in the strategy from the

company on that side.
Kunal Shah : In the last 2023 -2025 also.
Ghanshyam Rawat : Sushil has just covered very well, last year we h ave done a full year basis Rs. 780 Crores, this year whatever we see growth in the AUM, similar growth you can see in the assignment also, no strategy changed. It is only one quarter, two quarter here and there, that becomes because of what opportunity and what price we get from banks and institutions .
Kunal Shah : Thanks and all the best and wish you a very Happy Diwali.
Moderator : Thank you very much. Our next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi : Good af ternoo n and thank you for giving me the opportunity. Sir, my question was firstly on the yield side, so we have already taken three rate hikes that is 25 -basis point was in June, 50 was in August and recently like we will be taking 60 -basis point, but just wante d to understand what are the rates that it would be prevailing for HL and LAP so if you could give some range there and what would be the differential between the two?
 Sushil Kumar Agarwal : Our HL pricing is around 11.7% to 12% and non -HL rates are f rom 14% to 14.25% average .
Ghanshyam Rawat : New business rate.
Shreepal Doshi : These are the related ones right?
Ghanshyam Rawat : New business.
Shreepal Doshi : With respect to th e asset held for sale, the line item that we had in the balance sheet, so I guess in the annual re port that gross number was Rs.30 Crores, now like you highlighted to another participant that you have already incorporated to the stage 3 number, so that number has come down significantly or is it like?
Sushil Kumar Agarwal : As on Mar ch 31, it was 29.21 and after provisioning it was 24, now this is 19 after provisioning and we have lot many cases, EMD received so we will see significant reduction this quarter also in this number, hopefully by year end this will be mostly 25% of the ope ning pool, rest everything will be disposed off .
Shreepal Doshi : Okay, you said that this number has been added to stage 3?
Sushil Kumar Agarwal : From April 1, whatever AFS get do ne, we are not marking that as AFS, so only opening pool will come down and n ew AFS as a stage 3.
Shreepal Doshi : Okay , got it. Just wanted to understand the logic behind this, why do we have it as a separate heading in the balance sheet, because I just wanted to understand there is a logic behind this?
Ghanshyam Rawat : There is no thing, anything big aspect, it is a norma l accounting policy which we adopted six year back now as Sushil ji mentioned in early remarks, it has become more prudent, more conservative accounting policy, so we are keeping any AFS new assets as NPA, and the o ld one as Sushil ji mentioned we are acceler ating our disposal of f those assets from today to six to nine months or 12 months timeframe, it will be get disposed off.
Shreepal Doshi : Got it. One last question, what is the employee based number that we have for the Q2 end and just another question in r elation to that, is that we have something called manpower contracts which is part of the other opex if I am right, so why do we have contractual employees when our entire thought processes is to sort of source internally and also collect manually?
 Sushil Kumar Agarwal : There are two kind of people with our contract. One is admin office boys and telecalling staff, second, in the sale side also, the fresh persons who come we first make them work under contr actual role and keep them for one year. If they perform well we shift them on

company roll and if they do not perform then we let them go.
Shreepal Doshi : The employee based number if you can share?
Sushil Kumar Agarwal : 5702.
Shreepal Doshi : Thank you so much

an d Happy Diwali to the entire team and good luck for the next quarter.
Moderator : Thank you. Our next question is from the line of Shweta Daptardar from Elara Capital .
Please go ahead.
Shweta Daptardar : Thank you Sir for the opportunity. Couple of questions , if I look disbursement front, the first half itself you ha ve for that 11.5 million in that number and I remember you mentioned in last time second half seemed to be seasonally stronger, so do you see the overall growth metric and also you have mentioned the growth target to be in the range of 20 to 25, are you view it in terms of leverage a little bit that is my first question ?
Sushil Kumar Agarwal : Overall last year, we disbursed Rs.3600 Crores and this year in the first half itself we have already disbu rsed around Rs.2300 Crores, mostly in a normal year 40% to 45% in first half and another 55% to 60% in second half, so i f you will go by the trajectory, the numbers you can calculate which should be significantly higher than the last years number, so this kind of growth is appropriate for over 20% to 25% kind of AUM growth as wel l.
Shweta Daptardar : Your provision, if you could throw some color on that, have they normalized in the first place and the run rate or provisions on quarterly basis, because number is looking lower since last quarter now, so how do you see this going forwa rd?
Sushil Kumar Agarwal : Shweta, you are asking for 1+ number?
Shweta Daptardar : Yes, I am talking about provision.
Ghanshyam Rawat : Risk provisioning , you are talking about?
Shwe ta Daptardar : P&L provision.
Ghanshyam Rawat : We did not got the complete qu estion, I will try to elaborate, Q1 to Q2 risk provisions, yes, last two years we have seen a COVID period, certain extra provision was built up and those
 assets now has come in a normal life like for COVID I, Septemb er 20 was the last date, when the normal cycle was started, those pool are now shown maturity in the last two years, so after that now those provisions are going as a normal cycle basically. So we as such gross NPA arou nd 1% and one day past -due already is less than 5%, so we are adequately created our p rovisions and we do not see any much change in our provisioning trend.
Shweta Daptardar : Fair point Sir. One last question, in one of the previous participant reply you m entioned that out of this 5300 Crores fixed side, Rs.1300 Crores is something which is on the verge of reset this year?
Sushil Kumar Agarwal : We are not getting your questions, audible either you will rejoin call then again come in the queue. We are not ge tting your questions properly.
Shweta Daptardar : My question was on Rs.5300 Crores fixed side book, is out of that Rs.1300 Crores which is getting re set this year , you mentioned that every three years your fixed book gets reset.
Ghanshyam Rawat : You are ri ght. Whatever contract I think we disb urse three year back, let us say I will give you example. In the month of October 22, the loan which is sanctioned at fixed rate in October 2020 that book will come to reset in October 2022 so on and so forth, it will continue.
Shweta Daptardar : This year that amount is Rs.1300 Crores odd?
Ghanshyam Rawat : Simply you cannot take one -third, 25% is better to assume, those year disbursement definitely will be lower than what is there , 25% you can take fair side.
Shweta Dap tardar : Thank you so much.
Moderator : Thank you. Our next question is from the line of Rahul Maheshwary from Ambit Asset Management . Please go ahead.
Rahul Maheshwary : Good evening. Thank you for the question. Just two questions. Sushil ji, can you give so me color on the opex side, the kind of growth that is taking place means when can we expect with the same through start b uilding in terms of the same gross per employee expense and other opex, where are

the parts where such kind of high growth or the inves tment is taking place and second question o n the MSME license when can we expect, can you throw some color on that part also?
Sushil Kumar Agarwal : NBFC licen se is pending with RBI, we cannot comment when it is going to come, so on that part we cannot do a ny commentary. On the first part, on the opex side, we have already
 mentioned that this quarter itself again, the revenue increase versus opex increase is less so we are already in the positive jaws chart, but we have already told that this year because of

high investment in technology and some of the lea dership development, opex might be high, but since we are having, we are maintaining high spread, we thought we can invest and once all these things we will be maintained in six to nine months, we will see again the downward trend of opex to AUM and all th ose ratios, but this quarter itself we got positive jaws on that balance sheet number .
Rahul Maheshwary : Just to break this, in case of percentage of mix where it is going in opex compared to volume growth technology spends and the branch expansion, can you bre ak it down in terms of where the quality of investments or opex is going for Aavas?
Sushil Kumar Agarwal : Branch expansion is a normal phenomenon , every year we have opened 35 branches, normally we sta rt building up from Q2 and the admin team starts giving delivery of completed branches from Q3 and Q4, but that is a normal phenomenon . This is the very large investment after seven, eight years in the company, the range is approx Rs.100 Crores, we need to say wide kind of amount we will be able to capitalize be cause now most of the things are on cloud and annual subscription basis, mostly will be there and same time we are also building the capability, now we are at almost Rs.400 Crores to Rs.500 Crores pe r month run rate and giving that number for next three ye ars visibility is already there in the system. We have successfully done the transition of business with new Business head joined in June and entire process was so smooth . All these three aspects are there, but mostly it will be te chnology and leadership development side.
Rahul Maheshwar y: What is the attrition rate at the junior level people who are at the branches which has just come after the transmission of being into contract labour , can you give specific range what are the attrition?
Sushil Kumar Agarwal : I do not have at this point of ti me, but we will get back to you on this number, but yesterday in the board we have seen one presentation, we our attrition had significantly dropped this quarter around 20% on that side.
Rahul Maheshwary : Just second question which was asked on the MSME li cense, everything from our side has been represented to the RBI only, where the gap is there means in terms of….
Sushil Kumar Agarwal : All those things we will h ave because everything is with the regulator we cannot disclose at this point of time, anything come from their side, we will anyw ay publish for everybody.
Rahul Maheshwary : Thank you so much and Happy Diwali to the entire team.
 Moderator : Thank you. Our n ext question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer : Good afternoon Sir. Congrats on quarter. Just a couple of questions. Firstly, our loan yield between Q4 and Q2 was up only 20 -bps, 12.65 %, 12.85 %, but we increased our rates at 75 - bps and 60%, 70% of our loan book is floating, so what explains this?
Ghanshyam Rawat : Like we started 12.65, we now as a 12.85%, roughly 55% floating to where immediately get pass on, if we take 75 -basis point on around 55 % floating, it is roughly increased to be let us say 3 5-38 basis point s, but 17 -basis point obvious

ly got lost in a certain asset we put on retention, assets come for balance transfer, we found that these assets is a worthwhile to retain these assets to be offer them compe titive price also sometime give us some reduction in overall AUM yield, so on that account we lost around 10 or 12 -basis point or new asset generation is usually picking up and chasing AUM yield basically, so that also have some hit on a overall basis, so 20-basis point increase in AUM on account of increase and roughly 17 -basis poin t we lost.
Piran Engineer : 0.5% per month is our BT -out this is what actually happens, what would be like the BT -out applications and how much are you able to let us say resolve by offering lower rate ?
Sushil Kumar Agarwal : Every time in BT retention , always there might not be scenario where we need to reduce the rate, sometime customer comes for top up, sometimes customer come for some other problems also, so normally around 1% to 1.25% kind of applications come in every month and we have a very stron g team and D NA at the branch level, branch head level and everybody KRA is linked to the customer that good customer should always be with us, so out of 1.25% around 0.25% to 0.3% cu stomers where we want them to go, because they will then continuous delinquency or CIBIL score already reduced between 300 to 600, another 0.5% may be 60%, 40%, 60% may need to offer the rate, 40% we need to offer either grievance redressal o r maybe if the y want some top up , we provide that.
Piran Engineer : Got it and Sir just one very basic ques tions, if I take a fixed rate loan or a floating rate loan at one point in time, is the rate the same?
Ghanshyam Rawat : No, rate is differ, on a fixed rate product roughly 200 to 300 -basis point higher rate.
Piran Engineer : Irrespective of the cycle?
Ghans hyam Rawat : Irrespective of the cycle.

 Piran Engineer : Can you tell me 11.7% home loan rate starting that is for floating and if I take fixed it will be around 13.5 %, 14% ?
Sushil Kumar Agarwal : On variable side, it is around 10%, on fixed side it is around 12%.
Ghanshyam Rawat : 12% plus for home loan, non -home loan it goes above 14% to 17%, 18% .
Piran Engineer : Floating rate home loan starts at around 10%?
Sushil Kum ar Agarwal : Floating rate starts at around 9%.
Piran Engineer : Okay.
Ghanshyam Rawat : 10%, 1 2%.
Piran Engineer : Sorry.
Ghanshyam Rawat : It has started 9%, but it goes let us say 10.5%, 11% average was at around 10%, 10.25% for retail, home loan, floating b ook.
Piran Engineer : Okay you said 11.7% to 12% that is for fixed rate, is it?
Ghanshyam Raw at: As Sushil ji mentioned in home loan book , as on Q2 it is 11.9% which is total for fixed & floating both.
Piran Engineer : Outstanding, got it. That is all from m y end.
Moderator : Thank you. Our next question is from the line of Mona Khetan from Dolat Capital . Please go ahead.
Mona Khetan : Good evening. I just had one question. If you could share the breakup of your loan book by ticket side, of what share of loans are 10 lakh share of loan between 10 to 25 lakh ticket size and above 25 lakh ticket size?
Sushil Kumar Agarwal : I think around 72% customers are less than 1 0 lakh, in terms of number of customers , about 23% a re between 10 to 25 lakh ticket size and for mo re than 25 lakh s it is around 4% to 5% customers.

 Mona Khetan : Okay and just a follow up on the previous question on f ixed versus floating , is it fair to say that for a certain customer profile, if one has to choose between fixed and floating, the differen tial on average would be 200 to 300 -bps?
Sushil Kumar Agarwal : Yes.
Mona Khetan : At any point of the cycle.
Sushil Kum ar Agarwal : Yes.
Mona Khetan : Thank you. That is all from my side and all the best.
Ghanshyam Rawat : Which is as of now, the trade practic e which we have adopted . But if interest scenario goes haywire this policy, if required we can change the metric at ALCO level and board can approve change in policy also.
Mona Khetan : Thank you.
Sushil Kumar Agarwal : If the market dynamic change in a risi ng interest rate scenario, so obviously we have to bound to change our policy around that.
Mod erator : Thank you very much. Ladies and gentlemen d ue to time constraints that was the last question. I now hand the conference over to the management for closing comments.
Sushil Kumar Agarwal : Thank you all for attending the call. I wish you very Happy D iwali and festivity and hope everybody keep safety and health as a priority. For any further information, we request you to get in touch with Ghanshyam Gupta , our Investor Relationship Officer or SGA, our investor relationship advisor, they would be happy to help you. Thank you all .
Ghanshyam Rawat : Thank you everyone and wish you Happy Diwali.
Moderator : Thank you very much members of the management team. Ladies a nd gentlemen on behalf of Aavas Financiers Limited we conclude this conference call. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

Ref.No. AAVAS/SEC/2022 -23/863
Date: February 09, 2023

Dear Sir/Madam,
Sub: Transcript of the Earnings Conference Call for the quarter and nine months ended December 31, 2022
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to letter number AAVAS/SEC/2022 -23/819 dated January 20, 202 3, please find enclosed the transcript of the Earnings Conference Call on the financial and operational performance of the Company for the quarter and nine months ended December 31, 2022 held on Friday, February 03, 2023.
The above information is also avail able on the website of the Company at https://www.aavas.in/investor -relations/investor -intimation

We request you to take the same on your record.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
The Listing Department
Exchange Plaza,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

Scrip Code: 541988

“Aavas Financiers Limited
Q3 FY '23 Earnings Conference Call ”
February 03 , 202 3

MANAGEMENT : MR. SUSHIL KUMAR AGARWAL – MANAGING DIRECTOR – AAVAS FINANCIERS LIMITED
MR. SACHINDER BHINDER – CHIEF EXECUTIVE OFFICER – AAVAS FINANCIERS LIMITED
MR. GHANSHYAM RAWAT – PRESIDENT AND CHIEF FINANCIAL OFFICER – AAVAS FINANCIERS LIMITED
MR. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK OFFICER – AAVAS FINANCIERS LIMITED
MR. GHANSHYAM GUPTA – INVESTOR RELATIONS – AAVAS FINANCIERS LIMITED

Moderator: Ladies and gentlemen, good day. Welcome to Aavas Financiers Limited Q3 FY '22 -'23 Earnings Conference Call. This conference call may contains forward -looking statements about the company, which are based on the beliefs, opinions and the expectations of the company as on date of this call. These statements are not the guarantees of future performance an d involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sushil Kumar Agarwal, Managing Director of the company. Thank you, and over to you, sir.
Sushil Agarwal: Yes. Good afternoon, everybody. Thank you for participating on the Earning Call to discuss the

performance of our company for quarter 3 and 9 months FY '23. I'm very excited to make a few important announcements today. In 2011, we started our journey as AU Housing as a subsidiary of ers twhile AU Financiers, which was the first phase of our journey, Aavas 1.0. Aavas has subsequently evolved into a standalone business under the ownership of Kedaara Capital &

Partners Group and subsequently went public in 2018, which was Aavas 2.0. Now we a re prepa ring for the Aavas 3.0 journey.

The company is evolving into a go long -term institution and has embarked on the journey to becoming one of India's largest affordable housing finance player, led by people and technology. We are today blessed with a very deep and talented management bench. We are excited to be able to build upon and nurture this talent. In order to create additional leadership bandwidth and allow for better focus on both long -term strategy and day -to-day execution, the role of Managin g Director and CEO will be splitted into two distinct roles. The updated leadership structure is designed to allow for the accelerated achievement of Aavas long -term vision. I will continue to be Managing Director of the company, and continue to focus on i ts overall business strategy for the future.

I take this opportunity to introduce you our CEO, Mr. Sachinder Bhinder, who will focus on driving core execution. Sachinder has been with Aavas for over 3 years as Chief Executive Officer of our Aavas MSME busi ness. He previously served as the EVP and Business Head of Home Finance at Kotak Mahindra Bank, where he built INR 400 billion AUM business.

As part of Aavas 3.0, the Board has also elevated Mr. Ghanshyam Rawat to President and CFO; Ashutosh Atre to Presid ent and CRO; and Surendra Sihag to Chief Collection Officer, in recognition of their long -standing commitment and contributions to Aavas.

I would now hand over the line to Sachinder to introduce himself.

Sachinder Bhinder: Thank you, Sushil. Good afternoon, ladies and gentlemen. Firstly, I would like to start with thanking the Board and Sushil for trusting me with this opportunity. I'm very happy to be part of this exciting journey. I'm confident that with the support of my colleagues, the Board and other stakeholders, I'll be able to work towards achieving the company's vision, mission and customer goals. Sushil has laid down a very strong foundation for Aavas.

Under Aavas 3.0, my focus will be to build on that foundation an d to focus on people and technology. On people, I want to retain and build on the entrepreneurial culture in an institutionalized framework, leverage the significant upfront investments already made in human capital to drive growth and productivity, focus on engagement, training and upskilling of the organization. On the technology side, we'd like to contribute to focus on completing the technology transformation projects initiated in 2022, the idea would be to achieve non -linear growth, build technology ca pability equivalent to that of a bank, create a remarkable customer experience.

Sushil and I are joined on this call by Ghanshyam Rawat, President and CFO; Ashutosh Atre, President and CRO; Sidas Srivastava, the Chief Business Officer; Surendra Sihag, Chie f Collection Officer; Ripudaman Bandral, Chief Credit Officer; Jijy Oommen, Chief Technology Officer; Anshul Bhargava, Chief People Officer; Rajaram, Chief Strategy Officer and Head of Analytics; and Ghanshyam Gupta, Investor Relations. The results and the presentation are

available on the stock exchanges as well as on our company website, and I hope everyone had a chance to look at it.

I will now hand over the line to Ghanshyam, President and CFO, to discuss the business and financials. Over to you.

Ghansh yam Rawat: Thank you, Sachinderji. Thank you, Sushilji. Good afternoon, everyone, and a warm welcome to our earning call.

The disbursement increased by 26.4% year -on-year to INR 12,024 million for quarter 3 FY '23 and 48.7% year -on-year to INR 34,428 milli on for 9 months FY '23. As on 31st December '22, average borrowing cost, 7.29%, against an average portfolio yield 13.04% resulted in spread at 5.75%.

As on 31 December 2022, total number of live accounts stood at 1,75,001, that is 24% year-on-year growth. Total number of branches was 321, 23 new branches added in last 12 months. Employee count, 6,082, 28% year -on-year growth in anticipation of additional 20 to 25 new branches in Q4 FY '23.

Assets under management grew 23.3% year -on-year to INR 1,30,887 mil lion as on 31st December 2022. AUM has the impact of subsidy received of INR 2,900 million since December 2021, previous year , INR 440 million. Therefore, AUM grown by 26%, excluding the impact of subsidy.
Product -wise breakup: home loan, 70.1%; other mor tgage loan, 29.9%. Occupation -wise breakup: salaried, 39.7%; self -employed, 60.3%. After witnessing 190 basis point increase in repo rate in the first half of the year, RBI has further increased repo rate of 35 basis points during third quarter. Consequent ly we have also increased our prime lending rate by 125 basis points during first 9 months of FY '23 and further increased 35 basis points with effect from January 5, 2023.
During the quarter, company borrowed an incremental amount of INR 13,364 million at 7.15%. As on December '22, our average borrowing cost stood at 7.29% on outstanding amount of INR 1,16,648 million. IGAAP to Ind AS reconciliation has been explained in detail for profit after tax and net worth on Slide #35 and 37 of our pres entation.
Borrowing. Access to diversified and cost -effective long -term financing, strong relationship with development financial institutions. During the year, borrowed INR 31,815 million at an average rate of 6.84%. Overall borrowing mix as on December 3 1, 2022, is 42.2% from Long -term loans from banks: 22.3% from assignment and securitization, 22% from National Housing Bank and 13.5% from debt capital market. Liquidity of INR 27,882 million as of December 2022. Cash and cash equivalent balance of INR 1 4,682 million. Unavailed cash credit limit of INR 1,100 million, documented unavailed sanction from other banks of INR 12,100 million.
Profitability. Profit after tax increased by 25.8% year -on-year to INR 3, 035.4 million for 9 months of FY '23. ROA, 3.43%, and ROE 13.59% for 9 months FY '23. As on December 31, 2022, we are well capitalized with a net worth of INR 31,489 million and capital adequacy ratio at 49.5%. Our book value per share stood at INR 398.4.

Now I would like to hand over line to Ashutoshji, Pres ident and CRO, to discuss the asset quality. Thank you.
Ashutosh Atre: Thank you, Ghanshyamji. The key portfolio risk parameter, asset quality and provisioning. One day past due stood at 4.05% as against 4.45% at the end of last quarter. Gross Stage 3 stoo d at 1.13% and net Stage 3 stood at 0.87% as on 31st of December 2022. Gross Stage 3 of 1.13% includes 0.19% o f up to 90 DPD assets, which have been categorized as GNPA following RBI notification dated 12th of November 2021. Additionally, the company has s topped recognizing assets held for sale under SARFAESI and marked them as NPA after March '22, amounting to INR 280 million, which has an impact of 0.26% on above -stated gross Stage 3 assets.
During FY '22, the resolution plan was implemented for certain b orrower accounts as per RBI's resolution framework 2.0 dated 5th of May 2021. Some such accounts with an outstanding amount of INR 931.1 million as on 31st of December '22 have been classified as Stage 2 and provided for as per regulatory guidelines. Out o f INR 931.1 million, INR 701.9 million is into 0 to 30 DPD bucket. Total ECL provisioning, including that for COVID -19 impact as well as resolution framework 2.0, stood at INR 675.3 million as on 31st of December 2022. With this, I open the floor for quest ion-and-answer session.
Moderator: Our first question comes from the line of Ankit Kanodia from Smart Sync Services.
Ankit Kanodia: Congratulations for a good set o

f numbers. Sushil, just one question. We started a new product post the pandemic, which is related to the secured small business loan. If you can give some color as to how that product is shaping up and what is the competitive scenario? And where do we see this product shaping up in the next 2 -3 years?
Sushil Agarwal: Yes. So Ankit, our non -home loan portfolio is around 28% - 30%. And two, three years back most of this portfolio was LAP , and 3 years back, they started converting this into MSME. So now 40% of that non -home loan portfolio is MSME portfolio. MSME portfolio is -- how it is different from LAP is tenure. MSME portfolio is seven years, LAP can be up to 15 years. MSME portfolio can be used by business guys only, LAP can be used for personal use also. And MSME loan is basically a priority sector loan, so we get funding accordingly. So that has picked up very well, and we want to continue the same trajectory , 70-30 home loan and nonhome loan, and most of which we want to do as the MSME loan.
Ankit Kanodia: And sir, what would be the competitive scenario here? And how are we placed?
Sushil Agarwal: So A nkit, as of now, the areas where we worked at Tier 2 to Tier 5. Though there is competition, but it is in small pockets, but we , because of our distribution and reach up to 2,500 towns, we are very well placed to cater this kind of segment. So little c ompetition, but because of distribution, we are able to take many customers, which we want to build in our book.
Ankit Kanodia: And is it fair to assume, sir, that in the next two, three years, this category of loan will probably

grow faster than the home loan portfolio? Because we are underpenetrated here, and we already have that distribution advantage.

Sushil Agarwal: No. So we want to maintain 70 -30 home loan and nonhome loan portfolio. So in the same ratio, it will grow as an overall company.
Ankit Kan odia: Any reason for the 70 -30 ratio?
Sushil Agarwal: Normally, we want to be a proper housing finance company, and that's where we want to choose more focus on the housing loan business other than non -housing loan business .
Moderator: Our next question comes from the line of Uday Pai from Investec.
Uday Pai: Sir, where could be the BT out rate for the quarter? .
Sushil Agarwal: Sorry?
Uday Pai: BT out rate?
Sushil Agarwal: BT out rate is around 0.5%. Earlier, first quarter was around 0.7 %, then se cond quarter, it came to 0.6 % and now it is 0.5 % per month.
Moderator: Our next question comes from the line of Abhijit Tibrewal from Motilal Oswal
Abhijit Tibrewal: Congratulations to the entire management team for starting a new chapter through Aavas 3.0. Sir, beyond numbers, there are a couple of things that we have reported and that we have also put out slides on that I wanted to understand. Firstly, on the split of the role and responsibilities between the MD and CEO, while we understand it is a very value intention and a welcome step, 2 things I kind of wanted to understand.
Firstly, what was the contribution of Mr. Sachinder to Aavas over the last 3 years? And what are the different functions that he's been involved with over the last 3 years? What -- I mean now that, Sushilji, you will be moving into the MD role, exclusively MD role, what your growth vectors and strategic initiatives would now that you will be acting upon? And lastly, is there something the works even for your subsidiary, Aavas Finserv, wh ere we gathered during some of our field trips that you've already started doing some pilots in personal loans?
Sushil Agarwal: No. So Abhijit we applied to RBI for our NBFC license, and that's where Sachinder joined us 3 years back to build MSME business. We started building MSME business in the parent company until the time we get the license. Eventually, last quarter, RBI returne d our applicati

on for the
NBFC license. So Sachinder shifted to Aavas financial team as a CEO. Sachinder has contributed building MSME bus iness in the parent company, and he also used to take care of affordable housing and some of the direct government -led businesses in the company.
Abhijit Tibrewal: What are the growth factors and strategic initiatives that we would like to now e mbark upon given that, I mean, now there is a separation between the MD and the CEO role?
Sushil Agarwal: Yes. So Abhijit, the way we see always -- the way I described that we plan for 10 years, we build for 3 years ahead and then we execute for current ye ar. So in the process of thinking for long term, we take a lot many initiatives like right now, we are doing the digital transformation of the

company. So this will enable us to scale for maybe 100x from the current level. And then certain new product line s, new target segments, new market identification and new opportunity identification, on which we need to work in depth as a pilot before putting into a system, which we will now be able to scale up.
So I think all those things are from new initiatives , long-term thi nking and vision perspective is important . Since by this year -end, we believe we will be around INR 1 5,000 crores, which was the first, you can say, benchmark for affordable housing that -- whether you can break that bridge or not, and then after that, even if we grow with 25% growth, so it's almost twice every 3 years or 3.5 years. So at that scale you will need different kind of infrastructure, a different kind of thinking, different kind of initiatives. For that, we have divided now our responsibilit ies that Sachinder will take care of day -to-day activities of business running. And I will help more from the long -term perspective of the company.
Abhijit Tibrewal: Sir, one thing which is happening is, I think, I mean, until last quarter, we used to talk about the 20%-25% growth. Now we are at least talking about a 25% kind of a growth after we reach that INR 15,000 crores kind of a milestone. Sir, last question from my side, I mean, given this transition to Aavas 3.0 and the related IT transformation, w hich will enable this transition to 3.0. I just wanted to explain -- I mean, I just wanted to understand if you can explain in some detail, what are the things that you have planned under this IT transformation? What is the total investment outlay on this IT transformation? And by when do you expect this to get completed?

Because what we also heard that you plan to launch your sales force platform within the next few days and then actually phase out your current omni platform.
And sir, also rela ted, I mean, what benefits are you maybe kind of expecting to accrue from this IT transformation in your origination and underwriting? Will it significantly bring down your TAT? And we have all along talked about this steady and calibrated AUM growth of 20% -25%, Can this IT transformation help you into a higher orbit of AUM growth?
Sushil Agarwal: So Abhijit, overall as a digital transformation project for Aavas, this has 5 -6 components. Overall, capital outlay is arou nd INR 120 crores to INR 150 crores. Out of these, 3 key projects right now are in working stage. So one is sales force, which is transformation of all the loan organization processes. If you see last 3 years, we were stagnant 10 to 12 days of TAT in our loan processing. I think that with this new initiative we will be able to bring it down by 30% - 40% in the first phase and maybe second phase it can be further better out. Secondly, this transformation will help us changing the customer experience because , going forward, once we will be big, our competition will be -- our customer will see and compare us with the bank s, large fintechs and best -in-class companies . And with this software, I think we wi

ll be able to cater that
size.
Other synergies are like our productivity enhancement, so till today we have 400 underwriters and processing 16,000 files, can 400 underwriters can process 24,000 files? Today, 1 file is around 150 pages and it costs around INR 1,000. With th is system, 70% of files will be digital. So tha t INR 1,000 cost may come down to INR 300 -400. That itself will save INR 10 crores -

INR 12 crores a year for us. So I think there are lots of things which we want to achieve either on productivity, process, customer experience, cost reduction and sc alability. So I think all those purposes, this will serve.
Second phase is LMS. So now we are moving to banking system, which is Flex cube , which is like HDFC Bank, AU Bank, all these larger bank platforms are using this. This will help us in scaling our bran ch network, You must have seen that NBFC s at 300-400 branches start shaking , but banks have 5 ,000-10,000 branches. So I think once we will implement this, this is scheduled to be implemented first quarter of next year. This will help us in scaling up with bett er control. In a bank, if you will go INR 1 crores cheque can be transferred by a teller.
But in NBFC, if you want to transfer INR 1 crores I think it's requires MD's approval. So I think this will give us flexibility. And we are hoping if regulator w ill give us some more product line approval like car against property or overdraft against property or some of the banking products, we are ready for that from the very first day in our journey.
And third one is ERP systems. So we are moving to best -in-class Oracle Fusion . This will help us getting better cuts on profitability product wise, bran ch wise, people -wise, differe nt segment wise. And it will also help us bringing In dAS accounting fully automated basis. So lots of help on that side.
And the fourth version is analytics, where we are creating an architecture which can sustain 100x growth on data from the current lev el with a seamless integration and speedy decision -making, maybe not days, hours, maybe in some seconds in some kind of profile. So these are little bit update, but maybe if you want more detail, you need to come to Jaipur or you need to write e - mail to Ji jy for further update on that side.
Moderator: Our next question comes from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Just 2 or 3 questions. One is that, what would be the individual yield on the non -home loan portfolio? And what is the time taken to break even that loan? And what is the yield on home loan? And what is the time taken to break even this particular loan, sir? And what is the number of loans that we have disbursed in each of the category in third q uarter?
Sushil Agarwal: So NHL is around 14% and home loan is around 12%. And we have breakeven from the very first year. I t is not that we fund and profitability start after 2 or 3 years because we are not in a DSA business, we get upfront 2% to 2.5% fee on our loan book. So our loans are positive from the first year.
Shubhranshu Mishra: And the number of loans in each category that we have done in this quarter, disbursement level?
Sushil Agarwal: So our average ticket size is around 11 lac and INR 1 ,200 crores d isbursement has happened out of which 70% which is about INR 8,400 crores . So around 9,000 cases in home loan category and around 3,000 cases in nonhome loan category.
Moderator: Our next question comes from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Sir, I wanted to understand what are the rate hikes or the pricing hike that we have taken in the last 6 months for HL and non -HL, both.
Sushil Agarwal: Shreepal, as we have mentioned, we have increased our PLR by 125 basis points and further PLR increa

se fro m January 5, around 35 basis points.
Shreepal Doshi: Both the products?
Sushil Agarwal: On both the products. Yes, on all the variable category products.
Shreepal Doshi: Sir, 125 already done and 25 is likely to happen in Feb?
Sushil Agarwal: January , 35 basis points.
Shreepal Doshi: 75, okay.
Sushil Agarwal: 35, 35.
Shreepal Doshi: 35, sorry. And sir, this gets implemented within a month's time. Is that a fair understanding?
Sushil Agarwal: Yes.
Shreepal Doshi: And sir, how do you see the margin moving from current levels for us?
Sushil Agarwal: So Shreepal, right now, it's 5.75 and with 35 basis point increase, again, this will be 20 basis points. And last quarter, business normally brings a little bit lower. But I think we are hopeful that margins will be s table at least for next quarter.
Shreepal Doshi: And sir, for FY '24, if you can give some guidance.
Sushil Agarwal: We need to see interest rate movements, which side it is going. But hopefully, it will be stable or it is reduced by 25 to 50 basis points. We will bring that kind of efficiency into our opex .
Shreepal Doshi: And sir, the branch expansion plan stays as it is, right? Every year, 30, 35 sort of branches?
Sushil Agarwal: So, in the current year until now, I think we opened 7 and another 23 will be opened in this quarter.
Moderator: Our next question comes from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar: Sir, 2 questions from my side. So having mentioned the fact that you will be taking a strategic step from technological transition, how do we perceive now opex to asset ratio, which has sort of remained elevated for a while now currently around 3.5% - 3.6%?
Sushil Agarwal: Shweta, in our past commentary also, we have always mentioned that because of technology transformation and capacity building up, these opex are elevated. And from next year, third quarter onwards, we will see 25 to 30 ba sis point decrease year -on-year for next 3 - 4 years in the trajectory.

Shweta Daptardar: Secondly , when do you see ratings upgrade happening for us? Are we in talks with any of the rating agencies? Any time lines? And what is the overall broader sense ther e?
Sushil Agarwal: Shweta, we have done this journey from BBB - to AA stable and last two years already 3 rating s are update d. It's a journey. We will continue doing all good work, and it's up to rating agencies when they will consider us for the next rating upgrade.
Shweta Daptardar: Sure, sir. And if I may squeeze in one last question. So I rem ember you mentioning last quarter that 65% of your disbursements happen largely in the first half, right -- sorry, they happen in the second half. So if I go by the current disbursement number, around INR 1 ,200-odd crores, and if I extrapolate with this lo gic, then we are exceeding almost 25% loan CAGR for this particular year and maybe even in future, so what is your growth guidance now?
Sushil Agarwal: So Shweta we always said that we will grow 20% to 25%, and we always keep 25% capacity enhancement in our system and a lso if some adverse things, market competition and all those things will not be there, we might do better than these numbers.
Moderator: Our next question comes from the line of Vikas Kasturi from Focus Capital. .
Vikas Kasturi : Thank you very much for bein g the CEO over the past 7 years. And congratulations to Sachinder too. Sir, I had a few questions. So first one is, do we plan to stay in the same sub 10 la c ticket size trajectory or in the future , if you want to grow faster, would we be looking at slightly hig her ticket size?
Sushil Agarwal: So Vikas, as we, Aavas, we fund from INR 3 lakhs to INR 1 crore ticket size, and our average ticket size comes in home loan around INR 11 lakhs and non -home loan around INR 9 lakhs. And we foresee that this

avera ge ticket size can increase by inflation rate. So we are planning that way.
Moderator: Our next question comes from the line of Mayank Agarwal from InCred Capital.
Mayank Agarwal : Congratulations on the good set of numbers and best of luck to the team with the new roles. So my question is basically on the branch expansion. So what are the states which we will be focusing on for the newer branches in this year and next year going ahead?
Sushil Agarwal: So Mayank, right now, we are working in 13 states. And w henever we open new branches, it

opens in the combination of old state versus new states. So this year, like in Karnataka, we are opening around 8 to 10 branches and Odisha too and rest our branches are in the existing states where we are working.
Mayank A garwal: And secondly, is my question on our strategy and growth outlook with the additional management bandwidth now we have. So what kind of change in growth outlook or the products or product mix, geographical mix can we look in the next 3 to 5 years as of now?

Sushil Agarwal: So we'll continue our strategy as usual. We will open 3 0-35 branches every year. Every 5 years, we open in 4 new states, this is third round. So we have opened Karnataka and Odisha, and we will add 2 more states in the next 3 to 5 years in our journey on the distribution side.
Mayank Agarwal : Sir, my last question is on the new branches we have opened in new states, what is the breakeven period for them? We know that it takes us around 30 months for the disbursement to pick up in the newer branches, but by when can these branches reach the breakeven level?
Sushil Agarwal: So we have 90% of our branches breakeven in first 12 months. I will again elaborate our unit economics. So whenever we want to open a branch, say, if it a population of 1 lakh divided by 4, which is 25,000 families, and we want to penetrate there for 4-5%. So it's around 10 to 12 cases per month or INR 1 crore potential. So we will get 2.5% fee. And we ensure that these branch expenses should not be more than INR 2 lakhs to INR 3 lakhs per month. So once the branch reaches 75% to 80% of its potential business, we are ROE breakeven. But as per data, more than 12 months branches entire country , we have 94% branches which are ROE positive.
Mayank Agarw al: And sir, last request is, basically requesting for a Jaipur visit for all the analysts so we can see the tech, what kind of technological changes you have made, the coalition extra on the Aavas 3, basically we can get a look and feel for that.
Sushil A garwal: So we are arranging that after Q4 results, Jaipur, Mumbai that we will see.
Moderator: Our next question comes from the line of Shreepal Doshi from Equirius. .
Shreepal Doshi: Sir, Just wanted to understand Aavas, what is the thought process for Aa vas Finserv? can we deploy the strategy that we have made for MSME secured product? And do we have a plan to shift that business to Aavas Fi nserv ? Because at the Aavas Financ iers level, we'll have to maintain the HFC norms, right? So is there a back of the mind thought process?
Sushil Agarwal: So Shreepal, we have applied for the NBFC license, but it was returned by the RBI. So now we are focusing only on our Aavas Financiers business.
Moderator: Our next question comes from the line of Srinath V from Bellwether Capital.
Srinath V : Sir, could you spend some time and help us understand the new geographies, the last 3 geographies, what has been the experience for us from basically disbursement to how DPDs are playing out a nd so on? Second is largely we have been in, say, geographies with similar language base. And as we go into South India or deep into East India, we are moving linguistically to slightly more different languages. And what kind of management bandwidth are we building? So if you could broadly address scalabili

ty of your business across non -Hindi geographies?
Sushil Agarwal: Yes. So in last 2 years, we have added Odisha and Karnataka. This is part of our network contiguous distribution approach. Karnataka is adjacent to Maharashtra. And so we have started Karnataka from the area which is adjacent to Maharashtra and from Belgaum, then Hubli, Dharwad, then Bellary, Gadag. And we have the state head, which was there with us 5 years in Maharashtra but belongs to thi s market. So he has shifted there.

And in Karnataka , we started with Bangalore. We have 4 branches in Mysore, Tumakuru. And in between areas, we have 6, 7 branches. So today, we have around 11 branches and we are able to do around INR 15 crores kind of business per month. So breakeven is much faster in that market. But why we started Karnataka, another analogy is, Rajasthan state has 33 districts, 247 tehsils, 6.5 crores population. And Karnataka also has 30 district 222 tehsils, 6.5 crores population, but the ir entire land records are digitized .
So we thought we will replicate Rajasthan model there. Rajasthan, we have 94 branches. So we intend to open 80, 90 branches in Karnataka also in the next 8 to 9 years. Every year, we will increase 10 to 12 branches there. Odisha , again, it's a contiguous distribution model. We are in Chhattisgarh a nd we have branches in Raipur and reached till Mahasamund which is Chhattisgarh border.
From Mahasamund to Odisha , capital Bh ubaneshwar a major state highway. So we want to connect that through Sambalpur and other locations. In the first phase, we have opened

Bhubaneshwar, Cuttack, Ja hajpur , Gopalpur. And in the next stage, we are opening up
Sambalpur and other things.
And on this date, again, we are able to break even in the first year itself. Until now there is no delinquency as we have told our philosophy, first 30 months we go slow, but we ensure that no account is 30 plus. So until now, we are on the e xecu tion side with right str ategy . No delinquency on these 2 new states.
Srinath V : And how about to Uttar Pradesh, sir, given that the state has had chequered record even in micro finance, you've seen a couple of blowups in the past and in kind of non -salaried segment. So what has been the credit experience, especially in Uttar Pradesh in the last 1 year, from, say, DPD 0 perspective? Is it in line with the 4% that we are doing at the portfolio level? Or will it be slightly higher? Any broad perspective?
Sushil Agarwal: Yes. So Uttar Pradesh, we have started, I think, now 4.5 years. So we have 5 years journey there. Their 1 -plus numbers are in line with our philosophy, less than 5%, and gross NPA is 0.54%. So we are doing well. We have now more than 20 branches the re. And doing calibrated business in that market. We see a great opportunity there also in the long term, in 10 years horizon. UP can be INR 100 crores per month business market for us, but we will go slowly in calibrated manner in that market.
Srinath V : Last question from my side is, this is more when I went on a vacation to Northeast, I witnessed that there is a significant amount of single dwelling homes and a lot of construction activity of private homes in those and with visibly younger demograph y. Is that a market that generally also you kind of see a much more peaceful environment out there. Is that a market that would interest you, do you think that market has the necessary population depth for a n operator like you to operate?

Sushil Agarwal: So we are a long -term focused company, and we have completed over 13 years of journey. And we are in 13 states, in the next 15 to 20 years as we want to cover entire India. So we will go slowly, but we will complete the entire India.
Moderator: Our next question come s from the line of Ashay Jain from Ja

in Capital. .
Ashay Jain : I have a couple of questions. Firstly, can you please share some outlook on the domestic as well as the export market?
Sushil Agarwal: Ashay, we are catering to domestic market only in the housing finance segment. And so we don't have perspective about the overseas market and the property finance market. But Indian property finance market, if you will see different kind of reports from CRISIL, ICRA and different industry bodies, today, industry is around INR 27 lakh crores in India, and it's supposed to grow 8% to 10% year -on-year. And in Indian mortgage, GDP ratio is around 9% to 10%, which we foresee that in the next 5 years, it can reach up to 11% to 12%.
Moderator: Ladies an d gentlemen, the line of Ashay Jain has been disconnected. We will move on to the next question, which is from the line of Srinath V. from Bellwether Capital.
Srinath V : Yes. Sir, going back to the MSME business, could you help us understand the customer profile in this, especially seen the -- given the scaling up, what are the broad customer profiles? And how would that be different from the LAP business? While in the LAP business, yes, the term -
- the length of the term is different, so I would like to understand which are the occupancies you're -- is it largely B2B customers, B2C, B2C consumer? Or what kind of broad customer profiles, what kind of incomes are these people having and so on and so forth? If you could help us explain that, that would be gr eat.
Sushil Agarwal: Yes. So as you know, we as Aavas has more customer focus on business customers, salaried customer is 39%, and 62% is self -employed. In the s elf-employed category we cater to around 40 profiles from kirana merchants to medical sh ops to hardware to halwai to cargo, so everything which you will see on the state, but mostly it's D2C business, direct to customer businesses. These customers have income levels from INR 20,000 per month to INR 1 lakh per month kind of income segment.
Srinath V : This would be , I'm not referring to the housing loan business, sir, more for the MSME side of the business.
Sushil Agarwal: Yes, the MSME customer has the same profile.
Srinath V : And so here, again, so it's a loan against property and when you assess the cash flow for the business, are you funding working capital for the business? Or are you helping them with some sort of capex ? And...
Sushil Agarwal: Normally, working capital term loan. We fund for different kind of business requirements from stock to machinery to erection of yard, et c. So it can be any business requirement from working

capital stocks to capex . We fund against property , normally 99% securities are self -occupied residential property in this segment.
Srinath V : And so this geographically, what kind of growth can you have in this model because it may be a slightly more complex model than the home finance model. Is this also replicatable across geographies? Where are we? Which geographies are we currently present in? And how do you see that moving?
Sushil Agarwal: So now the credit is a specialized vertical. That is working in around 30 branches and every year, we will expand this vertical to 30 more branches. So every year, we will expand this business to 30-34 more new branches as a specialized product.
Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Sushil Agarwal, Managing Direct or, for closing comments.
Sushil Agarwal: Good evening, everybody, and I'm happy to inform you that in collaboration with International Finance Corporation, Aavas has successfully achieved EDGE Certificate for first lot of affordable green self -build homes during this quarter. This is the first -ever pilot project by IFC and EDGE in collaboration with Aavas for self -build houses, which has been certif

ied as green homes, not just in India, but at a global level. This will further increase as we move along in this journey. And we hope that in next 5 years, 15% to 20% of houses which we are funding will be green -certified.
Thank you all for attending the call. We would also like to let you know that we are planning to host longer Investor Day next quarter to give al l of you a chance to spend more time with the broader team. I wish you a very happy new year and hope everybody to keep safety and healthy as a priority. For any further information, we request you to get in touch with Ghanshyam Gupta, our Investor Relatio ns team member and SGA, our IR adviser. They would b e happy to help you. Thank you.
Moderator: Thank you, sir. On behalf of Aavas Financiers Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

Ref.No. AAVAS/SEC/2022 -23/863
Date: February 09, 2023

Dear Sir/Madam,
Sub: Transcript of the Earnings Conference Call for the quarter and nine months ended December 31, 2022
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to letter number AAVAS/SEC/2022 -23/819 dated January 20, 202 3, please find enclosed the transcript of the Earnings Conference Call on the financial and operational performance of the Company for the quarter and nine months ended December 31, 2022 held on Friday, February 03, 2023.
The above information is also avail able on the website of the Company at https://www.aavas.in/investor -relations/investor -intimation

We request you to take the same on your record.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
The Listing Department
Exchange Plaza,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Dept. of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited
Q3 FY '23 Earnings Conference Call "
February 03 , 202 3

MANAGEMENT : MR. SUSHIL KUMAR AGARWAL – MANAGING DIRECTOR – AAVAS FINANCIERS LIMITED
MR. SACHINDER BHINDER – CHIEF EXECUTIVE OFFICER – AAVAS FINANCIERS LIMITED
MR. GHANSHYAM RAWAT – PRESIDENT AND CHIEF FINANCIAL OFFICER – AAVAS FINANCIERS LIMITED
MR. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK OFFICER – AAVAS FINANCIERS LIMITED
MR. GHANSHYAM GUPTA – INVESTOR RELATIONS – AAVAS FINANCIERS LIMITED

Moderator: Ladies and gentlemen, good day. Welcome to Aavas Financiers Limited Q3 FY '22 -'23 Earnings Conference Call. This conference call may contains forward -looking statements about the company, which are based on the beliefs, opinions and the expectations of the company as on date of this call. These statements are not the guarantees of future performance an d involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sushil Kumar Agarwal, Managing Director of the company. Thank you, and over to you, sir.
Sushil Agarwal: Yes. Good afternoon, everybody. Thank you for participating on the Earning Call to discuss the

performance of our company for quarter 3 and 9 months FY '23. I'm very excited to make a few important announcements today. In 2011, we started our journey as AU Housing as a subsidiary of ers twhile AU Financiers, which was the first phase of our journey, Aavas 1.0. Aavas has subsequently evolved into a standalone business under the ownership of Kedaara Capital &

Partners Group and subsequently went public in 2018, which was Aavas 2.0. Now we a re prepa ring for the Aavas 3.0 journey.

The company is evolving into a go long -term institution and has embarked on the journey to becoming one of India's largest affordable housing finance player, led by people and technology. We are today blessed with a very deep and talented management bench. We are excited to be able to build upon and nurture this talent. In order to create additional leadership bandwidth and allow for better focus on both long -term strategy and day -to-day execution, the role of Managin g Director and CEO will be splitted into two distinct roles. The updated leadership structure is designed to allow for the accelerated achievement of Aavas long -term vision. I will continue to be Managing Director of the company, and continue to focus on i ts overall business strategy for the future.

I take this opportunity to introduce you our CEO, Mr. Sachinder Bhinder, who will focus on driving core execution. Sachinder has been with Aavas for over 3 years as Chief Executive Officer of our Aavas MSME busi ness. He previously served as the EVP and Business Head of Home Finance at Kotak Mahindra Bank, where he built INR 400 billion AUM business.

As part of Aavas 3.0, the Board has also elevated Mr. Ghanshyam Rawat to President and CFO; Ashutosh Atre to Presid ent and CRO; and Surendra Sihag to Chief Collection Officer, in recognition of their long -standing commitment and contributions to Aavas.

I would now hand over the line to Sachinder to introduce himself.

Sachinder Bhinder: Thank you, Sushil. Good afternoon, ladies and gentlemen. Firstly, I would like to start with thanking the Board and Sushil for trusting me with this opportunity. I'm very happy to be part of this exciting journey. I'm confident that with the support of my colleagues, the Board and other stakeholders, I'll be able to work towards achieving the company's vision, mission and customer goals. Sushil has laid down a very strong foundation for Aavas.

Under Aavas 3.0, my focus will be to build on that foundation an d to focus on people and technology. On people, I want to retain and build on the entrepreneurial culture in an institutionalized framework, leverage the significant upfront investments already made in human capital to drive growth and productivity, focus on engagement, training and upskilling of the organization. On the technology side, we'd like to contribute to focus on completing the technology transformation projects initiated in 2022, the idea would be to achieve non -linear growth, build technology ca pability equivalent to that of a bank, create a remarkable customer experience.

Sushil and I are joined on this call by Ghanshyam Rawat, President and CFO; Ashutosh Atre, President and CRO; Sidas Srivastava, the Chief Business Officer; Surendra Sihag, Chie f Collection Officer; Ripudaman Bandral, Chief Credit Officer; Jijy Oommen, Chief Technology Officer; Anshul Bhargava, Chief People Officer; Rajaram, Chief Strategy Officer and Head of Analytics; and Ghanshyam Gupta, Investor Relations. The results and the presentation are

available on the stock exchanges as well as on our company website, and I hope everyone had a chance to look at it.

I will now hand over the line to Ghanshyam, President and CFO, to discuss the business and financials. Over to you.

Ghansh yam Rawat: Thank you, Sachinderji. Thank you, Sushilji. Good afternoon, everyone, and a warm welcome to our earning call.

The disbursement increased by 26.4% year -on-year to INR 12,024 million for quarter 3 FY '23 and 48.7% year -on-year to INR 34,428 milli on for 9 months FY '23. As on 31st December '22, average borrowing cost, 7.29%, against an average portfolio yield 13.04% resulted in spread at 5.75%.

As on 31 December 2022, total number of live accounts stood at 1,75,001, that is 24% year-on-year growth. Total number of branches was 321, 23 new branches added in last 12 months. Employee count, 6,082, 28% year -on-year growth in anticipation of additional 20 to 25 new branches in Q4 FY '23.

Assets under management grew 23.3% year -on-year to INR 1,30,887 mil lion as on 31st December 2022. AUM has the impact of subsidy received of INR 2,900 million since December 2021, previous year , INR 440 million. Therefore, AUM grown by 26%, excluding the impact of subsidy.
Product -wise breakup: home loan, 70.1%; other mor tgage loan, 29.9%. Occupation -wise breakup: salaried, 39.7%; self -employed, 60.3%. After witnessing 190 basis point increase in repo rate in the first half of the year, RBI has further increased repo rate of 35 basis points during third quarter. Consequent ly we have also increased our prime lending rate by 125 basis points during first 9 months of FY '23 and further increased 35 basis points with effect from January 5, 2023.
During the quarter, company borrowed an incremental amount of INR 13,364 million at 7.15%. As on December '22, our average borrowing cost stood at 7.29% on outstanding amount of INR 1,16,648 million. IGAAP to Ind AS reconciliation has been explained in detail for profit after tax and net worth on Slide #35 and 37 of our pres entation.
Borrowing. Access to diversified and cost -effective long -term financing, strong relationship with development financial institutions. During the year, borrowed INR 31,815 million at an average rate of 6.84%. Overall borrowing mix as on December 3 1, 2022, is 42.2% from Long - term loans from banks: 22.3% from assignment and securitization, 22% from National Housing Bank and 13.5% from debt capital market. Liquidity of INR 27,882 million as of December 2022. Cash and cash equivalent balance of INR 1 4,682 million. Unavailed cash credit limit of INR 1,100 million, documented unavailed sanction from other banks of INR 12,100 million.
Profitability. Profit after tax increased by 25.8% year -on-year to INR 3, 035.4 million for 9 months of FY '23. ROA, 3.43%, and ROE 13.59% for 9 months FY '23. As on December 31, 2022, we are well capitalized with a net worth of INR 31,489 million and capital adequacy ratio at 49.5%. Our book value per share stood at INR 398.4.

Now I would like to hand over line to Ashutoshji, Pres ident and CRO, to discuss the asset quality. Thank you.
Ashutosh Atre: Thank you, Ghanshyamji. The key portfolio risk parameter, asset quality and provisioning. One day past due stood at 4.05% as against 4.45% at the end of last quarter. Gross Stage 3 stoo d at 1.13% and net Stage 3 stood at 0.87% as on 31st of December 2022. Gross Stage 3 of 1.13% includes 0.19% o f up to 90 DPD assets, which have been categorized as GNPA following RBI notification dated 12th of November 2021. Additionally, the company has s topped recognizing assets held for sale under SARFAESI and marked them as NPA after March '22, amounting to INR 280 million, which has an impact of 0.26% on above -stated gross Stage 3 assets.
During FY '22, the resolution plan was implemented for certain b orrower accounts as per RBI's resolution framework 2.0 dated 5th of May 2021. Some such accounts with an outstanding amount of INR 931.1 million as on 31st of December '22 have been classified as Stage 2 and provided for as per regulatory guidelines. Out o f INR 931.1 million, INR 701.9 million is into 0 to 30 DPD bucket. Total ECL provisioning, including that for COVID -19 impact as well as resolution framework 2.0, stood at INR 675.3 million as on 31st of December 2022. With this, I open the floor for quest ion-and-answer session.
Moderator: Our first question comes from the line of Ankit Kanodia from Smart Sync Services.
Ankit Kanodia: Congratulations for a good set o

f numbers. Sushil, just one question. We started a new product post the pandemic, which is related to the secured small business loan. If you can give some color as to how that product is shaping up and what is the competitive scenario? And where do we see this product shaping up in the next 2 -3 years?
Sushil Agarwal: Yes. So Ankit, our non -home loan portfolio is around 28% - 30%. And two, three years back most of this portfolio was LAP , and 3 years back, they started converting this into MSME. So now 40% of that non -home loan portfolio is MSME portfolio. MSME portfolio is -- how it is different from LAP is tenure. MSME portfolio is seven years, LAP can be up to 15 years. MSME portfolio can be used by business guys only, LAP can be used for personal use also. And MSME loan is basically a priority sector loan, so we get funding accordingly. So that has picked up very well, and we want to continue the same trajectory , 70-30 home loan and nonhome loan, and most of which we want to do as the MSME loan.
Ankit Kanodia: And sir, what would be the competitive scenario here? And how are we placed?
Sushil Agarwal: So A nkit, as of now, the areas where we worked at Tier 2 to Tier 5. Though there is competition, but it is in small pockets, but we , because of our distribution and reach up to 2,500 towns, we are very well placed to cater this kind of segment. So little c ompetition, but because of distribution, we are able to take many customers, which we want to build in our book.
Ankit Kanodia: And is it fair to assume, sir, that in the next two, three years, this category of loan will probably

grow faster than the home loan portfolio? Because we are underpenetrated here, and we already have that distribution advantage.

Sushil Agarwal: No. So we want to maintain 70 -30 home loan and nonhome loan portfolio. So in the same ratio, it will grow as an overall company.
Ankit Kan odia: Any reason for the 70 -30 ratio?
Sushil Agarwal: Normally, we want to be a proper housing finance company, and that's where we want to choose more focus on the housing loan business other than non -housing loan business .
Moderator: Our next question comes from the line of Uday Pai from Investec.
Uday Pai: Sir, where could be the BT out rate for the quarter? .
Sushil Agarwal: Sorry?
Uday Pai: BT out rate?
Sushil Agarwal: BT out rate is around 0.5%. Earlier, first quarter was around 0.7 %, then se cond quarter, it came to 0.6 % and now it is 0.5 % per month.
Moderator: Our next question comes from the line of Abhijit Tibrewal from Motilal Oswal
Abhijit Tibrewal: Congratulations to the entire management team for starting a new chapter through Aavas 3.0. Sir, beyond numbers, there are a couple of things that we have reported and that we have also put out slides on that I wanted to understand. Firstly, on the split of the role and responsibilities between the MD and CEO, while we understand it is a very value intention and a welcome step, 2 things I kind of wanted to understand.
Firstly, what was the contribution of Mr. Sachinder to Aavas over the last 3 years? And what are the different functions that he's been involved with over the last 3 years? What -- I mean now that, Sushilji, you will be moving into the MD role, exclusively MD role, what your growth vectors and strategic initiatives would now that you will be acting upon? And lastly, is there something the works even for your subsidiary, Aavas Finserv, wh ere we gathered during some of our field trips that you've already started doing some pilots in personal loans?
Sushil Agarwal: No. So Abhijit we applied to RBI for our NBFC license, and that's where Sachinder joined us 3 years back to build MSME business. We started building MSME business in the parent company until the time we get the license. Eventually, last quarter, RBI returne d our applicati

on for the
NBFC license. So Sachinder shifted to Aavas financial team as a CEO. Sachinder has contributed building MSME bus iness in the parent company, and he also used to take care of affordable housing and some of the direct government -led businesses in the company.
Abhijit Tibrewal: What are the growth factors and strategic initiatives that we would like to now e mbark upon given that, I mean, now there is a separation between the MD and the CEO role?
Sushil Agarwal: Yes. So Abhijit, the way we see always -- the way I described that we plan for 10 years, we build for 3 years ahead and then we execute for current ye ar. So in the process of thinking for long term, we take a lot many initiatives like right now, we are doing the digital transformation of the

company. So this will enable us to scale for maybe 100x from the current level. And then certain new product line s, new target segments, new market identification and new opportunity identification, on which we need to work in depth as a pilot before putting into a system, which we will now be able to scale up.
So I think all those things are from new initiatives , long-term thi nking and vision perspective is important . Since by this year -end, we believe we will be around INR 1 5,000 crores, which was the first, you can say, benchmark for affordable housing that -- whether you can break that bridge or not, and then after that, even if we grow with 25% growth, so it's almost twice every 3 years or 3.5 years. So at that scale you will need different kind of infrastructure, a different kind of thinking, different kind of initiatives. For that, we have divided now our responsibilit ies that Sachinder will take care of day -to-day activities of business running. And I will help more from the long -term perspective of the company.
Abhijit Tibrewal: Sir, one thing which is happening is, I think, I mean, until last quarter, we used to talk about the 20%-25% growth. Now we are at least talking about a 25% kind of a growth after we reach that INR 15,000 crores kind of a milestone. Sir, last question from my side, I mean, given this transition to Aavas 3.0 and the related IT transformation, w hich will enable this transition to 3.0. I just wanted to explain -- I mean, I just wanted to understand if you can explain in some detail, what are the things that you have planned under this IT transformation? What is the total investment outlay on this IT transformation? And by when do you expect this to get completed?

Because what we also heard that you plan to launch your sales force platform within the next few days and then actually phase out your current omni platform.
And sir, also rela ted, I mean, what benefits are you maybe kind of expecting to accrue from this IT transformation in your origination and underwriting? Will it significantly bring down your TAT? And we have all along talked about this steady and calibrated AUM growth of 20% -25%, Can this IT transformation help you into a higher orbit of AUM growth?
Sushil Agarwal: So Abhijit, overall as a digital transformation project for Aavas, this has 5 -6 components. Overall, capital outlay is arou nd INR 120 crores to INR 150 crores. Out of these, 3 key projects right now are in working stage. So one is sales force, which is transformation of all the loan organization processes. If you see last 3 years, we were stagnant 10 to 12 days of TAT in our loan processing. I think that with this new initiative we will be able to bring it down by 30% - 40% in the first phase and maybe second phase it can be further better out. Secondly, this transformation will help us changing the customer experience because , going forward, once we will be big, our competition will be -- our customer will see and compare us with the bank s, large fintechs and best -in-class companies . And with this software, I think we wi

ll be able to cater that
size.
Other synergies are like our productivity enhancement, so till today we have 400 underwriters and processing 16,000 files, can 400 underwriters can process 24,000 files? Today, 1 file is around 150 pages and it costs around INR 1,000. With th is system, 70% of files will be digital. So tha t INR 1,000 cost may come down to INR 300 -400. That itself will save INR 10 crores -

INR 12 crores a year for us. So I think there are lots of things which we want to achieve either on productivity, process, customer experience, cost reduction and sc alability. So I think all those purposes, this will serve.
Second phase is LMS. So now we are moving to banking system, which is Flex cube , which is like HDFC Bank, AU Bank, all these larger bank platforms are using this. This will help us in scaling our bran ch network, You must have seen that NBFC s at 300-400 branches start shaking , but banks have 5 ,000-10,000 branches. So I think once we will implement this, this is scheduled to be implemented first quarter of next year. This will help us in scaling up with bett er control. In a bank, if you will go INR 1 crores cheque can be transferred by a teller.
But in NBFC, if you want to transfer INR 1 crores I think it's requires MD's approval. So I think this will give us flexibility. And we are hoping if regulator w ill give us some more product line approval like car against property or overdraft against property or some of the banking products, we are ready for that from the very first day in our journey.
And third one is ERP systems. So we are moving to best -in-class Oracle Fusion . This will help us getting better cuts on profitability product wise, bran ch wise, people -wise, differe nt segment wise. And it will also help us bringing In dAS accounting fully automated basis. So lots of help on that side.
And the fourth version is analytics, where we are creating an architecture which can sustain 100x growth on data from the current lev el with a seamless integration and speedy decision -making, maybe not days, hours, maybe in some seconds in some kind of profile. So these are little bit update, but maybe if you want more detail, you need to come to Jaipur or you need to write e - mail to Ji jy for further update on that side.
Moderator: Our next question comes from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Just 2 or 3 questions. One is that, what would be the individual yield on the non -home loan portfolio? And what is the time taken to break even that loan? And what is the yield on home loan? And what is the time taken to break even this particular loan, sir? And what is the number of loans that we have disbursed in each of the category in third q uarter?
Sushil Agarwal: So NHL is around 14% and home loan is around 12%. And we have breakeven from the very first year. I t is not that we fund and profitability start after 2 or 3 years because we are not in a DSA business, we get upfront 2% to 2.5% fee on our loan book. So our loans are positive from the first year.
Shubhranshu Mishra: And the number of loans in each category that we have done in this quarter, disbursement level?
Sushil Agarwal: So our average ticket size is around 11 lac and INR 1 ,200 crores d isbursement has happened out of which 70% which is about INR 8,400 crores . So around 9,000 cases in home loan category and around 3,000 cases in nonhome loan category.
Moderator: Our next question comes from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Sir, I wanted to understand what are the rate hikes or the pricing hike that we have taken in the last 6 months for HL and non -HL, both.
Sushil Agarwal: Shreepal, as we have mentioned, we have increased our PLR by 125 basis points and further PLR increa

se fro m January 5, around 35 basis points.
Shreepal Doshi: Both the products?
Sushil Agarwal: On both the products. Yes, on all the variable category products.
Shreepal Doshi: Sir, 125 already done and 25 is likely to happen in Feb?
Sushil Agarwal: January , 35 basis points.
Shreepal Doshi: 75, okay.
Sushil Agarwal: 35, 35.
Shreepal Doshi: 35, sorry. And sir, this gets implemented within a month's time. Is that a fair understanding?
Sushil Agarwal: Yes.
Shreepal Doshi: And sir, how do you see the margin moving from current levels for us?
Sushil Agarwal: So Shreepal, right now, it's 5.75 and with 35 basis point increase, again, this will be 20 basis points. And last quarter, business normally brings a little bit lower. But I think we are hopeful that margins will be s table at least for next quarter.
Shreepal Doshi: And sir, for FY '24, if you can give some guidance.
Sushil Agarwal: We need to see interest rate movements, which side it is going. But hopefully, it will be stable or it is reduced by 25 to 50 basis points. We will bring that kind of efficiency into our opex .
Shreepal Doshi: And sir, the branch expansion plan stays as it is, right? Every year, 30, 35 sort of branches?
Sushil Agarwal: So, in the current year until now, I think we opened 7 and another 23 will be opened in this quarter.
Moderator: Our next question comes from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar: Sir, 2 questions from my side. So having mentioned the fact that you will be taking a strategic step from technological transition, how do we perceive now opex to asset ratio, which has sort of remained elevated for a while now currently around 3.5% - 3.6%?
Sushil Agarwal: Shweta, in our past commentary also, we have always mentioned that because of technology transformation and capacity building up, these opex are elevated. And from next year, third quarter onwards, we will see 25 to 30 ba sis point decrease year -on-year for next 3 - 4 years in the trajectory.

Shweta Daptardar: Secondly , when do you see ratings upgrade happening for us? Are we in talks with any of the rating agencies? Any time lines? And what is the overall broader sense ther e?
Sushil Agarwal: Shweta, we have done this journey from BBB - to AA stable and last two years already 3 rating s are update d. It's a journey. We will continue doing all good work, and it's up to rating agencies when they will consider us for the next rating upgrade.
Shweta Daptardar: Sure, sir. And if I may squeeze in one last question. So I rem ember you mentioning last quarter that 65% of your disbursements happen largely in the first half, right -- sorry, they happen in the second half. So if I go by the current disbursement number, around INR 1 ,200-odd crores, and if I extrapolate with this lo gic, then we are exceeding almost 25% loan CAGR for this particular year and maybe even in future, so what is your growth guidance now?
Sushil Agarwal: So Shweta we always said that we will grow 20% to 25%, and we always keep 25% capacity enhancement in our system and a lso if some adverse things, market competition and all those things will not be there, we might do better than these numbers.
Moderator: Our next question comes from the line of Vikas Kasturi from Focus Capital. .
Vikas Kasturi : Thank you very much for bein g the CEO over the past 7 years. And congratulations to Sachinder too. Sir, I had a few questions. So first one is, do we plan to stay in the same sub 10 la c ticket size trajectory or in the future , if you want to grow faster, would we be looking at slightly hig her ticket size?
Sushil Agarwal: So Vikas, as we, Aavas, we fund from INR 3 lakhs to INR 1 crore ticket size, and our average ticket size comes in home loan around INR 11 lakhs and non -home loan around INR 9 lakhs. And we foresee that this

avera ge ticket size can increase by inflation rate. So we are planning that way.
Moderator: Our next question comes from the line of Mayank Agarwal from InCred Capital.
Mayank Agarwal : Congratulations on the good set of numbers and best of luck to the team with the new roles. So my question is basically on the branch expansion. So what are the states which we will be focusing on for the newer branches in this year and next year going ahead?
Sushil Agarwal: So Mayank, right now, we are working in 13 states. And w henever we open new branches, it

opens in the combination of old state versus new states. So this year, like in Karnataka, we are opening around 8 to 10 branches and Odisha too and rest our branches are in the existing states where we are working.
Mayank A garwal: And secondly, is my question on our strategy and growth outlook with the additional management bandwidth now we have. So what kind of change in growth outlook or the products or product mix, geographical mix can we look in the next 3 to 5 years as of now?

Sushil Agarwal: So we'll continue our strategy as usual. We will open 3 0-35 branches every year. Every 5 years, we open in 4 new states, this is third round. So we have opened Karnataka and Odisha, and we will add 2 more states in the next 3 to 5 years in our journey on the distribution side.
Mayank Agarwal : Sir, my last question is on the new branches we have opened in new states, what is the breakeven period for them? We know that it takes us around 30 months for the disbursement to pick up in the newer branches, but by when can these branches reach the breakeven level?
Sushil Agarwal: So we have 90% of our branches breakeven in first 12 months. I will again elaborate our unit economics. So whenever we want to open a branch, say, if it a population of 1 lakh divided by 4, which is 25,000 families, and we want to penetrate there for 4-5%. So it's around 10 to 12 cases per month or INR 1 crore potential. So we will get 2.5% fee. And we ensure that these branch expenses should not be more than INR 2 lakhs to INR 3 lakhs per month. So once the branch reaches 75% to 80% of its potential business, we are ROE breakeven. But as per data, more than 12 months branches entire country , we have 94% branches which are ROE positive.
Mayank Agarw al: And sir, last request is, basically requesting for a Jaipur visit for all the analysts so we can see the tech, what kind of technological changes you have made, the coalition extra on the Aavas 3, basically we can get a look and feel for that.
Sushil A garwal: So we are arranging that after Q4 results, Jaipur, Mumbai that we will see.
Moderator: Our next question comes from the line of Shreepal Doshi from Equirius. .
Shreepal Doshi: Sir, Just wanted to understand Aavas, what is the thought process for Aa vas Finserv? can we deploy the strategy that we have made for MSME secured product? And do we have a plan to shift that business to Aavas Fi nserv ? Because at the Aavas Financ iers level, we'll have to maintain the HFC norms, right? So is there a back of the mind thought process?
Sushil Agarwal: So Shreepal, we have applied for the NBFC license, but it was returned by the RBI. So now we are focusing only on our Aavas Financiers business.
Moderator: Our next question comes from the line of Srinath V from Bellwether Capital.
Srinath V : Sir, could you spend some time and help us understand the new geographies, the last 3 geographies, what has been the experience for us from basically disbursement to how DPDs are playing out a nd so on? Second is largely we have been in, say, geographies with similar language base. And as we go into South India or deep into East India, we are moving linguistically to slightly more different languages. And what kind of management bandwidth are we building? So if you could broadly address scalabili

ty of your business across non -Hindi geographies?
Sushil Agarwal: Yes. So in last 2 years, we have added Odisha and Karnataka. This is part of our network contiguous distribution approach. Karnataka is adjacent to Maharashtra. And so we have started Karnataka from the area which is adjacent to Maharashtra and from Belgaum, then Hubli, Dharwad, then Bellary, Gadag. And we have the state head, which was there with us 5 years in Maharashtra but belongs to thi s market. So he has shifted there.

And in Karnataka , we started with Bangalore. We have 4 branches in Mysore, Tumakuru. And in between areas, we have 6, 7 branches. So today, we have around 11 branches and we are able to do around INR 15 crores kind of business per month. So breakeven is much faster in that market. But why we started Karnataka, another analogy is, Rajasthan state has 33 districts, 247 tehsils, 6.5 crores population. And Karnataka also has 30 district 222 tehsils, 6.5 crores population, but the ir entire land records are digitized .
So we thought we will replicate Rajasthan model there. Rajasthan, we have 94 branches. So we intend to open 80, 90 branches in Karnataka also in the next 8 to 9 years. Every year, we will increase 10 to 12 branches there. Odisha , again, it's a contiguous distribution model. We are in Chhattisgarh a nd we have branches in Raipur and reached till Mahasamund which is Chhattisgarh border.
From Mahasamund to Odisha , capital Bh ubaneshwar a major state highway. So we want to connect that through Sambalpur and other locations. In the first phase, we have opened

Bhubaneshwar, Cuttack, Ja hajpur , Gopalpur. And in the next stage, we are opening up Sambalpur and other things.
And on this date, again, we are able to break even in the first year itself. Until now there is no delinquency as we have told our philosophy, first 30 months we go slow, but we ensure that no account is 30 plus. So until now, we are on the e xecu tion side with right str ategy . No delinquency on these 2 new states.
Srinath V : And how about to Uttar Pradesh, sir, given that the state has had chequered record even in micro finance, you've seen a couple of blowups in the past and in kind of non -salaried segment. So what has been the credit experience, especially in Uttar Pradesh in the last 1 year, from, say, DPD 0 perspective? Is it in line with the 4% that we are doing at the portfolio level? Or will it be slightly higher? Any broad perspective?
Sushil Agarwal: Yes. So Uttar Pradesh, we have started, I think, now 4.5 years. So we have 5 years journey there. Their 1 -plus numbers are in line with our philosophy, less than 5%, and gross NPA is 0.54%. So we are doing well. We have now more than 20 branches the re. And doing calibrated business in that market. We see a great opportunity there also in the long term, in 10 years horizon. UP can be INR 100 crores per month business market for us, but we will go slowly in calibrated manner in that market.
Srinath V : Last question from my side is, this is more when I went on a vacation to Northeast, I witnessed that there is a significant amount of single dwelling homes and a lot of construction activity of private homes in those and with visibly younger demograph y. Is that a market that generally also you kind of see a much more peaceful environment out there. Is that a market that would interest you, do you think that market has the necessary population depth for a n operator like you to operate?

Sushil Agarwal: So we are a long -term focused company, and we have completed over 13 years of journey. And we are in 13 states, in the next 15 to 20 years as we want to cover entire India. So we will go slowly, but we will complete the entire India.
Moderator: Our next question come s from the line of Ashay Jain from Ja

in Capital. .
Ashay Jain : I have a couple of questions. Firstly, can you please share some outlook on the domestic as well as the export market?
Sushil Agarwal: Ashay, we are catering to domestic market only in the housing finance segment. And so we don't have perspective about the overseas market and the property finance market. But Indian property finance market, if you will see different kind of reports from CRISIL, ICRA and different industry bodies, today, industry is around INR 27 lakh crores in India, and it's supposed to grow 8% to 10% year -on-year. And in Indian mortgage, GDP ratio is around 9% to 10%, which we foresee that in the next 5 years, it can reach up to 11% to 12%.
Moderator: Ladies an d gentlemen, the line of Ashay Jain has been disconnected. We will move on to the next question, which is from the line of Srinath V. from Bellwether Capital.
Srinath V : Yes. Sir, going back to the MSME business, could you help us understand the customer profile in this, especially seen the -- given the scaling up, what are the broad customer profiles? And how would that be different from the LAP business? While in the LAP business, yes, the term -- the length of the term is different, so I would like to understand which are the occupancies you're -- is it largely B2B customers, B2C, B2C consumer? Or what kind of broad customer profiles, what kind of incomes are these people having and so on and so forth? If you could help us explain that, that would be gr eat.
Sushil Agarwal: Yes. So as you know, we as Aavas has more customer focus on business customers, salaried customer is 39%, and 62% is self -employed. In the s elf-employed category we cater to around 40 profiles from kirana merchants to medical sh ops to hardware to halwai to cargo, so everything which you will see on the state, but mostly it's D2C business, direct to customer businesses. These customers have income levels from INR 20,000 per month to INR 1 lakh per month kind of income segment.
Srinath V : This would be , I'm not referring to the housing loan business, sir, more for the MSME side of the business.
Sushil Agarwal: Yes, the MSME customer has the same profile.
Srinath V : And so here, again, so it's a loan against property and when you assess the cash flow for the business, are you funding working capital for the business? Or are you helping them with some sort of capex ? And...
Sushil Agarwal: Normally, working capital term loan. We fund for different kind of business requirements from stock to machinery to erection of yard, et c. So it can be any business requirement from working

capital stocks to capex . We fund against property , normally 99% securities are self -occupied residential property in this segment.

Srinath V : And so this geographically, what kind of growth can you have in this model because it may be a slightly more complex model than the home finance model. Is this also replicatable across geographies? Where are we? Which geographies are we currently present in? And how do you see that moving?

Sushil Agarwal: So now the credit is a specialized vertical. That is working in around 30 branches and every year, we will expand this vertical to 30 more branches. So every year, we will expand this business to 30-34 more new branches as a specialized product.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Sushil Agarwal, Managing Direct or, for closing comments.

Sushil Agarwal: Good evening, everybody, and I'm happy to inform you that in collaboration with International Finance Corporation, Aavas has successfully achieved EDGE Certificate for first lot of affordable green self -build homes during this quarter. This is the first -ever pilot project by IFC and EDGE in collaboration with Aavas for self -build houses, which has been certif

ied as green homes, not just in India, but at a global level. This will further increase as we move along in this journey. And we hope that in next 5 years, 15% to 20% of houses which we are funding will be green -certified.

Thank you all for attending the call. We would also like to let you know that we are planning to host longer Investor Day next quarter to give al l of you a chance to spend more time with the broader team. I wish you a very happy new year and hope everybody to keep safety and healthy as a priority. For any further information, we request you to get in touch with Ghanshyam Gupta, our Investor Relatio ns team member and SGA, our IR adviser. They would b e happy to help you. Thank you.

Moderator: Thank you, sir. On behalf of Aavas Financiers Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

Ref.No. AAVAS/SEC/2023-24/220
Date: May 10, 2023

Dear Sir/Madam,
Sub: Transcript of the Earnings Conference Call for the Quarter and Financial Year ended March 31, 2023
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to our letter number Ref. No. AAVAS/SEC/2023-24/147 dated April 19, 2023, please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational performance of the Company for the Quarter and Financial Year ended March 31, 2023 held on Thursday, May 04, 2023.
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor-relations/investor-intimation

We request you to take the same on your record.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND COMPLIANCE OFFICER
(FCS-9587) To,
The National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited
Q4 FY'23 Earnings Conference Call"
May 04, 2023

MANAGEMENT : MR. SACHINDER BHINDER – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – AAVAS FINANCIERS LIMITED
M R. GHANSHYAM RAWAT – PRESIDENT AND CHIEF FINANCIAL OFFICER – AAVAS FINANCIERS LIMITED
M R. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK OFFICER – AAVAS FINANCIERS LIMITED
M R. SIDDHARTH SRIVASTAVA – CHIEF BUSINESS OFFICER – AAVAS FINANCIERS LIMITED
M R. SURENDRA SIHAG – CHIEF COLLECTION OFFICER – AAVAS FINANCIERS LIMITED
M R. RIPUDAMAN BANDRAL – CHIEF CREDIT OFFICER – AAVAS FINANCIERS LIMITED
M S. JIJY OOMMEN – CHIEF TECHNOLOGY OFFICER – AAVAS FINANCIERS LIMITED
M R. ANSHUL BHARGAVA – CHIEF PEOPLE OFFICER – AAVAS FINANCIERS LIMITED
M R. RAJARAM BALASUBRAMANIAM – CHIEF

ANALYTICS AND STRATEGY OFFICER – AAVAS FINANCIERS LIMITED
M R. GHANSHYAM GUPTA – INVESTOR RELATIONS – AAVAS FINANCIERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financiers Limited Q4 FY '23 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note, this conference is being recorded.
I now hand the conference over to Mr. Sachinder Bhinder, Managing Director and CEO of Aavas Financiers Limited. Thank you, and over to you, sir.
Sachinder Bhinder: Good afternoon, ladies and gentlemen. Thank you for participating in the earnings call to discuss the performance of our company for Q4 and FY '23. The results and the presentation are available on the stock exchanges as well as our company website and I hope everyone has had a chance to look at it. As you're all aware, former MD Sushil has decided to step down from the company for personal reasons. Sushil has helped create the foundation for the next phase of growth with significant investments in people and technology.
On behalf of the Board, we want to put on record that we deeply appreciate his contribution to Aavas and wish him the very best for his future endeavours. I want to reiterate that the Board and promoter shareholders are committed to build a long-term institution and we are confident of executing on a strategy with their support. We'd also like to place on record that our promoter shareholders continue to be committed to supporting the long-term Aavas 3.0 vision. They have not sold a single share in nearly two years and they have reaffirmed that they do not plan to sell any at all in the coming year either.
The key driver for the company's continued success is a deep and talented management bench at Aavas, many of whom have been with the institution since its early days and remain committed for the long-term journey ahead.
We have with us today Ghanshyam Rawat, President and CFO, Ashutosh Atre, President and CRO, Siddharth Srivastava, Chief Business Officer, Surendra Sihag, Chief Collection Officer, Ripudaman Bandral, Chief Credit Officer, Jijy Oommen, Chief Technology Officer, Anshul Bhargava, Chief People Officer, Rajaram Balasubramaniam, Chief Analytics and Strategy Officer, and Ghanshyam Gupta, our Investor Relations.
Q4 FY '23 is the first quarter completed under the new Aavas 3.0 framework and I am happy to report that it has been our strongest quarter ever. For the quarter, we disbursed INR 15,818 million registering a 23% Y-o-Y growth. This is the highest quarterly disbursement in the history of Aavas.
For the year, we have disbursed INR 50,245 million registering 39% Y-o-Y growth. We continue to borrow judiciously and have raised INR 47,631 million at 7.25% during the year. As on 31 March 2023, we maintained a sufficient liquidity of INR 32,747 million in the form of cash and cash equivalents and unavailed documented sanctions. We have also gone live on our industry-

leading implementation of the Salesforce platform and are now working on the next step of our technology evolution. The entire organization, at all levels, is extremely energized and look forward to our next phase of growth.
I will now hand over the line to Ghanshyam, President and CFO, to discuss the financials in detail.
Ghanshyam Rawat: Thank you, Sachinder. Good afternoon, everyone, and a warm welcome to our earnings call. As on 31 March 2023, average

borrowing cost of 7.61% against an average portfolio yield of
13.12% resulted in a spread at 5.51%. As on 31 March 2023, total number of live accounts stood at 187,149 that shows 24% year-on-year growth. Total number of branches was 346. 32 new branches were added in last 12 months. Employee count of 6,034, 16% year-on-year growth in anticipation of additional branches in Q4 FY '23.

Assets under management grew 24.8% year-on-year to INR 1,41,667 million as on 31 March 2023. AUM has an impact of subsidy receipt of INR 2,800 million during FY '23 versus previous year INR 1,080 million. Therefore, AUM growth is 26.1% excluding the impact of subsidy. Product-wise breakup (Home loan 69.9%, Other mortgage loan 30.1%). Occupation-wise breakup (Salaried 39.9%, Self-employed 60.1%). During FY '23, RBI hiked the repo rate by 250 basis points. Consequently, we have also increased our prime lending rate by 160 basis points during FY '23. And a further increase of 40 basis points with effect from 5th April 2023.
During the quarter, the company borrowed an incremental amount of INR 15,816 million at 8.07%. As of March '2023 our average borrowing cost stood at 7.61% on an outstanding amount of INR 1,25,209 million. IGAAP to Ind-AS reconciliation has been explained in detail for Profit after tax and Net worth on slide number 34 and 36 of the presentation.
On the Borrowings side, there is access to diversified and cost-effective long-term financing. A very strong relationship with development finance institutions. During the year, borrowed INR 47,631 million at an average rate of 7.25%. Overall borrowing mix as on 31 March 2023, is 45.0% from term loans, 22.0% from assignment/securitization, 20.8% from National Housing Bank and 12.2% from debt capital markets.
Lender support continues to remain extremely strong as Aavas evolution continues. Liquidity of INR 32,747 million as of 31 March 2023 (Cash and cash equivalent of INR 13,687 million, Unavailed cash credit limit of INR 1,100 million, Documented unavailed sanctions from other banks of INR 17,960 million). With respect to Profitability, profit after tax increased by 19.8% year-on-year to INR4,282.8 million in FY '23. ROA was 3.51% and ROE was 14.09% for FY '23. As of March 31, 2023, we are very well-capitalized with Net worth of INR 32,697 million and capital adequacy ratio at 46.94%. Our book value per share stood at INR 413.6.
Now I would like to hand over the line to Ashutosh ji, President and CRO to discuss the assets' quality.
Ashutosh Atre Thank you, Ghanshyam ji. The key portfolio risk parameters: Asset quality and provisioning: 1 plus days past due stood at 3.30% as against 4.05% at the end of last quarter. Gross Stage 3 stood

at 0.92% and net Stage 3 stood at 0.68% as on 31 March 2023. Gross Stage 3 of 0.92% includes 0.11% of up to 90 DPD assets, which have been categorized as GNPA following RBI's notification dated 12th November 2021.
During FY '22, the resolution plan was implemented for certain borrowers' accounts as per RBI's Resolution Framework 2.0 dated 5th May 2021. Some such accounts with an outstanding amount of INR 885.2 million as on 31 March 2023, have been classified as Stage 2 and provided for as per regulatory guidelines. Out of INR 885.2 million, INR 675.7 million is into 0 to 30 DPD bucket.
Total ECL provisioning including that for COVID-19 impact as well as Resolution Framework 2.0 stood at INR 716.1 million as on 31 March 2023. As shown by the strong work done this quarter, Aavas is well-placed to continue its industry-leading asset quality.
In the No-deal Roadshow presentation, we have also shared the performance of Aavas across the COVID period from FY '20 to FY '23. This was a time when the asset quality was really tested. Our average credit cost in the period is 0.23% and INR 174 million of cumulative write-offs. This is driven by our DNA of end-

to-end in-house operations from sourcing to underwriting, to collection as well as risk containment, legal and technical evaluation.
With this, I open the floor for Q&A.
Moderator: The first question is from the line of Hirenkumar Thakorlal Desai, an individual investor.
H T Desai: Yes. I have two questions. Can you hear me?
Sachinder Bhinder: Yes.
H T Desai: My question is regarding cost of deposit. Do you have an estimate or some ballpark number where it might peak and around what time?
Sachinder Bhinder: Sorry, you are asking about cost of borrowing?
H T Desai: Yes, yes, yes.
Sachinder Bhinder: Ghanshyam, you go ahead, please.
Ghanshyam Rawat: Our cost of borrowing is on the basis of full-year total borrowing and it is computed on the basis of year-end various products we borrowed and on sum product basis it is 7.61% and as we've seen, RBI has increased the rate in past 8 to 9 months and thereby banks have increased their cost of borrowing. MCLRs also increased in the last 2 to 3 quarters, thereby we have also seen some impact on our cost of borrowing, but still on full year we have borrowed at 7.25% and for this quarter we have borrowed at 8.07%. That gives us confidence, that we're able to feed our increased growth at a very competitive price.
H T Desai: Do you have any assessment as to the overall blended cost of borrowing, around what number

it might peak? Because see some of your borrowings may be still up for either renewal or further increase?

Ghanshyam Rawat: As you know, borrowing is a mix of term loans from banks and institutions, then we have long-term borrowings from development financial institutions like Asian Development Bank, International Finance Corporation, CDC (London-based government agency), so those funding we had borrowed. A certain lot of borrowing is on fixed-rate contract. NHB, we have borrowed around INR 3,000 crores. Out of that INR 2,000 crores is a fixed rate borrowing for the 7 years, which is a very competitive price, less than 5%. Obviously, money borrowed from banks which is linked to MCLR it comes for reset on frequency of their annual reset, so last 6 months whatever loan came for reset, the reset for same has already happened, but some borrowing will also come for reset in another 6-month time frame that will happen as and when it comes.
H T Desai: Okay. So we still expect the overall borrowing cost to rise a little bit, right?
Ghanshyam Rawat: Yes, there will be no doubt. RBI has paused rate hike. That was a very positive impact for the market, for us also. April commentary came a little bit pause or they see how the data comes at the regulator end. We have seen softening on the G-sec rate. We have seen softening on the bond rate, so we hope that now further banks will also consider that aspect and not much increase MCLR rate, but older contracts definitely will come for repricing in the first 6 months, so we can see some impact in cost of borrowing in next 2 quarters.
H T Desai: Okay. The second question is regarding growth. So some of your peers who are actually smaller in size, they have been growing and they are kind of guiding AUM growth in the vicinity of 30%. I think you are guiding somewhere around 22% to 25% kind of a number. Is it because of a higher base or there is some other reason?
Ghanshyam Rawat: As you rightly mentioned in your question, if you compare, let's say, the smaller companies which are in the size of INR 4,000 crores, INR 5,000 crores if you compare Aavas at the same journey in 2016 or 2017 in the time frame and then later on in the 2018 when we had a similar size, we were also growing 40% to 50% at that point of time. Now base has increased so with that higher base, obviously, will have that growth impact you'd see, but if you refer the New business during this year, New business we've done more than INR 5,000 crores versus last year INR 3,6

00 crores, which is around 39%- 40% growth in the new business and on AUM basis we have grown 25% during FY '23 and we have invested also in the various branches and product, process, policy, technology that give us comfort and opportunity is there in the market, so that will add to our future growth trajectory going forward.
Moderator: We have the next question from the line of Renish from ICICI Securities.
Renish Bhuva: Sir, 2 questions. One is slightly strategic one. So of course, earlier you have been guiding at 20%- 25% kind of a growth number, but now since we are investing in tech, we are investing on branches and plus we are introducing new products, so on a blended basis, how should one look at the AUM growth trajectory? That's point number one.
Secondly, let's say, even if we are comfortable growing at a faster clip, does that mean that we have to introduce new products? And if yes, then maybe in near term what should be the ideal loan mix in terms of home loan versus non-home loan portfolio?

Sachinder Bhinder: I think our secular growth has been overall in the range of 20% - 25%. And I think this is a mix of one has to look at from a granularity perspective, both from geographies and the product lines. I think for the geographies where we are already present, I think we are going a little deeper into those markets, much more than the normal average. And where we have invested, we actually follow our normal DNA of staying port invested, learning the markets and understanding, and then stepping up and accelerating. I think that the 2 parts which are there, that constitute our individual self-construction of home loans.
On the other product lines, I think the product lines which we have invested in, have started really firing. And I think they are all engines firing, helping us to really build in and scale up on a granularity basis across the product lines. So these are the 2 parameters which are there, which are contributing to the one.
And on the mix, I think what the regulator has guided on a home loan to non-home loan ratio, we will follow what is guided as per the regulatory mix. And as the mix of the home loan increases, we'll have the MSME or the LAP portion which is there to be sequentially increasing in those lines.

Renish Bhuva: Okay. So broadly you're saying even if, let's say, the new products grow at a faster clip, the blended growth will still remain at 20% - 25%?
Sachinder Bhinder: See, you have to look at growth from 2 perspectives. One is you have the existing geographies where growth would be much more deeper, which would be above the average growth. Whereas the new territories which you enter, like for example, Karnataka and Uttar Pradesh, which we really want to step up, I think there we have been very conscious to have a moderated growth as a result of which the average growth comes to a level of 20% to 25%.
So some of the regions, some of the geographies, which are deeply invested in are growing at a faster pace. The ones which are where we want to accelerate would be at a medium pace. And where we have invested, we will really look at how it spans out and then really step up on it. So I think case in point are the 2 geographies that I talked. And I'll have my CBO, Siddharth Srivastava talk about the 2 geographies, typically Uttar Pradesh and Karnataka. Sid, over to you.
Siddharth Srivastava: Yes. See, if you look in the terms of sizes, Karnataka is almost similar to what Rajasthan is. And every 2-3 years, we identify certain new geographies. Karnataka, Odisha, Uttar Pradesh are the few geographies that we identified to grow. And we will continue to grow deeper into our existing geographies. And this will bring us the required growth, which we are looking at around 20% to 25%.
Renish Bhuva: Got it. And so my second question is slightly on the qualitative side. So of course, there is a to

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management change. But do you foresee any attrition, let's say, at 1 or 2 levels below the CXOs?
Sachinder Bhinder: So I think, as management strength, which is there as part of the CXO levels and they're deeply committed on the site. So that's already there. And we have a good amount of bench strength, which is there. And over a period of last couple of years', what we've really done is we had multiple products, product lines along geography. I think what it really helps is, one is to monetize on the customer side, and second help us with manpower portability so if any of the

attrition hits, actually we are really safeguarded, because we have at least the buffer and the bench strength, which is already available. We really play that and always mind the opportunity which is available in a period of time.
So I think we are very well-capacitated if I were to put across all those lines. So I think a), the geographies, b), the product verticals and a deep investment in the people side, I think is the one which is there. And on the people side, I would really like to reiterate that we have invested in re-skilling and up-skilling. And we have a curated program with IIM Ahmedabad and where we send across selected staff to really work on the live projects which will help us in our field. And then this is one part of our training and development and we're developing the leadership bench, which really helps in the future course of work.
And the second enabler has been technology. I think we are moving towards institutionalization and when we say so, that means we would be more on process policies and technology will be one of the major facilitators. Continuing with our touch and feel of credit assessment, what really technology helps is to increase productivity, and to be more predictable and help us in overall managing the stuff which you referred to.
And on the technology side, I think implementation, once again, we'll see the real jump in the productivity and the other metrics, operating leverage really kicking in. So I think overall, we are very poised to take that as a matter of what comes in, in the coming times.
Moderator: The next question is from the line of Raghav Garg from AMBIT Capital.
Raghav Garg: I have broadly 2, 3 questions. So one is on the home loan portfolio. When I look at the implied value of home loans disbursed during this quarter, there seems to be a sharp deceleration in growth. It seems to be about 12% Y-o-Y for this quarter. And then when I also look at the implied disbursements as well as the exercise data, it seems to suggest that there's been some kind of decline in terms of volume of loans disbursed in the home loan segment compared to last year. So could you just help us understand what kind of slowdown are we witnessing in our home loan portfolio before I proceed to my next two questions?
Ghanshyam Rawat: If you see in overall number, this quarter, we have disbursed much higher number and ever best quarter compared to last year, quarter 4. You are talking particularly one segment where you find, this year we found very good pace to do our assignments of MSME and LAP portfolio. If you see other peer groups, they struggled in that piece. We have a good amount of portfolio LAP and MSME got assigned. We got extra, let's say, buffer in the overall book, continue to lend our MSME, LAP portfolio. So that's way, in proportion, you found that the home loan and non-home loan mix is not different than what you see mixed in a quarter 4 of last year, basically.
This goes, let's say, recognition of Aavas credit policy underwriting norms where banks from HFC not only looking for home loan, but they are looking for non-home loan or MSME book from us basically. In last 1 year, we have done INR 1,000 crores assignment. INR900 crores

MSME, LAP book got assigned to them, basically. That's the creditability of Aa

vas book, Aavas
credit culture, which is getting recognized with the large public and private sector banks.

Raghav Garg: So sir, if I understand this correctly, you're saying you prioritized the MSME and LAP segments over the home loan segment. Is that how we should understand?
Ghanshyam Rawat: No, no. Let me again clarify the matter. If you see, we as a housing finance company has certain restrictions to do non-home loan business. So during this quarter & during the full year basis, we have churned out a lot of MSME and LAP book from on-book to off-book. So we got an extra cushion to absorb MSME and the LAP book during the quarter and on the full year basis. That's why you are seeing quarter 4 mix this year as a bit different from what mix you've seen in the quarter 4 of last year. But overall, as a business strategy, we will remain at 70% to 75% home loan, 25% to 30% non-home loan book on a long-term basis.
Raghav Garg: I'm not sure if I understood this, but the only point that I was referring to was that there's been some kind of deceleration in terms of the value of disbursement. And if you look at the number of loans disbursed, then there's been a degrowth in just the home loan segment. So that is what I was trying to understand. But I can take this with you offline.
My next question is, in terms of margin. So while the share of the higher yielding non-home loan book has been decreasing and we've also taken about 160 basis points PLR hike during this year and as I see, we also have a 60% floating rate book now. The spreads have come down in this quarter. And in fact, if I look at the spreads up till the last quarter, they were stable. So can you explain what kind of pricing pressure or competition are we witnessing in our home loan segment, if at all? Since we haven't really seen spreads decline at all, despite the share of the high-yielding book going up and also the company has taken PLR hike?
Ghanshyam Rawat: I think in the spread side, there is a marginal reduction we have seen on the spread in this quarter. It's primarily on two accounts. We have seen cost of borrowing get increased. And similarly, it takes own time to pass on the increased rate to the assets, new generation assets, basically. So there is always demand, some gap on the translation on the new business than the cost of borrowing on funds we borrow from the market. But overall basis, we are confident to maintain our spread, which is given our long-term vision, 5% and above spread continue to maintain in that bucket.
And we have seen, as I earlier mentioned, RBI has given some relief commentary in the April policy. I think that will also help in both sides. But as a competition, we are not seeing, I think, market is such huge in rural semi-urban area. I think from a long-term perspective, in earlier calls, we have given this commentary a number of times that in the geography where we work, household unit versus home loan penetration is not more than 2% to 3% in those markets. So we have enough spaces there to grow our business.
Raghav Garg: Sure. And sir, why have staff costs come down quarter-on-quarter? Yes, that will be my last question.
Ghanshyam Rawat: No, I think you know in IndAS accounting system, we grant ESOP schemes, 2, 3, 4, 5 ESOP schemes are there. Certain older schemes are getting matured during this quarter. So whatever ESOP has not been exercised, got a reversal of expense in this quarter. So that's why you see slightly lesser manpower cost in this quarter than last quarter.

Moderator: The next question is from the line of Shreepal Doshi from Equirus Securities.
Shreepal Doshi: So I wanted to understand this transition at the core management level from you being appointed as CEO last quarter to Mr. Sushilji resigning within 3 months. So while we have seen

some of
the founding members of a company moving out due to personal or professional reasons, but it's usually done in a transition and planned manner with investors also being aware on the same. Just to understand was the Board and core management aware about this move well in advance.
Sachinder Bhinder: So I think from this perspective, we have embarked upon the Aavas 3.0 journey and Sushil has been there since as the founder and set up the franchise right from the day 1. And I think from a perspective of institutionalization where we embarked on a journey on people, processes, I think it was his personal decision to take a call. And I think we respect his decision and he left a franchise that is sound on rock solid foundation to really build upon and to embark upon an institutionalization journey. And as a part of Aavas 3.0, I think we delivered as a team the best

of the quarters on all the matrices. And we really want to build across various nerve centres across India as a pan-India institution, which has sustainable growth with quality as the key metrics and really have a right footprint, which is really we all are proud of the franchise which we developed.

Shreepal Doshi: Sir, but I get that point. So you mean the Board was aware of this move during the last quarter itself? Is that a fair conclusion to make?

Ghanshyam Rawat: No, I think in the last quarter Board meeting and let's say before that Board quarter meeting also I think we had a plan to invest for Aavas 3.0 in which 2 strategies were planned, investment in the tech field where we thought the next 10 years journey, that investment in technology will help the next 10 years journey.

Second thing was planned to enlarge the management bandwidth to capture the next 10 years' available growth in the market in a home loan space. So management bandwidth got enlarged. Accordingly, Sushilji was earlier involved in an entire day-to-day activity strategy and so a number of times his bandwidth got chopped in that system to manage the entire volume of business. So then there was a strategy to separate day-to-day business and strategy tech transformation.

It was announced and moving ahead it was decided to implement that strategy. Obviously, going forward, by close to the next Board meeting, I think he found that he wants to move on in his career and choose a different path. So I think he discussed with the Board members and Board members as Sachinder ji mentioned, recognized his contribution in Aavas journey and that's all. We are looking forward for support from all the shareholders, and stakeholders to take Aavas to the next journey.

Shreepal Doshi: Got it, sir. Like, but still the exit was little surprising with the founding member exit in the Board meeting. So the second was with respect to the strategy. So in the newest stage that we have ventured into in the last couple of years, would we still be focusing on going at C level and this rural focus lending is what we will be doing or we will want to be little more semi-urban focus in the newer geographies?

Sachinder Bhinder: I think in the new states, the same strategy continues of focusing on Tier 3 to Tier 5 towns and the cities which are there. And again, on the self-individual construction loans to be really focused and where our core area of expertise and our DNA lies. And I think in that journey, what we've done is to have people with the underwriting experience, the distribution experience, the homegrown talent from Aavas to really go across and set up and scale up in those geographies. So I think it continues with the same pace, same growth, and in a much more contiguous manner, what we've been doing as a franchise and as an institution.

Moderator: The next question is from the line of Umang Shah from Kotak Mutual Fund.

Umang Shah: My question is related to what Shreepal asked in the previous question

Now just wanted to understand a little bit more from the strategic direction perspective. I mean, last quarter, clearly there was a strategic decision, which was being taken about splitting the MD and CEO roles and it was made us to believe that that was probably the right way to go ahead in terms of forging the next 10-year growth strategy.

Now clearly what has happened in the past quarter is there to see for all of us. But do we anticipate any further changes in the leadership team or is there a need to further expand the executive committee or the core executive committee or new additions in the team that you are looking at?

Sachinder Bhinder: I think from the perspective of there is a sufficient amount of bench strength which got created as a part of Aavas 3.0. And as I would say that the CFO, Ghanshyam Rawat has been with the franchise since its inception. Ashutosh Atre completes 9 years this month and he's been there right from underwriting to currently CRO. Surendra Sihag is there as a part of Man-comm as a part of collections. He's been there for a long period of time. With me about 40 months in the franchise being there. And the new CXOs who've been there actually really helped to build the right kind of management bandwidth and depth which is there. And below them, I think as a layer goes, I think we have a sufficient amount of bandwidth that is available with homegrown talent which will help to scale up sustainably and credibly with which our DNA rest on. And in a much more laminar fashion, I would put across.

So I think the franchise and the institution are poised for good growth with the kind of foundation both on financial capital, human capital, and technology as one of the key enablers to take the momentum forward. So just to give an outlay, we have very strong middle-level management of more than 100 people on the origination side, which consists of National Heads, Circle Heads, Zonal Heads, and State Heads. And then the risk and credit side, we have more than 234 people who have been there, and 71% of them have been with Aavas for more than 3 years plus. And

in collections, we have 54 of them, who are more than 78% of the employees are there with 3 years plus of experience.
So I think that is a deep dive experience which is there. And I say that the continued management, the bandwidth which is available as far as the transitioning is concerned, I think is already available. And it's been demonstrated. And I think the Aavas 3.0 first quarter results bear the testimony to the foundation, which is set for the journey going forward, keeping the core DNA of risk architecture intact and building the franchise on risk-adjusted returns and much more

stronger, sustainable, quality growth, which is driven by governance and quality and with the continued Board support over a period of these years.
Umang Shah: Sure. The other clarification which I wanted, during your opening comments, you did mention that the promoters are committed to the business. They haven't really sold any shares in the past and they don't intend to do so in the coming future. Is there any timeline to it that you can specify?
Sachinder Bhinder: I think you will see that since the last share sale was in 2021, they have not sold a single share in the last 2 years, and they have reaffirmed that they do not plan to sell anything at all in the coming year either. I think that's the comforting factor, if I were to put across. I hope that answers your question.
Umang Shah: Okay. Okay. And just last question is, the presentation deck has mentioned about Management , Employees and Board members owning about 3.9% equity in the company and I'm assuming that this would include some of the new equity or ESOPs allotted to some of the new joinees who have recently joined the company, maybe in the last 1 to 2 years. Is that a fair assumption?
Ghanshyam

Rawat: 3.9% of Management, Employees and Board members. Obviously, this is as of March 31, 2023. ESOPs, which have been given in recent grants in the last 2 schemes, obviously are not included here. Recently, in the last 2 years, we have given almost 14.50 lakhs of ESOPs shares out of the total 3 schemes. Obviously, that is not included here. But this is on March 31, 2023, a number as on that date.
Umang Shah: Sorry, Ghanshyam ji, the number you mentioned was 14.50 lakh shares, right? 14.50 lakh options?
Ghanshyam Rawat: Yes, options. So this option is given to, let's say, all ManCom members, and below it, going up to 3 levels, we have gone down to those employees at that level basically. So that will give us a lot of confidence. Value creations will happen in coming years.
Moderator: We have the next question from the line of Nidhesh Jain from Investec Capital.
Nidhesh Jain: Sir, with the new tech rollout and the Aavas 3.0, do you see any changes to the underwriting model that we currently have? We have largely a decentralized underwriting model. Do you see any changes to that?
Ashutosh Atre: So underwriting model, the core of underwriting is actually touch and feel where we go and do the assessment of the client, typically self-employed non-professionals. But there are various checks and balances, validations of documentation and a lot of clerical stuff which is to be done by the underwriting team, which will be taken care by the new technology tools.
Sachinder Bhinder: And now will call Ripu -our CCO to add on to what Ashutosh mentioned.
Ripudaman Bandral: Good evening, Ripudaman this side. So with this new technology transition which we are going through, it will add efficiency and economies of scale. So there is a lot of work which we do in different platforms which would get joined into one. So we'll be able to take a decision which

would be much faster and more accurate. And of course, we've been spreading 346 branches and our core is touch and feel, which we will continue to do. And we would take the help of technology to the most which we can. I hope this answers your query.
Nidhesh Jain: Sure. So there's no fundamental change in the underwriting model. Technology will be much more enabler in the way that we are doing the business.
Sachinder Bhinder: Yes, but just to add on to that on the model which we have developed, which are more descriptive, I have Rajaram Balasubramaniam, who has joined Aavas from Citi, New York, to underlay what is that it helps in the entire thing and what this technology and this model could really help. Raja, why don't you share? He comes directly from Citi, New York to Jaipur.
R Balasubramaniam: Hello, Sachinder. Thank you. Good evening, everybody. I think just to add to what Sachinder said, I think if you look really at what technology has done for us today, it has taken away how much time it takes for us to receive information from the front end, process that, use our

intelligence and go back at the point where the customer is being met to give them enabling decisions. So to add to what Ashutosh and Ripu said, the fundamental model does not change. But what we can do now is have a better vision of how we can use that data to make a more calculated decision. So I think that's the objective of using models to get that consistency and reliability in every file that we process. So the fundamental building blocks remain the same, the fundamental strengths remain the same. We just use technology to leverage that and use data to give us an insight into it. That's in short.
So we're kind of building it in 3 ways, right? So we're building the skills, we're building the technology, we're building the culture to embed the analytics into the system. And in terms of analytics itself, all of the types of analytics that you already know, whether it's descriptive, whether it's

prescriptive, predictive, we have a plan to build that into the entire customer experience to leverage technology. I hope that gives you a perspective on the technology and data integration and how we plan to do that.
Sachinder Bhinder: And just to add on, I'll have Jijy to talk about what is the layer of technology which really helps. And Jijy has a deep-down experience of having helped technology to build fintech over a period of time. Over to you, Jijy.
Jijy Oommen: Yes, thank you so much. Good evening, everyone. Good to have this conversation with you all. So when it comes to the technology transformation, we looked at 3 important pillars. One, of course, how technology can help us become more efficient faster. At the same time, how it can help us scale what we do in a much more efficient, faster and accurate way. And then third is, of course, how do we give a great customer experience, right? So when we look at, in the Aavas 3.0, how do we take our journeys to the next level and make it a great experience for our customers? And of course, one of the biggest objectives that we have laid down was how do we make the system efficient in such a way that the turnaround time, right, is enhanced significantly. And by doing so both operational efficiency and customer experience, both the pillars will be taken care of.

So with this objective, a year back, we have brought on board Deloitte to help us through the digital strategy roadmap exercise, looking at the next 10-year vision of the organization. So we have then, chosen to go with best-of-the-class technology tools like Salesforce, and Mule soft for doing the entire ecosystem to connect with the Aavas and then which is blended with the analytical models. So this will be the front layer of the systems. We are glad to share with you that we have completed that first phase of the rollout and as of April, we have rolled out Salesforce to the entire organization and April month has been closed well in the new system. Of course, currently, we are undergoing another big transformation on our back office and middle office systems and we are implementing Oracle Flex Cube and Oracle Fusion on Oracle Cloud. So this is to make sure that our systems are much more scalable and robust. So I think, the great work that we all have done in different phases, these technology solutions are going to make it much more scalable and give a better experience to our customers.
Nidhesh Jain: Sure. Secondly, if you can share at what level our branch tends to mature, if you can share that 3 year-old or 4 year-old branches, what is the AUM of that branch or disbursement per month of that branch for the cohort of branches which are 3 years of vintage
Sachinder Bhinder: Sorry, if you can repeat, we just lost your voice.
Nidhesh Jain: Yes, so like, yes.
Sachinder Bhinder: Can you repeat the question?
Nidhesh Jain: Sure. So if you can share the AUM of branches which are of 3 years of vintage, the branches that you have opened 3 years back, what is the AUM per branch on an average of those branches or disbursement of those branches on an average?
Ghanshyam Rawat: Yes, we will, these data points we will share separately or publish it for everyone. But as the branch maturity, see, in the Tier 2, Tier 3, Tier 4 town, our branches are very low opex model branches, where we take branch rental is roughly INR 20,000 to INR 25,000 per month branch rental, then 4 or 5 employees remain there. Because we have a contiguous approach, we don't go open a branch and new one immediately. It's a contiguous approach. We keep on doing some business from that branch. So we open a branch at that place, so that day 1, the branch starts to give us a business. Within a 6-month time frame, our 90% branches have a break-even. Today, almost 1-year-old branches are giving us a ROE 12% upward, 3-year-old branches are giving us a

roughly 20%-odd ROE, basically.
Nidhesh Jain: Sure. And lastly, if you can share the AUM breakup -- a geographical breakup of AUM, that would be useful. And any comment on how the AUM in Rajasthan has grown in FY '23?

Ghanshyam Rawat: I think during this year also Rajasthan, our most of the oldest state; from new business
perspective we have seen around 25% to 30% growth in the Rajasthan during this full year basis.
MP has also grown better. State Gujarat and Maharashtra has also grown around 25% plus.
Nidhesh Jain: These are on disbursement basis, right?

Ghanshyam Rawat: Yes. Disbursement basis.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Yes. Congrats on the quarter. Just one question. We've hiked PLR by 160 bps, but when I look
at your yield on Slide 22, it has improved only 50 bps Y-o-Y from 12.6% to 13.1%. So is it that
we are hiking PLR but reducing the spread above PLR for our existing customers?
Ghanshyam Rawat: Yes, we have increased 160 basis points in the full year basis. You see on assets and liabilities,
both sides, we have a very good mix on interest rate scenario risk basis. My liability is around
50 basis points around the fixed rate borrowing, I had mentioned earlier in response to another
question. Asset side also we have around 50% around the fixed rate asset. When we increase our
rate, almost 50% increase happens on total AUM basis. And remaining 50% fixed rate contract
has a re-pricing after every 3 years.
So we can't correlate 160 basis points 100% will have an impact on the overall AUM base
because my liability is also not increasing in that fashion basically. You will see that positiveness
is there in ALM, not only tenure basis, but ALM interest rate scenario basis, it has a perfect
match.
And second thing, yes, we agree, translation of rate increase in a new business takes some time.
Laggard impact comes after a quarter basically. So, that has also gone a little bit and our overall
AUM yield is not showing a complete increasing trend, what we have increased our PLR.
Piran Engineer: Sir, let me ask another way, disbursement yield in March 2023 versus disbursement yield in
March 2022, what would be the increase? Or if you can give the actual numbers, 13 point
something, 12 point something?
Ghanshyam Rawat: I think we will come back on this exact number, how that numbers are there looking basically.
But as I mentioned, translation of interest rate rising takes its own time on the new business.
Piran Engineer: Okay. And when we do a PLR hike, it gets transmitted on the spot or with 1 quarter lag, 2 quarter
lag?
Ghanshyam Rawat: No, no. Interest rate when we increase our PLR, we disclose on our website when it is effective,
like last increase happened on the 5th April 2023, whatever contracts are at a floating rate that
got impacted on the same day.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.
Abhijit Tibrewal: Apologies, I joined in a little late, there was an overlap with another earnings call. So just in case
you've answered any of the questions which I'm about to ask, please let me know. I can always
listen to the recording. So first things first, I mean, what I heard in the last 15- 20 odd minutes,
you talked about technology and how it's kind of going to help us.
Moderator: Sorry to interrupt -- but the line for you is not very clear, sir.
Abhijit Tibrewal: Is it better now?

Moderator: This is much better, sir. Please go ahead. I request you to please repeat your question, right?
Abhijit Tibrewal: Yes. So I mean, in the last, I would say, 15- 20 minutes that I heard, I think we talked a lot of
good things that we've done on the technology side and which will maybe help us accelerate
growth over the next 2 years. I

think, I also heard we talk about this technology investments that
we have done, bring down the TAT. Just wanted to understand, is it a fair understanding that
TAT, which is about let's say 10 days now would come down to anywhere around 3 to 4 days
once you have implemented all the technology changes that you want or the technology
improvements that you want?
Ghanshyam Rawat: Yes. If you see our average lead time is around 11 to 12 days before we went live on the
Salesforce. We went live as a pilot project on the Salesforce in the month of March. We have
launched it full-fledged from April. It is under hyper-mode for the 3 months where it will get
stabilized. Then after that, we will start to see the real result of how the TAT will get reduced.
But as our vision statement, when we started with Salesforce, we targeted that we will bring
down TAT between average 6 to 7 days.
Abhijit Tibrewal: Got it. So the second question that I had was on, I think we briefly also mentioned that we very
recently in April deployed Salesforce. So I'm sure there would have been some teething issues

in terms of training your credit officers to the new systems. Just wanted to understand by when can we expect these teething issues and the new deployments that we are doing in our back office and middle office of Oracle FlexCube and Oracle Fusion, by when can we expect these teething issues to be settled? And more importantly, I mean, looking at the last quarter where you did about INR 1,600 crores of disbursements, which broadly translates into INR 500 crores, INR 600 crores of monthly disbursement run rate, exit run rate, what is the target that we have in mind once these teething issues are behind? And once you have implemented these softwares that you're intending to, I mean, should we now start expecting that the disbursement run rate will start moving towards that I would say INR 800 crores to INR 1,000 crores?

Ashutosh Atre: So I'll just answer about the teething issues. So any new thing will definitely have some kind of a resistance in the training curve. Okay? And every day there is a resolution of the teething issues. But just to confirm that Salesforce will never be the hindrance for doing the business for us. If it is a teething issue, if it is a training issue, we might have to work harder to clear the cases. So yes, it is going to get resolved. So we have completed 1 month. So we are wiser now in terms of how to handle Salesforce. Maybe by the end of this quarter, it will be completely up and running, but definitely nothing to do with the business. It is not going to be hindering the business.

Abhijit Tibrewal: Do you want to comment on the monthly disbursement run rate that you have in mind?

Ashutosh Atre: So we have a plan for the year and accordingly, we will be delivering the numbers in terms of monthly run rate. So quarter-on-quarter, we are going to achieve the target as we have planned and budgeted.

Abhijit Tibrewal: Just the last question. So now with Mr. Sachinder kind of heading this franchise. I mean, is there going to be a change in the DNA of the organization? What I mean essentially is we were always

reckoned as an affordable housing company doing lower ticket size loans. Over a course of time, do you think that there is a change, there will be a change in thought process, you would want to also start doing slightly higher ticket sizes as well?

Sachinder Bhinder: Easy to answer the question, I think the core DNA continues to be the same. And our DNA, it is more of deepening the management team, retaining their original DNA. Evaluating hard to underwrite credit in SENP and SEP customers backed by mortgage. I think it's more to institutionalize to scale up with sustainable quality and which with the franchise is known for over a period of 11 long years.

And have used it to really scale up on that, so our focus is Ti

er 3 to Tier 5 markets, self individual
construction home loans, serving the unserved, underserved and unbanked, continues in the same momentum, in the same breadth, and the same form with the risk architecture of pooling risk adjusted returns. And with growth, first comes the governance, then comes quality, and third comes growth. So I think that those overlying factors of DNA as a part of the core DNA does not change at all.

We'll build on the sustained DNA, which has got the franchise to the current level with the fundamentals with the store right in place and build on that with sustainable scale and quality over a period of coming years. So Abhijit, I think I hope that answers your question.

Ghanshyam Rawat: What Sachinder said, I think let's on the behalf of the entire management team who are here at this moment, and I am let's say, oldest member in the entire group and on the behalf of promoter shareholder, we assure you all the company's DNA, company's credit underwriting principles, governance factor, those will be top most priority in Aavas 3.0. We will keep governance at the topmost, credit quality, culture has remained as the same what we have seen in last 10 years and will be similar in the next Aavas 3.0 journey.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes. So we have seen about 160 bps PLR hike in the last fiscal. So what I wanted to understand was what percentage of AUM has seen rising EMI after you've exhausted the tenor increase?

Ghanshyam Rawat: At different point of time, we increased 160 basis points in FY '23. Roughly, 90% odd book we are seeing has increased its tenure because generally our tenure was not so large in our customer segment. So there is enough scope where we have increased the tenure. Around 10% sort of customers has got their EMI increased and they are serving their increased EMI going forward.

Mona Khetan: And if I may try to understand to what extent the EMI has increased in terms of percent, whatever was the average EMI and to what extent has it increased for these 10% of customers?

Ghanshyam Rawat: It depends. I think it depends on at what rate and at which tenure customer is there basically. If a customer’s average rate is a 12%-odd or 13%-odd, his EMI would have got increased by around INR 500 to INR 1,000 per month.

Mona Khetan: Okay. And what would be the average EMI in your case about INR 10,000 or more?

Ghanshyam Rawat: It's INR 12,000.
Mona Khetan: Okay. Okay. Got it. Secondly, in both of your HL LAP as well as the SME portfolio, incrementally, what are the rates that we are onboarding new customers at?
Siddhartha Srivastava: If you look at Non-HL, it ranges between 13% to 15%. And for home loan, it will be around 10.5% to 12% approximately.
Mona Khetan: And if I may try to understand what was this year back when you were onboarding customer? Especially the HL, if you could just mention it? So today it's 10.5% to 12%. What was it say a year back?
Ghanshyam Rawat: I think I mentioned earlier that there is a transition in interest rate rising period on a time-to-time basis. Roughly, we have seen on a different product segment increasing trend in this 50 to 100 basis points, depending upon the product, depending upon the customer geography. Yes, I mentioned earlier also rising interest rate takes its own time to pass on to the new customer acquired basically. But now that we'll see in the coming 2 quarters move, a better transition will happen.
Mona Khetan: Okay. So just to understand it better, this 160 bps hike, we have not seen a similar hike when it comes to onboarding new customers. Is that a fair understanding?
Ghanshyam Rawat: Yes. That's natural. That's not specific to Aavas and it's the natural thing happening in the entire lending business. What we increase in the MCLR and PLR rate, new busi

ness takes its own time in every way to pass on.
Moderator: The next question is from the line of Sanket from DAM Capital.
Sanket Chheda: So my question was on this corporate share...
Moderator: Sorry to interrupt, sir, but the volume for you is very low. I request you to please speak closer to the mic.
Sanket Chheda: Is it better?
Moderator: Yes, this is much better, sir.
Sanket Chheda: Yes. So my question was on Corporate, which used to be like 0.1% of the book this quarter the exact increase was 0.3%, so about more than INR30 crores something has been increased. What was the nature of this?
Sachinder Bhinder: I'm sorry. Actually, we're not able to hear. It's not audible. Can you repeat the question again?
Sanket Chheda: Yes, I was saying that in the split that we give, retail and corporate, corporate as of last quarter was 0.1% and this quarter, it has moved up to 0.3%. So more than about INR 30 crores of increase, it is there. So just wanted to understand the nature of this loan.

Ghanshyam Rawat: It is normal. It's not in one quarter impact. It's on a full year basis. Last year, we were at the 0.1%. This year ending we're the 0.3%. So in an overall basis, it is just INR 22 crores-odd increase in this segment. Keeping in mind the overall volume and overall AUM, it is not that big amount basically.
And what happens in smaller town, smaller cities, lot of people like directors of a small company, they come for a home loan. So that company also comes as a co-applicant and main applicant in our case. So, as per regulatory requirement, the loan gets tagged as a corporate. But as far as the business model is concerned, we are not or have plan to go in the business of a builder lending or large corporate loan lending.
Sanket Chheda: You can maybe check I am seeing it increase, in Q3, it was 0.1% and in Q4 it has moved to 0.3%. But anyways, I'll select that if that is wrong in the last presentation. The other question was maybe on LAP and the pure home loans. This year also on incremental disbursements, 35% of the disbursements were to LAP So going ahead, maybe how do we see this mix moving? Can it become 35/65? Or we are comfortable giving it a 30/70 LAP and pure home loans?
Ghanshyam Rawat: As you know, from compliance perspective also we need to remain between 30% to 70% or 35% to 65% in that range. It's very difficult to comment on 1%, 2% here and there, basically, it depends upon business opportunity. It depends upon what we are able to assign, from the balance sheet size basically. But on overall basis, we want to remain between 30% to 35% non-home loan or 70% around book home loan book.
Sanket Chheda: Okay. So 30% to 35%. Okay. And last question was on provisioning. So we are probably the only HFC that has say increased 90 plus DPD this year, point-to-point. But we have been too tight on say providing as a result of it, say, on standard, I said, we just have about 23 bps of provisioning and very low provisioning on Stage 2 as well. So how do we see the credit cost going ahead? And why is there some reduction in the prudence on having the provisions in the

book?
Ghanshyam Rawat: No, I think point-to-point basis, our Gross NPA is lesser than last year, basically difference on account of, as we mentioned in earlier sometime back, updated to all the investors or the shareholders that till last year, we acquired some assets under Sarfaesi that got classified as assets acquired for sale and not as a loan asset basically. This year from April 1st onwards, we are not classifying that loan as asset acquired for sale, but we are treating it as a NPA assets there itself basically. So that's why you see some marginal change in that account. If we exclude that amount, then our Gross NPA will fall to 0.7% basically. That's apple-to-apple comparison of 2 periods.
Secondly, on provisioning, I think we are very well-covered on

the provisioning. We are fully IndAS compliant, we do historical assessment for our NPA provisioning, considering when the asset goes in NPA, how much amount we had recovered from that asset, how much time it takes for recovery, accordingly, the provision gets built in the balance sheet. We are fully covered as far as the assets provisioning is concerned.

And let's say one of the data points which I want to share here, in last 12 years, we disbursed almost INR 22,000 crores disbursement. Our total write-off is just INR 25 crores, which is just 11 basis points on the write-off. So that give us a confidence our provisioning is well covered our NPA assets.
Sanket Chheda: Okay. And then lastly, on the management question that you said augmenting the management bandwidth. Maybe to capture, let's say, next 10 years growth. So at our side, even if we say, growth 20% - 25% will still be below INR 1 lakh crores. The many companies which do have 1 MD and CEO till they reach that size. Maybe one could have a Deputy CEO. But as far as the key position is concerned, we have many examples. So maybe that reasoning made a little sense. So any greater understanding on that would be helpful.
Ghanshyam Rawat: I think we noted your suggestion. But as a long-term growth, I think management team has good bandwidth as Sachinder mentioned, namely CTO, Chief Strategy Officer, CFO, Chief Collection Officer, Chief Business Officer and even 1 level below or 2 level below people, we have 7 to 8 of them in the business side as well. On credit side also we have a number of NCMs basically who can underwrite.
So we have good management bandwidth created for next 10 year growth which we see in the market. As we mentioned, we don't give much forward looking numbers. But we see good opportunity there in the market as low housing loan penetration. We may see another growth of housing loan upgrade happening because of GDP growth and income growth. We see housing upgrade and aspirational housing need will also emerge in Tier 2, Tier 3 towns. That will also help us to deliver better growth in the coming years.
Sachinder Bhinder: And just to add on to what Ghanshyamji said, I think from a middle layer management which is there, so I think we have robust strong middle layer management, whereas in business origination, we have 43% plus of people on the team side, which is more than 3 years vintage. On credit & risk side, we have 71% of employees, which are 3 year-plus vintage. And on collections, we have 78% employees which are 3 year-plus vintage. So I think that talks about the depth of management and the strength of management fitted on the right and strong pillars so to say.
Sanket Chheda: I understand layers below the top guy, but my question was more on the top position. But anyways, yes. So those were my questions. And I wish you all the luck.
Sachinder Bhinder: Thanks.
Ghanshyam Rawat: Thanks.
Moderator: Thank you. Ladies and gentlemen, that will be our last question for today. I now hand the conference over to Mr. Sachinder Bhinder, MD and CEO of the company for the closing comments. Over to you, sir.
Sachinder Bhinder: Thank you all for attending the call. As mentioned last quarter, we will be hosting an Investor/ Analyst Day on May 24, 2023, in Bombay to give you all a chance to spend time with the broader

leadership team. A formal invite will soon follow. We look forward to hosting you all. For any further information, we request you to get in touch with Ghanshyam Gupta in our Investor Relations team or SGA, our IR advisors and they would be happy to help you. Wish you all the best and God bless you.

Moderator: Thank you. On behalf of Aavas Financials Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

Ref.No. AAVAS/SEC/2023 -24/471
Date: August 10, 2023

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter ended June 30 , 2023 .
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to our letter dated July 17 , 2023 bearing reference number Ref. No. AAVAS/SEC/2023 -24/408 , please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational p erformance of the Company for the Q uarter ended June 30 , 2023 held on Friday, August 04, 2023.
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take the same on your record.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited
Q1 FY '2 4 Earnings Conference Call "
August 04, 202 3

MANAGEMENT : MR. SACHINDER BHINDER – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – AAVAS FINANCIERS LIMITED
MR. GHANSHYAM RAWAT – PRESIDENT AND CHIEF FINANCIAL OFFICER – AAVAS FINANCIERS LIMITED
MR. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK OFFICER – AAVAS FINANCIERS LIMITED
MR. SIDDHARTH SRIVASTAVA – CHIEF BUSINESS OFFICER – AAVAS FINANCIERS LIMITED
MR. SURENDRA SIHAG – CHIEF COLLECTION OFFICER – AAVAS FINANCIERS LIMITED
MR. RIPUDAMAN BANDRAL – CHIEF CREDIT OFFICER – AAVAS FINANCIERS LIMITED
MS. JIJY OOMMEN – CHIEF TECHNOLOGY OFFICER – AAVAS FINANCIERS LIMITED
MR. ANSHUL BHARGAVA – CHIEF PEOPLE OFFICER – AAVAS FINANCIERS LIMITED
MR. RAJARAM BALASUBRAMANIAM – CHIEF STRATEGY OFFICER AND HEAD OF ANALYTICS – AAVAS FINANCIERS LIMITED
MR. GHANSHYAM GUPTA – INVESTOR RELATIONS – AAVAS FINANCIERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financiers Limited Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as of the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sachinder Bhinder, Managing Director and CEO of Aavas Financiers Limited. Thank you, and over to you, sir.
Sachinder Bhinder : Thanks. Good afternoon, ladies and gentlemen. Thank you for participating in the earnings ca ll to discuss the performance of our company for Q1 FY '24. The results and the presentation are available on the stock exchanges , as well as on our company website, and I hope everyone has had a chance to look at it.
With me, I have Ghanshyam Rawat, Presi dent and CFO; Ashutosh Atre, President and CRO; Siddharth Srivastava, Chief Business Officer; Surendra Sihag, Chief Collection Officer; Ripudaman Bandral, Chief Credit Officer; Jijy Oommen, Chief Technology Officer; Anshul Bhargava, Chief People Officer; R ajaram Balasubramaniam, Chief Strategy Officer and Head of Analytics; Ghanshyam Gupta, Investor Relations and SG A, our IR Advisors.
In Q1 FY '24, we registered AUM growth of 23.2% at INR 146,500 million and a PAT growth of 23% at INR 1,097.1 million. We d isbursed INR 10,682 million in the quarter. A quick update on the technology transformation project. We went with a PAN -India SFDC (LOS) rollout in April '23. It took some time for the system to stabilize and people to adapt to the new technology, which le d to an overall softer disbursements in Quarter 1 FY '24. However, the system was fully stable by May and exited hyper care in June.
In fact, in June '23, month -on-month disbursement saw a growth of about 17% further emphasizing the strong macro tailwinds driving the demand in our customer segment. In Q1 FY '24, the new LOS system handled 33,000 files seamlessly. We continue to be excited to see how this will help us unlock productivity while delivering customer delight through quicker decisioning and disbursement. We are ready for the next step of our technology transformation with LMS and ERP systems, which will go live by Q4 of this financial ye ar. We continue to invest for the medium and long term in both people and technology.
The operating expenses for this period w ere slightly elevated as we had increment al headcount increase and ESOP costs in the period in addition to the tech costs.
I would now hand over the line to Ghanshyam Rawat, President and CFO, to discuss the financials in detail. Over to you.

Ghanshyam Rawat: Thank you, Sachinder. Good afternoon everyone, and a warm welcome to our Earning s call.
While we continue to borrow judicious ly, we raised around INR 13,846 million at 8.01% during the Q1 FY '24. As of 30 June 2023 an average cost of borrowing on total borrowing is 7.66% against an average portfolio yield of 13.26%, resulted in a spread of 5.60 %. As of 30 June 2023 total number of live accounts stood at 192,446 translating into 21% year -on-year growth. Total number of branches was 348 with 2 new branches being added in last 3 months. Employee count was at 5,700. Assets under management grew by 23.2% year -on-year to INR 146,500 million as on 30th June 2023.
Product -wise breaku

p : Home loan 69.8%. Other mortgage loan 30.2%. Occupation -wise breakup : Salaried 40.2%, Self-employed 59.8%. IGAAP to IndAS reconciliation has been explained in detail for profit after tax and the networ th on Slide #31 and #33 of the presentation.
On the borrowing side, there is access to diversified and cost -effective long -term financing, very strong relationship with the development financial institutions. Total outstanding borrowing as on 30th June 2023 stood at INR 133,816 million. Overall borrowing mix of 30th June 2023 is 46.6% from the term loan s, 20.9% from assignment and securitization, 21.3% NHB refinancing , and 11.2% from debt capital market.
Lender support continues to remain extremely strong as A avas evolution continu es. Liquidity of INR 31,827 million as on 30 June 2023. Cash and cash equivalent of INR 20,227 million, Un-availed CC limit of INR 1,100 million, Documented un-availed sanctions from National

Housing Bank and other banks is INR 10,500 million.
On Profitability side: PAT increased by 23% year -on-year to INR 1,097.1 million for Q1 FY '24. ROA was 3.16% and ROE was 13.8% for Q1 FY '24. As on 30 June 2023, we are well capitalized with a net worth of INR 33,887 million and capital adequacy ratio at 47.32%. Our book value per share stood at INR 428.5. Now I would like to hand over the line to Ashutosh, the Pr esident and CRO, to discuss the asset's quality numbers.
Ashutosh Atre: Thank you, Ghanshyam ji. The key portfolio risk parameters : Asset quality and provisioning. One day past dues stood at 3.68% in Q1 FY '24 as against 4.67% at Q1 FY '23. Gross Stage 3 stood at 1 .00%, and Net Stage 3 stood at 0.73% as on 30th June 2023. Gross Stage 3 of 1 .00% includes 0.13% of up to 90 DPD assets, which have been categorized as GNPA following RBI's notification dated 12th November 2021. During FY '22, a resolution plan was implemented for certain borrower accounts as per RBI resolution framework 2.0 dated 5th May 2021.
Basis, the perceived risk and as a m atter of prudence, some such accounts with an outstanding amount of INR 843.8 million, as on 30th June 2023, have been classified as Stage 2 and provided for as per the regulatory guidelines. Out of INR 843.8 million, INR 639.9 million is within 0 to 30 DP D bucket. Total ECL provisioning, including that for COVID -19 impact as well as resolution framework 2.0, stood at INR 765.6 million as of 30th June 2023. Aavas is well placed to continue its industry -leading asset quality.

With this, I open the floor for Q&A session.
Moderator: The first question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Sir, just 2 questions, more from a clarification perspective, though, you highlighted that during the quarter, Aavas went for a PAN -India sales force rollout, which led to softer disbursements in the first quarter. And you also highlighted that the system got stabilized somewhere around May. So sir, I just wanted to understand while this would have impacted disbursements, your sanctio ns should have been in line with your expectations.
So if you could just share the sanction pipeline, what was the growth in the sanctions. And given that, if sanctions were good and we could not just disburse, can we expect some of that in terms of pent -up demand or pent -up sanctions, which were there to lead to a higher disbursement run rate in the quarters to come? And also, while things normalized from June onwards, can you share the disbursement run rate in June and July?
Sachinder Bhinder : Yes. So Abhijit, as I highlighted, we had a muted April because of the PAN -India rollout of our SFDC and we got the stabilization happening in the month of May. As we exited May and we had June, so June saw about around 17% to 18% growth over that.
And as you rightly elucidated, there are sanctions which will really come

across and help us in
the quarter to actually come across. So you've rightly articulated, and that's what we saw happening as the system has moved out of its stabilization phase and the hyp ercare, and now it's fully stabilized.
And I think it was a big transformation project for us. And we took a call of getting across on a PAN -India basis, both from a perspective of people adaptation and technology stabilization. So these were the 2 things which were the major ones which were there . But as a team, we were able to bounce back in the month of May, stabilize , and from June, we have been on track.
Abhijit Tibrewal: So the last question that I had here is, if you could share the breakup of your NHB borrowings, what was the regular refinance , and what was for affordable housing finance? And sir, in your presentation, every quarter, we share incremental borrowings. This quarter it was about INR 1,350 crores, which came at about 8%. Can you also share what was the incremental cost of borrowings ex -NHB so that we can try to understand how is the margin trajectory going to look like? Because, sir, from what we understand, large part of repo -rate increases or PLR increases are already reflecting in the book of housing financials. So from here, how should yields pan out? How should cost of borrowings move? And obviously, the impact of the trajectory that we had will have on the margins.
Ghanshyam Rawat : Yes. Abhijit, your question has 2 part s. I think, let me cover the first part. NHB during this quarter, out of total borrowing, we borrowed almost 20% from NHB in this quarter. And other than NHB also, we have a few good products from the bank s, institutions, from other private lenders, where we're able to borrow less than MCLRs from them. So our overall cost of borrowing for this quarter is 8%. NHB component of our overall borrowing you may see, we have it roughly 20% to 22% i n overall of our borrowing mix.

So this year also, we got fresh sanctions, which is almost out of my total borrowing program. We have got a new sanction also, which is around 20% of total borrowing program. So whatever mix we have, NHB borrowing and other borrowing, it wil l remain similar in this year. And we hopefully remain in the same range in coming year also because we do a lot of lending, which is very important for NHB and Government of India and financial inclusion . Rural semi-urban area, low ticket, new -to-credit, those are our prime segment s. So that it helps us overal l in the cost of borrowing side.

And overall, I think in this quarter, we have increased PLR by 40 basis points . On Cost of borrowing side, I think we see a lot of stabilization through RBI. And I th ink repo rate in last 2 cycle, RBI has given a pause. So I think it has more or less remained same . Some impact definitely will be there on the old borrowing s, but we are in the range where we can able to maintain our healthy margins in the coming quarters.

Abhijit Tibrewal: Just one clarification. NHB Borrowings are still coming at the lending rates of about 5.5%.

Ghanshyam Rawat : I think Abhijit, these are too granul ar questions. I think I mentioned that 20% NHB borrowings ' share will be maintaine d in the coming quarters which will help us to maintain our cost of borrowing.

Moderator: The next question is from the line of Nidhesh from Investec.

Nidhesh : So firstly, on the disbursement run rate, if you can mention what is the Y -o-Y growth for the month of June, July. That will give us confidence that now we have normalized, and this is the disbursement run rate that we would expect for the full year. On a Y -o-Y basis, what was the disbursement growth in the month of June and July, if you can share th at?

Sachinder Bhinder : Thanks, Nidhesh . As I highlighted that we went through a big transformation project and 8 branches in the mon

th of March to PAN India 348 (350 plus) kind of branches. And as I said, May was a stabilization period, June was a time when we had a 17% of growth, and in July also, we continued with the same kind of growth. We see that in the month of August and September, we will have a gradual movement, w hich would be on the upside. So we are very confident as a team that after the system stabilization and after the availability of this state -of-the-art technology, we'll be able to deliver with respect to what we've been guided to the market as always, act ually.

Nidhesh : So we should expect 20% to 25% AUM growth for the company?

Sachinder Bhinder : Yes, yes, 100% for sure Nidhesh , that's been our guidance throughout. So we continue to be confident on that. And we are confident that we'll be there in that ran ge of 20% to 25% this year AUM growth.

Nidhesh : And secondly, there has been a lot of noise about employee attrition after the management change. If you can share some statistics, how the employee attrition run rate is going through specifically in Q1 and how the trends are on employee attrition. Last year, data, we already had in annual report , but if you can share how the trends are in Q1 that would be useful ?

Sachinder Bhinder : Yes. Thanks. From a perspective of the senior management or if you ask about CXO, CXO or minus 1 / 2 level , I think there is none. Most of the attrition, which you see is the front line, which is a normal industry norms, and it is in line with what the industry goes through. And our attempt has always been to build careers for peopl e and to invest in people as a part. And we say as a part of our journey, it is around people and technology. And in that, what we've done is for the middle and for the senior management to go across and tied-up with IIM Ahm edabad , to have the leadership p rograms, which are on the real life kind of scenarios of the companies which we face and really upgrade them and reskill them.

And our entire focus has been there on the people side. So that's what it is. So it's been a normal -- nothing which is bothering or anything which is off the one, which I would want to really highlight. It's the frontline sales, which is always a normal course.

Nidhesh : And lastly, what is the BT out number for the quarter i.e. absolute balance out of the loan book in this quarter that we have seen.

Ghanshyam Rawat : It's in the range, which we have seen in the last few years also, 1.4% of opening AUM (for the quarter). Our guidance is there for roughly around 0.5% every month.

Moderator: The next question is from the line of Kunal Shah from Citigroup.

Kunal Shah: Sir, the question was on Opex . So given that maybe with respect to the Salesforce implementation plus technology upgradation, how do we see overall Opex to assets at this time, we had a higher employee cost, but what would be the broad outlook out there? And any components within the Employee cost, which were exceptional and w hich could see the moderation in the coming quarters?

Sachinder Bhinder : Thanks, Kunal, I'll have GSR answer in detail on the breakup of Opex , and it' s our endeavor to really work across what is operationally right and get operational efficiency.

Ghanshyam Rawat: Thanks, Kunal. It's 2 questions. One is manpower cost, other is overall Opex trajectory versus

AUM. If you see manpower cost, Q4 FY23 versus Q1 FY2 4, sequential quarter, we have roughly 8% to 9% annual increment cost in this quarter. There is a onetime cost in this quarter, roughly INR 1.25 crores of one of the KMP retirement benefit , etc. , which is a onetime cost in this quarter.
And one impor tant item, when you compare with the last year quarter 4 to current year quarter 1, certain ESOP schemes got matured where unvested some quantum was there, that quantum got reversed in the last quarter, which was

given as a reversal of INR 10 crores versus in this
quarter, we have a normal cost of INR 5 crores to INR 6 crores, as the ESOP cost, basically.
If you eliminate and compare this thing, you will find quarter 4 to quarter 1, we are roughly at the 8% to 10% incremental in manpower cost apple -to-apple . I hope that clarify your question.
And overall opex cost trajectory, yes, you know that we are doing tech transformations and all these things are there.

But generally, in Quarter 1, our opex -to-AUM ratio remains a little bit elevated because first quart er growth in AUM is lower than what we see in overall growth in full year basis. So as we move ahead, we are confident at the year -end, whatever we have given a commentary on the annual / year -end, we will be in the range of what you have seen, say 3.68% was last year, closing. We will be a few basis points (say5 to 10 basis points) here and there.
Kunal Shah: But the delta would must be 10 odd basis points, largely .
Ghanshyam Rawat: Roughly largely look s like so.
Kunal Shah: So it will get upwards of 3.5% .
Ghanshyam Rawat: No, no, we closed last year at 3.68%. This quarter, we closed at 3.79%. So as I mentioned, we will be 5 -10 basis points here and there. So roughly, you can take this around 3.68%.
Kunal Shah: And one thing in terms of current quarter's emp loyee cost only INR 1.25 crores related to retirement that is a one -off otherwise, balance would be more kind of a normal cost of increments on that, yes.
Ghanshyam Rawat: Yes. No rmal incremental cost , , if you see the percentage increase to the one year ESOP reversal last year and this year ’s normal ESOP cost so th en if you eliminate that piece, you will find that there is a normal increase in the manpower cost of around 8% to 10% quarter -on-quarter.
Kunal Shah: How much for the ESOP?
Sachinder Bhinder : The ESOP cost, Kunal, is about INR 12 crores, which as highlighted by Ghanshyam ji when we say INR 12 crores increases because we had minus INR 5 crores in Quarter 4, which had a reversal and INR 7 crores in the current quarter. So that total tantamounts to INR 12 crores.
Moderator: The next question is from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar: I just have one question. Of late, our product mix has been tilting more towards other mortgage loans. So is this by design or demand? A nd how does the mix look like going forward?
Ghanshyam Rawat : I think, yes, definitely, we want to maintain roughly 35 -odd percent in Non-home loan. And we've managed everything well in last couple of years.
We have designed more MSME product s, which are giving us an extra value creation in the overall shareholder value because we have been able to tie up long -term low -cost funds for MSME lending.
So that is helping us to deliver an overall spread and NIM. We want to remain in the similar bucket, somewhere 65% plus home loan, around 30% to 35% non -home loan. But under non-home loan, we want to have 50% plus as MSME and the remaining maybe depending upon life cycle need of our existing or new customer , basically.

Ghanshyam Rawat: But if you see in this quarter, Q1 FY24 , compared with the Q1 of last year, the home loan component has seen an increase in this quarter ,which is almost 6% better if you compare with the last year Quarter 1.
Shweta Daptardar: And just a follow -up question there on ,– because you mentioned about SME and other products. So could you provide more color because the players and others have been calling on certain concerns on the small ticket lending. So could you provide color on your portfolio in the SME and small retail that is extended ?
Ghanshyam Rawat: Mam , I think, very important question. All these MSME loans are fully backed by residential mortgage se

curity, 95% plus my customer s are living at that house, they mortgage that house
to us. My normal LTV comes under the asset around 45% to 50% , it is giving us a yield

around somewhere 15% plus given the business &,cost of borrowing for this fundis around
8.5%. So it's a good product and now we are -almost in the fifth year of business operation for
this product. So we have run almost 1 cycle of credit quality also, and we didn't saw NPA
more than 1% in that book also.
Sachinder Bhinder : And Shweta, just to add on to what Rawat ji said, another thing is that we've always followed
the cash flow based underwriting practice, and that is how actually it helps us to maintain that
NPA .
Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha.
Pallavi Deshpande: Just on the long -term borrowing for the MSME, which you mentioned earlier I'm just saying
what's the rate we are getting it , and what's the source of funding since you said it's coming in
other subsidized rate maybe?
Ghanshyam Rawat : Pallavi could you please repeat your question?
Pallavi Des hpande: You mentioned about MSME, the funding that you're getting this at an attractive rate and for a
long tenure. So if you could just share with us what's the tenure and what's the rate you're
getting at that? Just this is to understand from an industry perspective, nothing to do with
Aavas, but just wanted to -- becaus e we're seeing a lot of boom in the MSME space. So I just
want to understand who is funding it actually since you said it's at attractive rates?
Ghanshyam Rawat: You will appreciate to take a lender name is difficult, but I can give the sector -wise lendin g.
These are secured borrowing. And at Aavas we have demonstrated in the last 10 years, the
credit consciousness and the quality of our portfolio. If you see in last 10 years, the total write -
off is INR 25 crores against our total lending of INR 23,000 cr ores in last 10 years. S o market
recognized that thing.
And accordingly, we get the best price when we borrow from the market. PSU banks, private
banks, all are the lenders in that market. And on multi -lateral also they are showing interest to
lend MSME. S o roughly, we get around 8 to 10 years long -term borrowing from these lenders,
roughly pricing comes between 8% to 8.5%.
Moderator: The next question is from the line of Raghav Garg from AMBIT Capital.

Raghav Garg: Just one question from my side. If you could help us with the absolute amount standing in each
of these 4 states, which are Rajasthan, Maharashtra, Madhya Pradesh , and Gujarat that will be
very helpful.
Ghanshyam Rawat: Raghav at the overall basis you know Rajasthan, when we commenced the business initially
Rajasthan used to be around 80% stake, but we consciously diversified our business from
Rajasthan to MP, Gujarat, Maharashtra, Chhattisgarh, Uttrakhand, Haryana, Delhi NCR,
Karnataka and UP. So now Rajas than's contribution is in the range of 30% to 35%. And
Maharashtra, MP and Gujarat equally around 15% to 16%.
Moderator: The next question is from the line of Mayank Agarwal from InCred Capital.
Mayank Agarwal: Thanks for the opportunity and c ongrats on th e successful tech implementation. So my first
question is on the benefit of tech implementation. How it would reduce our TAT . So our TAT
was earlier about ~10 to 11 , so we would benefit on that. And second, in terms of efficiency,
how much increased effici ency could be visible because of this tech implementation?
Sachinder Bhinder : So we'll have Jijy Oommen, our Chief Technology Officer, to answer on this.
Jijy Oommen: Hi Mayank, Good afternoon! To your question, so we have actually just gone live in the last
quarter with the new technology platform. And our main objective of bringing in the new
technology platform is threefold: one, of course, to bring in better

efficiency and productivity
in the en tire process. Second, how do we make our systems and processes more stable and
scalable? And then the third is bringing in the ri ght customer experience.
So of course, we are in the first quarter post stabilization and we have enabled the mechanisms
to tra ck every single process and timestamp it so that we are able to track how the processes
are or how the file is moving across different processes. We brought the entire organization to
a common platform that will also help everybody seamlessly , right from t he onboarding of
customers going all the way up to the disbursal. So we ha ve now that ecosystem in place.
Of course, scalability is something that is already done. And at the same time, on the efficiency
and coordination perspective, now the tech ecosystem is in place. And of course, by quarter -
by-quarter, we will track. We'll keep improving the different processes. Of course, it will take
us some time to reach the final destination, but it's definitely going to be a journey, and that
journey has already be gun.
On the other side, on the customer experience side, we have really started observing that the
way in which we are able to get the customer application underwritten and disbursed has
become much more seamless. We have enforced so mething called FTR. So when a file is
brought into the system to start the process, we ensure that all the required checkpoints are put
in place so that we do not need to go back and forth to the customer to collect do cuments and

ask more questions.
So the on -ground feedback fro m our team has been very, very positive. Our team is quite confident that they will be able to bring in better efficiency and customer experience going forward. Of course, as I said the journey has just begun. We will keep tracking the progress on

a month -to-month, quarter -by-quarter basis to make sure that over a period of time, we will reach a substantial amount of agility, speed, performance , and customer experience. I hope this answers your question.
Siddharth Srivastava : Yes. I'd like to add one point here on the stabilization and adaptation. Best part is, in the opening remarks, Sachinder said we process ed 33,000 files in a new platform, and we have started seeing some green shoots in the TAT and which we have seen and we have started experiencin g because of which we were able to recover very fast.
So 2 things are very important. The scalability of platform is there because the platform is raised away from hypercare stage within 30 to 45 days. This is one big thing. And second thing is that the te am is able to adapt to that system. I think these 2 things are very important for us to -- in terms of Q1, we see 2 things we take care of very much. And we have started seeing some green shoots, and I'm sure this journey has just started as Jijy said and we are looking forward to a big benefit coming out of this digital transformation.
Mayank Agarwal: My second question is on the new branches, which we have established in the newer geography in the past 2 / 2.5 years after COVID. I guess the se branches would have done their learning curve as of now and would have started contributing to the disbursement. How is your experience in the incremental disbursement, incremental AUM from these new geographies and the new branches established?
Siddharth Srivastava : In last two years, if you look at, we have gone big time in Karnataka. We have invested a good amount of things , we have spent some investment in Orissa, and we have opened some branches in U.P. also. So we are seeing decent growth happening i n Orissa and in Karnataka.
What we look at Karnataka is very similar to Gujarat in terms of population, in terms of how many districts are there.
And if you look at Karnataka, we didn't go very strongly only in Bangalore. So out of 23 branches

total we hav e in Karnataka, only 4 branches are in Bangalore. And the remaining 19 branches we have opened in the rest of Karnataka. And this is where our strength lies.
And we have seen about in the range of 50% to 60% growth in Karnataka and newer markets, , & range s of around 30% to 35% in U.P. , Uttrakhand also. -, but still we consider them as a very nascent market. And we have a huge amount of headroom and runway to grow in this market, and we will keep investing and exploring newer opportunities.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: So just thinking aloud on this forum. Now that you have done this or rather rolled out this tech transformation to all your branches, PAN India. Just wanted to und erstand, now there are 2 levers to an improvement in throughput, better distribution, and higher productivity from more branches. And then the second thing is, this new tech platform . this technology transformation that you have undergone. So I don't need concrete numbers here, but intuitively, if you think about it, how can disbursement momentum improve ? (a) through better distribution productivity and (b) through this tech transformation that we have done ? Just help us think through that ?

Ghanshyam Rawat : Yes, Abhijit, I think your question is around the same thing, which we are internally discussing at a senior management level and the Zonal Head level. So after doing the Salesforce implementation and then followed by Oracle FLEXCUBE as well as ERP systems. Yes, we are looking at how we can enhance our distribution network without expanding our branch network.
It's too early to say, but in coming quarters, coming years, we are e xpanding other ways to originate our leads and our business basically. Because in this process, we have also made new SOC implementation also, which can pass thousands of APIs on real time on various sourcing channels including digital sourcing . I think yo u know sometime back we mentioned that we almost reached a t 10% business which is non-conventional business. But in old systems, we got stuck to increase beyond 10% basically.
Now we think after this implementation, our tech team, our underwriting team, risk team, business team feel confident that now we can increase this 10% contribution, which is a non-conventional method of sourcing the business. We can increase that channel also in coming

years.
Yes, efficiency side also, it will help us like Sachinder Ji mentioned, all risk underwriting system, valuation risk, technical risk, legal team , everybody has the same platform on real -time basis . They can talk to customers on real-time basis, they can talk to relationship managers about the case, or if any further input is required.
So efficiency -wise, we look forward . It will substantially increase our efficiency, which used to take, let's say, 13 days, 14 days in our overall lead t ime, we are targeting to bring down almost 6 to 7 days basically. That will surely help us . Secondly, I think gradually, we are making Data science , Analytics systems more robust in the company, which help us in efficiency improvement that will help us in more risk -based pricing & that will help us more, let's say, in lead funnel prioritizing basically.
So that we start to invest time and energy when my app score is at a certain level. So that thing also will go live in another let's say quarter or so. So a ll these things will help us to bring the efficiency, Risk-based pricing and opex will also come in Q2.
Abhijit Tibrewal: And just one last question from my side. Again, going back to the topic of Opex , for how many more quarters do we expect this technolo gy transformation program that you've embarked upon to get completed?
And a related question is because of that, for how many more quart

ers do you expect the Opex to remain elevated? Some time back, Ghanshyamji had given a guidance of Opex of about 3.7% (Opex to assets). But after this implementation is complete, this tech transformation is complete, based on whatever your assessment is, what can this opex come down to within the next maybe 2 years?
Ghanshyam Rawat : Abhijit, I think we mentioned earlier al so, again, we are reiterating with the confidence that on the opex cycle we are almost at peak level, 3.7% to 3.80% is the figure. We mentioned that this year is our investment year, in which we are investing in a tech platform, technology

transformation, etc.. From next year onwards, we are definitely looking for 20 to 25 basis point savings on opex side continuously for 2, 3 years. So that will bring us back to our original where we started , with less than 3% Opex to AUM level.
Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.
Vignesh Iyer: Just to understand, if I'm not wrong, in the last concall of Q4, you had guided for ROE of somewhere between 15% to 20%. So just to get an understanding, what would be the ideal time line, I mean, within 2 years, we can stabilize around that levels?
Ghanshyam Rawat : If you refer our Investor Day conference at Mumbai and if you compare Opening to Closing net worth and because if you would know in last 5 years we never raised any capital, last capital ofcourse we raised in the IPO, so if you compare Opening to Closing net worth and what ever ESOP money we get every year when employee exercise s his shares, if we exclude that portion, then you'll see in last 2 years, we are continuously at 16% plus at Return on opening ne t worth . Because of all this Ind AS accounting etc , profitability while you see that is roughly coming somewhere around 14-odd percent. But if you see an increase on Opening netwo rth basis it is 16% plus. We are already in that trajectory.
Vignesh Iyer: I thought that adjusted you're talking about that the ROE you made in this quarter is around 13%. I thought you're talking about that ROE coming to 15% to 20%, sir.
Ghanshyam Rawat : Well, this ROE will as normal we are giving our directions, long -term direction, this business is at a growth rate of 25%. And at the 7 to 8 leverage, we will maintain our ROA 2.5% to 3%.
So this business is a long -term sustainable business at 15% to 20% ROE.
Moderator: The next question is from the line of Nidhesh from Investec.
Nidhesh : Historically, we were having a decentralized underwriting system there at the branch level, the credit decisioning is happening. So with the new software implementation, is there any change in the workflow on the underwriting side?
Ashutosh Atre: So Nidhesh, Ashutosh this side. See, there is no change in terms of underwriting or assessing the cash flows. So new system is going to support the underwriter on all the peripheral checks and all the peripheral clerical work so that we need not to rewrite things and we can b e rest assured that through APIs, all the documents are cross -checked and say, with sort of certain APIs, or with certain software, you can actually get all the bank statements already calcul ated with use of account aggregator.
So these kind s of clerical t hings when they do it. And also, they can do the prioritization of the cases. In one of the questions, it was asked how the efficiency can be increased ? It is because all the documents when the client puts up in the system, the underwriter will know which client is almost ready with the property and the document so that he can prioritize those clients because, as you know, buying a hous e is not an impulsive decision.
Some people just log in the proposal while they are still searching for the property, right ? So

these kinds of peripheral things actually, the system will help the underw

riters. But as far as

our touch and feel of typically self -employed, non -professionals visiting their businesses, understanding their cash flows, will continue to be in the same manner.

Nidhesh : Sure. And the credit decisioning will be happening at the branch level, right?

Ashutosh Atre: It is happening at the branch level only. There's no centralization of the credit.

Moderator: We'll take that as the last question. I would now like to hand the conference over to Mr. Sachinder Bhinder, MD and CEO of the company for closing comments.

Sachinder Bhinder : Thanks, ladies and gentlemen. As we conclude today's earnings call, I would like to express my heartfelt gratitude to each one of you for your participation and engagement, the dedication and commitment of our team, the trust and support of our stakeholders and the loyalty of our valued customers has always been instrumental in our gr owth story.

Looking ahead, I want to emphasize that we will continue to maintain laser sharp focus on governance, asset quality, profitability, leveraging technology , and creating a superior customer experience. We remain optimistic about the future and ar e confident that our strategic initiatives will continue to drive sustainable growth and shareholder value. Once again, thank you for your ongoing support and belief in our vision.

If you have any further questions or require additional information, please feel free to reach out to our Investor Relations team. Thank you, and have a wonderful weekend ahead. Thanks.

Moderator: Thank you very much. On behalf of Aavas Financiers Limited, we conclude this conference. Thank you for joining us, ladies and gentleme n. You may now disconnect your lines.

Call: Oct 2023

“Aavas Financiers Limited
Q2 FY’2 4 Earnings Conference Call”
October 27, 202 3

MANAGEMENT : MR. SACHINDER BHINDER – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – AAVAS FINANCIERS
LIMITED
MR. GHAN SHYAM RAWAT – PRESIDENT AND CHIEF
FINANCIAL OFFICER – AAVAS FINANCIERS LIMITED
MR. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK
OFFICER – AAVAS FINANCIERS LIMITED
MR. SIDDHARTH SRIVASTAVA – CHIEF BUSINESS
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MR. SURENDRA SIHAG – CHIEF COLLECTION OFFICER –
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MR. ANSHUL BHAR GAVA – CHIEF PEOPLE OFFICER –
AAVAS FINANCIERS LIMITED
MR. RAJARAM BALASUBRAMANIAM – CHIEF STRATEGY
OFFICER AND HEAD OF ANAL YTICS – AAVAS FINANCIERS
LIMITED
MR. GHANSHYAM GUPTA – INVESTOR RELATIONS –
AAVAS FINANCIERS LIMITED

INTERNAL Moderator: Ladies and gentlemen, good day, and welcome to Aavas Financiers Limited Q2 FY '2 4 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of futur e performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you nee d assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this call is being recorded.
I now hand the conference over to Mr. Sachinder Bhinder, Managing Director and CEO of Aavas Financier s Limited. Thank you, and over to you, sir.
Sachinder Bhinder : Thank you. Good afternoon, ladies and gentlemen. Thank you for participating in the earnings call to discuss the performance of the company for Q2 and H1 FY 2024. With me I have Ghanshyam Rawat - President and CFO , Ashutosh Atre - President and CRO , Siddharth Srivastava - Chief Business Officer , Surendra Sihag - Chief Collection Officer , Ripudaman Bandral - Chief Credit Officer , Jijy Oommen - Chief Technology Officer , Anshul Bhargava - Chief Peo ple Officer , Rajaram Balasubramaniam Subramanian - Chief Strategy Officer and Head of Analytics , Ghanshyam Gupta - Investor Rela tions; and SGA - our IR advisor.
The results and the presentation are available on the stock exchanges as well as on our company website, and I hope everyone has had a chance to look at it. We are committed to support and strengthen the long -term Aavas Vision 3.0. I take this opportunity to thank all our stakeholders for their continued trust and support.
For Q2 FY 2024, we disbursed INR 12,585 million, registering an 18 % growth Q-o-Q and 10% Y-o-Y growth. We continue to grow in a calibrated manner, registering AUM growth of 22% as of Sept ember 2023. Further, Opex ratio has witnessed gradual moderation from 3.79% in the last quarter to 3.65% in H1 FY 2024. While maintaining our operating metrics, we delivered a PAT of INR 2,313 million, translating into a growth of 18 % Y-o-Y for H1 FY 2024.
While we continue to borrow judiciously, we raised around INR 30,761 million at 8.19 %

during H1 FY 2024. As of 30th September 2023, we maintained a sufficient liquidity of INR 50,037 million in form of cash and cash equivalents & unavailed cash credit limit of INR 20,987 million and unavailed document sanctions of INR 29,050 million, including INR 10,000 million from the National H ousing Bank.
We are undergoing an accelerated digital transformation with the adoption of best -in-class technologies like Salesforce , i.e. LOS, Oracle FLEXCUBE which is LMS, and Oracle Fusion , i.e. ERP. We have successfully rolled out and stabilized Phase -1 of Salesforce . Oracle Fusion ERP-GL went live in September 2023 under hypercare. The new loan manage ment system on the FLEXCUBE is currentl y under testing and migrations.

INTERNAL I would now hand over the line to Ghanshyam Rawat, President and CFO, to discuss the financials in detail.
Ghanshyam Rawat : Thank you, Sachinder ji. Good afternoon, everyone, and a warm welcome to our earning call.
As on 30th September 2023, an average borrowing cost of 7.86% against an average portfolio yield of 13.15% resulted in a spread of 5.29%. We have been able to maintain our spread above 5% despite competitive pricing pressures. As on 30th September 2023, total number of live accounts stood at 1 ,98,947, translating into 19% year -on-year growth. Total number of branch count was 350 with four new branches

being added in first half of FY '24. E mployee count was at 5,731.
Assets unde r Management grew at 22.1% year -on-year to INR 1,53,195 million as on 30th September 2023.
■ Product -wise breakup : Home loan - 69.7%; Other mortgage loan - 30.3%.
■ Occupation -wise breakup : Salaried - 40.1%, Self-employed - 59.9%.
IGAAP to IndAS reconciliation has been explained in detail for Profit after tax and Networ th on slide number 32 and 34 of the presentation.
On the borrowing side, there is excess of diversified and cost -effective long -term financing, very strong relationship with development financial institutions. Total outstanding borrowing as on 30th September 2023 stood at INR 1,40,843 million. Overall borrowing mix as of 30th September 2023 is 49.6% of term loan, 20.8% from assignment and securitization, 18.3% from National Ho using Bank , and 11.4% from debt capital market.
Lender support continued to remain extremely strong. Liquidity of INR 50,037 million as of 30th September 2023. Cash and cash equivalent of INR 19,887 million, unavailed CC limit of INR 1,100 million, documented and unavailed sanctions from National Housing Bank INR 10,000 million, and other banks INR 19,050 million.
Profitability : Profit after tax increased by 17.9 % year-on-year to INR 2,313 million for the H1 FY 2024. ROA was 3.25% and return on equity was 13.6 4% for H1 FY 2024. As on 30th September 2023, we are very well capitalized with a net worth of INR 35,136 million and capital adequacy ratio at 48.16%. Our book value per share stood at INR 444.1 .
Now I would like to hand over the line to Ashutosh ji, President and CRO, to discuss the assets quality.
Ashutosh Atre: Thank you, Ghanshyam ji. The key portfolio risk parameters :-
Asset quality and provisioning : One day pas s due stood at 3.58% in H1 FY20 24 as against 4.45% at the H1 of last year. Gross Stage 3 stood at 1.04%, and Net Stage 3 stood at 0.76% as of 30th September 2023. Gross Stage 3 of 1.04% includes 0.13% of up to 90 DPD assets, which have been categorized as GNPA following RBI notificatio n dated 12th November, 2021.
During FY 2022, our resolution plan was implemented for certain borrower accounts as per RBI Resolution Framework 2.0 dated 5th May 2021. Basis the perceived risk and as a matter of

INTERNAL prudence, some such accounts with an outstanding amount of INR 779.6 million as on 30th September 2023 have been classified as Stage 2 and provided for as per regulatory guidelines.
Out of INR 779.6 million, INR 575.3 million is into 0-30 DPD bucket.
Total ECL provisioning, including that for COVID -19 impact as well as Resolution Framework 2.0 stood at INR 797.3 million as of 30th September 2023. Total write -offs stood at INR 20 million in H1 FY 2024. Aavas continues to maintain a pr istine asset portfo lio quality.
With this, I open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mayank Agarwal from InCred Capital. Please go ahead.

Mayank Agarwal : Congrats for the good set of numbers. My first question is on employee cost. So we have witnessed low employee cost this quarter. Any specific reason for that? And what share of the reduction can be attributed to the employee count? Can you please also let us know what is the employee count this quar ter? This is my first question.
My second question is whether the reduction in the employee count is temporary or it's something structural, which is led by the technology implementation? Yes. Those were the two questions fo r me.
Ghanshyam Rawat : Yes. Thanks, Mayank. On employee cost, employee count is the same, as it was in the first quarter or in the same quarter. And if there is a certain reduction in the employee cost , that is mainly on account of the fact that in the las t quarter, some on

e -time cost was there on account of incentive , bonus and one of the senior SMP got resigned in that quarter. Apart from that, I think it's a steady state on employee cost now.
Mayank Agarwal : So okay, the trend would continue. Okay. And my second question is on your yield. So you have reported a 10 bps of decline this quarter. Is it due to the low rates on the new loans or a reduction in the loan rate of the existing customer s?
Sachinder Bhinde r: Mayank, this is Sachinder. This is partly because of the rate reduction on holding on to our existing customer and part is on the new placement, both put together has resulted in the drop in the yield.
Mayank Agarwal : So is it because of the increase in competition intensity, which we are witnessing because on the one end, cost of borrowing is increasing and we are witnessing the yield decline? And what could be the trend going forward on the margin? So basically, what will be your margin outlook? And un til what we would be comfortable of keeping the excess liquidity? And what is the margin outlook for FY '24?
Sachinder Bhinder: So as we have been saying that we were able to maintain the spreads at 5% and above. So it is currently around 5.29%, our endeav or is there. But what we are trying to do is that the good customers are there. We don't want to let them go. So partly because of rate reduction on that side and some part and some bit on the pricing pressure on the new acquisition, so to say , it's a mix of both.
 So from a guided perspective, I think we will try to maintain in the range of 5 % as far as concerned despite and in spite of the cost of borrowings going up, actually. That would be our endeavor, and that's our aim, actually.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Sir, first question on disbursements. In the first quarter earnings call, you had shared that large part of the teething issues were behind and things have stabilized in June and June disbursements had grown 17% year -over-year. Sir, but if I look at the second quarter disbursements, they are up just about 10% year -over-year.
So what would you attribute this to? Is it that mortgages, especially low er ticket size is going through some kind of a slowdown? Or would you say that this could be the lagged impact of the withdrawal of the CLSS subsidy? Or is it just the competitive landscape, which is attributing to this sluggish disbursement growth? If no ne of these, was it again from teething issues from the digital transformation, which led to lower disbursement growth?
Sachinder Bhinder: Thanks , Abhijit. I think we will have to see that quarter -on-quarter we had an 18 % growth, whilst we are cognizant of the fact that there was a lagged impact compared to the previous year. But I think from a perspective of this, we will be guided in that range. And on the AUM base, we'll continue to be in the 20 % to 25 % range.
Secondly, there is a certain amount of lagge d impact of sanctions not getting converted to disbursement. So if we were to really look at the earlier Sanction to Disbursement ratios, they have sequentially actually dropped from 90 % to 80 % actually, so to say. So there is some amount of the pickup, which was there on that side, which were not get converted actual ly.
And further , on the technology transformation, we are out of the ports , but if you want guidance with the transition which is happening in the institution, a couple of quarters to really settle that out on a perfect basis because we got into the second phase of technology transformation, which is LMS and ERP. And we are taking this year as full year for taking the entire completi on of transformation, actually, so to say.
Abhijit Tibrewal : Got it, sir. So by the end of this year, you're sugg

esting this digital or technology transformation will be completed , including the LMS and the ERP?
Sachinder Bhinder: Yes, that's our target, a ctually, Abhijit.

Abhijit Tibrewal : Got it. And sir, the lagged impact that you were explaining of sanctions not getting converted to disbursements. I heard you right where you said earlier, we had 90% conversion of sanction to disbursement; right now it's dropped to about 80%?
Sachinder Bhinder: Yes, right.
Abhijit Tibrewal : Got it. Sir, second thing, again, kind of going back to the margins, if I look at your reported numbers from 3M FY '24 to 6M FY '24, you have reported margins of 8%, which are flat. So
 sir, if you kind of go to your P&L, look at the net interest income line, excluding the assignment income gain, sequentially we are seeing a decline from INR 226 crores in the first quarter to INR 222 crores in the second quarter. What would explain that, given that, I mean, our book has grown -- I mean, on a calculated basis, there is a good 40 basis points de cline in margins in the quarter?
Ghanshyam Rawat : Yes. Abhijit, I think we will see in d etail those numbers but largely, it is only on account of -- you will see Q1 to Q2, we have seen a decline in the portfolio yield, which is 11 -12 basis points, which is, I think, has mainly impacted on that line item. Apart from that, I think we don't see any sort of effect in there.
Abhijit Tibrewal : Got it. Sir, and one last question. There seems to be a lot of volatility in our employee expenses line. I recall we had shared even last quarter that in 1Q FY '24, we had one -offs in employee expenses of almost INR 1 crore, INR 1.5 crores due to KMP retiral benefit. I think before that in Q4 FY23 , we had a reversal of INR 5 crores on ESOP expenses. Subsequently, we had taken an ESOP charge of INR 7 crores in 1Q FY '24. During this quarter, I mean, from an ESOP perspective, were there any reversals, if you can quantify that? A nd going forward, I mean, how should we look at the employee expense segment?
Ghanshyam Rawat : See, employee cost is seen in two ways: first thing, employee count is where , as I mentioned, we are at a steady state -- same count of employees there in the la st two quarters. So yes, annual increments and all these things has taken place in the first quarter. So that impact comes . So for s ome of the things impact come in the first quarter and now in second quarter the full impact is there, basically.
Yes, ESOP expense s depend upon the two factors. If any new schemes comes, then extra cost comes in from that quarter to period until the schemes run basically. And if there is any sort of, let's say, attrition in the employees. So for that, the remaining costs also goes off in that quarter from the P&L side basically. So those are basically accounting principles, which everybody need to follow. Apart from that, I think we don't have any sort of extra explanations on the employee cost.
Abhijit Tibrewal : Got it, Ghansh yam ji. And sir, in the interest of tim e, I just wanted to squeeze in one last question for Sachinder sir. I mean, again, going back to the disbursements, I just wanted to understand, today, if I look at some of your listed peers, unlisted peers, right, th ere are listed peers, almost half your balance sheet size doing 78% to 85% of the quarterly disbursements that you are doing. I understand you've gone through some management change and we're going through a tech transformation. By when should we expect th at we'll kind of start achieving disbursements that you internally aspire for?
Sachinder Bhinder: Thanks, Abhijit. And you rightly articulated, I think the two points . One, we've envisaged on the transition on the management side as well as on the tech sid e. I think you have to bear with us for a couple of quarters. There is a fact that b

uilding the right foundation, will see the performance based on the current set of things, both on the tech transformation, which we see and which we have embarked on the j ourney, along with the management transition. I think, give us a couple of quarters, and you'll see that back in action.
 But I think you have to be cognizant of the fact that despite a big transformational change from a tech perspective, we've been able to weather that out compared to what the peers or others would have done in our space. So I would request a couple of quarters to bear with us for . We again would endeavor for a calibrated muted growth, but not that we'll come back in a couple of quarters back on track on what we are there on the range.
But again, we get guided on the quality of what you have to really embark on is that some of the par ameters on the health side continue to be very robust on the quality parametric, on the metrics of controlling costs wherever it is possible. And from a perspective of delivering the pristine quality of the base which we are noted for. I think it's a mix o f both. I think we will be

in a strong position to come back on the base of what we are there at this period of time.
Moderator: Thank you. The next question is from Raghav Garg from AMBIT Capital. Please go ahead.
Raghav Garg : One very specific question. You had a spread of 5.29% this quarter. Do you expect that this could decline further in the second half? Or will this remain at this level?
Sachinder Bhinder: So I think we have guided, Raghav, with the spread of keeping it around 5%. I think it's a mix of the kind of cost of borrowing, which is the one, which is one input, which is beyond our control. Our endeavor is to be remaining in the range on level of around 5 %. So that's been our endeavor.
Raghav Garg : Sir, I'm coming more from a place where I'm tr ying to understand what is the competitive intensity as far as pricing is concerned. When we look at some of the larger players, they haven't really concerned on pricing. It remains as low as, say, until about 9 months to 10 months ago. So should we expect that even in the second half, your pricing will remain impacted because of competition? And hence, that is something that will weigh on your spreads, and therefore, it will be lower than 5.29%?
Sachinder Bhinder: So as we say we will remain above 5 %. That's what we have been guiding.
Raghav Garg : Sure. Sir, just on your securitization margin also. So in Q2 of FY '23, we had a gross upfront income on the assignment of about INR494 million, it has come down to INR466 million. Why would that be the case?
Ghanshyam Rawat : Basically , it depends upon the volume of assignment you do basically . And what sort of assets you assign and what is yield of assets ' assignment? Two, three factors determine that overall how upfr onting income comes basically. Apart from t his, accounting…
Raghav Garg : Sorry, assignment volumes have increased Y -o-Y, right?
Ghanshyam Rawat : Yes. asset classes also make a difference. What interest yield assets we sold at that point of time and what interest yield assets ' we sold this time basically, so both make a difference in that account.
Raghav Garg : Sure. And on the reversal of the income, which was recognized earlier on the assigned pool, right? That has also increased to about INR 335 million. So that would probabl y be because
 some of the assumptions that you would have made earlier have not played out or have played out adversely. So can you highlight some of the nuances which would have impacted such a reversal?
Ghanshyam Rawat : Yes, that is not a major impact of reversal. And it's not as volume got increased, so the reversal also won't get increased every quarter, basically. What assig

nment I had done in the, let's say, Q1 or let's say, Q4 of the last year, so those will have a full impact of reversal in this quar ter basically.
Raghav Garg : Understood, sir. Sir, my last question is on Non-HL book. So that's been growing at a fairly healthy clip, 30% for the last several quarters n ow, but we see that since the last two quarters, the NPAs are also increasing in that book. Anything to read into this as to why the NPAs are increasing on this book?
Ghanshyam Rawat : I think , now you see we give all the mortgage backed loan, average tenor is generally 7 years to 10 years. And so now this book is -- we are entering the fourth year. Almost this book is coming at a steady -state basis. So we see roughly gross NPA in other mortgage loans will remain somewhere between 1% to 1.25% around. And the home loan book will remain less than 1% around, basically. So this is now almost at maturity level of gross NPA in both class of book.
Raghav Garg : Understood. You're saying it's more of a normalization rather than...
Ghanshyam Rawat : Yes. With the maturity of the asset life
Raghav Garg : Right. And sir, just -- sorry, one last question. Your share of variable rate book has been going up. So do you think that, that would be a risk in terms of, say, probably your balance transfer?
Ghanshyam Rawat : No. I think we don't see in this fashion, variable or fixed. The variable, fixed books depend upon what liability we source from the market, what opportunity available on the side and what deployed on the asset side. What we see in the asset side, accordingly we raise the liability. That is -- we don't take a risk in a floating and fixed while managing our ALM.
Raghav Garg : Understood. And sir, what was the BT-out for this quarter? Can you highlight that number and compare to what was that in Q1?
Sachinder Bhinder: Raghav, it is flatt ish. So it is 0.5 % per month. So coming to around on a yearly basis, 6%.
Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.
Shweta Daptardar : A couple of questions. Partially you did answer, bu t you mentioned the fact that now the systems are stabilizing and you're almost settling and this should happen by the year -end. So what is the disbursement run rate we should look forward to, especially in the light of H2

being slightly better than H1?
Sachinder Bhinder: I think, Shweta, we've always guided on the AUM growth that we'll be in the range of 20 % to 25 percentage. So I think from a perspective of quarter -on-quarter growth, you see in the
 quarter 2 growing on the quarter 1 at around 18 %. So we l ook at a moderated calibrated growth in the coming quarters, considering the two aspects, which I talked on the call earlier , one is the management transition. And secondly, a big transformatio nal change in the tech side on three platforms all put together, actually.
Shweta Daptardar : Sure. That helps. And sir, secondly, a little bit on yields , sorry, I might sound repetitive. So we can imply that the repricing is completely behind, right? Because you are almost on the verge of cu stomer retention and therefore we have opted for a reduction rate . So the ability to pass on or the scope to pass on is limited from here on and therefore spreads would remain range bound , is that assessment correct?
Sachinder Bhinder: Yes. See, at this pe riod of time, whatever was the last pass -on that happened. Subsequent to that, there's nothing which has increased on the PLR side. So you're right on articulating that is there a possibility of pass -on? No, it is only whatever is the placement yield, whic h is there. And some part of it, which I talked about earlier on the result s in 11bps dip in the yield is the one that is on the retention side because we've been very cognizant of the fact that w

e retain
the good quality customers. So there, it results in a drop in the yields and some part of the competitive pressure on getting the new business. So it's a mix of both.
Shweta Daptardar : Okay. And sir, one last question. So the MSME or the Non mortgage mix , or the other home loan mix. Now if I just look at the percentage mix, more or less, it has remained steady. And industry is falling out for concerns on small -ticket lending. So I understand you had given an explanation last quarter. So anything, any red flags, any read -through? What is your reading on the ground?
Sachinder Bhinder: Shweta, as always, we've been there that we are in the business of cash flow -based underwriting. and all our loans are backed by the self -occupied residential mortgages or the commercial properties, most of them self -occupied residential mortgages. And typically, we are not there in any way in the unsecured segment or a small -ticket size loan.
And we are very cognizant of the fact that we don't depend on anything which is volatile, either from an income generation perspective, which is either subsidy based, which is dependent on weather gods or which is dependent on incomes which are volatile in nature. So this has been our basis of cash flow -based underwriting on this. So we don't see at this period of time, any red flags on th at segment.
Shweta Daptardar : So just one bit there because you mentioned that we are not subsidy -based dependent. So just the CLSS subsidy going behind most of the affordable housing finance players have seen flattish growth. And I understand that ours is a very small portfolio. So could you jus t describe how small has been our CLSS portfolio vis -a-vis competition? And of course, that has not impacted anywhere on the growth prospects for Aavas ,right?
Sachinder Bhinder: So we've never sold our product with subsidy commitment or used subsidy as ou r marketing tool because it is Govt’s prerogative. Moreover , the CLSS subsidy was stopped in Feb 2022 itself. So this can ’t be a factor to growth for any organization. Under PMAY there are other
 schemes still live and Aavas has done decent utilization of t he same to help unserved and underserved segments .
Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.
Renish : Sir, just two things. One is on the average ticket size on the disbursement level, which is at 1.3 million. So what is happening on that side? I mean, given our key focus area has always been less than 1 million ticket size. But when I look at the disbursement ticket s ize, it is as high as 1.3 million. So practically, it is 25%, 30% higher than what we have been doing. So maybe in Q2, if you can highlight the number of, like say, files logged in or maybe volume growth versus the ticket size growth, sir?
Ghanshyam Rawat : It is not so. I'll give the two point s here basically: one, if you see my non -home loan average ticket size last year H1 to this H1 has not change d . But in the home loan side, if you will observe that, started from Mumbai, then I think Delhi, Jaipur, i.e. State capitals and the big towns, we are seeing the p roperty prices also increasing.
And the thing we are seeing is, our ticket size in last 7-8 years didn't rose at all, basically. So it

is basically led by inflation, led by property prices. And we have seen some increase, almost, let's say, 10% increase in our h ome loan ticket size basically.
As a business model perspective, we are not seeing any change or we are not following any change in our strategy, continue to focus on the same market, same custom er base , and similar property profiles.
Renish: Got it. And sir, secondly, again, circling back to the sanction -to-disbursement ratio, which fell to 80% versus 90% earlier. So what are the reasons for this fall? I mean have

we tightened our
credit filters or how is it?
Sachinder Bhinder: See, it's a two bit: One is the kind of demand, which was there. And secondly, on the competitive pricing pressures, which we had to let it go and let it pass by, saying that kind of yield where competition was coming in. S o probably it is two -fold. As I said that we are there in the self -construction individual home loan category. And I think certain part of India is on the places we operate are were impacted by incessant rains, actually. So that also has stemmed the constr uction activity. So that was another one of the areas why it actually failed. So I think in the coming quarters, we will see that picking it up -- picking up in the coming quarters.
Renish: Got it, sir. And just last thing from my side, broadly on at the s trategy level over the medium term. So when we look at, sir, at least on the listed side, players are growing at 30% -plus. Our growth rate is -- or maybe we want to provide that 20%, 25%, around that number. So within these sub -segments, we'll be losing market share for sure. I mean when we look at or when we compel the growth. So how we internally look at it? I mean, are we okay to, let's say, lose some market share and grow our balance sheet the way we wan t? Or maybe once the system, etc, stabilize, aga in want to sort of come back to market and gain market share?
Sachinder Bhinder: So as always, it has been, as we have always put out that our guidance has been in the range of 20% to 25 % AUM growth. So we would not let any opportunity pass by when it come s to --

INTERNAL once the management transition and the tech transition is fully in place. And as we said that some of the states where we are already there, would like to build and grow, wherein the AUM growth would be in excess of what w e talk about on an average one.
Second is , the second level where it would be a moderated one, and that will help us to invest into the new states where we entered. So Renish, to put it in perspective, we would really capitalize the opportunity available at the stages where we find there are risk -adjusted returns and the quality and metrics fits our steady state, actually.
Renish : Okay. Got it. So we will not look at market share t rend at all, I mean, internally?
Sachinder Bhinder: So see, we are in that segment, probably , as we sai d that for us really to grow at our kind of metrics and our kind of things, which is 20 % to 25 % on the deals which we are. So you'll really appreciate that we are currently 15,000 -plus AUM. And on that base with a guided 20 % to 25 % growth with the kind of quality metrics, which we are talking about , GNP A of around 1%, 1-plus of less than 5 %. I think these are the metrics which have to bear on a long -term basis.
Moderator: Thank you. The next question is from the line of Sonal Gandhi from Centrum Broking. Please go ahead.
Sonal Gandhi So I have two questions . One is, if I look at your non -home loan portfolio , the disbursements for the year are up by about INR 415 crores and AUM is roughly up about INR 408 crores on a quarter -on-quarter basis, suggesting th at the repayment rate is very, very low. So can you please explain what has exactly happened over here?
Sachinder Bhinder : Sonal, can you articulate again. Your voice was wobbling and we were not able to get your question in right frame.
Sonal Gandhi : Okay. If I look at your non -home loan portfolio, okay, the disbursements in this segment is up by about INR415 crores on a quarter -on-quarter basis. Whereas the AUM is somewhere up by about INR 408 crores on a quarter -on-quarter basis. So suggesting that t he repayment rates are very, very low over here. So can you just explain what exactly has happened over here?
Ghanshyam Rawat : We are parking this question. I think we will come back to you. If we righ

tly understood, you
are telling that our disbursement o f Non-home loan is not reflecting in the AUM growth. Do you mean that?
Sonal Gandhi : What I'm trying to ask here is that basically the repayment rat es are very, very low over here?
Sachinder Bhinder : What are you referring to, Sonal, if you can be a little more specific ?
Ghanshyam Rawat : We didn't saw anything of this sort at our internal MIS and internal discussion s. We are not seeing any trend like this. T he similar repayment comes from home loan and non -home loan..
Sonal Gandhi : Let me just share this data with Ghanshyam and we can take this offline.

Ghanshyam Rawat : Yes, please. Send back some more detail to Ghanshyam Gupta, he will revert.
 (This question was taken up offline. It was noted that there was a computational error at the Analyst's end. Same was clarified and addressed .)

Sonal Gandhi : Sure. Another question that I had was on your turnaround time. So I mean whenever I've spoken to you in the past, you have been trying to get our TAT down from 11 days to 6 days . So in which fu nctions do we expect that the digitization would help us to reduce the turnaround time, whether it's underwriting or which feature basically will help us to get down this turnaround time?

Sachinder Bhinder: So underwriting piece would be the one, right. Se e, it is a multitude of all of them. Right from the starting, we have a control on what is getting built in, what is getting sourced and the very fact that tracking is there. So that's the first point. And secondly, earlier times also, which we highlighted is, because of this automation, because of the tech, we are able to really predict and able to convert in a reduced timeframe. And that really impacts our underwriting time.

See, again, it is facilitating and helping. It is not doing away with what we are hardwired for how to underwrite a SENP segment, actually, so to say. So this is a helping factor which reduces the turnaround time as a facilitating factor from a tech perspective.

Sonal Gandhi : Okay. And another question that I had was if I just calculat e the volumes. So you've given the average ticket size for the quarter and disbursements in home loans. So that is suggesting that if I look at home loan disbursements, t he ATS is up almost 19% of our Y -o-Y basis. And if I look at the disbursement all put in together, that is up 8%, suggesting that there is some volume decline that has happened over here. So again, is that purely because of the competition that the volumes are going down or how should I look at that number?

Sachinder Bhinder: So I think the increase in the ticket size what Ghanshyam ji earlier highlighted is because of the growth in regions like, new states like Karnataka, Maharashtra, and some of the centr al regions which is reflected in the increase in the ATS value. I think that's the only factor which we see as a growth. And other than that, we don't see anything which is by any planned way or by any strategic way which has made this happen actually.

Mod erator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : Yes. So just in terms of the productivity. So if we really look at it in terms of productivity per sales officer, it seems to be like less than maybe two files a month. So no doubt, overall debt has come off, plus there has been like the increase in ticket size, but not finally reflecting in terms of disbursements per branch. So maybe what could be the ideal level of disbursements may per sales f orce which we can look at it?

Because today, maybe , so if you can help in terms of what are the number of sales teams currently? And looking at almost like, say, INR400 crores, INR420-odd crores of disbursements, per file disbursements in the month seems to be quite low comp

ared to where we were historically and how we are addressing that, yes?
 Sachinder Bhinder : Kunal ,this gets bifurcated in two parts. And as you would really appreciate it and you have the full pulse of the market, I think the attrition at the RO level stability becomes concerning. As a result of this, there is a wobbly productivity count, which actually happens.

So I think steady state -- because it becomes very difficult to get into a predictable range -- on the one. Once the stability of the front line, which is the RO is there, where we see an increase from 2 to 3 and 3.5. So some of the ones where you have aging which is there, is in excess of that, but the ones where you have new forces come in, take time to really settle down and be productive.

Since we are into a direct distribution model and in the segment in which we operate, which is very different from the ones where typically an intermediary -driven kind of business operates.

So I think as a mix of both. One is the aging of the thing would be a little higher on the average side, whereas the new ones take time, plus the attrition on the front line. I think it's a mix of three which impacts the overall productivity.

But I'll tell you another point from an Aavas perspective , we are very conscious of the fact and we are trying to take measures, which will really help the frontline from a perspective of, one is really making them around the developmental side. So they are there on a longer tenure with us. And on the developmental side, when it comes to the career provision with Aavas.

So we have had special focus by our HR really to focus on these segments specifically, so to say. And that's been initiated in the previous quarter. So I think you'll see that some part of it compared to w hat we were there, first, which will really translate into both the health and performance.
Kunal Shah : Sure. But what would be the frontline sales team maybe in terms of the number today?
Sachinder Bhinder: So this is anything ranging 3,200.
Kunal Shah : Yes. So that's where I was coming at. So maybe if we look at 3,200 frontline staff and round about INR 420-odd crores of monthly disbursement run rate. Okay. So that's coming to like INR 13 lak hs, which is one loan, okay, per officer. So maybe whichever cu t we do, obviously, I agree in terms of the new recruitments could be there. They might not be so productive. But still like that number, 1 or maybe 1.5 seems to be quite low compared to where the entire industry is because everyone tends to target like 3 per month in terms of the disbursements, yes, at least, per sales officer.
Sachinder Bhinder: Kunal , that is one which is more of the intermediary ; we have direct distribution model & on the kind of quality and the rate which we have. So I'll tell you, from a perspective of higher than 15,000 files which get s log in every month. My login to disbursement ratio currently comes out at 5,000. So if you look at the login to disbursement , it is a 33 % . So if a guy has to disburse one file, he has to log in three to four files, actually. So that's the quality which is there. So if you're looking at it from a sourcing perspective, which is there. So for the same RO. probably from a log -in perspe ctive it is higher . But when it comes through real quality and the type which we do, I think it makes a difference where the drop comes actually, right?

INTERNAL So that's reflecting in the number of logins to disbursement , right? So as I talked about 15,000 to 5,0 00. You are talking about an average. So what happens is the frontline has a good amount of attrition, which is there. So the people who are there onboard, in the initial months, take a normal gestation time to really become active actually. So it

is norma lly in the range of
one month to 2.5 months, three months . So as a result of which it comes down.
Kunal Shah : Sure. Okay. And secondly, in terms of balance transfer, so no doubt, yields were lower, but that was largely because maybe some retention being do ne. If you can just highlight in terms of -- so the balance transfer, which we were seeing would have been after bargaining with the relatively lower price for them. So what would have been at the gross level? And finally, what you mentioned in terms of 0. 5%, okay, that would be at the net level. But is it like those numbers have gone up? And to what extent, maybe what proportion of the portfolio would we have lowered the prices for retention, yes?
Ghanshyam Rawat : Kunal, roughly 0.4% per month on an average basis as such we get repriced . It depends upon the various interest rate cycle where we are. But you see in the recent time, it's roughly 0.3 %- 0.4% of opening AUM per month basis book come s for the reprice basically.
Kunal Shah : Okay. 0.3%, 0.4% o n opening A UM That's helpful, yes.
Ghanshyam Rawat : When we do reprice, we generally charge repricing premium also from the customers, which generally take care of my first year loss on that repricing of the portfolio, basically.
Kunal Shah : Okay. Then in t erms of the gross, would it be fair to assume that 0.5% net, and we can just see like, okay, we have been able to retain and reprice lower for 0.4 -odd percent. So the request, which we would have got is still like 0.9% to 1 -odd percent?
Ghanshyam Rawat : Yes. That is steady state in the industry, basically. We are far better than industry in that count. Some of the assets which we got allowed, it is not only an account of, let's say, pricing. Some of the assets we got allowed also because of the loan demand is much higher than the property value and competition wants to take a call on those assets. So we allow these sort of assets also.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.
Shreepal Doshi : So my question was pertaining to your point where you said that there is some price competition that we are facing. Any color on any specific geographies where we are particularly facing this price -related competition?
Ghanshyam Rawat : It is not related to any area, any competition basically. Wherever in the market where we have seen ourself as seasoned out for three -year, four-year, five-year completed assets or those assets acquired have completed two-years to three -years with us basically . So sometimes it happens. Nothing specific to any geography, any asset class, any market.

INTERNAL Shreepal Doshi : Got it. And on the branches front, I wanted to understand when do we consider a branch as mature branch from the size perspective? And what percentag e of our branches are mature for us?
Ghanshyam Rawat : I think because home loan penetration of rural semi -urban market is very low. So it is difficult to say what is the maturity level because we believe in those markets, we have a huge runway.
From today also over the next 10 years, we can grow those markets, those geography a t 20% CAGR growth in those markets basically.
So because once we start in a market, then again, we continuously approach to 30 kilometers, then we approach to up to 50 kilo meters in that market. Yeah, from Profitability or Breakeven perspective, generally, it takes three months to six months in a smaller market. In the bigger market, it takes six months to nine months for breakeven perspective, that we can say.
Shreepal Dosh i: Three months to six months and six months to nine months?
Ghanshyam Rawat : Yes. For breakeven perspective.
Shreepal Doshi : Got it. And sir, the last question was pertaining to the other opex . So the other opex is up 25% sequentially. While

you have give n a lot of clarification on the employee opex . What led to this significant increase in other opex on a Q -on-Q basis?
Ghanshyam Rawat : I think it's a normal , nothing as such any specific reason for that thing basically. I think AUM book is also growing at 20%, 25% CAGR ,. Other Opex, include certain branch infra , certain IT and analytics expenses , we are doing a lot of investments towards that side basically for future growth perspective. So some of it is also coming on that account.
Shreepal Doshi : Okay. An d you have added four branches in the first half. So in second half, we should be adding another 15 branches as per the guidance...
Ghanshyam Rawat : Yes. we will add around 20 to 25 branches in the H2.
Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe : Just one on the liability side. What would be your book cost of funding as on September 30th ?
Ghanshyam Rawat : Now what we have declared in investor deck, whi ch is 7.86%, is exactly the same. If you will take outstanding liability, multiply with the rate of interest on that day, it is Sumproduct on that day.
Nischint Chawathe : Okay. And so incrementally, you're borrowing at 8.2%. So should we sort of assume tha t your cost of funding kind of inches up by maybe another 35 basis points from here?
Ghanshyam Rawat : Not exactly. There's two, three strategies playing around that, let's say, on the borrowing side in another six months around. As I mentioned earlier, we got a INR 1,000 crore s National Housing Bank sanction. That money is available for the next two quarters to three quarters. In this quarter, we didn't borrowed any money from the National Housing Bank.

INTERNAL So that wil l help us in the next two quarters to three to contain our borrowings -- it's a mixed bag of, let's say, bank borrowing, then NHB, then other markets. We are targeting one of the development fund institutions in the second half that will also come at a slig htly cheaper rate.
Then we put one more strategy in this, I think, most specifically the quarter 2, which will be replicated in the quarter 3, quarter 4 also.
We have borrowed certain money under pass-through certificate, which is 100%, let's say, ALM match borrowing basically, and which is coming almost 40 basis points to 50 basis points cheaper than normal bank borrowing.
So all three , four strategies, we have put up for . We have discussed in detail in ALCO and put up in practice in this quarter, and we will replicate the same for the next two quarters to three quarters. And so we think on an average, let's say, next two quarters, fresh borrowing should be -- incremental borrowing should be around somewhere 8% to 8.1%.
Nischint Chawathe : So we'll probably convert somewhere, I mean whatever a little bit higher from the current levels.
Ghanshyam Rawat : Yes, obviously, obviously. It will be higher than the current level.
Nischint Chawa the: Sure. And have you experimented with co -lending?
Ghanshyam Rawat : Yes, w e have a signed agreement with one or two banks. We are in the process, but we didn't see much value creation in overall value system.
Nischint Chawathe : Sure. Perfect. Got it. An d just one question to Sachinder was, if your sanction -to-disbursement ratio kind of normalizes to what we have seen in the previous quarters, what kind of a disbursement growth would that imply?
Sachinder Bhinder: See, Nischint, from that perspective, I t hink we should improve from the current levels. But as I said earlier also, I think two factors: one is the tech transformation. And second is the management transition, which is there. I think keeping this in mind, I think our conscious

effort in the couple of quarters would be to really calibrate and grow quarter -on-quarter. An

d --
but we are committed to the AUM growth of 20 % to 25 % in this quarter actually, so to say.
Moderator: Thank you. The next question is from the line of Sanket from DAM. Pleas e go ahead. There seems to be no response from the line of Sanket. We'll move to the next question. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande : Yes. I just wanted to understand, I thin k you mentioned about the better quality customers. So have you seen an uptick in our LTV numbers anywhere else & if you can capture that?
Sachinder Bhinder: Sorry, what you said? MT?
Pallavi Deshpande : LTV, Loan -To-Value . Have you seen an uptick, any uptick in that? Because you mentioned about wanting to keep the better quality customers

 Sachinder Bhinder: I think we have guided on the conventional parameters on which we have drawn upon. So there's nothing which is inchi ng up the LTVs, actually, so to say.
Ghanshyam Rawat : Yes. What Sachinder said, apart from that, historically or I think Aavas is selective in underwriting, undertaking a very calculated risk -adjusted price. Under that, we want to say, around 14,000 to 15, 000 IMD base d we source the file to be able to give output of 4,500 to 5,000 files basically. So that's our selection ratio remains. So due to that, it looks per RO-based disbursement is low, but a number of files he brings in the system is roughly four to five every month.
Sachinder Bhinder: Just to add on, the H1 FY'24 LTV ratio was around 54.8% , it's the same as like what H1 last year around 54.2%. So there's hardly any movement on that front, actually.
Pallavi Deshpande : Second was on this -- you said a bout the targetin g the development financial institutions. So what kind of requirements that you need to meet for getting the sanction from that side? And what's the kind of cost of borrowing you would expect?
Ghanshyam Rawat : As you know, we have already very existing long and strong relationship with the Asian Development Bank, International Fin ance Corporation, CDC. I think 5-6 round of funding we already taken in the last five years , six years. So it will be definitely cheaper than what we borrow locall y from domestic banks at a one-year MCLR. But it also had a lot of value in the systems also basically.
Pallavi Deshpande : Right, sir. And what kind of , generally as a percentage of your total borrowing , what is the kind you targeting?
Ghanshyam Rawat : Roughly, we are 15% on development financial institutions. And as we grow, we will maintain 10% to 15% from development financial institutions.
Pallavi Deshpande : You don't see that growing beyond because as we've grown in size, you don't see that increasing?
Ghanshyam Rawat : I think , then we will explore some other market also basically. Now we are AA entity. We think another 12 months to 18 months, our rating upgrade may happen. So that then we can raise more money from domestic large insurance companies, pr ovident fund, retirement funds basically. So another opportunity will be there to raise more fund. Recently, we raised Pass-Through Certificates , PTCs, again, coming as a preferred route, which is more competitive ly priced.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to Mr. Sachinder Bhinder, MD and CEO of the company, for closing comments.
Sachinder Bhinder: Ladies and gentlemen, as we conclude today's earnings call, I would like to express my heartfelt gratitude to each one of you for our participation and engagement. The dedication and commitment of our team, the trust and support of our stakeholders , and the loyalty of our valued customers have been instrumental in our growth story .

 Looking ahead, I want to emphasize that we will continue to maintain our sharp focus on governance, asset quality, profitability, growth, leveraging technology , and creating a superior customer experience. We remain optimistic about the future and are co nfident that our strategic initiatives will continue to drive sustainable growth and shareholder value. Once again, thank you for your ongoing support and belief in our vision.
If you have any further questions or require additional information, please fee l free to reach

out to our Investor Relations team. Thank you, and have a wonderful week ahead and wish you
a very happy and prosperous Diwali and festivities ahead . Thanks. God bless.
Moderator: Thank you very much. On behalf of Aavas Financiers Limited, that concludes this conference.
Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines .

Call: Nov 2023

CONFIDENTIAL
Ref.No. AAVAS/SEC/2023 -24/711
Date: Novem ber 02, 2023

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the q uarter and half year ended September 30, 2023 .
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to our letter dated October 18, 2023 bearing reference number Ref. No. AAVAS/SEC/2023 -24/669, please find enclosed the transcript of the Earnings Con ference Call on the Financial and Operational p erformance of the Company for the quarter and half year ended September 30, 2023 held on Friday, October 27 , 2023.
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take the same on your record.
Date and time of occurrence of event/information: October 27, 2023 and Earning Conference Call commenced at 03:30 P.M.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND CHIEF COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited
Q2 FY'2 4 Earnings Conference Call"
October 27, 202 3

MANAGEMENT : MR. SACHINDER BHINDER – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – AAVAS FINANCIERS LIMITED
MR. GHAN SHYAM RAWAT – PRESIDENT AND CHIEF FINANCIAL OFFICER – AAVAS FINANCIERS LIMITED
MR. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK OFFICER – AAVAS FINANCIERS LIMITED
MR. SIDDHARTH SRIVASTAVA – CHIEF BUSINESS OFFICER – AAVAS FINANCIERS LIMITED
MR. SURENDRA SIHAG – CHIEF COLLECTION OFFICER – AAVAS FINANCIERS LIMITED
MR. RIPUDAMAN BANDRAL – CHIEF CREDIT OFFICER – AAVAS FINANCIERS LIMITED
MS. JIJY OOMMEN – CHIEF TECHNOLOGY OFFICER – AAVAS FINANCIERS LIMITED
MR. ANSHUL BHAR GAVA – CHIEF PEOPLE OFFICER –

AAVAS FINANCIERS LIMITED
MR. RAJARAM BALASUBRAMANIAM – CHIEF STRATEGY
OFFICER AND HEAD OF ANAL YTICS – AAVAS FINANCIERS
LIMITED
MR. GHANSHYAM GUPTA – INVESTOR RELATIONS –
AAVAS FINANCIERS LIMITED

INTERNAL Moderator: Ladies and gentlemen, good day, and welcome to Aavas Financiers Limited Q2 FY '2 4 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of futur e performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you nee d assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this call is being recorded.
I now hand the conference over to Mr. Sachinder Bhinder, Managing Director and CEO of Aavas Financier s Limited. Thank you, and over to you, sir.
Sachinder Bhinder : Thank you. Good afternoon, ladies and gentlemen. Thank you for participating in the earnings call to discuss the performance of the company for Q2 and H1 FY 2024. With me I have Ghanshyam Rawat - President and CFO , Ashutosh Atre - President and CRO , Siddharth Srivastava - Chief Business Officer , Surendra Sihag - Chief Collection Officer , Ripudaman Bandral - Chief Credit Officer , Jijy Oommen - Chief Technology Officer , Anshul Bhargava - Chief Peo ple Officer , Rajaram Balasubramaniam Subramanian - Chief Strategy Officer and Head of Analytics , Ghanshyam Gupta - Investor Rela tions; and SGA - our IR advisor.
The results and the presentation are available on the stock exchanges as well as on our company website, and I hope everyone has had a chance to look at it. We are committed to support and strengthen the long -term Aavas Vision 3.0. I take this opportunity to thank all our stakeholders for their continued trust and support.
For Q2 FY 2024, we disbursed INR 12,585 million, registering an 18 % growth Q-o-Q and 10% Y-o-Y growth. We continue to grow in a calibrated manner, registering AUM growth of 22% as of Sept ember 2023. Further, Opex ratio has witnessed gradual moderation from 3.79% in the last quarter to 3.65% in H1 FY 2024. While maintaining our operating metrics, we delivered a PAT of INR 2,313 million, translating into a growth of 18 % Y-o-Y for H1 FY 2024.
While we continue to borrow judiciously, we raised around INR 30,761 million at 8.19 % during H1 FY 2024. As of 30th September 2023, we maintained a sufficient liquidity of INR 50,037 million in form of cash and cash equivalents & unavailed cash credit limit of INR 20,987 million and unavailed document sanctions of INR 29,050 million, including INR 10,000 million from the National H ousing Bank.
We are undergoing an accelerated digital transformation with the adoption of best -in-class technologies like Salesforce , i.e. LOS, Oracle FLEXCUBE which is LMS, and Oracle Fusion , i.e. ERP. We have successfully rolled out and stabilized Phase -1 of Salesforce . Oracle Fusion ERP-GL went live in September 2023 under hypercare. The new loan manage ment system on the FLEXCUBE is currentl y under testing and migrations.

INTERNAL I would now hand over the line to Ghanshyam Rawat, President and CFO, to discuss the financials in detail.
Ghanshyam Rawat : Thank you, Sachinder ji. Good afternoon, everyone, and a warm welcome to our earning call. As on 30th September 2023, an average borrowing cost of 7.86% against an average portfolio yield of 13.15% resulted in a spread of 5.29%. We have been able to maintain our spread above 5% despite competitive pricing pressures. As on 30th September 2023, total number of live accounts stood at 1 ,98,947, translating into 19% year -on-year growth. Total number of branch count was 350 with four new branches

being added in first half of FY '24. E mployee count was at 5,731.
Assets unde r Management grew at 22.1% year -on-year to INR 1,53,195 million as on 30th

September 2023.
■ Product -wise breakup : Home loan - 69.7%; Other mortgage loan - 30.3%.
■ Occupation -wise breakup : Salaried - 40.1%, Self-employed - 59.9%.
IGAAP to IndAS reconciliation has been explained in detail for Profit after tax and Networ th on slide number 32 and 34 of the presentation.
On the borrowing side, there is excess of diversified and cost -effective long -term financing, very strong relationship with development financial institutions. Total outstanding borrowing as on 30th September 2023 stood at INR 1,40,843 million. Overall borrowing mix as of 30th September 2023 is 49.6% of term loan, 20.8% from assignment and securitization, 18.3% from National Ho using Bank , and 11.4% from debt capital market.
Lender support continued to remain extremely strong. Liquidity of INR 50,037 million as of 30th September 2023. Cash and cash equivalent of INR 19,887 million, unavailed CC limit of INR 1,100 million, documented and unavailed sanctions from National Housing Bank INR 10,000 million, and other banks INR 19,050 million.
Profitability : Profit after tax increased by 17.9 % year-on-year to INR 2,313 million for the H1 FY 2024. ROA was 3.25% and return on equity was 13.6 4% for H1 FY 2024. As on 30th September 2023, we are very well capitalized with a net worth of INR 35,136 million and capital adequacy ratio at 48.16%. Our book value per share stood at INR 444.1 .
Now I would like to hand over the line to Ashutosh ji, President and CRO, to discuss the assets quality.
Ashutosh Atre: Thank you, Ghanshyam ji. The key portfolio risk parameters :-
Asset quality and provisioning : One day pas s due stood at 3.58% in H1 FY20 24 as against 4.45% at the H1 of last year. Gross Stage 3 stood at 1.04%, and Net Stage 3 stood at 0.76% as of 30th September 2023. Gross Stage 3 of 1.04% includes 0.13% of up to 90 DPD assets, which have been categorized as GNPA following RBI notificatio n dated 12th November, 2021.
During FY 2022, our resolution plan was implemented for certain borrower accounts as per RBI Resolution Framework 2.0 dated 5th May 2021. Basis the perceived risk and as a matter of

INTERNAL prudence, some such accounts with an outstanding amount of INR 779.6 million as on 30th September 2023 have been classified as Stage 2 and provided for as per regulatory guidelines.
Out of INR 779.6 million, INR 575.3 million is into 0-30 DPD bucket.
Total ECL provisioning, including that for COVID -19 impact as well as Resolution Framework 2.0 stood at INR 797.3 million as of 30th September 2023. Total write -offs stood at INR 20 million in H1 FY 2024. Aavas continues to maintain a pr istine asset portfo lio quality.
With this, I open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mayank Agarwal from InCred Capital. Please go ahead.
Mayank Agarwal : Congrats for the good set of numbers. My first question is on employee cost. So we have witnessed low employee cost this quarter. Any specific reason for that? And what share of the reduction can be attributed to the employee count? Can you please also let us know what is the employee count this quar ter? This is my first question.
My second question is whether the reduction in the employee count is temporary or it’s something structural, which is led by the technology implementation? Yes. Those were the two questions fo r me.
Ghanshyam Rawat : Yes. Thanks, Mayank. On employee cost, employee count is the same, as it was in the first quarter or in the same quarter. And if there is a certain reduction in the employee cost , that is mainly on account of the fact that in the las t quarter, some on

e -time cost was there on account of incentive , bonus and one of the senior SMP got resigned in that quarter. Apart from that, I think it's a steady state on employee cost now.
Mayank Agarwal : So okay, the trend would continue. Okay. And my second question is on your yield. So you have reported a 10 bps of decline this quarter. Is it due to the low rates on the new loans or a reduction in the loan rate of the existing customer s?
Sachinder Bhinde r: Mayank, this is Sachinder. This is partly because of the rate reduction on holding on to our existing customer and part is on the new placement, both put together has resulted in the drop in the yield.
Mayank Agarwal : So is it because of the increase in competition intensity, which we are witnessing because on the one end, cost of borrowing is increasing and we are witnessing the yield decline? And what could be the trend going forward on the margin? So basically, what will be your margin outlook? And un til what we would be comfortable of keeping the excess liquidity? And what is the margin outlook for FY '24?
Sachinder Bhinder: So as we have been saying that we were able to maintain the spreads at 5% and above. So it is

currently around 5.29%, our endeav or is there. But what we are trying to do is that the good customers are there. We don't want to let them go. So partly because of rate reduction on that side and some part and some bit on the pricing pressure on the new acquisition, so to say , it's a mix of both.
 So from a guided perspective, I think we will try to maintain in the range of 5 % as far as concerned despite and in spite of the cost of borrowings going up, actually. That would be our endeavor, and that's our aim, actually.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Sir, first question on disbursements. In the first quarter earnings call, you had shared that large part of the teething issues were behind and things have stabilized in June and June disbursements had grown 17% year -over-year. Sir, but if I look at the second quarter disbursements, they are up just about 10% year -over-year.
So what would you attribute this to? Is it that mortgages, especially low er ticket size is going through some kind of a slowdown? Or would you say that this could be the lagged impact of the withdrawal of the CLSS subsidy? Or is it just the competitive landscape, which is attributing to this sluggish disbursement growth? If no ne of these, was it again from teething issues from the digital transformation, which led to lower disbursement growth?
Sachinder Bhinder: Thanks , Abhijit. I think we will have to see that quarter -on-quarter we had an 18 % growth, whilst we are cognizant of the fact that there was a lagged impact compared to the previous year. But I think from a perspective of this, we will be guided in that range. And on the AUM base, we'll continue to be in the 20 % to 25 % range.
Secondly, there is a certain amount of lagge d impact of sanctions not getting converted to disbursement. So if we were to really look at the earlier Sanction to Disbursement ratios, they have sequentially actually dropped from 90 % to 80 % actually, so to say. So there is some amount of the pickup, which was there on that side, which were not get converted actual ly.
And further , on the technology transformation, we are out of the ports , but if you want guidance with the transition which is happening in the institution, a couple of quarters to really settle that out on a perfect basis because we got into the second phase of technology transformation, which is LMS and ERP. And we are taking this year as full year for taking the entire completi on of transformation, actually, so to say.
Abhijit Tibrewal : Got it, sir. So by the end of this year, you're sugg

esting this digital or technology transformation will be completed , including the LMS and the ERP?
Sachinder Bhinder: Yes, that's our target, a ctually, Abhijit.
Abhijit Tibrewal : Got it. And sir, the lagged impact that you were explaining of sanctions not getting converted to disbursements. I heard you right where you said earlier, we had 90% conversion of sanction to disbursement; right now it's dropped to about 80%?
Sachinder Bhinder: Yes, right.
Abhijit Tibrewal : Got it. Sir, second thing, again, kind of going back to the margins, if I look at your reported numbers from 3M FY '24 to 6M FY '24, you have reported margins of 8%, which are flat. So
 sir, if you kind of go to your P&L, look at the net interest income line, excluding the assignment income gain, sequentially we are seeing a decline from INR 226 crores in the first quarter to INR 222 crores in the second quarter. What would explain that, given that, I mean, our book has grown -- I mean, on a calculated basis, there is a good 40 basis points de cline in margins in the quarter?
Ghanshyam Rawat : Yes. Abhijit, I think we will see in d etail those numbers but largely, it is only on account of -- you will see Q1 to Q2, we have seen a decline in the portfolio yield, which is 11 -12 basis points, which is, I think, has mainly impacted on that line item. Apart from that, I think we don't see any sort of effect in there.
Abhijit Tibrewal : Got it. Sir, and one last question. There seems to be a lot of volatility in our employee expenses line. I recall we had shared even last quarter that in 1Q FY '24, we had one -offs in employee expenses of almost INR 1 crore, INR 1.5 crores due to KMP retiral benefit. I think before that in Q4 FY23 , we had a reversal of INR 5 crores on ESOP expenses. Subsequently, we had taken an ESOP charge of INR 7 crores in 1Q FY '24. During this quarter, I mean, from an ESOP perspective, were there any reversals, if you can quantify that? A nd going forward, I

mean, how should we look at the employee expense segment?
Ghanshyam Rawat : See, employee cost is seen in two ways: first thing, employee count is where , as I mentioned, we are at a steady state -- same count of employees there in the la st two quarters. So yes, annual increments and all these things has taken place in the first quarter. So that impact comes . So for s ome of the things impact come in the first quarter and now in second quarter the full impact is there, basically.
Yes, ESOP expense s depend upon the two factors. If any new schemes comes, then extra cost comes in from that quarter to period until the schemes run basically. And if there is any sort of, let's say, attrition in the employees. So for that, the remaining costs also goes off in that quarter from the P&L side basically. So those are basically accounting principles, which everybody need to follow. Apart from that, I think we don't have any sort of extra explanations on the employee cost.
Abhijit Tibrewal : Got it, Ghansh yam ji. And sir, in the interest of tim e, I just wanted to squeeze in one last question for Sachinder sir. I mean, again, going back to the disbursements, I just wanted to understand, today, if I look at some of your listed peers, unlisted peers, right, th ere are listed peers, almost half your balance sheet size doing 78% to 85% of the quarterly disbursements that you are doing. I understand you've gone through some management change and we're going through a tech transformation. By when should we expect th at we'll kind of start achieving disbursements that you internally aspire for?
Sachinder Bhinder: Thanks, Abhijit. And you rightly articulated, I think the two points . One, we've envisaged on the transition on the management side as well as on the tech sid e. I think you have to bear with us for a couple of quarters. There is a fact that b

uilding the right foundation, will see the performance based on the current set of things, both on the tech transformation, which we see and which we have embarked on the j ourney, along with the management transition. I think, give us a couple of quarters, and you'll see that back in action.
 But I think you have to be cognizant of the fact that despite a big transformational change from a tech perspective, we've been able to weather that out compared to what the peers or others would have done in our space. So I would request a couple of quarters to bear with us for . We again would endeavor for a calibrated muted growth, but not that we'll come back in a couple of quarters back on track on what we are there on the range.
But again, we get guided on the quality of what you have to really embark on is that some of the par ameters on the health side continue to be very robust on the quality parametric, on the metrics of controlling costs wherever it is possible. And from a perspective of delivering the pristine quality of the base which we are noted for. I think it's a mix o f both. I think we will be in a strong position to come back on the base of what we are there at this period of time.
Moderator: Thank you. The next question is from Raghav Garg from AMBIT Capital. Please go ahead.
Raghav Garg : One very specific question. You had a spread of 5.29% this quarter. Do you expect that this could decline further in the second half? Or will this remain at this level?
Sachinder Bhinder: So I think we have guided, Raghav, with the spread of keeping it around 5%. I think it's a mix of the kind of cost of borrowing, which is the one, which is one input, which is beyond our control. Our endeavor is to be remaining in the range on level of around 5 %. So that's been our endeavor.
Raghav Garg : Sir, I'm coming more from a place where I'm tr ying to understand what is the competitive intensity as far as pricing is concerned. When we look at some of the larger players, they haven't really concerned on pricing. It remains as low as, say, until about 9 months to 10 months ago. So should we expect that even in the second half, your pricing will remain impacted because of competition? And hence, that is something that will weigh on your spreads, and therefore, it will be lower than 5.29%?
Sachinder Bhinder: So as we say we will remain above 5 %. That's what we have been guiding.
Raghav Garg : Sure. Sir, just on your securitization margin also. So in Q2 of FY '23, we had a gross upfront income on the assignment of about INR494 million, it has come down to INR466 million.
Why would that be the case?
Ghanshyam Rawat : Basically , it depends upon the volume of assignment you do basically . And what sort of assets you assign and what is yield of assets ' assignment? Two, three factors determine that overall how upfr onting income comes basically. Apart from t his, accounting…
Raghav Garg : Sorry, assignment volumes have increased Y -o-Y, right?
Ghanshyam Rawat : Yes. asset classes also make a difference. What interest yield assets we sold at that point of time and what interest yield assets ' we sold this time basically, so both make a difference in that account.
Raghav Garg : Sure. And on the reversal of the income, which was recognized earlier on the assigned pool,

right? That has also increased to about INR 335 million. So that would probabl y be because

INTERNAL some of the assumptions that you would have made earlier have not played out or have played out adversely. So can you highlight some of the nuances which would have impacted such a reversal?

Ghanshyam Rawat : Yes, that is not a major impact of reversal. And it's not as volume got increased, so the reversal also won't get increased every quarter, basically. What assig

nment I had done in the, let's say, Q1 or let's say, Q4 of the last year, so those will have a full impact of reversal in this quar ter basically.

Raghav Garg : Understood, sir. Sir, my last question is on Non-HL book. So that's been growing at a fairly healthy clip, 30% for the last several quarters n ow, but we see that since the last two quarters, the NPAs are also increasing in that book. Anything to read into this as to why the NPAs are increasing on this book?

Ghanshyam Rawat : I think , now you see we give all the mortgage backed loan, average tenor is generally 7 years to 10 years. And so now this book is -- we are entering the fourth year. Almost this book is coming at a steady -state basis. So we see roughly gross NPA in other mortgage loans will remain somewhere between 1% to 1.25% around. And the home loan book will remain less than 1% around, basically. So this is now almost at maturity level of gross NPA in both class of book.

Raghav Garg : Understood. You're saying it's more of a normalization rather than...

Ghanshyam Rawat : Yes. With the maturity of the asset life

Raghav Garg : Right. And sir, just -- sorry, one last question. Your share of variable rate book has been going up. So do you think that, that would be a risk in terms of, say, probably your balance transfer?

Ghanshyam Rawat : No. I think we don't see in this fashion, variable or fixed. The variable, fixed books depend upon what liability we source from the market, what opportunity available on the side and what deployed on the asset side. What we see in the asset side, accordingly we raise the liability. That is -- we don't take a risk in a floating and fixed while managing our ALM.

Raghav Garg : Understood. And sir, what was the BT-out for this quarter? Can you highlight that number and compare to what was that in Q1?

Sachinder Bhinder: Raghav, it is flatt ish. So it is 0.5 % per month. So coming to around on a yearly basis, 6%.

Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar : A couple of questions. Partially you did answer, bu t you mentioned the fact that now the systems are stabilizing and you're almost settling and this should happen by the year -end. So what is the disbursement run rate we should look forward to, especially in the light of H2 being slightly better than H1?

Sachinder Bhinder: I think, Shweta, we've always guided on the AUM growth that we'll be in the range of 20 % to 25 percentage. So I think from a perspective of quarter -on-quarter growth, you see in the

INTERNAL quarter 2 growing on the quarter 1 at around 18 %. So we l ook at a moderated calibrated growth in the coming quarters, considering the two aspects, which I talked on the call earlier , one is the management transition. And secondly, a big transformatio nal change in the tech side on three platforms all put together, actually.

Shweta Daptardar : Sure. That helps. And sir, secondly, a little bit on yields , sorry, I might sound repetitive. So we can imply that the repricing is completely behind, right? Because you are almost on the verge of cu stomer retention and therefore we have opted for a reduction rate . So the ability to pass on or the scope to pass on is limited from here on and therefore spreads would remain range bound , is that assessment correct?

Sachinder Bhinder: Yes. See, at this pe riod of time, whatever was the last pass -on that happened. Subsequent to that, there's nothing which has increased on the PLR side. So you're right on articulating that is there a possibility of pass -on? No, it is only whatever is the placement yield, whic h is there. And some part of it, which I talked about earlier on the result s in 11bps dip in the yield is the one that is on the retention side because we've been very cognizant of the fact that w

e retain the good quality customers. So there, it results in a drop in the yields and some part of the competitive pressure on getting the new business. So it's a mix of both.

Shweta Daptardar : Okay. And sir, one last question. So the MSME or the Non mortgage mix , or the other home loan mix. Now if I just look at the percentage mix, more or less, it has remained steady. And industry is falling out for concerns on small -ticket lending. So I understand you had given an explanation last quarter. So anything, any red flags, any read -through? What is your reading on the ground?

Sachinder Bhinder: Shweta, as always, we've been there that we are in the business of cash flow -based underwriting. and all our loans are backed by the self -occupied residential mortgages or the commercial properties, most of them self -occupied residential mortgages. And typically, we are not there in any way in the unsecured segment or a small -ticket size loan.

And we are very cognizant of the fact that we don't depend on anything which is volatile, either from an income generation perspective, which is either subsidy based, which is dependent on weather gods or which is dependent on incomes which are volatile in nature. So this has been our basis of cash flow -based underwriting on this. So we don't see at this period of time, any red flags on th at segment.

Shweta Daptardar : So just one bit there because you mentioned that we are not subsidy -based dependent. So just the CLSS subsidy going behind most of the affordable housing finance players have seen flattish growth. And I understand that ours is a very small portfolio. So could you jus t describe how small has been our CLSS portfolio vis -a-vis competition? And of course, that has not impacted anywhere on the growth prospects for Aavas ,right?

Sachinder Bhinder: So we've never sold our product with subsidy commitment or used subsidy as ou r marketing tool because it is Govt's prerogative. Moreover , the CLSS subsidy was stopped in Feb 2022 itself. So this can 't be a factor to growth for any organization. Under PMAY there are other

INTERNAL schemes still live and Aavas has done decent utilization of t he same to help unserved and underserved segments .

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish : Sir, just two things. One is on the average ticket size on the disbursement level, which is at 1.3 million. So what is happening on that side? I mean, given our key focus area has always been less than 1 million ticket size. But when I look at the disbursement ticket s ize, it is as high as 1.3 million. So practically, it is 25%, 30% higher than what we have been doing. So maybe in Q2, if you can highlight the number of, like say, files logged in or maybe volume growth versus the ticket size growth, sir?

Ghanshyam Rawat : It is not so. I'll give the two point s here basically: one, if you see my non -home loan average ticket size last year H1 to this H1 has not change d . But in the home loan side, if you will observe that, started from Mumbai, then I think Delhi, Jaipur, i.e. State capitals and the big towns, we are seeing the p roperty prices also increasing.

And the thing we are seeing is, our ticket size in last 7-8 years didn't rose at all, basically. So it is basically led by inflation, led by property prices. And we have seen some increase, almost, let's say, 10% increase in our h ome loan ticket size basically.

As a business model perspective, we are not seeing any change or we are not following any change in our strategy, continue to focus on the same market, same custom er base , and similar property profiles.

Renish: Got it. And sir, secondly, again, circling back to the sanction -to-disbursement ratio, which fell to 80% versus 90% earlier. So what are the reasons for this fall? I mean have

we tightened our credit filters or how is it?

Sachinder Bhinder: See, it's a two bit: One is the kind of demand, which was there. And secondly, on the competitive pricing pressures, which we had to let it go and let it pass by, saying that kind of yield where competition was coming in. S o probably it is two -fold. As I said that we are there in the self -construction individual home loan category. And I think certain part of India is on the places we operate are were impacted by incessant rains, actually. So that also has stemmed the constr uction activity. So that was another one of the areas why it actually failed. So I think in the coming quarters, we will see that picking it up -- picking up in the coming quarters.

Renish: Got it, sir. And just last thing from my side, broadly on at the s trategy level over the medium term. So when we look at, sir, at least on the listed side, players are growing at 30% -plus. Our growth rate is -- or maybe we want to provide that 20%, 25%, around that number. So within these sub -segments, we'll be losing market share for sure. I mean when we look at or when we compel the growth. So how we internally look at it? I mean, are we okay to, let's say, lose some market share and grow our balance sheet the way we wan t? Or maybe once the system, etc, stabilize, aga in want to sort of come back to market and gain market share?

Sachinder Bhinder: So as always, it has been, as we have always put out that our guidance has been in the range of 20% to 25 % AUM growth. So we would not let any opportunity pass by when it come s to --

 once the management transition and the tech transition is fully in place. And as we said that some of the states where we are already there, would like to build and grow, wherein the AUM growth would be in excess of what w e talk about on an average one.
Second is , the second level where it would be a moderated one, and that will help us to invest into the new states where we entered. So Renish, to put it in perspective, we would really capitalize the opportunity available at the stages where we find there are risk -adjusted returns and the quality and metrics fits our steady state, actually.
Renish : Okay. Got it. So we will not look at market share t rend at all, I mean, internally?
Sachinder Bhinder: So see, we are in that segment, probably , as we sai d that for us really to grow at our kind of metrics and our kind of things, which is 20 % to 25 % on the deals which we are. So you'll really appreciate that we are currently 15,000 -plus AUM. And on that base with a guided 20 % to 25 % growth with the kind of quality metrics, which we are talking about , GNP A of around 1%, 1-plus of less than 5 %. I think these are the metrics which have to bear on a long -term basis.
Moderator: Thank you. The next question is from the line of Sonal Gandhi from Centrum Broking. Please go ahead.
Sonal Gandhi So I have two questions . One is, if I look at your non -home loan portfolio , the disbursements for the year are up by about INR 415 crores and AUM is roughly up about INR 408 crores on a quarter -on-quarter basis, suggesting th at the repayment rate is very, very low. So can you please explain what has exactly happened over here?
Sachinder Bhinder : Sonal, can you articulate again. Your voice was wobbling and we were not able to get your question in right frame.
Sonal Gandhi : Okay. If I look at your non -home loan portfolio, okay, the disbursements in this segment is up by about INR415 crores on a quarter -on-quarter basis. Whereas the AUM is somewhere up by about INR 408 crores on a quarter -on-quarter basis. So suggesting that t he repayment rates are very, very low over here. So can you just explain what exactly has happened over here?
Ghanshyam Rawat : We are parking this question. I think we will come back to you. If we righ

tly understood, you
are telling that our disbursement o f Non-home loan is not reflecting in the AUM growth. Do you mean that?
Sonal Gandhi : What I'm trying to ask here is that basically the repayment rat es are very, very low over here?
Sachinder Bhinder : What are you referring to, Sonal, if you can be a little more specific ?
Ghanshyam Rawat : We didn’t saw anything of this sort at our internal MIS and internal discussion s. We are not seeing any trend like this. T he similar repayment comes from home loan and non -home loan..
Sonal Gandhi : Let me just share this data with Ghanshyam and we can take this offline.
Ghanshyam Rawat : Yes, please. Send back some more detail to Ghanshyam Gupta, he will revert.
 (This question was taken up offline. It was noted that there was a computational error at the Analyst’s end. Same was clarified and addressed .)
Sonal Gandhi : Sure. Another question that I had was on your turnaround time. So I mean whenever I've spoken to you in the past, you have been trying to get our TAT down from 11 days to 6 days . So in which fu nctions do we expect that the digitization would help us to reduce the turnaround time, whether it's underwriting or which feature basically will help us to get down this turnaround time?
Sachinder Bhinder: So underwriting piece would be the one, right. Se e, it is a multitude of all of them. Right from the starting, we have a control on what is getting built in, what is getting sourced and the very fact that tracking is there. So that's the first point. And secondly, earlier times also, which we highlighted is, because of this automation, because of the tech, we are able to really predict and able to convert in a reduced timeframe. And that really impacts our underwriting time.
See, again, it is facilitating and helping. It is not doing away with what we are hardwired for how to underwrite a SENP segment, actually, so to say. So this is a helping factor which reduces the turnaround time as a facilitating factor from a tech perspective.
Sonal Gandhi : Okay. And another question that I had was if I just calculat e the volumes. So you've given the average ticket size for the quarter and disbursements in home loans. So that is suggesting that if I look at home loan disbursements, t he ATS is up almost 19% of our Y -o-Y basis. And if I look at the disbursement all put in together, that is up 8%, suggesting that there is some volume decline that has happened over here. So again, is that purely because of the

competition that the volumes are going down or how should I look at that number?
Sachinder Bhinder: So I think the increase in the ticket size what Ghanshyam ji earlier highlighted is because of the growth in regions like, new states like Karnataka, Maharashtra, and some of the centr al regions which is reflected in the increase in the ATS value. I think that's the only factor which we see as a growth. And other than that, we don't see anything which is by any planned way or by any strategic way which has made this happen actually.
Mod erator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah : Yes. So just in terms of the productivity. So if we really look at it in terms of productivity per sales officer, it seems to be like less than maybe two files a month. So no doubt, overall debt has come off, plus there has been like the increase in ticket size, but not finally reflecting in terms of disbursements per branch. So maybe what could be the ideal level of disbursements may per sales f orce which we can look at it?
Because today, maybe , so if you can help in terms of what are the number of sales teams currently? And looking at almost like, say, INR400 crores, INR420-odd crores of disbursements, per file disbursements in the month seems to be quite low comp

ared to where
we were historically and how we are addressing that, yes?

INTERNAL Sachinder Bhinder : Kunal ,this gets bifurcated in two parts. And as you would really appreciate it and you have the
full pulse of the market, I think the attrition at the RO level stability becomes concerning. As a result of this, there is a wobbly productivity count, which actually happens.
So I think steady state -- because it becomes very difficult to get into a predictable range -- on the one. Once the stability of the front line, which is the RO is there, where we see an increase from 2 to 3 and 3.5. So some of the ones where you have aging which is there, is in excess of that, but the ones where you have new forces come in, take time to really settle down and be productive.
Since we are into a direct distribution model and in the segment in which we operate, which is very different from the ones where typically an intermediary -driven kind of business operates.
So I think as a mix of both. One is the aging of the thing would be a little higher on the average side, whereas the new ones take time, plus the attrition on the front line. I think it's a mix of three which impacts the overall productivity.
But I'll tell you another point from an Aavas perspective , we are very conscious of the fact and we are trying to take measures, which will really help the frontline from a perspective of, one is really making them around the developmental side. So they are there on a longer tenure with us. And on the developmental side, when it comes to the career provision with Aavas.
So we have had special focus by our HR really to focus on these segments specifically, so to say. And that's been initiated in the previous quarter. So I think you'll see that some part of it compared to w hat we were there, first, which will really translate into both the health and performance.
Kunal Shah : Sure. But what would be the frontline sales team maybe in terms of the number today?
Sachinder Bhinder: So this is anything ranging 3,200.
Kunal Shah : Yes. So that's where I was coming at. So maybe if we look at 3,200 frontline staff and round about INR 420-odd crores of monthly disbursement run rate. Okay. So that's coming to like INR 13 lak hs, which is one loan, okay, per officer. So maybe whichever cu t we do, obviously, I agree in terms of the new recruitments could be there. They might not be so productive. But still like that number, 1 or maybe 1.5 seems to be quite low compared to where the entire industry is because everyone tends to target like 3 per month in terms of the disbursements, yes, at least, per sales officer.
Sachinder Bhinder: Kunal , that is one which is more of the intermediary ; we have direct distribution model & on the kind of quality and the rate which we have. So I'll tell you, from a perspective of higher than 15,000 files which get s log in every month. My login to disbursement ratio currently comes out at 5,000. So if you look at the login to disbursement , it is a 33 % . So if a guy has to disburse one file, he has to log in three to four files, actually. So that's the quality which is there. So if you're looking at it from a sourcing perspective, which is there. So for the same RO. probably from a log -in perspe ctive it is higher . But when it comes through real quality and the type which we do, I think it makes a difference where the drop comes actually, right?

INTERNAL So that's reflecting in the number of logins to disbursement , right? So as I talked about 15,000 to 5,0 00. You are talking about an average. So what happens is the frontline has a good amount of attrition, which is there. So the people who are there onboard, in the initial months, take a normal gestation time to really become active actually. So it

is norma lly in the range of
one month to 2.5 months, three months . So as a result of which it comes down.
Kunal Shah : Sure. Okay. And secondly, in terms of balance transfer, so no doubt, yields were lower, but that was largely because maybe some retention being do ne. If you can just highlight in terms of -- so the balance transfer, which we were seeing would have been after bargaining with the relatively lower price for them. So what would have been at the gross level? And finally, what you mentioned in terms of 0. 5%, okay, that would be at the net level. But is it like those numbers have gone up? And to what extent, maybe what proportion of the portfolio would we have lowered the prices for retention, yes?
Ghanshyam Rawat : Kunal, roughly 0.4% per month on an average basis as such we get repriced . It depends upon the various interest rate cycle where we are. But you see in the recent time, it's roughly 0.3 %- 0.4% of opening AUM per month basis book come s for the reprice basically.
Kunal Shah : Okay. 0.3%, 0.4% o n opening A UM That's helpful, yes.
Ghanshyam Rawat : When we do reprice, we generally charge repricing premium also from the customers, which generally take care of my first year loss on that repricing of the portfolio, basically.
Kunal Shah : Okay. Then in t erms of the gross, would it be fair to assume that 0.5% net, and we can just see like, okay, we have been able to retain and reprice lower for 0.4 -odd percent. So the request, which we would have got is still like 0.9% to 1 -odd percent?
Ghanshyam Rawat : Yes. That is steady state in the industry, basically. We are far better than industry in that count. Some of the assets which we got allowed, it is not only an account of, let's say, pricing. Some of the assets we got allowed also because of the loan demand is much higher than the property value and competition wants to take a call on those assets. So we allow these sort of assets also.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.
Shreepal Doshi : So my question was pertaining to your point where you said that there is some price competition that we are facing. Any color on any specific geographies where we are particularly facing this price -related competition?
Ghanshyam Rawat : It is not related to any area, any competition basically. Wherever in the market where we have seen ourself as seasoned out for three -year, four-year, five-year completed assets or those assets acquired have completed two-years to three -years with us basically . So sometimes it happens. Nothing specific to any geography, any asset class, any market.

INTERNAL Shreepal Doshi : Got it. And on the branches front, I wanted to understand when do we consider a branch as mature branch from the size perspective? And what percentag e of our branches are mature for us?
Ghanshyam Rawat : I think because home loan penetration of rural semi -urban market is very low. So it is difficult to say what is the maturity level because we believe in those markets, we have a huge runway. From today also over the next 10 years, we can grow those markets, those geography a t 20% CAGR growth in those markets basically.
So because once we start in a market, then again, we continuously approach to 30 kilometers, then we approach to up to 50 kilo meters in that market. Yeah, from Profitability or Breakeven perspective, generally, it takes three months to six months in a smaller market. In the bigger market, it takes six months to nine months for breakeven perspective, that we can say.
Shreepal Dosh i: Three months to six months and six months to nine months?
Ghanshyam Rawat : Yes. For breakeven perspective.
Shreepal Doshi : Got it. And sir, the last question was pertaining to the other opex . So the other opex is up 25% sequentially. While

you have give n a lot of clarification on the employee opex . What led to this significant increase in other opex on a Q -on-Q basis?
Ghanshyam Rawat : I think it's a normal , nothing as such any specific reason for that thing basically. I think AUM book is also growing at 20%, 25% CAGR ,. Other Opex, include certain branch infra , certain IT and analytics expenses , we are doing a lot of investments towards that side basically for future growth perspective. So some of it is also coming on that account.
Shreepal Doshi : Okay. An d you have added four branches in the first half. So in second half, we should be adding another 15 branches as per the guidance...
Ghanshyam Rawat : Yes. we will add around 20 to 25 branches in the H2.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe : Just one on the liability side. What would be your book cost of funding as on September 30th ?
Ghanshyam Rawat : Now what we have declared in investor deck, whi ch is 7.86%, is exactly the same. If you will take outstanding liability, multiply with the rate of interest on that day, it is Sumproduct on that day.
Nischint Chawathe : Okay. And so incrementally, you're borrowing at 8.2%. So should we sort of assume tha t your cost of funding kind of inches up by maybe another 35 basis points from here?
Ghanshyam Rawat : Not exactly. There's two, three strategies playing around that, let's say, on the borrowing side in another six months around. As I mentioned earlier, we got a INR 1,000 crore s National Housing Bank sanction. That money is available for the next two quarters to three quarters. In this quarter, we didn't borrowed any money from the National Housing Bank.
 So that wil l help us in the next two quarters to three to contain our borrowings -- it's a mixed bag of, let's say, bank borrowing, then NHB, then other markets. We are targeting one of the development fund institutions in the second half that will also come at a slig htly cheaper rate. Then we put one more strategy in this, I think, most specifically the quarter 2, which will be replicated in the quarter 3, quarter 4 also.
We have borrowed certain money under pass-through certificate, which is 100%, let's say, ALM match borrowing basically, and which is coming almost 40 basis points to 50 basis points cheaper than normal bank borrowing.
So all three , four strategies, we have put up for . We have discussed in detail in ALCO and put up in practice in this quarter, and we will replicate the same for the next two quarters to three quarters. And so we think on an average, let's say, next two quarters, fresh borrowing should be -- incremental borrowing should be around somewhere 8% to 8.1%.
Nischint Chawathe : So we'll probably convert somewhere, I mean whatever a little bit higher from the current levels.
Ghanshyam Rawat : Yes, obviously, obviously. It will be higher than the current level.
Nischint Chawa the: Sure. And have you experimented with co -lending?
Ghanshyam Rawat : Yes, w e have a signed agreement with one or two banks. We are in the process, but we didn't see much value creation in overall value system.
Nischint Chawathe : Sure. Perfect. Got it. An d just one question to Sachinder was, if your sanction -to-disbursement ratio kind of normalizes to what we have seen in the previous quarters, what kind of a disbursement growth would that imply?
Sachinder Bhinder: See, Nischint, from that perspective, I t hink we should improve from the current levels. But as I said earlier also, I think two factors: one is the tech transformation. And second is the management transition, which is there. I think keeping this in mind, I think our conscious effort in the couple of quarters would be to really calibrate and grow quarter -on-quarter. An

d --
but we are committed to the AUM growth of 20 % to 25 % in this quarter actually, so to say.
Moderator: Thank you. The next question is from the line of Sanket from DAM. Pleas e go ahead. There seems to be no response from the line of Sanket. We'll move to the next question. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande : Yes. I just wanted to understand, I thin k you mentioned about the better quality customers. So have you seen an uptick in our LTV numbers anywhere else & if you can capture that?
Sachinder Bhinder: Sorry, what you said? MT?
Pallavi Deshpande : LTV, Loan -To-Value . Have you seen an uptick, any uptick in that? Because you mentioned about wanting to keep the better quality customers
 Sachinder Bhinder: I think we have guided on the conventional parameters on which we have drawn upon. So there's nothing which is inchi ng up the LTVs, actually, so to say.
Ghanshyam Rawat : Yes. What Sachinder said, apart from that, historically or I think Aavas is selective in underwriting, undertaking a very calculated risk -adjusted price. Under that, we want to say, around 14,000 to 15, 000 IMD base d we source the file to be able to give output of 4,500 to 5,000 files basically. So that's our selection ratio remains. So due to that, it looks per RO-based disbursement is low, but a number of files he brings in the system is roughly four to five every month.
Sachinder Bhinder: Just to add on, the H1 FY'24 LTV ratio was around 54.8% , it's the same as like what H1 last

year around 54.2%. So there's hardly any movement on that front, actually.
Pallavi Deshpande : Second was on this -- you said a bout the targetin g the development financial institutions. So what kind of requirements that you need to meet for getting the sanction from that side? And what's the kind of cost of borrowing you would expect?
Ghanshyam Rawat : As you know, we have already very existing long and strong relationship with the Asian Development Bank, International Fin ance Corporation, CDC. I think 5-6 round of funding we already taken in the last five years , six years. So it will be definitely cheaper than what we borrow locall y from domestic banks at a one-year MCLR. But it also had a lot of value in the systems also basically.
Pallavi Deshpande : Right, sir. And what kind of , generally as a percentage of your total borrowing , what is the kind you targeting?
Ghanshyam Rawat : Roughly, we are 15% on development financial institutions. And as we grow, we will maintain 10% to 15% from development financial institutions.
Pallavi Deshpande : You don't see that growing beyond because as we've grown in size, you don't see that increasing?
Ghanshyam Rawat : I think , then we will explore some other market also basically. Now we are AA entity. We think another 12 months to 18 months, our rating upgrade may happen. So that then we can raise more money from domestic large insurance companies, pr ovident fund, retirement funds basically. So another opportunity will be there to raise more fund. Recently, we raised Pass-Through Certificates , PTCs, again, coming as a preferred route, which is more competitive ly priced.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to Mr. Sachinder Bhinder, MD and CEO of the company, for closing comments.
Sachinder Bhinder: Ladies and gentlemen, as we conclude today's earnings call, I would like to express my heartfelt gratitude to each one of you for our participation and engagement. The dedication and commitment of our team, the trust and support of our stakeholders , and the loyalty of our valued customers have been instrumental in our growth story .

NAL Looking ahead, I want to emphasize that we will continue to maintain our sharp focus on governance, asset quality, profitability, growth, leveraging technology , and creating a superior customer experience. We remain optimistic about the future and are co nfident that our strategic initiatives will continue to drive sustainable growth and shareholder value. Once again, thank you for your ongoing support and belief in our vision.
If you have any further questions or require additional information, please fee l free to reach out to our Investor Relations team. Thank you, and have a wonderful week ahead and wish you a very happy and prosperous Diwali and festivities ahead . Thanks. God bless.
Moderator: Thank you very much. On behalf of Aavas Financiers Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines .

Call: Feb 2024

Ref.No. AAVAS/SEC/2023 -24/930
Date: February 08 , 2024

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter and Nine Months Ended December 31 , 2023 .
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to our letter dated January 18, 2024 bearing reference number Ref. No. AAVAS/SEC/2023 -24/870 , please find enclosed the transcript of the Earnings Con ference Call held on Friday, February 02, 2024 on the Financial and Operational performance of the Company for the Q uarter and Nine Months ended December 31, 2023 .
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take th e same on your record.
Date and time of occurrence of event/information: February 02, 2024 and Earning Conference Call commenced at 09:00 A.M.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND CHIEF COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

“Aavas Financiers Limited
Q3 FY2024 Earnings Conference Call ”
February 0 2, 2024

MANAGEMENT : MR. SACHINDER BHINDER – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICE R – AAVAS FINANCIERS LIMITED
MR. GHANSHYAM RAWAT – PRESIDENT & CHIEF FINANCIAL OFFICER – AAVAS FINANCIERS LIMITED
MR. ASHUTOSH ATRE – PRESIDENT & CHIEF RISK OFFICER – AAVAS FINANCIERS LIMITED
MR. SIDDHARTH SRIVASTAVA – CHIEF BUSINESS OFFICER – AAVAS FINANCIERS LIMITED
MR. SURENDRA SIHAG – CHIEF COLLECTION OFFICER – AAVAS FINANCIERS LIMITED
MR. RIPUDAMAN BANDRAL – CHIEF CREDIT OFFICER - AAVAS FINANCIERS LIMITED
MS. JIJY OOMMEN – CHIEF TECHNOLOGY OFFICER – AAVAS FINANCIERS LIMITED
MR. ANSHUL BHARGAVA – CHIEF PEOPLE OFFICER – AAVAS FINANCIERS LIMITED
MR. RAJARAM BALASUBRAMANIAM – CHIEF OF

STRAT EGY & ANALYTIC S – AAVAS FINANCIERS
LIMITED
MR. RAKESH SHINDE – HEAD OF INVESTOR
RELATIONS - AAVAS FINANCIERS LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to Aavas Financiers Limited 's Q3 FY2024 Earnings Conference Call . This conference ma y contain certain forward looking statements about the company which are based on beliefs, opinion and expectation of a company as on date of this call. These statements are not the guarantee s of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an o perator by pres sing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rakesh Shinde , Head of Investor Relations at Aavas Financials . Thank you and over to you Sir!
Rakesh Shinde : Thank you . Good morning everyone.

I extend a very warm welcome to all participant s. Thank you for participating in the earnings call to discuss the performance of our company for Q3 and nine month s FY2024.

The results in the presentation are avail able on the stock exchanges as well as on our company website and I hope everyone had a chance to look at it.

With me today I have entire management team of Aavas including Mr. Sachinder Bhinde r - MD and CEO, Mr. Ghanshyam Rawat - President & CFO, Mr. Ashutosh Atre - President and CRO, Mr. Siddharth Srivastava - Chief Business Officer, Mr, Sur

endra Sihag - Chief Collection Officer , Mr. Ripudaman
Bandral - Chief Credit Officer, M s. Jijy Oommen - Chief Technology Officer , Mr. Anshul Bhargava - Chief Peopl e Officer, and Mr. Rajaram Balasubramaniam - Chief of Strategy and Analyt ics.

We will start this call with an opening remark by our MD, Mr. Sachinder Bhinde r; CFO Mr. Ghanshyam Rawat ; and CRO Mr. Ashutosh Atre followed by Q&A session. With this introdu ction I hand over the call to Sachinder . Over to you S achinder !
Sachinder Bhinder: Thank you Rakesh . Good morning everyone. T hank you for joining the call early morning.

I want to take this opportunity to wish all of you and your family a very Happy New Yea r and a 2024 filled with health, happiness and success.

We are delighted in yesterday' s Interim Union Budget announc ement. T he continued government trust to boost housing for all and the plan to build additional 20 million houses in the next five years with promoting to buy or build own houses under Pradhan Mantri Awas Yojana Gramin augurs well with Aavas ' vision and mission.

Let me now take you through the key highlights of our performance .
As a part of our Aavas 3.0 strategy we embarked on the journey to become India' s most trusted affordable housing finance player led by people, process and technology. Our investment in technology will help the business deliver sustainable growth and superior customer experience .

In terms of technology u pdate
■ Our digital transformation journey is progressing well and equally well adopted among our employees . The implementation of best -in-class technologies like Salesforce which is a part of LOS , Oracle Flexcube (LMS) and Oracle Fusion will help us in buil ding scalable and sustainable platforms .
■ After rolling out Phase-I of Salesforce we have successfully processed 1lakh+ applications and sanctioned cases worth Rs.45 billion through our Salesforce platform . We have now rolled out Phase-II by implementing a ccount aggregator integration and further other upcomi ng modules like lead capturing , customer service integration , App score will be going live in the coming months .
■ Oracle Fusion ERP system was made live from September 2023 and stabilization of this new system is progressing well . The new loan management system on the Flexcube is currently under testing and migration .
■ We have successfully piloted ChatGPT powered GenAI Chatbot with multilingual support in the customer app . With the help of scal able infra structure on hyperscaler clouds , Omni channel experience for our customers . Modern application ecosystem built using Salesforce and Oracle products and

Machine Learnin g models for analytics ; technology is playing a key role not only in organizational trans formation but also in bringing down TAT meaningfully. Our login to sa nction TAT has reduced from 13 days at the peak to 9 days as we speak . We are expecting to complete our major business systems transformation in next three to four months .

In terms of business update

■ In Q3 FY2024 we saw pickup in our disbursements . We disbursed Rs. 13.62 billion registering an 8% Q-o-Q and 13% Y-o-Y growth. We are witnessing a month -on-month i mprovement in disbursements. In January the month of disbursements also h as shown growth which gives us confid ence to deliver on our guidance.

■ We continue to grow our AUM in line w ith our guidance of 2 0% to 25% Y-o-Y growth. We have registered AUM growth of 23% in Q3 FY2024 versus 22 % in Q2 FY2024 and have crossed Rs.160 billion ma rk. A s a Pan India organization we are seeing well diversified growth in disbursements across the states especially from states like Karnataka, UP, and Maharashtra has shown a robust growth. We have opened five new branches during this financial year in our existing states to deepen our

reach. In

terms of the new states after deepening our understanding in the Southern states like Karnataka that gives confidence to expand in the adjacent states in the Southern India which has a huge potential. We expect a disbursement growth to catch up , it would be faster in FY2025 enabling us to deliver on a stated guidance of 20 % to 25% AUM growth across the cycles consistently . We expect doubling of our AUM in the next three years.

In terms of our quarter' s financial performance

 ■ Our AUM grew 23% Y-o-Y at Rs. 160 billion during the quarter .

■ During the nine months we reported a net profit of Rs.3,480 million registering a growth of 15% Y-o-Y led by 18% Y-o-Y growth in the net total income . We contin ue to maintain spreads above 5%. F urther important to note Opex to asset ratio has moderated by 30 b ps from a high of 3.79% in Q1 to 3.49 % in Q3 FY2024. W hile maintaining our operating metrics we have delivered operating profit growth of 11% Y-o-Y for Q3 FY2024 and 18% YoY for 9MFY2024. We b elieve with increase in productivity led by a tech transformation coupled with rising contribution from opex light channels would further help us in improving our opex ratio.

■ In terms of asset quality, it remained pristine with 1+DPD at less t han 4 % at 3.75 during the Q3 FY2024. O ur GNPAs are broadly steady at 1.09 % with 5 bps Q -o-Q rise in line w ith a seasonality nature. Credit cost continues to remain below 25 bps .

■ In terms of liability, we have one of the best well diversified liability franchise. We are one of the unique HFCs where tenure of liabilities is higher than the tenure of assets. O ur incremental borrowing cost remain s slightly above 8% indicating a cost of borrowing peaking out in line with benchmark rates.

■ I would now hand over t o our CFO, Ghanshyam Rawat to discuss the financials in detail .

Ghanshyam Rawat: Thank you Sachinder. G ood morning everyone and warm welcome to our earning call.

In terms of borrowing

■ We continue to borrow judiciously and we raised around Rs.42,934 millio n at 8.14% during 9M FY2024. F or Q3 we raised around Rs.12,173 million at 8 .00%.

■ Total outstanding borrowing as of December 31, 2023 stood at Rs.145,011 million. O verall borrowing mix of December 31, 2023 is 47% from loans, 24.2% from assignment and securitization, 18.8% from NHB refinancing and 10.1% from debt capital market . During the quarter overall cost of borrowing increase d by 9bps QoQ to 7.95%. O ur incremental cost of borrowing for Q3 FY2024 was 8% versus 8.3% in Q2 FY2024.

■ Lender support contin ues to remain extremely strong in our journey. T here is access to d iversified and cost effective long -term financing. A strong relationship with various development financ ial institutions.

■ As of December 31 2023 we maintain a sufficient liquidity of Rs.40,750 million in form of cash & cash equivalents and unavailed CC limit of Rs.18 ,510 million, d ocumented unavail ed sanctions of Rs.22,240 million (including Rs.7,000 million from National Housing Bank).

In terms of spread

■ As of December 31, 2023 the avera ge borrowing cost 7.95% against an average portfolio yield of 13.07% resulted a spread of 5.12% . We have been able to maintain our spread above 5% in line with our guidance despite competitive pricing pressures. O ur margins , NIM as a % to total assets duri ng the nine month s stood at 7.94%. O ur NIM in the absolute term ha s increased by 18% YoY for 9MFY2024.

 In terms of operating cost

■ Our Opex to Assets ratio improved by 30 basis point s to 3.49% in Q3 FY2024 to a peak of 3.79% in Q1 FY2024. S imilarly our Cost-to-income ratio for the quarter was 45% from 47% in Q1 FY2024. Our total cost ha s increased by 18% YoY in nine month s FY2024 against 31% in FY202

3 full year . We are
committed to bring down opex ratio in gradual manner towards 3% . Credit cost during the q uarter stood at 25 basis point s and 22 basis point s for 9MFY2024.
In terms of other parameters
■ Profitability during the quarter inc reased by 8% YoY to Rs.1.16 billion and 14.6% YoY for 9M FY2024 to Rs.3.48 billion . ROA stood at 3.22% and ROE was 13.45% f or 9MFY2024.
■ IGAAP to Ind -AS reconciliation has been explained in detail for Profit after tax and Net Worth on slide number 30 & 32 of the presentation. We are well capitalized with a Net Worth of Rs.36,314 million and capital adequacy ratio at 45%. O ur CAR has impacted by 277 basis point s on account of new regulation pertaining to high er risk weightage (125%) on non -housing loan portfolio that is LAP book which is ~15% of total A UM. Total n umber of live account s stood at 206,618 translating in to 18% YoY growth. Employee count is back to March level around 6000. N ow I would like to hand over the line to CRO, Ashutosh Atre to discuss the asset s quality .

Ashutosh Atre: Thank you Ghanshyam. The key portfolio risk parameters :
Asset quality and provisioning
■ One day pass due stood at 3.75% in 9MFY2024 as against 4.05% at the 9M of last year. G ross stage 3 stood at 1.09% and Net Stage 3 stood at 0.79% as of December 31, 2023.
■ During FY2022 a resolution plan was implemented for certain borrower accounts as per R BI's Resolution Framework 2.0 dated May 5, 2021 . Basis the perceived risk and as a matter of prudence, some such accounts with an outstanding amount of Rs.713 million as of December 31, 2023 ha s been classified as Stage 2 and provided for a s per regulatory guidelines. Out of Rs.713 million Rs. 544.3 million is into less than 30 DPD bucket.
■ Total ECL provisioning including that for COVID -19 impact as well as Resolution Framework 2.0 stood at Rs.845 .6 million as on December 31, 2023.
■ Aavas is strongly placed to continue delivering industry leading asset quality .

With this I open th e floor for question and answer. T hank you.
Moderator : Thank you very much. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles . The first question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead .
 Abhijit Tibrewal: Thank you and good morning everyone. Sir my first question is on disbursements I do not want to labor too
much on d isbursements since I had asked this question to you last quarter as well where you had shared that we need a couple of quarters to get disbursement run rate back on track but very clearly I am sure you will also acknowledge the disbursement engine is maybe not working as one would have liked right now so just want ed to understand is this something unique for us or is it because of the sectoral demand itself being weak , is it some kind of a zero sum game wherein some player becomes aggressive in a particular quarter and then the other peers kind of suffer and maybe a related question during your opening remarks you had shared that your LOS has already been implemented but you yourself acknowledge d that the LMS is under testing now so by when will it be implem ented and when it gets implemented will we again have an impact on the dis bursements ?
Sachinder Bhinder: So Abhijit I will answer the question in two parts . You have two basic questions. I think as we have guided
earlier we continue on the AUM growth of 2 0% to 25%. I think on the disbursements what you are referring we have seen a sequential month -on-month growth and that gives confidence to us as management team in the coming quarters to come back to the growth on the lines what is expected . Secondly I think on the tech transformation you will really appreciate that it is overall of the entire te

ch transformation right
from an LOS , LMS and ERP. T he Phase I of LOS and the Phase II of LOS which is the loan origination system has gone live , the second system which is the l oan management system is under implementation and it will take another three to fo ur months for us to get it live. I think once all of the three systems are live together in the coming three to four months we 'll see a real tech initiative tran sformation benefits really flowing in actually . It will help us in two counts end -to-end as this period of time when we speak our ability to have 30% lead generation from the digital channels and 10 % disbursements coming from those channel s will get augmen ted and we will move towards more defined business sourcing channels like the Mitra and eMitra . The recent tie-up which we have done is the eMitra tie-up in Rajasthan which has op ex light kind of a model where the sourcing is really defined in the peripher ies and deep down of Rajasthan and the couple of them which we are in actually talk s, so this will help us in sou rcing, in defining and transforming the technology what we have implemented to really see the benefits but in the initial phase as we talk I th ink on a system which has got implemented having seen 1 lakh plus of applications going through and Rs.4500

Crores of sanction go through gives us a confidence that the stabilization on the LOS is there and we see green shoots on those lines actually and w e see that reflected in numbers on month -on-month improvement on the disbursement side.
Abhijit Tibrewal: Got it Sir. Sir If I might ask what was the disbursement run rate like in January ?
Sachinder Bhinder: So as we speak , compared to the last January we are in excess of 20 % to 25% of the previous year and that
gives us confidence and it is improvement to December so to say. Abhijit you need to appreciate the two parts . It is a foundation of the tech which has been implemented as a whole and across and thi s has started showing green shoots . It is a foundation which has been set up and what I would really appreciate the management team , the tech transformation team and with our partners that this has been a very laminar
 rather than being anything which would create road b umps or anything which disrupts actually in such a major tech transformation . Second ly it is the behavioral adoption across 350 branches , 13 states, across the length and breadth and the direct sourcing mo del which we do, so I think that is a big amount of behavioral adoption which is there and the green shoots of that in improvement, as I talk about reducing the turnaround times from 13 days to 9 days are there in that. As a result of which you will see those kind of initia tives which will re ally have a monetization happening . One of the key factors which we said that you have to really appreciate with this kind from a 3.79 % opex ratio to a 3.49 % a sequential reduction with that is also one of the testimonies of the fact actually , so there are green shoots and a good sound tech foundation with processed people are showing signs actually .
Abhijit Tibrewal: Sir my second question was around your yields and margins I think during our opening remarks also we acknowledge d the competitive pressure which is there on yields but very clearly from what it looks like right we are having to kind of retain customers by off ering them lower interest rates, which is obviously having an impact on our yields and cons equently on margins and spreads, but a related question here I think I also heard during the opening remarks that you are guiding that cost of bor rowings have now p eeked out and you will expect it to kind of remain stable so if you could just explain the competitive dynamics which is leading to this ki nd of yield compression and then how should we think about cost of borrowings going ahea

d?
Sachinder Bhinder: I will divide the question in two parts . The first question on the compression because of the competitive pressure I think three things happen ed actually one is the time when you try to retain the right kind of a customer which is BT-In which reduces the rate I think that puts pressure . The second is when the BT-out happens you have the high yields which goes but I think we are ready to let that go and fly because what we have seen in our observation is whatever we let go because some of the players in the market try to over leverage the customer has resulted into customer with 3x worse off than what it was at Aavas but that loses across a certain am ount of yield there , a yield because you retain a good customer and some part of it is on the competitive pressure so that is the three sides if I were to talk about that . But as we say with the quality and with maintaining the one plus I think what is rig ht for the instit ution has risk adjusted returns, we will continue to do that what is right for the institution . On the cost part I will have Ghanshyam talk about how is it peaked out and how it will span out in the coming quarters .
Ghanshyam Rawat: Thank you Sachinder. I think the cost of borrowing system was there . Let me a ddress that question first then. Our cost of borrowing if we see Abhijit on QoQ with the last quarter we borrowed at 8.3% , this quarter we borrowed at 8% (incremental cost of borrowing) and secondly we see now cost of borrowing on our overall liability portfolio is 7.95% and we are at an incremental bor rowing at 8% around basically so that give us a confidence that we are almost at a peak level of cycle at the cost of bor rowing. A few ba sis point s here and there that ’s all.
Abhijit Tibrewal: Got it Sir. T hank you so much .
 Moderator : Thank you so much . The next question is from line of Shweta Daptardar from Elara Capital . Please go
ahead .
Shweta Daptardar: Thank you Sir for the opportunit y. Sir a couple of questions so our employee count stands at around 6000 right and we have also been progressing well on LOS systems and the tech transformation how do you see going forward the productivity improvement and do you see consolidation around t he 6000 odd account and if you could just bifurcate how much of this is part of collections and how much is actually on the ground or on the business acquisition side that is question number one ?
Sachinder Bhinder: Thanks , Shweta . I think on the collection side we can go on record saying that despite the increase in AUM
in the last couple of years it did not have any manpower addition in the collection side. I think that is a great thing about the team , the quality, the underwriting and the credit goes to the entire team effort there and it is very important parameter to really talk about . Secondly as I talked about that in such a big transformation it becomes important on certain green shoots which we have seen and we have seen the green shoots in the

turna round times . Definitely that will have a productivity impact and as you see that the front line has an attrition , the time it takes to settle down I think takes its own time to really monetize on their productivity levels that is answer number two and thir dly we will work across on those opex light models which are digital and then we talk about tech transformation keeping in mind our customer type which is unserved, underserved and unban ked and how do we really make that happen so that is a progress which we will try to make so that there is a business origination which gets clearly tight and we are able to monetize the technology by the roots of digital channels . I think this is overall will help us out and we are seeing the green sho ots on there . It is ea rly at this period of time but ye s there surely is the green shoots and some

parameters as you talk about is the turnaround times and definitely it will flow in the productivity in the coming months .

Shweta Daptardar: Fair point Sir. Sir second question is correct me if I am wrong if I recall correctly last quarter you had mentioned that we have increased PLR by 40 basis points so did not we get any benefit on this side because you had als o highlighted on risk adjusted yields earlier so did not we get any s uch benefits from here on the yields front ?

Ghanshyam Rawat : 40 basis point s we have increased our yield on our customers in the month of April in Q1. A fter that I think
we did not increase any PLR in last two quarters but I think in the earlier question a lso and then similarly on this yield front again if you see our QoQ disbursement journey progress , in Q1 on YoY basis we were minus 2% , then Q2 YoY we are 10% plus , now in the Q3 we are at 13% plus in our dis bursement growth basically which shows us yes we have strongly bounced back on our business funnel . Our all verticals are growing very well in the organization as we con tinued to invest on those verticals in last couple of months or couple of years . If you see more on the data point like in December mon th we have generated new business lead which is a fee base d lead which is around 13500 + lead basically originated which is amounting to Rs.2100 Crores basically but in January month we have further increased that lead origination

 of 14600 which is amountin g to Rs.2 200 Crores, so all these are giving us a confidence. We are very much back to our business growth not only the last quarter but in the coming quarters also basically and our sanction to disbursement ratio in the few quarter we mention ed we lost so mewhere there we also come back now to 83 -84% on that ratio that is again let us say our positive development at that side . Now in third phase where we are emphasizing as a management team we are again reinforcing and reenergizing our core product which is our Rs.7.5 lakh core product where we are working in detail with all business team along with the management team is emphasizing that product because that product give s you the better yield than the other product basically . We are targeting to increase th at product in our disbursement mix around by 5% in the next few quarters . That will help us to improve our new business yield but QoQ basis we are alr eady in December quarter 8bps better yield on the new business so I want to communicate yes things are com ing very much in the better shape on the yield front and the growth front and Core side as I already mentioned cost of bor rowing is almost a t a stabilization level so I think all three factors are coming up in the good shape now .

Shweta Daptardar: That is very, very helpful Sir. T hank you so much.

Moderator : Thank you. The next question is from line of Vivek Ramakrishnan from DSP Mutual . Please go ahead .

Vivek Ramakrishnan : Sir Congratulations on a very steady performance . My two questions are as follows your GN PA cover age
ratio is about close to 67% does it actually reflect the loan loss that you will get on your GNPAs that is question no. 1. Question no. 2 you are moving towards more origination model which is based on tech and whereas your earlier model w as more in terms of self origination so how do you expect this to play out and what is the level of saturation in your current geographies that mean tha t you will have to move to new geographies ? Thank you .

Ghanshyam Rawat : I think on credit cost and provi sion we are very much confident and we are in steady stat e since last so many quarters somewhere around 64-67 basis point s on overall AUM basis and NP A level we are somewhere 25% of risk provisioning is enough to take care of any loss on the NP A asset beca use we a re steady state at 1% Gross NPA and 4%

is one day pas t due. We do not see any under coverage and over coverage on NPA provisioning .

Sachinder Bhinder: On the sourcing side I think it is one of the facilitators . I think what has happened in the last couple of years
is that Bharat has moved more digitally literate than what it was . So as we speak within our framework we have about 85 % to 90 % new customers who are on customer app . We have Part disbursements which go online in this category of customers , so I want to reiterate that we continue to operate in the segment which we are which is Tier-3 to Tier-5, unserved, unbanked and there is no segmental shift . It is the way you approach the customer and the way customer comes across to us I think that is what we would like to take an advantage of and that is because of IndiaStack and upcoming ONDC stuff actually, so it is more from

 the sourcing , there is no segmental shift or change in the customer focus . It is just the way you approach , service and underw rite the customer .
Vivek Ramakrishnan: Sir in existing geograph ies there still enough depth for you to originate is pretty much what you are saying?
Sachinder Bhinder: Yes so that is another interesting piece . Existing geography does not have a saturation level that makes us to
move to the new geograph ies. I think that is in with the fundamental philosophy of continuous expansion of geographies and the existing geographies still continue to have that potential . I think one thing which is very unique to Aava s which one has to note th at we are moving as a Pan India organization and some organization which has moved to Southern belt in Karnataka having s een the good amount of traction, good amount of underwriting, and good amount of our experience gives us a bo ost saying that we can do and set up and expand in those regions also and take the advantage of the potential which lies there but that is not because the existing markets are saturated so that expansion is not because of that actually . That continues to hold potential for us .
Vivek Ramakrishnan: Excellent Sir. W ish you all the best.
Moderator : Thank you. The next question is from line of Nischint Chawathe from Kotak Institutional Equities . Please go ahead .
Nischint Chawathe: Just two questions . One is on t he spread side if I look at your spreads closer to around 5% now and what is
the broad thought process where can you go up to and what is the range that you would want to maintain through the years?
Sachinder Bhinder: Thanks Nischint . Nischint as we guided that we are at around 5.1 % to 5.13 % so our consistent endeavor
would be to keep the spreads in excess of 5 % so I think we will try and as earlier what Ghanshyam talked about that some of the incremental focus on the lower ticket size where you get the yie lds I think that is more direct distribution lead which is an RO lead or direct Salesforce led kind of a model which is there so we are reinforc ing that and focusing on that and our endeavor is to really push that segment where we have our confidenc e, our expertise and scale that up actually to maintain that but our continued guidance continues to be that we are endeavored to maintain 5 % plus.
Ghanshyam Rawat : Thank you Sachinder . Nischint what Sachinder said we all in this market last so many years and if you see
Aavas journey before let us say interest falling started we were at 5.19% at the spread basically . Then in that journey we p eaked around 5.75% in the falling market scenario . When rising started obviously first we pass on to the AUM , so we maintain at the same level but obviously cost o f borrowing catch up will happen in a due course of time with a lag impact basically . Now we have gone back to where we started at 5.15% around basically so this is a normalization of spread . This is not a spread has been falling basically because

in your journey rising and falling in market you will have that impact in your spread basically but

 ultimately we reach at a normalization which we say 5% and above is a normalization level of spread in our journey . No doubt as Sachinder said and as I earlier said we are reemphasizing and we are reinforcing our core produ ct which will give us a better yield in the coming quarters .
Nischint Chawathe: Sure. It is a little strange you said that your incremental cost of borrowing was 8% this quarter and 8.3 % in
the previous quarter incremental cost is going up for all the other players so how come it is coming down for you ?
Ghanshyam Rawat : I think there are certain internal borrowing side we made a certain new product which I thin k is difficult as
to say on such a large call but we brought certain long -term product which bank s found is very suitable for them which we got at 8% for 10 year or 15 year so those products helped us to bring down our cost of borrowing as well as NHB funding is there with us basically . Still Rs.700 Crores is yet to draw from NHB out of Rs.1000 Crores. We are judiciously borrowing from NHB also. I think th ese two to three discussions with the ALCO committee members which led us to bringing certain product s of pooling money because we found one year MCLR is not effective now because most of the bank s have increased the rate, so we tilted towards that other one . Entire management team of Aavas contributed on a certain product work in advance that is helping in the journey of Aavas . We started MSME product four years back and now today there is 100% matching liabilities available for MSME product from various institutions (very cost effectively) and now when RBI increase d risk rate I think out of 30% NHL book 50 % book not got impacted because that is MSME book basically .So those things are going in our favor and we are confident that in the coming quarter , if things remain same , incremental cost will be in the same range ~ 8%.
Nischint Chawathe: Sure no but just c urious how much of the component how much would the incremental cost ex N HB?
Ghanshyam Rawat : This quarter we borrowed from NHB Rs.300 Crores only.

Nischint Chawathe: I am saying that ex of NHB you said incremental cost is down from 8.3%?
Ghanshyam Rawat : If we do ex N HB it become 8.20% (excluding assignment) .
Nischint Chawathe: Last quarter I believe there was no NHB?
Ghanshyam Rawat : Yes.
Nischint Chawathe : I think that sort of clarified . Just a just simple question is that the rate of interest is kind of going up for all the players chances are there that it would go up for you as well and in that sense would you kind of anticipate and do some rate hike for your customers because you are kind of now to your target spread of 5%?

 Ghanshyam Rawat : Nischint , we are cognizant about that if the cost of bor rowing got increased , banks will also increase the lending rate so accordingly we will discuss with our ALCO committee and B oard and in the past also we have passed our cost and all customer got absorbed becaus e of that increase we did not see any spike in our balance transfer also which is also in the range of what we budgeted and what we communicated earlier .
Nischint Chawathe: Got it helpful. Thank you very much and all the best.
Moderator : Thank you. The next question is from line of Kunal Shah from Citi Group . Please go ahead .
Kunal Shah: So firstly with respect to this entire Omni channel experience and eMitra so if you can just highlight no doubt you mentioned like it is more in terms of changing the appro ach and the way in which we approach the customers but eventually maybe earlier we used to be more like focused on direct sourcing and where could we see the proportion of maybe eMitra in terms of the sourc

ing going up over the medi um term?
Sachinder Bhind er: Kunal on this I think it is not that it is a strategic shift on the customer segment it is only the sourcing channel, so these are the outlets which are there eMitra specifically in Rajasthan and which has spread across the length and breadth and where in it is only the customer where we get a lead referral and the completion and everything gets done by our direct channel actually so to say so that is one and what it really helps is to become opex light because at least you have some sourcing which is th ere a nd it is usually really appreciabl e. The last call when you were talking about the RO attrition I think there is some point of it which you have a certainty of the origination which gets really defined so we are moving towards those channel s which are opex light but getting serviced by our own in -house channel so there is no strategic shift in the sourcing pattern and again at that period of time when we were looking at it I think we did not have the technology which w e really played. O nce this is ther e on the LMS side and on the lead management system i t will have a pure fulfillment journey which will help us in that, so our endeavor continues to be focused on the customer segment and service it through a direct sell but look at op ex light channel wher e the origination happens actually like the way we talked about Mitra which is an ecosystem of the building material supplies and stuff which is there , like to actually push that channel to build across so at least we have a sourcing which gets refined .
Kunal Shah: Yes but just in terms of if we have to look at it even in Rajasthan today if see the Mitra what could be the proportion so would this be as high as maybe one fourth, one third of the overall sourcing per RM so maybe if he maybe sourcing or maybe finding the leads for four to five files could one or two be from eMitra and would that be the kind of proportion which will eventually happen and would the payout be also like 30 to 40 odd bps which is there for the other players ?
Ghanshyam Rawat : Kunal as Sachinder said just we started this model and initially with first leg we tied up only just 10% of total eMitra and we are experiencing and progressing in that but we strongly believe that this model is a very cost effective model without increasing our branch infra we can get additional business at low cost

 basically, so our endeavor is that to increase all this component whether it is eMitra , Aavas Mitra, social digital sourcing and all this put together want to increase instead of our direct sourcing t his is our let us say non-conventional methodology of sourcing of a business which we definitely want to improve in overall business .
Sachinder Bhinder: So Kunal as we speak it just got launched so we are seeing the initial green shoot s so we will definite ly would look at that and we will keep you updated as we progress in quarter -on-quarter.
Kunal Shah: No Sir only thing was maybe A adhaa r Mitra and eMitra all put together the way Aavas always has positioned to be more like say direct sourcing so I was just trying to see if there is any kind of a shift wherein a component of business would come through maybe at least in terms of the sourcing , it could come through from say Aadhaar Mitra and eMitra , all of them . Related question in terms of branches so you alluded but still hardly like 1 odd b ranch is getting added compared to what we highlighted 20 branches for the second half so would we really g row slow in terms of the branch expansion or is that something which is there in the pipeline and we should see th e ramp up in Q4?
Sachinder Bhinder: Kunal as we speak I talked about that we had 5 branches which came up this year so this quarter w e will have another 15 or 20 so we are very conscious of the fact that how

we move to cross with the opex light
and more to uch points rather than putting a physical infrastructure so we have this RRO model which is a regional rural officer model where we feel that once it fr uctifies only then we start believing in opening the branches so our endeavor is to go much deeper to ge t the deep penetration but try to be opex light but we continue that expansion on that front so as I said that 5 are there in this quarter we will have addition in some in the existing states and some in the new states which will be there and that will be in line with our continuous location expansion strategy what we have already been clear of .
Kunal Shah: Sure. T hanks .
Moderator : Thank you. The next question is from line of Renish from ICICI Bank . Please go ahead .
Renish : Congrat ulations on a good set of number s Sir so just two question s from my side . One again on this shift in the ticket size wherein incrementally sort of we are targeting towards Rs.7.5 Lakh ticket size which is far lower than our b lended ticket size so of course it will help us in improv ing yield and so the spread but do you foresee this will actually lead to a low disbursement?
Sachinder Bhinder: No I think that is one of the facilitator which is there so we are saying that it pulls out on the absolute volume so I think that gets compens ated by the other parts which is Rs.10 Lakh and above stuff . It is more on reinforcement of consistently getting right kind of share . As we talk about the risk adjusted returns in that segm ent where we have knowledge & last 11 years of understanding in that segment we would like to scale up on that segment . As we were speaking earlier I think this gets sourced directly by the RRO model
 and direct model and some of the intermediates the eMitra and stuff which will lead to the referrals and facilitate the growth but directionally it will not result into the disbursements going down. It will add up in the spread s and add up as an incremental vo lume what Ghanshyam also pointed out is that our e ndeavor is to increase by 5 % on this segment per se .
Ghanshyam Rawat: Our composition of low ticket or high yield product need to be maintained or increased in the disbursement .
It is not a substitution , it is more about increase . We need to increase it by 5%.
Renish: Got it Sir and just the last question on this again sorr y to circling back to the tech transformation but when let us say we have already implemented LOS which is our front -end application wherein LMS is more of a backend application so if you can just throw some light let us say after implementing the LOS and let us say our Sales staff by now will be used to it in terms of how to use it so can you please throw some light on let us say improvement in the number of logins, etc., let us say pre Salesforce and post Salesforce which essentially I am just trying to g et a sense whether one year down the line we will see a significant improvement in disbursement?
Sachinder Bhinder: So I think this gets in two parts . One is the incremental logins and one is the behavior adoption which we have seen and that really shows a cross in our sanction numbers and in our disbursement numbers and secondly the other part is that as we speak we talked about the turna round times of sanctioning from 13 days to 9 days so that frees up the bandwidth for the RO to really work on the new cas es so definitely that is there and with the adoption and w ith the phase two coming across I think it will further help us in that journey .
Renish: So we have already seen log ins improving month -by-month ?
Sachinder Bhinder: Yes so as Ghanshyam talked about earlier we were at 13500 + in December, a s we speak in January we were 14 000 plus of logins, so there is definitely month -on-month improvement in the number of logins actually and the ver

y other substantiate parameter we talked about is the login to sanctio n days actually the turnaround time so that has moved from 13 days to 9 days so one is the sourcing part, t he second is the sanctioning part also and thirdly on Sanction to disbursement also there is an improvement from 79 %- 80% to 84% so that is another t he positiv e side so green shoots are there and Renish I would appreciate this is a big transformation across so behavioral adoption is being there and 1 lakh plus of files getting process itself is a big landmark if I were to put across , seamlessly withou t any b umps or without any disruption . I think that is one of the very key parameters which one has to look through and then seeing the green sh oots of increase in l ogin so I think one is adoption, second is stabilization, and the third is monetization .
Renish: Got it . Just a follow up on that so let us say within six months from now everything should be stabilize d so would you like to give any guidance on FY2025 AUM growth side historically we have always been
 maintain ed 20% to 25% kind of a growth range b ut that point in time the tech in fra was different versus what we have now so any comment on that ?
Sachinder Bhinder: So Renish we continue to guide between 20 % and 25% if any other opportunity comes across when it is there we will definitely but our guida nce continues to be in that range with t he quality and with the operating metrics which are there and as we speak we said that we guided that we will double our AUM in the coming three years actually so w e guided 20 % to 25% of AUM growth . Secondly the othe r green shoot Renish is to really appreciate about the management team , you seeing the green shoots even in the opex side so if you have a peak of 3.79 % to come at 3.49 % is there so I think we are working on multiple vectors which really have an impact on our operating metrics right from tech which is helping out on the

origination, on sanctioning, and on reducing the wastage. 60% is the straight through sanctions with the system which you were referring to when we got the system improvement in turnaround t imes. I think these are the very important parameters and ope rating ma trices which we are trying to figure out so which helps institution to be sustainable and scalable in a right fashion and to be a Pan India robust affordable housing finance company .

Renish: Got it. Now this is very, very helpful. Thank you for detail answers. Best of luck Sir.

Moderator : Thank you. The next question is from line of Rajiv Mehta from YES Securities . Please go ahead .

Rajiv Mehta : Congrats on st eady performance and thank you for taking my questions . Most have been answered . Sir if you can just share the quantum of BT request that were repri ced in this quarter and the incremental disbursement yield on b lended basis ?

Ghanshyam Rawat : Our BT out is roughly as we mentioned earlie r also it is 6% of opening AUM and we remain in the same range , even last year also we had the 6% .

Rajiv Mehta: No Sir I am asking the pool of BT request which were repri ced?

Ghanshyam Rawat : Roughly 4 % to 5% BT request generally comes for additional fundi ng basically which they are not aware
we can give them additional loan so when they come for foreclosure our centralized team immediately connect s them , then we found say that three year back we given a loan, they are perform ing well, their LTV is less tha n 30% to 40% and now they need a loan for their kid s education and their marriage w e offer them some small tranche which is within our risk parameter so that customer do not go out and remain with us basically and few customers which are looking for a very competitive r ate we allow them . Certain customers who we feelwe do n't want to retain them because their performance was very bad with us and industry want to

take them so we allow them to go.

 Rajiv Mehta: Got it. Sir my remaining question is incremental disbursement yield on blended basis and what is the
incremental cost of funds from banks ?

Sachinder Bhinder: I think incremental cost of funds Ghanshyam highlighted earlier and we continue to have the spreads maintained at 5 % plus that has been our guidance and we say that in order to really improve that we will focus on certain segments and certain produ ct contribution which is there, s o we guided on 5% plus of spreads and on the bank borrowings Ghanshyam talked about the Q3 at incremental rate of about 8% and overall in nine month period we are at 7.95% .

Rajiv Mehta: Thank you so much and best of luck.

Moderator : Thank you. The next question is from line of Shubranshu Mishra from PhillipCapital . Please go ahead .

Shubranshu Mishra: Good morning Sir. T hank yo u for the opportunity . My first one is on the LOS and LMS , so are we running
it on an opex model or a capex model , is it cas h based , how are we running LOS and LMS and any specific reason that we did not opt for Nucleus lead software because that has pretty much be en used by rest of the industry so we have gone to some other vend or so just want to understand the reason for that and when we speak about 25% provision cover on th e stage 3 this is larg ely to do with the LAP or HL what is causing this 25% stage 3 provision and the third question is we are speaking about a growth rate of almost 23 % to 24% because we are speaking of doubling of the loan book in three years so how do we decompose this 24%, what would be driven by ticket size increase, what would be driven by productivity increase and if there is something else you can add on to the growth decomposition ?

Sachinder Bhinder: On the growth decomposition we have always said it on 20 % to 25 %, we continue to focus as the DNA of
Aavas is on unserved , unreserved and unbanked segment of customers , Tier-3 to Tier-5 towns, secular increase in the number of customers and see even if you look at one thing you really appreciate that Aavas ' volume growth has not even had retail , residential , real estate inflation als o factored in so it is pure number growth which is there . We will continue to go granular , we continue to serve where Bharat lies and in that as we guided earlier that the states which we are there we go deeper, the states which we have invested in we acce lerate and the new states wherever new geographies we try and understand what it is there and as a result of it the cu mulative sum comes to an average of it. Some of the places it would be higher and some of the places it would be moderate so this is what we follow but when it comes to the quality and collections I think we follow an absolute model. We say that one plus DPD will be less than 5% and not having as we speak the min -max doe s not go beyond 1.5 to maxim um of 6 to 6.5 so I think that is very impor tant parameter and really to app reciate that you grow Pan India, you grow granular and you grow modular with quality and with the kind of result and consistently . I think that is on the grow th decomposition side as we speak. O n the te ch side or on the cost part, I will just get a brief on that. I think it is a big tech transformation journey when it comes to the HFC. I think two important parameters which are there one is that as you scale up , I think it is important to have the right kind of technology pla tform which helps you to

 scale / build, and to get a confidence from a risk architecture perspective . Secondly to really serve in a way which is digitally focused and in a way which is tech oriented and use the new age AIML model which help you to service a s a facilitator and in that journey we want to be as like a trustworthy on

the tech platform
like a bank but agile as when we speak in the markets w hich we operate, so as a result of which the e ntire stack which is the loan ori gination system which is Salesforce, the loan management system which is Flexcube and ERP which is Oracle Fusion, the state -of-art, and the best -of-the-class have been put in place for a tech transformation journey. On the capex and the opex part I have Ghanshyam really talk about wha t is that, how we have envisage d and how does it impact .

Ghanshyam Rawat: Thanks Sachinder. All these tech investment s Salesforce, Flexcube as well as Oracle Fusion three major
project s transform ation we done. A ll are paper used base and all are opex model basically. Very low capex is there . As we use we wi ll pay to the vendor basically. For the next five years we have fixed the pricing also. So for next five years there will be no inflation / rising cost impact to us , as for next five years we have blocked our prices. As we increase more, it is pure variable model we built in for all three products .

Another one we mention ed about this provisioning piece. I think we have a 27% overall let us say NPA or Stage 3 provisionin g which we are very comfortable. F or home loan and non-home loan we do not see there is a much variation in our customer profile as well as our ticket size as well as our LTV basically and in real life in the collection we are not seeing any major change . Our NP A also it is 1% to 1.25% between home loan and non -home loan so obvious ly there will b e few percenta ge change but not a significant change in risk provisioning.

Shubranshu Mishra: Understood Sir and if I could just squeeze in one odd question more Sir what is our premium that the banks
charges above the E BLR and MCLR ?

Ghanshyam Rawat : You will appreciate these things are very internal and we not able to comment . We are in relation with 31
banks, e very bank has a different way to l end us but we are very competitive when we borrow from the market. We are the only HFC in India who borrow 11 years plus average maturity liability profile with the average rate of 7.95% and incremental bor rowing at 8% .

Shubranshu Mishra: Understood Ghanshyam ji. Thank you. Thank you for your time Sir.

Moderator : Thank you. The next question is from line of Jigar Jani from B&K Securities . Please go ahead .

Jigar Jani: Thank you for taking the question . Can you please share what would be the disbursement figure for the month of December and January ?

Sachinder Bhinder: Jigar , we do not share the individual numbers . As we speak we say that there is a month -on-month improvement and every month we see a granular and a modular growth on the dis bursement. I think we

 always have guided on the AUM growth. We continue to do tha t. I think if you look at the AUM growth it has been on the Q3 at 22.8 % which shows us a good impact and we will continue maintaining that.

Jigar Jani: But the previous full year guidance on disbursement has been ..

Sachinder Bhinder: We have always given guidance on AUM so we continue that we are confident as management team to deliver 20 % to 25 % of AUM growth .

Jigar Jani: Sure Sir and I think in one of our interactions earlier you had guided you are looking at certain other products like APF , Affordable ho using and MHADA kind of projects and also certain new business lines so what is the progress o f that and how much of our incremental disbursements say next year would be largely driven from these kind of projects , the reason I ask is probably these will be higher ATS projects and lower yielding projects so how do we manage it with our new focus on the small ticket size, also we want to increase and we want to focus on these projects as well so just wanted to understand the balance of how it work s?

Sachinder Bhinder: Yes that is a very good

question. I think we are a unique H FC to have service the customer at different price points and as we speak that on the affordable housing that we have is the Pradhan Mantri Awas Yojana Gramin related projects which we do which is MHADA / CIDCO but I think important to highlight there is in that we identify segments and typically these are LIG and MIG and EWS segments which we cater to. Again in that our c ustomer focus has been unserved, underserved and unbanked customers. The quality of the property being good and the assessment which we understand from the risk adjusted returns is better , so I think from a perspective of a distri bution having had the retail the part which is the affordable which caters to specific on this and we are very enthused by the fa ct that the government' s focus in the interim budget continues to be there on this segment and we have a good last three to four years kind of vintage in that segment will help us to monetize in the coming times when the o pportunity opens up. A long with that the focus on what Ghanshyam and others talked about is on the ST S(small ticket size) and MSME loans and the ones which are builder approved kind of loans . Again customers where the segment is the one which is unserved, unbanked and unreached actually so these ar e the ones which really help us . All of this help us to really be there consistently across the various customer segments and leverage the opportunities

which arise in the market actually and we are ready with tha t along with our tech transformation .
Jigar Jani: I was just trying to understand more from a yield perspective that on a blended basis then the yields will not move up higher right because partly this segment will be lower yielding as compared to what you have on ?
Sachinder Bhinder: As earlier you spoke that we said that we have an increase d focus on the ticket size is less than Rs.10 Lakh
increase d by as a contribution on 5 % to try to get across that so not let the yield go because the segmental focus goe s towards that actually . We said that we guided on the spread saying that we will continue to

maintain 5 % plus spread . We will manage and balance the yield portion dis bursement yield portion on the customer segment and other s but a continued guidance on 5% spreads is there .
Jigar Jani: Just last question on once the full tech transformation is completed I think our earlier guidance of stack will drop to six days we will maintain that guidance ?
Sachinder Bhinder: Actually ye s so if you look at it from 13 day s we have come down to 9 days so this is a journey as you would really appreciate and the other part that we have 60% of customers which are straight through sanctions so we have seen the green shoots . In that if you s ee that kind of traction we are monito ring that to improve on a month -on-month basis and this is two parts one is o nce the technology stabiliz e and secondly as the behavioral adoption picks up you have the learning advantage which comes across as a firm and as the tech evolves .
Jigar Jani: Sure Sir. T hank you so much for answering my question and best of luck.
Moderator : Thank you. Ladies and gentlemen that was the last question of the day. I now hand the conference over to Mr. Sachinder Bhinder , MD & CEO of company for closing comments.
Sachin der Bhinder: As we conclude today' s earnings call, I would like to extend m y gratitude to our shareholders, employees,
customers, partners and regulators for their continued support , encouragement and trust. I am confident that with Aavas 3.0 we will conti nue to deliver sustain able growth, profitabilit y and value creation for all our stakeholders . Looking ahead I want to emphasize that we will continue to maintain with a sharp focus on governance, asset quality, profitability and growth, leveraging technolo gy and crea

ting superior customer
experie nce. We remain optimistic about the future and confident that our strategic initiatives will continue to drive sustainable growth and shareholder value and continue to give us confidence of the green shoots which we see because of the tech transformation with a guided AUM growth of 20 % to 25 %. If you have any further questions or require additional information please free to reach out to Rakesh, our Head of Investor Relations . Thank you and h ave a very wonderful year ahead. God bless .
Moderator : Thank you. On behalf of Aavas Financiers Limited we conclude this confe rence. Thank you for joining us. You may now disconnect your line s.

Call: Apr 2024

INTERNAL
Ref.No. AAVAS/SEC/2024 -25/193
Date: April 30 , 2024

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter and Financial Year ended March 31, 2024
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated April 13, 2024 and April 22, 2024 bearing Ref. No. AAVAS/SEC/2024 -25/118 and 160 please find enclosed the transcript of the Earnings Con ference Call on the Financial and Operational p erformance of the Company for the Q uarter and Financial Year ended March 31, 202 4 held on Thursday , April 25, 2024 .
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation

We request you to take the same on your record.
Date and time of occurrence of event/information: April 25 , 2024 and Earning Conference Call commenced at 5:15 P .M.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND CHIEF COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited Q4 & FY24 Earnings Conference Call"

April 25 , 2024

MANAGEMENT : MR. SACHINDER BHINDER – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GHANSHYAM RAWAT – PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK OFFICER
MR. SIDDHARTH SRIVASTAVA – CHIEF BUSINESS OFFICER
MR. SURENDRA SIHAG – CHIEF COLLECTION OFFICER

MR. RIPUDAMAN – CHIEF CREDIT OFFICER
MS. JIJY OOMMEN – CHIEF TECHNOLOGY OFFICER
MR. ANSHUL BHARGAVA – CHIEF PEOPLE OFFICER
MR. RAJARAM BALASUBRAMANIAM – CHIEF OF
STRATEGY AND ANALYTICS
MR. RAKESH SHINDE – HEAD, INVESTOR RELATION

Moderator: Ladies and gentlemen, good day and welcome to Aavas Financi ers Limited Q4 FY'24 Earnings Conference Call.
This Conference Call may contain forward -looking statements ab out the Company , which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rakesh Shinde – Head of Investor Relations at Aavas Financi ers Limited. Thank you and over to you , sir.
Rakesh Shinde: Good evening , everyone. I extend a very warm welcome to all our participants. Thank you for participating in the Earnings Call to discuss the Performance of our Company for Q4 and FY'24.
The "Results " and the "Presentation " are available on the stock exchanges , as well as on our Company website. And I hope everyone had a chance to look at it.
With me today I have entire management team of Aavas , including Mr. Sachinder Bhinder - MD and CEO, Mr. Ghanshyam Rawat - President & CFO, Mr. Ashutosh Atre - President and CRO, Mr. Siddharth Srivastava - Chief Business Officer, Mr . Surendra Sihag - Chief Collection Officer, Mr. Ripudaman - Chief Credit Officer, M rs. Jijy Oommen - Chief Technology Officer, Mr. Anshul Bhargava – Chief People Officer, Mr. Rajaram Balasubramaniam - Chief of Strategy and Analytics.
We will start the call with an "Opening Remark " by our MD – Mr. Sachinder Bhinder ; CFO – Mr. Ghanshyam Rawat ; and CRO – Mr. Ashutosh Atre , followed by a Q&A Session .
With this introduction, I hand over the call to Sachin der. Over to you , Sachinder.
Sachinder Bhinder: Good evening, everyone. Thank you for joining the call. I take this opportunity to thank all our stakeholders for the continued trust and support.
Let me now take you through the "Key Highlights of our Performance ":
In FY'24, we delivered robust growth of 22 % Y-o-Y in AUM at Rs. 173 billion. Along with the strong growth, we have ensured best -in-class asset quality with an all -time low 1+DPD at 3.12 % and GNP A of 0.94%. We have reported a net profit of Rs. 4.91 billion in FY'24, registering a growth of 15 % Y-o-Y.
In terms of "Business Update":

In Q4 FY'24, we have delivered robust disbursement growth of 39 % Q-o-Q and 20 % Y-o-Y.
We disbursed Rs. 18.93 billion in Quarter 4 FY'24, taking a full year disbursement to Rs. 55.82 billion. This was our highest ever quarterly disbursement since in ception . The green shoots from month -on-month improvement in the disbursements give us confidence to steer the path to deliver strong and sustainable growth in the A UM for FY'25.
As a pan-India institution, we are seeing a well diversified growth in disbursements across the states. We have opened 21 new branches during FY'24 in our existing states to deepen our reach.
We have seen a strong uptick in logins led by diversified omni-chan nel lead generation funnel , including digital , eMitra, RRO and Mitra , resulting in better disbursement growth as well as in building a healthy business pipeline.
In terms of "Technology Update" :
I am happy to share that we have completed the milestone of adoption and stabilization of sales force with 1.6 lakh plus loan applications processed through sales force. Further, we have stabilized Oracle Fusion, our ERP application. We have gone live with account aggregator integration and customer service

integ ration in the sales force. Our new lead management system built in Salesforce and loan management system on Oracle Flexcube is at the advanced stage of testing and about to go -live. Technology is playing a key role in the transformation and the

turnaround time improvement , our login to sanction turnaround time has improved to 9 days in FY'24. And for Q 4FY24, we had an impressive about 8 days of TAT.
In terms of "Quarter Financial Performance":
in Quarter 4 FY'24, our net profit grew by 22 % Q-o-Q, led by strong growth in net total income and AUM, coupled with reduction in credit costs on the back of traction in asset quality. Further, our consistent efforts to optimize costs have resulted in improvement of Opex to -asset ratio by 10 bps from 3.68 % in FY'23 to 3.58 % in FY'24.
In terms of "Asset Quality":
It continued to be pristine with 1+DPD l ess than 4% at 3.12 % as of March 2024. This is our lowest ever 1+DPD since inception . Our GNP A improved by 15 bps quarter -on-quarter and stood at 0.94% in FY'24.
Credit cost, including write -off, continues to remain low and below 25 bps.
In terms of liabilit y, we have one of the best well -diversified liability franchise . We have always been innovative in terms of exploring new avenues of sourcing. I am happy to share that during the quarter, we have received the funding from an MSME sector developing institution for our MSME business. This is the first industry tie -up for MSME business. We are a unique H FC where our tenure of liability is higher than th e tenure of assets.

Our i ncremental borrowing cost remains slightly above 8 %, indicating cost of borrowing peaking out in line with the benchmark rates .
As we tread the path in the coming quarters, we would like to focus on three key areas :
1. Delivering well-diversified geographic growth with quality and sustainable AUM growth of 22% to 25 %.
2. Improving OPEX -to-asset ratio to below 3% in the near -to-medium term by improving productivity, efficiency and by adopting tech -led OPEX -light approach .
3. Delivering a sustainable ROA of 3 %.

We are committed to support and strengthen the long term Aavas V ision 3.0. I take this opportunity to thank all our stakeholders for their continued trust and support.
I will now hand over to our CFO – Ghanshyam Rawat , to discuss the financial s in detail.
Ghanshyam Rawat: Thank you, Sachin der. Good evening , everyone and a warm welcome to our earnings call.
To update on "Borrowing " first:
In terms of borrowing, we continue d to borrow judiciously. We have raised around Rs. 61.45 billion at 8.14% during FY'24. For Q4 FY'24, we raised around Rs. 18.52 billion at 8.14 %. Total outstanding borrowings as on 31st March 2024 , stood at Rs. 155.55 billion . Overall borrowing mix as of 31st March is 47.5% from term loan from banks, 23.9% from assignment and securitization , 19.6% from National Housing Bank as refinancing , and 9% from debt capital market .
During the quarter, the overall cost of borrowing increased by 12 basis point s quarter -over-quarter to 8.07% . Our incremental cost o f borrowing for Q4 is 8.14%. Lenders ' support continue d to remain extremely strong a s Aavas evolution continues. There is access to diversified and cost-effective long -term financing , and strong relationships with the development finance institutions . To meet long term business growth, we have done our first -ever co-lending tie -up with a large PSU bank. And also , we had a first ever in the industry funding by MSME sector promoting all-India financial institution .
As of 31st March 2024 , we maintain ed a sufficient liquidity of Rs. 30.3 billion in the form of cash and cash equivalent , and unavailed CC limit and documented unavailed sanction from various banks, including Rs. 2.3 billion from National Housing bank.
In terms of the "Spread":

As on 31st March 2024, and an average borrowing cost of 8.07% against an average portfolio yield of 13.13% resulted in a spread of 5.06%. We have been able to maintain our spread around 5% in line with our guidance , despite competitive pricing pressure.

We have incr eased our prime lending rate by 25 basis points with effect from March 1st, 2 024.
Our margin, NIM as a percentage of total assets during FY'24 stood at 7.91%. Our NIM in absolute terms has increased by 17% year -on-year in FY'24 over FY'23.
In terms of "Cost":
Our OPEX to cost ratio improved by 10 basis points to 3.58% in FY'24 versus 3.68% in FY'23. We are committed to bringing down our OPEX ratio in a gradual manner towards 3%. Credit cost during the quarter stood at 11 basis point s in Quarter 4 FY'24, versus 21 basis point s in Q3 FY'24, 16 basis points in FY'24.

In terms of other “Parameters”:
Profitability during the quarter increased by 15% year-on-year to Rs. 1.43 billion and 15% year-on-year FY’24 to Rs. 4.91 billion . ROA stood at 3.28% and ROE was 13.94% for FY’24.
IGAAP to IndAS reconciliation has been explained in detail for profit after tax and network on Slide #30 and #32 of the presentation. We are well capitalized with the net worth of Rs. 37,733 million and capital adequacy ratio is 43.99 %. The total number of live account stood at 218,100 , translating into a 17% year-on-year growth . The employee count was 6 ,075 as on March 31, 2024, versus 6 ,034 as of March 31 , 2023.
Now , I would hand over the line to our CRO – Ashutosh Atre , to discuss asset quality.
Ashutosh Atre : Thank you, Ghanshyam ji.
The key portfolio in this parameter is “Asset Quality and Provisioning ”:
One day pass due has hit all time low at 3.12% in FY2024 as against 3.30% in FY2023 . Gross Stage -3 stood at 0.94% and net Stage -3 stood at 0.67% as of March 31st, 2024.
During Financial Year 2022, a resolution plan was implemented for certain borrower accounts as per RBI’s Resolution Framework 2.0 dated 5th of May 2021. Basis the perceived risk and as a matter of prudence, s ome such accounts with an outstanding amount of Rs. 712.3 million as on 31st of March 2024, have been classified as Stage -2, and provided for as per regulatory guidelines .
Out of Rs. 7 12.3 milli on, Rs. 5 67.2 million , that is 80% , is already into 0 to 30 DPD bucket. The total ECL provisioning, including that for COVID -19 impact , as well as resolution framework 2.0, stood at Rs. 848.2 million as of 31st of March 2024. Aavas is strongly placed to co ntinue delivering industry -leading asset quality.
With this , I open the floor for Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Renish from ICICI Sec. Please go ahead.
Renish: Congrats on a good set of numbers . Sir, just two questions from my side , one on the disbursement side. So, of course , Q4 has been a pretty strong quarter for us, but how confident we are to sort of sustain this momentum in the first half of ‘25? Because Q4 is seasonally strong quarter s o there has to be sequentially some weakness , so can you please throw some light on the first half disbursement numbers?
Sachinder Bhinder: Thanks, Renish. I think, Renish, you would have observed that as we stated earlier in our guidance and every quarter -on-quarter there has been an improvement which is there. So, I think in line of whatever we started across our journey, we are confident ab out our strong H1 with the kind of green shoots which we have seen in the number of logins, the kind of tech transformation which has happened. So, as a management team, we are guided by the fact that the sequential improvement which we have seen quarter -on-quarter, I believe and we have trust in

our teams
and the kind of logins under sanctions which we see in the coming times, we will stay at the top for a strong and robust H1.
Renish: Got it. And sir, incrementally if you could just help to share, let ’s just split between what percentage of disbursement is happening through in -house branch and what% is through via connected channel, et cetera?
Sachinder Bhinder: In that I will throw light on the OPEX -light models which we have been discussing. I think if you look at the mix of digital , the eMitra, the Mitra and those channels, we were conventionally at around 10%. As we speak and we close the year, we are around 13%. And these are typically the OPEX -light kind of models which are there. And the rest of that I’d say is a hybrid of the direct channel and some part of the connect or channel which is there. So, that’s the broad break up.
Renish: And sir, secondly on the spread, so of course we have seen in FY’24 there has been a steady decline in the spread. Is i t right to assume that spreads have bottomed out at 5.06% and maybe from Q1 onwards considering the 25-basis point of PLR hike, we should see a gradual improvement in the spreads?
Sachinder Bhinder: Renish, really as we have spoken about that our focus on less than Rs.10 lakhs ticket size customers is there, so this will have an improvement. But as we have always guided that we will remain in the spread range bound of around 5% and we commit to that spread at around 5% on the overall AUM basis.
Renish: So, just last question from my side on this 1+DPD at 3.12%. So, is there any seasonality or do you see this 3% odd 1+DPD to sustain at this level?
Sachinder Bhinder: I think it is the conscious effort. See, there are two, three points which are important is, one is the type of sourcing, the quality sourcing, the quality underwriting, and the continuous and

granular efforts of the risk and collection teams to really steer that across. And I think in that journey of this, the predi ctive analytics which has really helped us to sharpen our granularity and much, much deeper focused on our approach as far as this is concerned. So, which is very different to the way we have really -- we are approaching the entire set from a perspective o f this.
So, I think that the technology as a part of aided is actually really helping out in our journey and a deep dive focus I think right from the origination to the underwriting, and to the efforts of the team at the ground really to collect with the help of technology has made a difference. So, it 's a cumulative effort of the entire team which is, again, based on risk architecture. And as I 've been saying earlier that we are in the risk-based business, and we continue to build our risk architecture, which is stronger, sustainable and reliable over a period of time.
Renish: So, basically let 's say the restructured process led by the tech is sort of helping us to manage the risk better than earlier? Is that a fair conclusion, sir?
Sachinder Bhinder: This is the part which helps and facilitates actually in our journey which is more predictive analytics which we have been saying. Along with the strong risk architecture, the strong understanding of risk which starts in onboarding, the quality underwritin g which happens, and then subsequently how do you really trail and push the entire thing in the system. Really that a cumulative effort of everything, but I would really put across the strong focus on risk and quality, I think it 's one of the basic foray, so to speak .
Sachinder Bhinder: Yes. And Renish, we have always given the guidance that we will be in the range bound below 5%. So, we continue to be there in that territory.
Moderator: Thank you. Our next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.
Shweta Daptardar: Sir, a couple of ques

tions. Could you throw light on the BT scenario and competitive intensity?
Any particular geography throwing any specific signal? That 's question number one. Question number two, sir i f you look at sequential basis, the incremental cost of borrowing are down from 8.24% to 8.14%. I believe this should be attributed to NHB drawdowns . Correct me if I am wrong. But then the same question which the earlier participant asked, doesn 't this mea n that the spreads should sort of climb going forward? And what 's your outlook on funding cost ahead? Thank you.
Sachinder Bhinder: I will answer these two questions. First one I will answer, and I will have CFO answer on the second part on the cost of bor rowing stuff. See, on the BT part, I think what we have done as an institution is that proper predictive analytics still to work across on the customer base where there is a propensity to really do a BT out I think has played a very important role. And as we speak, we are at around 6% is the total one --

Sachinder Bhinder: So, it is 0.5% every month and 6% of the opening AU M, as we speak. And in that journey, I think as an institution, we have evolved to really figure that out, what is that we need to hold. And again, a very interesting part we have also earlier declared is that the ones which we let them out have 5 times higher 1+DPDs and similar count of the GNPA.
So, we are cognizant of the fact that whoever is our customer, we would like to continue with us and with the with the right form, but not get overloaded. So, I think at any period of time, whatever is the BT out is more from the fact that at Aavas we would not have had the customer with us because it 's getting over leverage which is beyond the point of our underwriting metrics or control, which we will really foresee. So, I think that 's the one.
On the cost of borrowing, I will have CFO really speak on the fact.
Ghanshyam Rawat: As you know, Aavas is very strictly focused when we borrow the money from various sources, we tied up with the multi -lateral institutions, we tied up with the NHB. And recently in this quarter we have further, as we mentioned in the opening remarks, we tied up with, to fund our MSME growth book we have tied up with our large all India financial institutions which also provides a concessional rate as NHB provides to housing finance Company .
So, I think all put together we had started, durin g this quarter -- PTC is also basically AA -plus or AAA rated, PTC. So, those are going at a final rate in the market basically. To put together, a lot of, I think, innovative funding tied up in last six months is helping us now containing our cost of borro wing in the interest rate rising scenario. But now more or less we feel that it 's almost peaking out at the cost of borrowing basically now. So, that’s I think brief from our side.
Shweta Daptardar: That helps, sir. Thank you and congratulations on a good quarter.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Congratulations to the Aavas team for a strong quarter. Just maybe one or two questions, just to

explain about the tech transformation. Just wanted to confirm what are those elements of tech transformation which are pending or still in pipeline for this current fiscal year? Why I am asking this is, I mean, is there anything that you foresee in the coming quarters as a nd when we implement the remaining portion of the tech transformation, something which can really disrupt the disbursement trajectory that we saw in the fourth quarter?

Sachinder Bhinder: Thanks, Abhijit. See, as we speak, we have gone live on the Salesfor ce, which is our L OS system. The two components, which is the lead management system in the Salesforce, which is the one which is to go live, and the loan man

agement system, which is Oracle Flexcube is in the making. Having gone through 1.6 lakhs of applic ations through Salesforce, I think we have had the system pretty stabilized. And I don 't foresee anything of any nature which will have any impact of any of the implementations of the ongoing projects on the disbursements in the coming quarters.

Abhijit Ti brewal: And lastly, how should we think about assignment volumes? Basically, we will appreciate assignments along with it in the assignment income, which can lead to some volatility in the P&L. So, how are we thinking about assignments for the next fiscal year?

Ghanshyam Rawat: Abhijit, assignment income, assignment, all these we explained. Assignment is a tool to fund our long-term growth basically. Let's say, profitability is the outcome of that , it is to fund our long-term business plan. And assignment transactions we are doing since 2014, '2015 basically. So, we as Aavas, I think we always maintain this thing, to fund our long-term funding, to meet our ALM requirement we keep on doing assignment every year. Initially two or three years we have maintained a steady state, then we have grown. As our balance size is growing we are growing that assignment also.

Last year, you also see we have grown almost 15%, 20%, this year also we are planning to have a 15%, 20% growth in assignment book, basically. Because this is, again, we have good strong tie up with the public sector banks, private sector banks, foreign banks, all, because asset quality is super, retail assets, PSL book, that 's the impression in that basically.

Secondly, I think if you refer to our investor deck, I think this time we published in non-home loan MSME book also basically, which consciously we make efforts a few years back we gradually will build the MSME book instead of loan against property book basically. Now that book has become around 17% of total AUM. And last year we did a disbursement, out of that I think 2 4% is in MSME side. So, that book also has a huge interest from the bank to take on assignment route basically. So, that's I think overall our strategy towards assignment.

Abhijit Tibrewal: Sir, just one last question before I hand it over to the next participant. In the previous question, which was asked on the cost of borrowings, my line was a little bad. Did you say that the cost of borrowings has now p eaked out? Or do you expect that the cost of borrowings will increase for the next maybe one or two quarters, and then peak out?

Ghanshyam Rawat: Abhijit, every quarter we think now RBI and Fed will start to cut the rate, it is very close to peak out basically. As every quarter they move their one quarter milestone, there is difficulty to say where we are. But if you see, last whole year we borrowed 8.14% and our closing cost of borrowing 8.07%. So, incremental versus book is anywhere close to the same level basi cally. So, that's giving directionally that we are almost peaking out basically. And expect I think RBI and all the regulators, Fed, will start to cut the rate from somewhere maybe quarter two or early quarter three. I think that will give us a positive im pact. And in overall cost of borrowing, in last one year we borrowed I think a sizeable chunk on repo -linked and other variable benchmarks. So, that will help us when rate cut will start.

Moderator: Thank you. Our next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Thanks for taking my questions, just two. One is, I 've been going back to the point of spreads. This year we have clearly seen some compression in spreads and your NII growth is clearly

lower than the loan growth that you 've reported. Next year do we really see some kind of a reversion and NII growth

being higher than loan growth? Or is it equal to loan growth? Or would you kind of say that maybe there is some more pressure to go? And are you seeing any incremental pressure of higher BT -outs, because you 'd probably be the only player who would have raised the benchmark rates in the last quarter?

Sachinder Bhinder: I think from the perspective of the BT -out, as I spoke earlier, I think we continue to hold on to the right kind of customers there. So, some part of rate compression happens because of holding the customer there, but that is where we have already invested in the customer while the time we have actually onboarded. So, that will continue at that. And we have not seen, at this period of time, it still continues to be at around 0.5% per month, so at 6%. So, our continuous endeavor would be there to really build on the same as we go forward.

Secondly, as we discussed earlier also, Nischint, that focus on less than Rs 10 lakhs ticket size segment , we want to regain that part, we think there we really get our spreads. And our endeavor in the coming quarters in this year would be really to focus on that so we get back to our stuff. And as we guided that we will all remain in the spread in the range of around 5% in the coming quarters.

Nischint Chawathe: And just one last one in terms of expense growth, do we see the improvement to kind of 3% sort of playing out in this year, or two years out, what is the plan for that?

Sachinder Bhinder: I think, Nischint, as I spoke, I think that 's our medium to long term I had said. And if you really look at it from 3.79% quarter one kind of thing to coming at ar ound 3.5 6%, I think sequential 20 bps of reduction year -on-year, we really look at it coming to in couple of years, if I were to really put across it, at the level which you spoke about. But our constant endeavor as to focus on the optimization of the cost and getting that to a level which we discussed at around 3% and couple of years. But yes, 20 bps, 25 bps of reduction is what we actually guide, and we target ourselves internally to push to get that line.

Nischint Chawathe: And I think just finally on th e credit cost side, this obviously has been a good year, so fair to expect that there can be some reversion or some increase in credit cost, although obviously you keep on sort of trying to keep it under control. So, this has been a good year, so maybe that could inch up a little bit is a fair expectation.

Sachinder Bhinder: Yes. As we said, that is one of the best years since the inception. We have always guided that we will remain in the range bound of 1+ at less than 5% and the GNPA at around 1%. So, that's been a constant endeavor. And I think, Nischint, what has really helped is the way we have treaded the path of using analytics. And our understanding on the credit risk buying and at the time the customer is there. So, that really helping us in our journey. And our endeavor would be to be there in that range bound stuff which is 1+ at around 5%.

And secondly, what we have really done well as a part of this some part of digital collection which we have a clear -cut predictability on the customer base where we do not have to go on

the field or really to telecall. And I think that 's one of the very innovative ones which we have done. And as we perfect that it will really help us further. And as we speak, I think the addition of manpower and the collecti on part has not increased in tandem or in line with our AUM growth or number of increase in our loan accounts. So, we try to effectively and efficiently use technology to really spot, predict and then effectively collect actually.

Nischint Chawathe: What p roportion of the loan book currently is in Rajasthan?

Sachinder Bhinder: So, of the loan book currently as we speak is around 35%. But if you look at it, Nischint, it 's dow

n from 90% at the start . We would like to continue to build Rajasthan. However, we will have the other states also really kicking in and built across. So, Nischint, what confidence in South, in Karnataka which gives us is that which helps us to really build across as a pan -India institution. And as we speak, we have had a good amount on a smaller base. I think the green shoots of Karnataka have really given us a good amount of confidence and faith in the Aavas risk underwriting and the DNA which we have actually got in there. And which will help us our movement in the coming times in the southern part of India actually.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equi rus. Please go ahead.

Shreepal Doshi: Congrats on a good set of numbers. My first question was pertaining to lending rates. So, have you ta ken any rate hike during the last quarter?

Ghanshyam Rawat : Yes, we have increased our PLR by 25 basis points effective from 1st March.

Shreepal Doshi: Secondly on the same lines, are we seeing in states like UP, Uttarakhand, relatively better lending rate s that we are able to get versus states like probably in the western side or in the southern side?

Ghanshyam Rawat: I think price is not linked to state, price is linked to more the risk-based underwriting when we do. It depends upon customer profile, depe nds upon property profile, depends upon in which state, in which year we are in that state basically. Like we enter the new state, initially we remain cautious. We have a very good quality of customers , keep focus one to two years in those markets. Once we learn that market more, then we deepen our product, deepen our market strategy on the high yield products basically. So, it is not a state-based pricing metrics, it 's more of a product, more of a customer, more of an assets quali ty product basically.

Sachinder Bhinder: And Shreepal, just to add on to what Ghanshyam said, it 's important that you price the risk right, and it 's always been the risk adjusted returns which we really look at it, and not segregate according to the state or the territory or the geography. I think one is the risk type, second is the product. And really having understood the risk, how do you really price the risk and, again, risk adjusted returns.

Shreepal Doshi: Sir, I was coming from the angle that competi tiveness in those states are relatively low, if you look at, so that. But it 's okay, I get your point. Sir the third question was pertaining to the sharp

increase in employee cost during the quarter. So, what is the reason behind the same? What is the empl oyee count today? And just one more question there, the tax rate this quarter has been pretty low, like 19%. So, if you can just throw some color on that as well.

Sachinder Bhinder: So, if you look at the employee cost, the employee cost has been, if you l ook at the April opening and the March closing, it says only the net addition of about 35 or 40 odd people. I think it 's some part of the Bonus and incentive cost, which actually has resulted in the employee costs being high. So, it's not the standalone ma npower addition which has cumulatively added onto the employee cost.

Shreepal Doshi: On the tax rate side?

Ghanshyam Rawat: Tax rate, our standard tax rate, if you compared to the earlier year also, it 's a similar tax rate. We have around 21% to 22% effect ive tax rate comes at.

Shreepal Doshi: So, this quarter is almost 19%, so therefore I just happened to ask.

Ghanshyam Rawat: Yes. I think during the year certain things remain in the pipeline; certain assessments are going in the pipeline. When the decision comes then we have to take the impact in a full-year basis. But on a full year basis our tax was 21% to 22%.

Shreepal Doshi: One last question was on NHB borrowings. Have you seen any increa se

in the NHB sanctioning

interest rate for the incremental sanctioning that they are doing?

Ghanshyam Rawat: I think as you know, the interest rate in the last 18 months or let 's say about 24 months I think interest rate has risen. Accordingly, NHB has al so increased the interest in a few products, not all products basically. So, they are also part and parcel of lending activity.

Moderator: Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Congr atulations on very strong numbers. The first question is, what is the branch addition plan for FY'25 which will be targeted market?

Sachinder Bhinder: The branch expansion plan is around 10%, that 's what we had. But as we go deeper in the South , we will l ook at Karnataka and other regions in those regions specifically so to say, actually. And some bit of we are already there to really look at opportunities within the existing market where we find good enough space, but specifically Karnataka, if I were to put across in this year. Rajiv, the second edition would be in UP, Karnataka followed by UP.

Rajiv Mehta: And one related question is, I mean, do you feel that the need for branch addition is slightly lower in the coming years, because after this tech tran sformation, the capacity of the existing branches and locations would have gone up, your TAT has improved, you 'll have more efficiencies coming through from the existing branches. And secondly also, you are also

developing a lot of non -brand per say around the existing location. Is that the thought process when you make your branch addition plan?

Sachinder Bhinder: Yes. See, definitely what you said, Rajiv, if you look at even at the higher base we are talking about only 10% addition. So, we are not looking at anything which is much beyond that. We try to be there as OPEX -light. But mild opportunity let 's say if it is there, develop that and continue with our overall contiguous location expansion strategy. Where we find the market is good enough, we will go and invest and set up. But before that we 'd like to have our RRO model which gets perfected and then set up a branch. But yes, going forward tech will continue to play a very significant role in helping us tread the journey which is OPEX -light, and which are really digitally we are able to source and service.

Rajiv Mehta: And just after raising PNR by 25 basis points from 1st of March, has there been any increase in BT request or maybe actual BT out from 1st of March? And what kind of rate diffe rential are these customers seeking when they come for a BT request?

Sachinder Bhinder: Yes. I think as we highlighted, our BT rate continues to be at the opening AUM about 0.5%, in the year it 's around 6%. I think we really focus on who the customer is wh o we want to really hold on, and we will really try our stuff, which is by getting some sort of rate reduction. And where we feel it is getting overleveraged, we have let that out actually. So, I think we don 't see, at this period of time, any of that real ly hurting us or anything which is having any of the alarming thing at this period of time.

Rajiv Mehta: And just lastly, how would we see, because in the last call you had spoken about re -energizing the core product, which is low ticket, high yielding hom e loan, and increasing the origination share of this product by 5 percentage points over a period of time. But even in Q4, the origination ticket prices were in fact higher than the previous quarter. So, when do we see this strategy playing out in terms of what we aspire?
Sachinder Bhinder: So, I think we focus on the less than 10 lakhs on that side. Secondly, we will really appreciate that the cost of construction in the areas we operate has also increased over the last couple of years. So, I think that is one which is

hurting .
Moderator: Thank you. The next question is from the line of Subhal Khanna from Mirabilis Investment Trust. Please go ahead.
Subhal Khanna: Just one question on the disbursement, which was done over the year, how has been the experie nce in some of the newer states? Was it largely driven by the legacy states of Rajasthan, Maharashtra, Gujarat? Or there was an uptick even in the newer states of Uttar Pradesh and Karnataka?
Sachinder Bhinder: So, I think as we speak, as I spoke, I think Karnataka gives us a lot of confidence as one of the institutions who has claiming to be a pan -India one. We have got a good amount of growth which is there, but it is there on the lower base, if I were to put across. But we will continue investing

in the states as we speak in Karnataka, UP. And as we see a long runway available there and the opportunity which Aavas is able to mine in those markets, and we will monetize in the coming quarters in the coming years ahead actually. So, it’s a well -diversified g eographic growth which is there, and gives us a new level of confidence. Again , for the matter of reiteration I speak, our presence in the South and Karnataka being one of the major harbingers of our strategy in the South .
Moderator: Thank you. The next question is from the line of Jigar Jani from BNK Securities. Please go ahead.
Jigar Jani: Congratulations on a good set of numbers. Just a couple of questions. Firstly, on the tech transformation, the lead management system and the loan management system, are these ones stacked to get completed by the first quarter or do we see any delay on these to go live?
Sachinder Bhinder: I think from a tech transformation perspective, from the lead management we should be live by the first quarter and be active and ki cking by having successfully piloted by the time being running fully well in the quarter two, so to say.
Ghanshyam Rawat: Yes, side by side LMS will be also ready. It will also go live on the first week of July.
Jigar Jani: Sir, just taking a cue from the previous participant that we have increased PLR rates, and we are also planning on increasing the proportion of sub Rs 10 lakhs ticket sales loan, at the same time our cost of borrowing is also kind of peaking out. So, do you see like spreads kind of broad ening now or is there something that we are missing? Because ideally then spreads should bottom out at these levels and should tread higher next year overall? So, anything that you are seeing which can be a risk to that factor?
Sachinder Bhinder: So, as we have always guided about the spreads, and we will continue to do that whatever is required. And as I said that whatever is in the risk adjusted pattern and what we understand, what we are able to underwrite in the kind of quality metrics which we see and which the firm has been doing that over a period of time, we will continue to build on that risk quality.
Jigar Jani: And this PLR rate hike gets reset every quarter? I mean, so all the customers which are on floating rate get repriced in the next quarter cycle, how does it work?
Ghanshyam Rawat: No. Whoever customer is linked to PLR, whenever we hike the rate and we publish our effective date of rate hiking also, on that day rate hike takes place for all the customers, there is no quarterly. Until unless w e increase the rate next time it will not be reset for those customers.
Jigar Jani: So, the next quarter on the floating rate book, which is about 60% odd, you should see this full 25 bps hike starting from next quarter, is that understanding correct?
Ghan shyam Rawat: No. Rate hike already took place. But for P&L perspective, you will have a full year quarter income in the next quarter. So, P&L perspective, in the first quarter will have a full quarter impact.

Moderator: Thank you. The next question is from the line of Aditya from MSA Capital Partners. Please go ahead.
Aditya Vikram: Congratulations on the good set of numbers. Sir just wanted to quickly understand what is the

yield for across the three products, that is home loan, LAP, and MSME loans?
Ghanshyam Rawat: You are asking all three products?
Aditya Vikram: Yes, ROI.
Ghanshyam Rawat: All three businesses are given to different class of customers and different property profile and different market. But generally, for better understanding, you can assume roughly 2 .50% to 3.00% difference is there between home loan to MSME and LAP business.
Aditya Vikram: But if you were just to quantify, a home loan would be closer to 13%, and MSM E would be then 16%, is that fair to assume?
Ghanshyam Rawat: Our home loan generally you take is roughly 12.5% around, and then non -home loan is around 15%.
Aditya Vikram: If I want to understand which would be the top three states, Rajasthan being the largest, and what would be our concentration in those geography? An d more importantly, how are you looking at geographical split?
Ghanshyam Rawat: Maharashtra, Gujarat, MP, all three are equally spread. And as Sachinder ji mentioned, Karnataka and UP are coming up very well on the new disbursement. And Delhi is a steady - state state for us for the last couple of years, on growth and as well as quality .
Aditya Vikram: Sir, but just I wanted to understand the top three states, Rajasthan contributing 35% of the AUM, the other two states being Maharashtra and Gujarat , assume. So, combined top three sir, what could be the concentration?
Ghanshyam Rawat: Top four is around 82%. That will appreciate with the kind of space, the population and the GDP type.
Moderator: Thank you. The next question is from the line of Bunty Chawla fro m IDBI. Please go ahead.
Banti Chawla: Sorry to harp on the yield per s e, so can you share, as we have seen you have taken the PLR hike in the 25-bps effective 1st of March. So, how much yield impact or positive impact will be in Q1 FY'25? Because we believe there was only one month for the rate hike, and Q1 will get full impact. So, how much yield positive impact will be in Q1, being 66% of our floating asset book?
Ghanshyam Rawat: Roughly 60% book is our floating rate book. That book w ill have 100% impact of 25 basis point increase. In the last quarter, we have seen that P&L perspective one month impact. In the next quarter it will have all three -month positive impact on our book, basically.

Bunty Chawla: So, roughly we can say around 10 bps to 12 bps of positive impact could be there in Q1 FY'25 for the yield per say?
Ghanshyam Rawat: I think we published; our yield is a sum product of loan contract. And as well as on borrowing side we publish our liability contract versus effective ra te on that day, basically. So, in computation it has been taken care. But P&L perspective it will give two extra month positive impact.
Bunty Chawla: Sir secondly on the other expenses part in Q4, we have seen a decline on a Q -on-Q basis. And if I see FY'24 versus FY'23 and '22, there has been an increase of around 18%, 19% versus '23 and '24 there was 30%, 40%. So, can we say the technology part which we are doing, which is part of other expenses already been incurred, how you will see the other expenses ' part growth in next two years?
Ghanshyam Rawat: Other expenses, as I 've seen in last few quarters and including this quarter, we mentioned that as the technology transformation is completing, we are starting to see the return on the OPEX side on various f ronts basically start even from, let 's say from scanning, from courier, from manpower efficiency, from all front we are seeing a saving on that OPEX piece , as well as growth momentum is also coming back to the

OPEX -light mode. So, we don 't want to say in particular one how was the OPEX , but overall, our guidance is that our total OPEX to AUM, we will have another 20 basis point plus saving in this year on full year basis.
Bunty Chawla: So, can you say major will be from the other expenses part? Because alre ady we are increasing the branches and employee count, so this will be the major lever for this 20 bps increase?
Ghanshyam Rawat: No. Because manpower count, as we mentioned earlier, we will not increase the same manpower count as we increase our growth on business and AUM, so that will also have a denominator effect on the employee cost also basically.
Moderator: Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. Sachinder Bhinder, M D and CEO of Aavas Financiers Limited for his closing comments.
Sachinder Bhinder: Thanks, ladies and gentlemen. As we conclude today 's earning call, I would like to express my heartfelt gratitude to each one of you for our participation and engagement. Th e dedication and commitment of our team, the trust and support of our shareholders, and the loyalty of our valued customers have always been instrumental in our growth story. Looking ahead, I want to emphasize that we will continue to maintain razor sharp focus on governance, asset quality, profitability and growth, leveraging technology and creating superior customer experience.

We remain optimistic about the future and are confident that our strategic initiatives will continue to deliver sustainable gro wth and shareholder value. Once again, thank you for ongoing support and belief in our vision. If you have any other further questions or require additional

information, please feel free to reach out to Rakesh, our Head of Investor Relations team. Thank you and have a wonderful financial year ahead. God bless.

Moderator: Thank you. On behalf of Aavas Financiers Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2024

"Aavas Financiers Limited Q4 & FY24 Earnings
Conference Call"

April 25 , 2024

MANAGEMENT : MR. SACHINDER BHINDER – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. GHANSHYAM RAWAT – PRESIDENT AND CHIEF
FINANCIAL OFFICER
MR. ASHUTOSH ATRE – PRESIDENT AND CHIEF RISK
OFFICER
MR. SIDDHARTH SRIVASTAVA – CHIEF BUSINESS
OFFICER
MR. SURENDRA SIHAG – CHIEF COLLECTION OFFICER
MR. RIPUDAMAN – CHIEF CREDIT OFFICER
MS. JIJY OOMMEN – CHIEF TECHNOLOGY OFFICER
MR. ANSHUL BHARGAVA – CHIEF PEOPLE OFFICER
MR. RAJARAM BALASUBRAMANIAM – CHIEF OF
STRATEGY AND ANALYTICS
MR. RAKESH SHINDE – HEAD, INVESTOR RELATION

Moderator: Ladies and gentlemen, good day and welcome to Aavas Financi ers Limited Q4 FY'24 Earnings Conference Call.
This Conference Call may contain forward -looking statements ab out the Company , which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rakesh Shinde – Head of Investor Relations at Aavas Financi ers Limited. Thank you and over to you , sir.
Rakesh Shinde: Good evening , everyone. I extend a very warm welcome to all our participants. Thank you for participating in the Earnings Call to discuss the Performance of our Company for Q4 and FY'24.
The "Results " and the "Presentation " are available on the stock exchanges , as well as on our Company website. And I hope everyone had a chance to look at it.
With me today I have entire management team of Aavas , including Mr. Sachinder Bhinder - MD and CEO, Mr. Ghanshyam Rawat - President & CFO, Mr. Ashutosh Atre - President and CRO, Mr. Siddharth Srivastava - Chief Business Officer, Mr . Surendra Sihag - Chief Collection Officer, Mr. Ripudaman - Chief Credit Officer, M rs. Jijy Oommen - Chief Technology Officer, Mr. Anshul Bhargava – Chief People Officer, Mr. Rajaram Balasubramaniam - Chief of Strategy and Analytics.
We will start the call with an "Opening Remark " by our MD – Mr. Sachinder Bhinder ; CFO – Mr. Ghanshyam Rawat ; and CRO – Mr. Ashutosh Atre , followed by a Q&A Session .
With this introduction, I hand over the call to Sachin der. Over to you , Sachinder.
Sachinder Bhinder: Good evening, everyone. Thank you for joining the call. I take this opportunity to thank all our stakeholders for the continued trust and support.
Let me now take you through the "Key Highlights of our Performance ":
In FY'24, we delivered robust growth of 22 % Y-o-Y in AUM at Rs. 173 billion. Along with the strong growth, we have ensured best -in-class asset quality with an all -time low 1+DPD at 3.12 %

and GNP A of 0.94%. We have reported a net profit of Rs. 4.91 billion in FY'24, registering a growth of 15 % Y-o-Y.
In terms of "Business Update":

In Q4 FY'24, we have delivered robust disbursement growth of 39 % Q-o-Q and 20 % Y-o-Y.
We disbursed Rs. 18.93 billion in Quarter 4 FY'24, taking a full year disbursement to Rs. 55.82 billion. This was our highest ever quarterly disbursement since in ception . The green shoots from month -on-month improvement in the disbursements give us confidence to steer the path to deliver strong and sustainable growth in the A UM for FY'25.
As a pan-India institution, we are seeing a well diversified growth in disbursements across the states. We have opened 21 new branches during FY'24 in our existing states to deepen our reach.
We have seen a strong uptick in logins led by diversified omni-chan nel lead generation funnel , including digital , eMitra, RRO and Mitra , resulting in better disbursement growth as well as in building a healthy business pipeline.
In terms of "Technology Update" :
I am happy to share that we have completed the milestone of adoption and stabilization of sales force with 1.6 lakh plus loan applications processed through sales force. Further, we have stabilized Oracle Fusion, our ERP application. We have gone live with account aggregator integration and customer service

integ ration in the sales force. Our new lead management system
built in Salesforce and loan management system on Oracle Flexcube is at the advanced stage of testing and about to go -live. Technology is playing a key role in the transformation and the turnaround time improvement , our login to sanction turnaround time has improved to 9 days in FY'24. And for Q 4FY24, we had an impressive about 8 days of TAT.
In terms of "Quarter Financial Performance":
in Quarter 4 FY'24, our net profit grew by 22 % Q-o-Q, led by strong growth in net total income and AUM, coupled with reduction in credit costs on the back of traction in asset quality. Further, our consistent efforts to optimize costs have resulted in improvement of Opex to -asset ratio by 10 bps from 3.68 % in FY'23 to 3.58 % in FY'24.
In terms of "Asset Quality":
It continued to be pristine with 1+DPD l ess than 4% at 3.12 % as of March 2024. This is our lowest ever 1+DPD since inception . Our GNP A improved by 15 bps quarter -on-quarter and stood at 0.94% in FY'24.
Credit cost, including write -off, continues to remain low and below 25 bps.
In terms of liabilit y, we have one of the best well -diversified liability franchise . We have always been innovative in terms of exploring new avenues of sourcing. I am happy to share that during the quarter, we have received the funding from an MSME sector developing institution for our MSME business. This is the first industry tie -up for MSME business. We are a unique H FC where our tenure of liability is higher than th e tenure of assets.

Our i ncremental borrowing cost remains slightly above 8 %, indicating cost of borrowing peaking out in line with the benchmark rates .
As we tread the path in the coming quarters, we would like to focus on three key areas :
1. Delivering well-diversified geographic growth with quality and sustainable AUM growth of 22% to 25 %.
2. Improving OPEX -to-asset ratio to below 3% in the near -to-medium term by improving productivity, efficiency and by adopting tech -led OPEX -light approach .
3. Delivering a sustainable ROA of 3 %.
We are committed to support and strengthen the long term Aavas V ision 3.0. I take this opportunity to thank all our stakeholders for their continued trust and support.
I will now hand over to our CFO – Ghanshyam Rawat , to discuss the financial s in detail.
Ghanshyam Rawat: Thank you, Sachin der. Good evening , everyone and a warm welcome to our earnings call.
To update on "Borrowing " first:
In terms of borrowing, we continue d to borrow judiciously. We have raised around Rs. 61.45 billion at 8.14% during FY'24. For Q4 FY'24, we raised around Rs. 18.52 billion at 8.14 %.
Total outstanding borrowings as on 31st March 2024 , stood at Rs. 155.55 billion . Overall borrowing mix as of 31st March is 47.5% from term loan from banks, 23.9% from assignment and securitization , 19.6% from National Housing Bank as refinancing , and 9% from debt capital market .
During the quarter, the overall cost of borrowing increased by 12 basis point s quarter -over-

quarter to 8.07% . Our incremental cost o f borrowing for Q4 is 8.14%. Lenders ' support continue d to remain extremely strong a s Aavas evolution continues. There is access to diversified and cost-effective long -term financing , and strong relationships with the development finance institutions . To meet long term business growth, we have done our first -ever co-lending tie -up with a large PSU bank. And also , we had a first ever in the industry funding by MSME sector promoting all-India financial institution .

As of 31st March 2024 , we maintain ed a sufficient liquidity of Rs. 30.3 billion in the form of cash and cash equivalent , and unavailed CC limit and documented unavailed sanction from various banks, including Rs. 2.3 billion from National Housing bank.

In terms of the "Spread":

As on 31st March 2024, and an average borrowing cost of 8.07% against an average portfolio yield of 13.13% resulted in a spread of 5.06%. We have been able to maintain our spread around 5% in line with our guidance , despite competitive pricing pressure.

We have incr eased our prime lending rate by 25 basis points with effect from March 1st, 2 024. Our margin, NIM as a percentage of total assets during FY'24 stood at 7.91%. Our NIM in absolute terms has increased by 17% year -on-year in FY'24 over FY'23.

In terms of "Cost":

Our OPEX to cost ratio improved by 10 basis points to 3.58% in FY'24 versus 3.68% in FY'23. We are committed to bringing down our OPEX ratio in a gradual manner towards 3%. Credit cost during the quarter stood at 11 basis point s in Quarter 4 FY'24, versus 21 basis point s in Q3 FY'24, 16 basis points in FY'24.

In terms of other "Parameters":

Profitability during the quarter increased by 15% year-on-year to Rs. 1.43 billion and 15% year-on-year FY'24 to Rs. 4.91 billion . ROA stood at 3.28% and ROE was 13.94% for FY'24.

IGAAP to IndAS reconciliation has been explained in detail for profit after tax and network on Slide #30 and #32 of the presentation. We are well capitalized with the net worth of Rs. 37,733 million and capital adequacy ratio is 43.99 %. The total number of live account stood at 218,100 , translating into a 17% year-on-year growth . The employee count was 6 ,075 as on March 31, 2024, versus 6 ,034 as of March 31 , 2023.

Now , I would hand over the line to our CRO – Ashutosh Atre , to discuss asset quality.

Ashutosh Atre : Thank you, Ghanshyam ji.

The key portfolio in this parameter is "Asset Quality and Provisioning ":

One day pass due has hit all time low at 3.12% in FY2024 as against 3.30% in FY2023 . Gross Stage -3 stood at 0.94% and net Stage -3 stood at 0.67% as of March 31st, 2024.

During Financial Year 2022, a resolution plan was implemented for certain borrower accounts as per RBI's Resolution Framework 2.0 dated 5th of May 2021. Basis the perceived risk and as a matter of prudence, s ome such accounts with an outstanding amount of Rs. 712.3 million as on 31st of March 2024, have been classified as Stage -2, and provided for as per regulatory guidelines .

Out of Rs. 7 12.3 milli on, Rs. 5 67.2 million , that is 80% , is already into 0 to 30 DPD bucket. The total ECL provisioning, including that for COVID -19 impact , as well as resolution framework 2.0, stood at Rs. 848.2 million as of 31st of March 2024. Aavas is strongly placed to co ntinue delivering industry -leading asset quality.

With this , I open the floor for Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Renish from ICICI Sec. Please go ahead.

Renish: Congrats on a good set of numbers . Sir, just two questions from my side , one on the disbursement side. So, of course , Q4 has been a pretty strong quarter for us, but how confident we are to sort of sustain this momentum in the first half of '25? Because Q4 is seasonally strong quarter s o there has to be sequentially some weakness , so can you please throw some light on the first half disbursement numbers?

Sachinder Bhinder: Thanks, Renish. I think, Renish, you would have observed that as we stated earlier in our guidance and every quarter -on-quarter there has been an improvement which is there. So, I think in line of whatever we started across our journey, we are confident ab out our strong H1 with the kind of green shoots which we have seen in the number of logins, the kind of tech transformation which has happened. So, as a management team, we are guided by the fact that the sequential improvement which we have seen quarter -on-quarter, I believe and we have trust in

our teams
and the kind of logins under sanctions which we see in the coming times, we will stay at the top for a strong and robust H1.

Renish: Got it. And sir, incrementally if you could just help to share, let 's just split between what percentage of disbursement is happening through in -house branch and what% is through via connected channel, et cetera?

Sachinder Bhinder: In that I will throw light on the OPEX -light models which we have been discussing. I think if you look at the mix of digital , the eMitra, the Mitra and those channels, we were conventionally at around 10%. As we speak and we close the year, we are around 13%. And these are typically the OPEX -light kind of models which are there. And the rest of that I'd say is a hybrid of the direct channel and some part of the connect or channel which is there. So, that's the broad break up.

Renish: And sir, secondly on the spread, so of course we have seen in FY'24 there has been a steady decline in the spread. Is i t right to assume that spreads have bottomed out at 5.06% and maybe from Q1 onwards considering the 25-basis point of PLR hike, we should see a gradual improvement in the spreads?

Sachinder Bhinder: Renish, really as we have spoken about that our focus on less than Rs.10 lakhs ticket size customers is there, so this will have an improvement. But as we have always guided that we will remain in the spread range bound of around 5% and we commit to that spread at around 5% on the overall AUM basis.

Renish: So, just last question from my side on this 1+DPD at 3.12%. So, is there any seasonality or do you see this 3% odd 1+DPD to sustain at this level?

Sachinder Bhinder: I think it is the conscious effort. See, there are two, three points which are important is, one is the type of sourcing, the quality sourcing, the quality underwriting, and the continuous and

granular efforts of the risk and collection teams to really steer that across. And I think in that journey of this, the predi ctive analytics which has really helped us to sharpen our granularity and much, much deeper focused on our approach as far as this is concerned. So, which is very different to the way we have really -- we are approaching the entire set from a perspective o f this.

So, I think that the technology as a part of aided is actually really helping out in our journey and a deep dive focus I think right from the origination to the underwriting, and to the efforts of the team at the ground really to collect with the help of technology has made a difference. So, it 's a cumulative effort of the entire team which is, again, based on risk architecture. And as I 've been saying earlier that we are in the risk-based business, and we continue to build our risk architecture, which is stronger, sustainable and reliable over a period of time.

Renish: So, basically let 's say the restructured process led by the tech is sort of helping us to manage the risk better than earlier? Is that a fair conclusion, sir?

Sachinder Bhinder: This is the part which helps and facilitates actually in our journey which is more predictive analytics which we have been saying. Along with the strong risk architecture, the strong understanding of risk which starts in onboarding, the quality underwritin g which happens, and then subsequently how do you really trail and push the entire thing in the system. Really that a cumulative effort of everything, but I would really put across the strong focus on risk and quality, I think it 's one of the basic foray, so to speak .

Sachinder Bhinder: Yes. And Renish, we have always given the guidance that we will be in the range bound below 5%. So, we continue to be there in that territory.

Moderator: Thank you. Our next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: Sir, a couple of ques

tions. Could you throw light on the BT scenario and competitive intensity? Any particular geography throwing any specific signal? That 's question number one. Question number two, sir i f you look at sequential basis, the incremental cost of borrowing are down from 8.24% to 8.14%. I believe this should be attributed to NHB drawdowns . Correct me if I am wrong. But then the same question which the earlier participant asked, doesn 't this mea n that the spreads should sort of climb going forward? And what 's your outlook on funding cost ahead? Thank you.

Sachinder Bhinder: I will answer these two questions. First one I will answer, and I will have CFO answer on the second part on the cost of bor rowing stuff. See, on the BT part, I think what we have done as an institution is that proper predictive analytics still to work across on the customer base where there is a propensity to really do a BT out I think has played a very important role. And as we speak, we are at around 6% is the total one --

Sachinder Bhinder: So, it is 0.5% every month and 6% of the opening AU M, as we speak. And in that journey, I think as an institution, we have evolved to really figure that out, what is that we need to hold.
And again, a very interesting part we have also earlier declared is that the ones which we let them out have 5 times higher 1+DPDs and similar count of the GNPA.
So, we are cognizant of the fact that whoever is our customer, we would like to continue with us and with the with the right form, but not get overloaded. So, I think at any period of time, whatever is the BT out is more from the fact that at Aavas we would not have had the customer with us because it 's getting over leverage which is beyond the point of our underwriting metrics or control, which we will really foresee. So, I think that 's the one.
On the cost of borrowing, I will have CFO really speak on the fact.
Ghanshyam Rawat: As you know, Aavas is very strictly focused when we borrow the money from various sources, we tied up with the multi -lateral institutions, we tied up with the NHB. And recently in this quarter we have further, as we mentioned in the opening remarks, we tied up with, to fund our MSME growth book we have tied up with our large all India financial institutions which also provides a concessional rate as NHB provides to housing finance Company .
So, I think all put together we had started, durin g this quarter -- PTC is also basically AA -plus or AAA rated, PTC. So, those are going at a final rate in the market basically. To put together, a lot of, I think, innovative funding tied up in last six months is helping us now containing our cost of borro wing in the interest rate rising scenario. But now more or less we feel that it 's almost peaking out at the cost of borrowing basically now. So, that's I think brief from our side.
Shweta Daptardar: That helps, sir. Thank you and congratulations on a good quarter.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Congratulations to the Aavas team for a strong quarter. Just maybe one or two questions, just to explain about the tech transformation. Just wanted to confirm what are those elements of tech transformation which are pending or still in pipeline for this current fiscal year? Why I am asking this is, I mean, is there anything that you foresee in the coming quarters as a nd when we implement the remaining portion of the tech transformation, something which can really disrupt the disbursement trajectory that we saw in the fourth quarter?
Sachinder Bhinder: Thanks, Abhijit. See, as we speak, we have gone live on the Salesfor ce, which is our L OS system. The two components, which is the lead management system in the Salesforce, which is the one which is to go live, and the loan man

agement system, which is Oracle Flexcube is in the making. Having gone through 1.6 lakhs of applic ations through Salesforce, I think we have had the system pretty stabilized. And I don 't foresee anything of any nature which will have any impact of any of the implementations of the ongoing projects on the disbursements in the coming quarters.

Abhijit Ti brewal: And lastly, how should we think about assignment volumes? Basically, we will appreciate assignments along with it in the assignment income, which can lead to some volatility in the P&L. So, how are we thinking about assignments for the next fiscal year?
Ghanshyam Rawat: Abhijit, assignment income, assignment, all these we explained. Assignment is a tool to fund our long-term growth basically. Let's say, profitability is the outcome of that , it is to fund our long-term business plan. And assignment transactions we are doing since 2014, '2015 basically.
So, we as Aavas, I think we always maintain this thing, to fund our long-term funding, to meet our ALM requirement we keep on doing assignment every year. Initially two or three years we have maintained a steady state, then we have grown. As our balance size is growing we are growing that assignment also.
Last year, you also see we have grown almost 15%, 20%, this year also we are planning to have a 15%, 20% growth in assignment book, basically. Because this is, again, we have good strong tie up with the public sector banks, private sector banks, foreign banks, all, because asset quality is super, retail assets, PSL book, that 's the impression in that basically.
Secondly, I think if you refer to our investor deck, I think this time we published in non-home loan MSME book also basically, which consciously we make efforts a few years back we gradually will build the MSME book instead of loan against property book basically. Now that book has become around 17% of total AUM. And last year we did a disbursement, out of that I think 2 4% is in MSME side. So, that book also has a huge interest from the bank to take on assignment route basically. So, that's I think overall our strategy towards assignment.
Abhijit Tibrewal: Sir, just one last question before I hand it over to the next participant. In the previous question, which was asked on the cost of borrowings, my line was a little bad. Did you say that the cost of borrowings has now p eaked out? Or do you expect that the cost of borrowings will increase for the next maybe one or two quarters, and then peak out?

Ghanshyam Rawat: Abhijit, every quarter we think now RBI and Fed will start to cut the rate, it is very close to peak out basically. As every quarter they move their one quarter milestone, there is difficulty to say where we are. But if you see, last whole year we borrowed 8.14% and our closing cost of borrowing 8.07%. So, incremental versus book is anywhere close to the same level basi cally. So, that's giving directionally that we are almost peaking out basically. And expect I think RBI and all the regulators, Fed, will start to cut the rate from somewhere maybe quarter two or early quarter three. I think that will give us a positive im pact. And in overall cost of borrowing, in last one year we borrowed I think a sizeable chunk on repo -linked and other variable benchmarks. So, that will help us when rate cut will start.
Moderator: Thank you. Our next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe: Thanks for taking my questions, just two. One is, I 've been going back to the point of spreads. This year we have clearly seen some compression in spreads and your NII growth is clearly

lower than the loan growth that you 've reported. Next year do we really see some kind of a reversion and NII growth

being higher than loan growth? Or is it equal to loan growth? Or would you kind of say that maybe there is some more pressure to go? And are you seeing any incremental pressure of higher BT -outs, because you 'd probably be the only player who would have raised the benchmark rates in the last quarter?
Sachinder Bhinder: I think from the perspective of the BT -out, as I spoke earlier, I think we continue to hold on to the right kind of customers there. So, some part of rate compression happens because of holding the customer there, but that is where we have already invested in the customer while the time we have actually onboarded. So, that will continue at that. And we have not seen, at this period of time, it still continues to be at around 0.5% per month, so at 6%. So, our continuous endeavor would be there to really build on the same as we go forward.
Secondly, as we discussed earlier also, Nischint, that focus on less than Rs 10 lakhs ticket size segment , we want to regain that part, we think there we really get our spreads. And our endeavor in the coming quarters in this year would be really to focus on that so we get back to our stuff. And as we guided that we will all remain in the spread in the range of around 5% in the coming quarters.
Nischint Chawathe: And just one last one in terms of expense growth, do we see the improvement to kind of 3% sort of playing out in this year, or two years out, what is the plan for that?
Sachinder Bhinder: I think, Nischint, as I spoke, I think that 's our medium to long term I had said. And if you really look at it from 3.79% quarter one kind of thing to coming at ar ound 3.5 6%, I think sequential 20 bps of reduction year -on-year, we really look at it coming to in couple of years, if I were to really put across it, at the level which you spoke about. But our constant endeavor as to focus on the optimization of the cost and getting that to a level which we discussed at around 3% and couple of years. But yes, 20 bps, 25 bps of reduction is what we actually guide, and we target ourselves internally to push to get that line.
Nischint Chawathe: And I think just finally on th e credit cost side, this obviously has been a good year, so fair to expect that there can be some reversion or some increase in credit cost, although obviously you keep on sort of trying to keep it under control. So, this has been a good year, so maybe that could inch up a little bit is a fair expectation.
Sachinder Bhinder: Yes. As we said, that is one of the best years since the inception. We have always guided that we will remain in the range bound of 1+ at less than 5% and the GNPA at around 1%. So, that's been a constant endeavor. And I think, Nischint, what has really helped is the way we have treaded the path of using analytics. And our understanding on the credit risk buying and at the time the customer is there. So, that really helping us in our journey. And our endeavor would be to be there in that range bound stuff which is 1+ at around 5%.
And secondly, what we have really done well as a part of this some part of digital collection which we have a clear -cut predictability on the customer base where we do not have to go on

the field or really to telecall. And I think that 's one of the very innovative ones which we have done. And as we perfect that it will really help us further. And as we speak, I think the addition of manpower and the collecti on part has not increased in tandem or in line with our AUM growth or number of increase in our loan accounts. So, we try to effectively and efficiently use technology to really spot, predict and then effectively collect actually.
Nischint Chawathe: What p roportion of the loan book currently is in Rajasthan?
Sachinder Bhinder: So, of the loan book currently as we speak is around 35%. But if you look at it, Nischint, it 's

dow

n from 90% at the start . We would like to continue to build Rajasthan. However, we will have the other states also really kicking in and built across. So, Nischint, what confidence in South, in Karnataka which gives us is that which helps us to really build across as a pan -India institution. And as we speak, we have had a good amount on a smaller base. I think the green shoots of Karnataka have really given us a good amount of confidence and faith in the Aavas risk underwriting and the DNA which we have actually got in there. And which will help us our movement in the coming times in the southern part of India actually.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equi rus. Please go ahead.
Shreepal Doshi: Congrats on a good set of numbers. My first question was pertaining to lending rates. So, have you ta ken any rate hike during the last quarter?
Ghanshyam Rawat : Yes, we have increased our PLR by 25 basis points effective from 1st March.
Shreepal Doshi: Secondly on the same lines, are we seeing in states like UP, Uttarakhand, relatively better lending rate s that we are able to get versus states like probably in the western side or in the southern side?
Ghanshyam Rawat: I think price is not linked to state, price is linked to more the risk-based underwriting when we do. It depends upon customer profile, depe nds upon property profile, depends upon in which state, in which year we are in that state basically. Like we enter the new state, initially we remain cautious. We have a very good quality of customers , keep focus one to two years in those markets. Once we learn that market more, then we deepen our product, deepen our market strategy on the high yield products basically. So, it is not a state-based pricing metrics, it 's more of a product, more of a customer, more of an assets quali ty product basically.
Sachinder Bhinder: And Shreepal, just to add on to what Ghanshyam said, it 's important that you price the risk right, and it 's always been the risk adjusted returns which we really look at it, and not segregate according to the state or the territory or the geography. I think one is the risk type, second is the product. And really having understood the risk, how do you really price the risk and, again, risk adjusted returns.
Shreepal Doshi: Sir, I was coming from the angle that competi tiveness in those states are relatively low, if you look at, so that. But it 's okay, I get your point. Sir the third question was pertaining to the sharp

increase in employee cost during the quarter. So, what is the reason behind the same? What is the empl oyee count today? And just one more question there, the tax rate this quarter has been pretty low, like 19%. So, if you can just throw some color on that as well.
Sachinder Bhinder: So, if you look at the employee cost, the employee cost has been, if you l ook at the April opening and the March closing, it says only the net addition of about 35 or 40 odd people. I think it 's some part of the Bonus and incentive cost, which actually has resulted in the employee costs being high. So, it's not the standalone ma npower addition which has cumulatively added onto the employee cost.
Shreepal Doshi: On the tax rate side?
Ghanshyam Rawat: Tax rate, our standard tax rate, if you compared to the earlier year also, it 's a similar tax rate. We have around 21% to 22% effect ive tax rate comes at.
Shreepal Doshi: So, this quarter is almost 19%, so therefore I just happened to ask.
Ghanshyam Rawat: Yes. I think during the year certain things remain in the pipeline; certain assessments are going in the pipeline. When the decision comes then we have to take the impact in a full-year basis. But on a full year basis our tax was 21% to 22%.
Shreepal Doshi: One last question was on NHB borrowings. Have you seen any increa se

in the NHB sanctioning
interest rate for the incremental sanctioning that they are doing?
Ghanshyam Rawat: I think as you know, the interest rate in the last 18 months or let 's say about 24 months I think interest rate has risen. Accordingly, NHB has al so increased the interest in a few products, not all products basically. So, they are also part and parcel of lending activity.
Moderator: Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Congr atulations on very strong numbers. The first question is, what is the branch addition plan for FY'25 which will be targeted market?
Sachinder Bhinder: The branch expansion plan is around 10%, that 's what we had. But as we go deeper in the South , we will l ook at Karnataka and other regions in those regions specifically so to say, actually. And some bit of we are already there to really look at opportunities within the existing market where we find good enough space, but specifically Karnataka, if I were to put across in this year. Rajiv, the second edition would be in UP, Karnataka followed by UP.
Rajiv Mehta: And one related question is, I mean, do you feel that the need for branch addition is slightly lower in the coming years, because after this tech tran sformation, the capacity of the existing

branches and locations would have gone up, your TAT has improved, you 'll have more efficiencies coming through from the existing branches. And secondly also, you are also

developing a lot of non -brand per say around the existing location. Is that the thought process when you make your branch addition plan?

Sachinder Bhinder: Yes. See, definitely what you said, Rajiv, if you look at even at the higher base we are talking about only 10% addition. So, we are not looking at anything which is much beyond that. We try to be there as OPEX -light. But mild opportunity let 's say if it is there, develop that and continue with our overall contiguous location expansion strategy. Where we find the market is good enough, we will go and invest and set up. But before that we 'd like to have our RRO model which gets perfected and then set up a branch. But yes, going forward tech will continue to play a very significant role in helping us tread the journey which is OPEX -light, and which are really digitally we are able to source and service.

Rajiv Mehta: And just after raising PNR by 25 basis points from 1st of March, has there been any increase in BT request or maybe actual BT out from 1st of March? And what kind of rate diffe rential are these customers seeking when they come for a BT request?

Sachinder Bhinder: Yes. I think as we highlighted, our BT rate continues to be at the opening AUM about 0.5%, in the year it 's around 6%. I think we really focus on who the customer is wh o we want to really hold on, and we will really try our stuff, which is by getting some sort of rate reduction. And where we feel it is getting overleveraged, we have let that out actually. So, I think we don 't see, at this period of time, any of that real ly hurting us or anything which is having any of the alarming thing at this period of time.

Rajiv Mehta: And just lastly, how would we see, because in the last call you had spoken about re -energizing the core product, which is low ticket, high yielding hom e loan, and increasing the origination share of this product by 5 percentage points over a period of time. But even in Q4, the origination ticket prices were in fact higher than the previous quarter. So, when do we see this strategy playing out in terms of what we aspire?

Sachinder Bhinder: So, I think we focus on the less than 10 lakhs on that side. Secondly, we will really appreciate that the cost of construction in the areas we operate has also increased over the last couple of years. So, I think that is one which is

hurting .

Moderator: Thank you. The next question is from the line of Subhal Khanna from Mirabilis Investment Trust. Please go ahead.

Subhal Khanna: Just one question on the disbursement, which was done over the year, how has been the experie nce in some of the newer states? Was it largely driven by the legacy states of Rajasthan, Maharashtra, Gujarat? Or there was an uptick even in the newer states of Uttar Pradesh and Karnataka?

Sachinder Bhinder: So, I think as we speak, as I spoke, I think Karnataka gives us a lot of confidence as one of the institutions who has claiming to be a pan -India one. We have got a good amount of growth which is there, but it is there on the lower base, if I were to put across. But we will continue investing

in the states as we speak in Karnataka, UP. And as we see a long runway available there and the opportunity which Aavas is able to mine in those markets, and we will monetize in the coming quarters in the coming years ahead actually. So, it's a well -diversified g eographic growth which is there, and gives us a new level of confidence. Again , for the matter of reiteration I speak, our presence in the South and Karnataka being one of the major harbingers of our strategy in the South .

Moderator: Thank you. The next question is from the line of Jigar Jani from BNK Securities. Please go ahead.

Jigar Jani: Congratulations on a good set of numbers. Just a couple of questions. Firstly, on the tech transformation, the lead management system and the loan management system, are these ones stacked to get completed by the first quarter or do we see any delay on these to go live?

Sachinder Bhinder: I think from a tech transformation perspective, from the lead management we should be live by the first quarter and be active and ki cking by having successfully piloted by the time being running fully well in the quarter two, so to say.

Ghanshyam Rawat: Yes, side by side LMS will be also ready. It will also go live on the first week of July.

Jigar Jani: Sir, just taking a cue from the previous participant that we have increased PLR rates, and we are also planning on increasing the proportion of sub Rs 10 lakhs ticket sales loan, at the same time our cost of borrowing is also kind of peaking out. So, do you see like spreads kind of broad ening now or is there something that we are missing? Because ideally then spreads should bottom out

at these levels and should tread higher next year overall? So, anything that you are seeing which can be a risk to that factor?
Sachinder Bhinder: So, as we have always guided about the spreads, and we will continue to do that whatever is required. And as I said that whatever is in the risk adjusted pattern and what we understand, what we are able to underwrite in the kind of quality metrics which we see and which the firm has been doing that over a period of time, we will continue to build on that risk quality.
Jigar Jani: And this PLR rate hike gets reset every quarter? I mean, so all the customers which are on floating rate get repriced in the next quarter cycle, how does it work?
Ghanshyam Rawat: No. Whoever customer is linked to PLR, whenever we hike the rate and we publish our effective date of rate hiking also, on that day rate hike takes place for all the customers, there is no quarterly. Until unless w e increase the rate next time it will not be reset for those customers.
Jigar Jani: So, the next quarter on the floating rate book, which is about 60% odd, you should see this full 25 bps hike starting from next quarter, is that understanding correct?
Ghan shyam Rawat: No. Rate hike already took place. But for P&L perspective, you will have a full year quarter income in the next quarter. So, P&L perspective, in the first quarter will have a full quarter impact.

Moderator: Thank you. The next question is from the line of Aditya from MSA Capital Partners. Please go ahead.
Aditya Vikram: Congratulations on the good set of numbers. Sir just wanted to quickly understand what is the yield for across the three products, that is home loan, LAP, and MSME loans?
Ghanshyam Rawat: You are asking all three products?
Aditya Vikram: Yes, ROI.
Ghanshyam Rawat: All three businesses are given to different class of customers and different property profile and different market. But generally, for better understanding, you can assume roughly 2 .50% to 3.00% difference is there between home loan to MSME and LAP business.
Aditya Vikram: But if you were just to quantify, a home loan would be closer to 13%, and MSM E would be then 16%, is that fair to assume?
Ghanshyam Rawat: Our home loan generally you take is roughly 12.5% around, and then non -home loan is around 15%.
Aditya Vikram: If I want to understand which would be the top three states, Rajasthan being the largest, and what would be our concentration in those geography? An d more importantly, how are you looking at geographical split?
Ghanshyam Rawat: Maharashtra, Gujarat, MP, all three are equally spread. And as Sachinder ji mentioned, Karnataka and UP are coming up very well on the new disbursement. And Delhi is a steady - state state for us for the last couple of years, on growth and as well as quality .
Aditya Vikram: Sir, but just I wanted to understand the top three states, Rajasthan contributing 35% of the AUM, the other two states being Maharashtra and Gujarat , assume. So, combined top three sir, what could be the concentration?
Ghanshyam Rawat: Top four is around 82%. That will appreciate with the kind of space, the population and the GDP type.
Moderator: Thank you. The next question is from the line of Bunty Chawla fro m IDBI. Please go ahead.
Banti Chawla: Sorry to harp on the yield per s e, so can you share, as we have seen you have taken the PLR hike in the 25-bps effective 1st of March. So, how much yield impact or positive impact will be in Q1 FY'25? Because we believe there was only one month for the rate hike, and Q1 will get full impact. So, how much yield positive impact will be in Q1, being 66% of our floating asset book?
Ghanshyam Rawat: Roughly 60% book is our floating rate book. That book w ill have 100% impact of 25 basis point increase. In the last quarter, we have seen that P&L perspective one month impact. In the next quarter it will have all three -month positive impact on our book, basically.

Bunty Chawla: So, roughly we can say around 10 bps to 12 bps of positive impact could be there in Q1 FY'25 for the yield per say?
Ghanshyam Rawat: I think we published; our yield is a sum product of loan contract. And as well as on borrowing side we publish our liability contract versus effective ra te on that day, basically. So, in computation it has been taken care. But P&L perspective it will give two extra month positive impact.
Bunty Chawla: Sir secondly on the other expenses part in Q4, we have seen a decline on a Q -on-Q basis. And if I see FY'24 versus FY'23 and '22, there has been an increase of around 18%, 19% versus '23 and '24 there was 30%, 40%. So, can we say the technology part which we are doing, which is

part of other expenses already been incurred, how you will see the other expenses ’ part growth
in next two years?
Ghanshyam Rawat: Other expenses, as I ’ve seen in last few quarters and including this quarter, we mentioned that as the technology transformation is completing, we are starting to see the return on the OPEX side on various f ronts basically start even from, let ’s say from scanning, from courier, from manpower efficiency, from all front we are seeing a saving on that OPEX piece , as well as growth momentum is also coming back to the

OPEX -light mode. So, we don ’t want to say in particular one how was the OPEX , but overall, our guidance is that our total OPEX to AUM, we will have another 20 basis point plus saving in this year on full year basis.
Bunty Chawla: So, can you say major will be from the other expenses part? Because alre ady we are increasing the branches and employee count, so this will be the major lever for this 20 bps increase?
Ghanshyam Rawat: No. Because manpower count, as we mentioned earlier, we will not increase the same manpower count as we increase our growth on business and AUM, so that will also have a denominator effect on the employee cost also basically.
Moderator: Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. Sachinder Bhinder, M D and CEO of Aavas Financiers Limited for his closing comments.
Sachinder Bhinder: Thanks, ladies and gentlemen. As we conclude today ’s earning call, I would like to express my heartfelt gratitude to each one of you for our participation and engagement. Th e dedication and commitment of our team, the trust and support of our shareholders, and the loyalty of our valued customers have always been instrumental in our growth story. Looking ahead, I want to emphasize that we will continue to maintain razor sharp focus on governance, asset quality, profitability and growth, leveraging technology and creating superior customer experience. We remain optimistic about the future and are confident that our strategic initiatives will continue to deliver sustainable gro wth and shareholder value. Once again, thank you for ongoing support and belief in our vision. If you have any other further questions or require additional

information, please feel free to reach out to Rakesh, our Head of Investor Relations team. Thank you and have a wonderful financial year ahead. God bless.
Moderator: Thank you. On behalf of Aavas Financiers Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

Ref. No. AAVAS/SEC/2024- 25/476
Date: July 30 , 2024

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter ended June 30 , 2024
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated July 15, 2024 bearing Ref. No. AAVAS/SEC/2024- 25/429 please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational p erformance of the Company for the Q uarter ended June 30 , 2024 held on Thursday , July 25, 2024.
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor- intimation

We request you to take the same on your record.
Date and time of occurrence of event/information: July 25, 2024 and Earni ng Conference Call commenced at 6:30 P.M .

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND CHIEF COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited
Q1 FY'2 5 Earnings Conference Call"
July 25, 202 4

Management: Mr. Sachinder Bhinder – Managing Director & Chief Executive Officer
Mr. Ghanshyam Rawat – President and Chief Financial Officer
Mr. Ashutosh Atre – President and Chief Risk Officer
Mr. Selvin Uthaman – Chief Business Officer
Mr. Surendra Sihag – Chief Collection Officer
Mr. Ripudaman Bandral – Chief Credit Officer
Ms. Jijy Oommen – Chief Technology Officer
Mr. Anshul Bhargava – Chief People Officer
Mr. Rajaram Balasubramaniam – Chief Strategy Officer & Head of Analytics
Mr. Rakesh Shinde – Head Investor Relations
Moderator: Ladies and gentlemen, good day, and welcome to Aavas Financiers Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the compa ny as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportun ity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded .

 I now hand the conference over to Mr. Rakesh Shinde , Head of Investor Relations at A avas Financiers Limited. Thank you and over to you sir.

Rakesh Shinde: Good evening, everyone. I extend a very warm welcome to all participants. Thank you for participating in the earnings call to discuss the performance of our company for Q1 FY '25. The results and the presentation are available on the stock exchanges as well as on our company website and I hope everyone had a chance to look at it.

With me today, I have entire management team of Aavas including Mr. Sachinder Bhinder , MD and CEO, Mr. Ghanshyam Rawat , President and CFO, Mr. Ashutosh Atre , President and CRO, Mr. Selvin Uthaman, Chief Business Officer; Mr. Surendra Sihag, Chief Collection Officer; Mr. Ripudaman, Ch ief Credit Officer; M s. Jijy Oommen, Chief Technology Officer; Mr. Anshul Bhargava, Chief People Officer; Mr. Rajaram Balasubramaniam, Chief Strategy Officer and Head of Analytics .

We will start this call with an opening remark by our MD , Sachinder Bhin der, CFO Ghanshyam Rawat and CRO Ashutosh Atre , followed by a Q&A session. With this introduction, I hand over the call to Sachinder. Over to you, Sachinder.

Sachinder Bhinder: Thank you, Rakesh and good evening, everyone. I welcome you all to our Q1 FY '25 Earnings Call and thank you for joining the call late in the evening. Let me now take you through the key highlights of our performance in Q1 FY '25.

We are delighted to repo rt a robust growth of 22% Y -o-Y in AUM reaching INR178 billion. Along with this strong growth, we have ensured best -in-class asset quality with 1+ DPD at 3.65%, an improvement of 3 bps Y-o-Y, and a GNPA of 1.01%. Our net profit for Q1 FY '25 stands at INR1.26 billion, registering a growth of 15% Y -o-Y. In terms of business updates, in Q1 FY '25, we disbursed INR12.11 billion, delivering a growth of 13% Y -o-Y.

At the end of Q1 FY '25, our AUM stood at INR178.41 billion, up by 22%, which aligns with the target to grow our AUM by 20% to 25%. The robust 25% Y-o-Y growth in the sanction serves as a clear indicator of our robust trajectory. This ensures confidence to deliver sustainable growth in the disbursal for the entire FY '25.

We have opened four new branches during Q1 FY '25 in our existing states to deepen our reach. We have seen a strong uptake in the logins led by diversified omnichannel lead generation funnel including digital, e -Mitra, RRO, and Mitra, resulting in better d isbursement and building a healthy business pipeline.

In terms of technology update, I'm happy to share that we have completed the milestone of adoption and stabilization of salesforce with 1.9 lakh + loan applications processed through salesforce. Additionally, we have stabilized Oracle Fusion , our ERP application. A new lead management system built in Salesforce has successfully gone live with selected branches in pilot form.

Our loan management system and Oracle FLEXCUBE is at an advanced stage o f testing and will go live in the coming quarter. Technology is playing a key role in transformation and

 turnaround time improvement. Our login to sanction turnaround time has improved to 8 days in Q1 FY '25.

In terms of financial performance for the quarter, our net profit grew by 15% Y -o-Y, led by growth both in interest income and non -interest income. Our consistent efforts to optimize costs have resulted in a remarkable improvement in Opex to Asset ratios by 52 bps, which is now at 3.27% in Q1 FY '25 from the previous year's quarter at 3.79 %.

Our asset quality continues to be pristine with 1+DPD at 3.65% as of June 24, down by 3 bps over Q1 FY '24, our GNPA stood at 1.01 % in Q1 FY '25 and credit cost remain ed at 20 bps.

In terms of liability , we have one of the best well -diversified

liability franchises. We have always been innovative in exploring new avenues of sourcing and I am happy to share that we have started exploring co -lending.

Our incremental borrowing cost increased by 30 bps Y -o-Y and 17 bps Q -o-Q to 8.31 %, indicating the cost of borrowing peaking out in line with the benchmark rates. The FY '25 Union budget marks a transformative leap in addressing India's housing needs by significantly expanding the Pradhan Mantri A was Yojana to i nclude 30 million additional houses. The Government of India's commitment to providing housing for all.

We are committed to a strong growth trajectory and our focus on innovation, technology and cost optimization will continue to drive our success, and I' m confident that with our dedicated

team and strategic initiatives, we will achieve our goals and deliver value to our stakeholders.
I would now hand over to our CFO , Ghanshyam Rawat to discuss the financials in detail.
Ghanshyam Rawat: Thank you Sachinde r ji. Good evening, everyone and a warm welcome to our earning call. First to update on the borrowing .
In terms of borrowing, we continue to borrow judiciously , raising around INR 11.35 billion at 8.31% in Q1 , 2025. Total outstanding borrowing as of 30th June 2024 stood at INR 158 billion.
Overall borrowing mix as of 30th June 2024 is 47.8% from term loan from the bank, 24% from assignment and securitization, 19.6% from NHB refinancing and 8.6% from debt capit al market.
During the quarter, overall cost of borrowing increased by 1 bps Q-o-Q to 8.08%. Our incremental cost of borrowing for Q1 FY '25 was 8.31%. Lender support continued to remain extremely strong. There is access to diversified and cost -effective long -term financing. We maintain a strong relationship with the development financial institutions. To meet long -term business growth, we have progressed on the co -lending tie-up with a PSU bank. As of 30th June 2024, we mai ntain ed sufficient liquidity in the form of cash and cash equivalents and unavailed cash credit limit of INR17.5 billion and documented unavailed sanction of INR12.6 billion.
In terms of spread : As of 30th June 2024, the average borrowing cost of 8.08% against the average portfolio yield of 13 .08% resulted a spread of 5%. We have been able to maintain our spread around 5% in line with our guidance , despite competitive pricing pressures.
 Our margin , NIM as a percentage of total asset during Q1 FY '25 stood at 7.31%. Our NIM in absolute terms has increased by 10% Y-o-Y Q1 FY '25.
In terms of cost , our Opex to Asset ratios improved 52 bps to 3.27% in Q1 FY '25 versus 3.79% in Q1 FY '24. We are commit ted to gradually bring down t he Opex ratio to around 3%. Credit cost during the quarter stood at 20 bps in Q1 FY '25 versus 16 bps in Q1 FY '24 and Q4 FY '24.
In terms of other parameters, profit after tax during the quarter increased by 15% Y-o-Y to INR12.61 billion. ROA stood at 3.01% and ROE 13.14% in Q1 FY '25. IGAAP to IndAS reconciliation has been explained in detail for profit after tax and net worth on Slide number 30 and 32 of our presentation.
We are very well capitalized with a net worth of INR39.03 billion and CAR at 44.48%. Total number of live accounts stood at 2,23,600 + translating into 16% Y-o-Y growth, employee count was 5,904 as of 30th June 2024 versus 5,700, 30th June 2023 .
Now, I would like to hand over the line to our CRO Ashutosh Atre to discuss assets quality.
Ashutosh Atre: Thank you, Ghanshyam ji. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you.
Asset quality and provisioning : Our asset quality as mentioned by Sachinder ji, continues to show improvement. The 1 day past due metric improved by 3 bps to 3.65% in Q1 FY 2025 compared to 3.68% in Q1 FY 2024. As of 30th of June 2024, our Gross stage 3 stood a

t 1.01%
and Net stage 3 at 0.72%.
In terms of geography , 1+DPD and GNPA in our core vintage states remained well below 4% and 1.1% , respectively, while for Other emerging states 1+DPD and GNPA remained well below 3.5% and 0.9% . respectively.
Similarly, in terms of ticket size of more than INR15 lakhs, 1+DPD and GNPA remained well below 3.3% and 0.8%, while in case of ticket sizes less than INR15 lakh, 1+DPD and GNPA remained below 4% and 1.25% , respectively. Our total ECL provisioning including that of for COVID -19 impact as we ll as Resolution Framework 2.0 stood at INR 907.5 million as of 30th June 2024. Aavas is strongly positioned to continue delivering industry -leading asset quality.
With this, I open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shreepal Doshi from Equirus . Please go ahead.
Shreepal Doshi: Hi, sir. Good evening and thank you for giving me the opportunity. So, my first question was on business momentu m and particularly on disbursements. So, the run rate has come off materially from the 4Q levels and within housing, the degrowth is even higher. While I understand that 1Q tends to be soft , but what is it that led to this lower disbursements during the qu arter?
Sachinder Bhinder: Thanks, Shreepal . As you really appreciate d and you highlighted, we always have a muted quarter one. But here I would like to highlight on against robust sanction growth of 25% we had
 sanction to disbursement around 78 % which led to the growth being muted or on the lower side.

But as i pointed out on a 25% sanction growth , we expect the momentum to come back in the coming quarters.
Shreepal Doshi: So, sir, if we have to look at it from a different angle on a yearly basis, what sort of disbursement s we are targeting and how do you see it shaping up over the quarters?
Sachinder Bhinder: See, as I said, one parameter is the sanction growth which is there and I said that we are at around 78% this quarter. And in the coming quarters, we'll have the sanction to disbursement ratio really covering up to the normal levels of 85 %- 87%, that's the normal range which will remain.
So, we are confident of bouncing back on the quarter number. So, what instils confidence is one is the login growth and second is the sanction growth. These are the two parameters which really help us give that confidence. So, unlike a normal one, we have a s anction gro wth which is already available with us and that will translate in the coming quarters.
Shreepal Doshi: So, are you saying that there was no, I mean material momentum decline in terms of the number of logins during the quarter?
Sachinder Bhinder: No, as you reflect, as I highlighted, there is a growth in login and there is a growth in sanctions, and both we've given the numbers out, so there's no problem in momentum growth if I were to really put across. There's a decrease in the sanction to disbursement ratio which has resulted into the disbursement take on the little muted side.
Shreepal Doshi: Okay. Sir, the second part was about the end use of the other mortgage category that we have classified this q uarter. So, what would be the end use there ?
Sachinder Bhinder: These are typically the loan against property and the top up loans . The loan against property is for the personal consumption. These are all backed by self -occupied residential properties. The micro MSME where it is typi cally the unserved, underserved, which we really focus on as a specialized HFC, which is unique to Aavas, really helps in building the capital creation for the working capital customers on the micro MSME side. And we've seen the degrowth on the LAP and the top up side, and really, it's gone into the capital consumption on the MSME side. And

that's around 22%.
Shreepal Doshi: Okay. So, the last question was on pricing. So, we had done a rate hike couple of quarters back. So why has there not been any improvement on the yield side during the quarter? So that was the question, sir.
Sachinder Bhinder: Yes. So, I think if you see the disbursement yield , there is an improvement on the disbursement yield on Q-o-Q and compared to the previous quarter. But on the overall yield side, I think we've seen not that kind of compression, which was normally there in the earlie r times, and maintaining a consistent spread of about 5 %.
Shreepal Doshi: Okay, got it, sir. I'll come in the queue if I've more quest ions. Thank you.
Sachinder Bhinder: Thanks, Shreepal.
 Moderator: Thank you so much. The next question is from the line of Mr. Renish, ICIC I. Please go ahead.
Renish: Yeah, hi sir.
Sachinder Bhinder: Good evening, Renish.
Renish: Yeah, good evening, sir. Congrats on a good set of numbers during extremely challenging environment. Sir, just two questions from my side, one on the spread in the NIM side again. So, when we look at the incremental cost of borrowing at around 8.3 % versus blended cost of 8.07 %, you know, which essentially means that going ahead, the blended cost will converge towards the incremental cost.
And when we look at the yield, it's down trending since last many quarters. So how confident we are about sort of maint aining this 5% spread for the full year? I mean though, you know, we know that we have increased our PLR by 40 bps, I think in April, but that doesn't reflect in this quarter, maybe it should reflect from second quarter. What is your internal assessment, s ir?
Sachinder Bhinder: There are two parts to the question. The second part I'll have Ghanshyam ji to respond. On the first part, we've been giving our guidance . Our endeavour is to maintain 5% and as you will really appreciate that there has been a spike in the incremental cost of borrowing and the same transmission has n ot been possible at the ground because of which you do not see this incremental increase in the cost of borrowing being able to be passed on to the existing set of disbursement customers . On the yield side and the placement, I'll let Ghanshyam ji to really respond on the second part.
Ghanshyam Rawat: Thank you, Sachinder. You see this quarter when we bor row fund , NHB contribution always remain low than what we borrowed for full year basis. So, this year new limit will come once we complete this quarter . Then the contribution of NHB borrowing will increase overall borrowing, so we are confident that now c ost of borrowing is almost peaking out now at this level . And we borrowed good amount of money as a T-Bill linked , Repo -linked money . So, whenever the rate cut come s, it will have a positive impact on Aavas ’s overall cost of borrowing .

And yield if you see, last quarter to this quarter we have almost a 17 -18 bps higher yield on the new business we got in this quarter . So, we are quite hopeful that we are going more granular , smaller ticket going forward in our business strategy . So, I hope that that will also help to maintain our overall yield level . On new disbursement , we will have further increase in yield. So, our endeavour is to maintain the 5% spread going forward.
Renish: Got it. And my last question Sachinder sir again on the disbursement side. So, sir when we s ay our sanction to disbursement remains at 77 % versus 85 %, 87% normally, so which means the disbursement is lower by maybe 7% to 10% this quarter because of seasonality, is that the fair assumption?
Sachinder Bhinder: One is the seasonalit y and second is the recognition of the disbursement. As you are aware, I think both parts have led to the current, but the positive side in the green shoots is that you have the momentum which

is there the -- which was reflected in the numbers.
 Renish: Got it. And would you like to share the absolute disbursement expectation for this year?
Sachinder Bhinder: So, see we've always guided on our AUM growth of 20 % to 25 %. I think we are confident of the fact that we will be able to deliver in that range and I think that will come across by two parts. One is disb ursements coming across Q-o-Q and the foreclosures being controlled at the rate at what we have been able to manage. I think both really contribute. So, we are confident on this side of delivering the growth whic h we always guided of 20 % to 25 % and the BT out being restricted to a level at which we are comfortable at.
Renish: Got it. And sir just last book keeping question. What is the interest reversal because of the RBI circular?
Sachinder Bhinder: I think Renish, we can discuss offline on this . Whatever is there on the RBI stipulation, we followed completely what is needed as per the guideline, what has been mandated. So, we follow the rules and circular in total.
Renish: Okay, so it is fair to assume that by end of June we are fully compliant and going ahead there should not be any reversal impact?
Sachinder Bhinder: So, we are compliant on that, Renish. What we are saying is on the coming quarters we will have the bounce back of our disbursement comi ng into play.
Renish: Got it. Okay, that's it sir. Thank you and best of luck sir.
Moderator: Thank you very much. The next question is from the line of Shweta from Elara. Please go ahead, ma'am.
Shweta: Thank you, sir, for the opportunity. Sir sorry I'm h arping on the same question all over again. So, we had seen 25 bps PLR increase in Q4 , but if I look at the yield movement, I mean, there might be one -offs in Q1, but when do you see this reflecting ahead on each front?
Ghanshyam Rawat: If you see last quarter we published at 13.13% and we increased a 25-bps in the Ma rch itself. So, in a contractual rate a high bps drop is o n account of fresh business because fresh business is still lesser than the AUM yield . If you ask me at the computed level ye s obviously. due to RBI circular there is a certain interest cost reversal and from this March to June end NP A also increased so the 90 days period i nterest got reversed . If you factor both, there then there is the only marginal drop which is equivalent to my AUM will drop.
Shweta: Okay fair point sir. Sir secondly how are we placed today on the BT out cases, has that number seen sort of spike b ecause if I go by the calculations on your prepa yments and repayments. So, could you just throw some light on BT out for this quarter?
Ghanshyam Rawat: Yes. If you see in this quarter overall BT in the industry is 5.6% at annualized basis which is within our control and which is within our last year's t rack record. We generally assume in our budget 6% is a BT out to industry . During the quarter customer close / partly close account s. They pay the EMIs also. So overall my repayment in the AUM is a 16%. which is within the budget, as per our assumption and past year track record also.
 Shweta: Okay. So, there is no unusual spike here on the BT out?
Ghanshyam Rawat: No unusual spike. Last year if you see overall with 16% - 17.6% was a repayment from opening AUM to closing AUM.
Shweta: Right.
Ghanshyam Rawat: We still are at 16% in this quarter.
Shweta: Okay, sir. Thank you and best of luck.
Moderator: Thank you so much. The next question is from the line of Raghav Garg, Ambit Capital . Please

go ahead.
Raghav Garg: Yes. Hi, thanks for the opportunity, sir. Just my first question what is the total number of employee s that you had as of June end a nd a related question is why have the employee expenses d

eclined on a Y -o-Y basis? T hose are my first two questions?
Sachinder Bhinder : Yes, see on the employee count as of the 30th June there were 5 ,904 employees and compared to the previous year it has incr eased about 204. There is a one time set off which is the long -term incentive plan and the ESOP cost which has got reversed because of which there is an employee cost reduction.
Raghav Garg: Understood. Sir, my second question is from the annual report for FY '24. So, what I see is that there is a certain purchase of software worth about INR29 crores which has been capitalized.
And when I look at the intangibles under development line item also there is about INR22 crores, INR23 crores worth of expenses waiting to be capitalized, I think next year again related to software.
So can you tell us what is the nature of this expense and it doe sn't seem to be a one time capital expenditure because it ha ppened last year, it happened in '24 and probably you're going to capitalize it again in next year. So, if you can explain what is the nature of this expense and if this is going to be a recurrin g expense, then why not expense it rather than capitalizing it?
Ghanshyam Rawat: Raghav I think in last few years in the quarterly call and annual call we explained that Aavas took complete tech transformations in the company. First, we took a Salesforce as LOS as a tech transformation. Then we took ERP Oracle Fusion as a tech transformation as well as during this time we took a lot of digital initiatives also to have a very let's say different level of customer experience onboarding to exit of a customer.
And now in this quarter we are under pr ogress to go live for the Oracle FLEXCUBE is a LMS system. All three , four systems and apart from that there are few -- very few systems are there like we took a treasury software also along with that we had upgraded o ur people software -- Human software. So, all put together is a total capex in the company roughly in two years something we already capitalized, something will be capitalized put together everything will be INR45 crore around capitalization INR45 crore to INR50 crore capitalization.
 So, it is not that any revenue expense is getting capitalized. C apitalization is purely of capital expenditure. The company will get benefit in the next 10 years and the entire cost will benefit to us.
Raghav Garg: Understood. So ideally maybe in a couple of years or maybe after next year this capitalization whatever this am ount is should run down. It won't continue at this INR25 crore s, INR30 crore s kind of run rate beyond next year, is that a fair assumption?
Ghanshyam Rawat: This year is the final year in capitaliz ation . The two years put together we will have a capitalization around INR45 crore to INR50 crore.
Raghav Garg: Understood. Sir, the reason I asked is that given my limited understanding I thought it was more of a subscripti on-based model. But given that this expense is going to run down after next year maybe I'll try to understand that offline from you as to what exactly is the nature of this expense.
Moderator: Sorry to in terrupt Mr. Garg, may we request you to return to the questio n queue for follow -up questions.
Raghav Garg: Sure.
Moderator: Thank you so much. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Good evening, everyone. Thank you for taking my question. Sir first things first. I mean you spoke about disbursal yields earlier what were the disbursal yields in 1Q?
Sachinder Bhinder: So, Abhijit we've always guided on our spreads and on our AUM growth. T he incremental disbursement yields which really, we don't comment because I think that tra des off moves across on Q-o-Q. I think important is that we've been able to maintain a

spread of 5 %. On the basis of that, on a sequential basis of Q1 previous year I can really say that incremental yield is higher by 17 bps.
Abhijit Tibrewal : Got it. This is fair. Thank you. Sir, the other question that I had w as on spreads a lready a lot of questions have come your way on spreads. But given our guidance of 5% and now that we are eventually here, just trying to understand given the competitive intensity which is not allowing you to transmit higher cost of borrowings to customers?
Are we also doing something on the mix side to ensure that even if cost of borrowing stabilizes and the competitive intensity remains this way which will mean continued pressure on yields?
Are we doing something about mix as well to see to ensure that the spreads can at least be

maintained at 5% kind of levels?
Sachinder Bhinder: Yeah, Abhijit you are right. I think the endeavour as you rightly said, and I would really articulate in the form that the focus on the ticket size which is going to be less than INR15 lakhs to contribute higher and even in the buckets which we are their incremental increase granularly on the yields or the disbursement yield is our endeavour . And because of that, we will really try to maintain our spreads.
 And when we see the peaking out of the cost of borrowings , As a result of which when we say that we've been able to have our disbursement up. So, the focus really is to work across on high er yielding products , which is within th e segment, which is the self -occupied residential properties, home loan segments really to build in those lines . So that's been our focus and we will continue to build on that.
Abhijit Tibrewal : Okay. And sir just one last clarification. Just trying to understand two things, two clarifications. One is I mean have we changed the way in which we report or compute NIM? Because for the last financial year FY '24 you have reported a NIM of 7.91. For th is quarter you have reported a NIM of 7.31. So, is there a change in the way we compute and report NIMs?
Ghanshyam Rawat: No, there is no change in the reporting at NIM. NIM is the same way we compute what we have reported earlier and now reported. But in this quarter, NIM got impacted by two reasons . One is assignment income for this quarter is lesser than what we see for the full year basis because first quarter generally remains muted for assignment. But as we progress on a full year basis assignment income will catch up.
Secondly, obviously c ost of borrowing increased t hat has also impacted. Further, as we mentioned our spread came down. So that is also impacted at a NIM level. But one time impact of assignment , will come back in the full year basis.
Abhijit Tibrewal : Got it. But our presentation is showing that 70 bps decline in the reported NIM?
Ghanshyam Rawat: Yes, few bps is because spread also came down. So, if you take that spread reductions which is there and then around 20 bps to 25 bps is on account of assignment. So that will come back in the remaining year. I think there was question on this spread and all these things. We always say this thing we will maintain this spread, but you will appreciate this thing. We always give one more commentary if we lose at a spread so we will make up the same thing through opex leverage. So, this quarter , last year few quarters now opex leverage, we have around 50 bps in this quarter.
Abhijit Tibrewal: Got it. Thank you so much, Ghanshyam ji.
Moderator: Thank you.
Sachinder Bhinder : Thanks, Abhijit.
Moderator: The next question is from the line of Jigar Jani from B&K Securities. Please go ahead, sir.
Jigar Jani: Yes, hi, thanks for taking the question. So, on the opex front, we were guiding for 20 bps to 25 bps each year progression. But if I compare on a FY '24 basis, we were at 3.58%. This quarter, we are al

ready at 3.27%. So, we are well below what we had guided for the full year. So how should we see the opex to asset number for the full year FY '25? That's the first question. And secondly, the growth guidance that we making in this is 22 % to 25 %, how much upside would be there because of the CLSS announcement in the budget? And if you could also simultaneously share in what format if you have had any discussions with NHB on this in what format is the CLSS -- CLSS scheme going to come in?
 Sachinder Bhinder: So, we've always guided on the AUM growth of 20% to 25%, on t he opex to asset ratio, we are at around 3.2 7% for the current quarter. Our endeavour will continue to maintain and some of them I think on the employee cost side, which was incidentally nature, which came across in this quarter, I think operationally we will try, and it is the long -term guidance in the coming year to come to a level of 3%. So, we'll continue to strive towards that and maintain that . And on the CLSS, I think Aavas as a normal strategy has never built the growth based on any of the subsidy schemes or other, we are into sp ecific ones which are going to the self-construction individual homes. The housing for all PMAY work will have a positive impact for us but nothing on the CLSS specific we have been guiding on -- on those lines.
Jigar Jani: Okay, sir. Thank you.
Moderator: Thank you so much. The next question is from the line of Shubranshu Mishra , Phillip Capital . Please go ahead, sir.

Shubranshu Mishra: Hi, good evening. Thanks for the opportunity. Just to start harp on the CLSS part again, there's been some degree of budget announcement without any fine print, we know the fine print comes out, do we think that will change our AUM or disbursement growth guidance going forward? That's the first. Second is what really changes when we see this fine print of CLSS because when CLSS got knocked off in 2022 and since then the developers have pivoted towards other kind of inventory. So, for them to repay that back into affordable housing will take some time. So, in that case certifying a disbursement at scale with this scheme would also take time. That's a fair assessment.
Sachinder Bhinder: Sorry, actually you're n ot audible.
Shubranshu Mishra: No, my question was, with the fine print of CLSS coming out in the next few weeks will change our AUM and disbursement g rowth. That is the first question. Second one was in 2022, the CLSS got knocked off and the developers are repivoted towards other kinds of format, which is not affordable housing. So, there has been a supply side crunch. This supply side reattributing itself will take some time for the developers to realign to the fine print of CLSS. So, do we think that the fructification of disbursements at scale will also take time? Maybe 12 months to 18 months.
Sachinder Bhinder : I think from that perspective, we are not in the developer segment or in the segment of those builder led supply which is there. Aavas has a clear -cut focus in Tier 2 to Tier 5 towns and more on self -construction individual homes, which is our main sta y. And whatever is an additional, we are not projecting any growth because of any of the schemes really coming across. The ones which are there on the urban led supply, which is a part of our affordable vertical in our business they are depending upon whatever the inventory comes up, they do have an upside for us as a housing finance company.
Shubranshu Mishra: So, if I have understood that correctly, we won't change our AUM or disbursement growth guidance basis. The scheme fine print which comes out in the nex t few weeks.
Ghanshyam Rawat: Fine print yet to come. But in last PMAY -- seeing on the CLSS strategy, we've seen that it has positive impact on the growth on as well as on the quality side. It has improved significant

 affordability of the home when people take a loan from us. So, we w ant to wait for the fine print, but it has a pretty positive impact.
Shubranshu Mishra: So, the question is that will we change our growth guidance when that fine print comes ?
Sachinder Bhinder: So, I think let's wait for the fine print. And as what Ghanshyam ji said, it always has a positive impact, A, on the affordability and B, on the quality of files which is there. So, once we get the fine print, I think we will come back to you on what would be the implications for the growth side.
Shubranshu Mishra: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Kunal Shah , Citigroup . Please go ahead.
Kunal Shah: Yes, hi, sorry if I'm being repetitive because I missed the earlier p art. So, on the non -home loan side anything to read into in terms of the GS3? I don't know if that was answered but there is an uptick both on a Y-o-Y and Q-o-Q. So, anything maybe are we seeing slightly higher stress one in 1+DPD or 30+DPD depending in that bucket? Ye s.
Sachinder Bhinder: No, Kunal, there's nothing substantial to read across. I think you will really appreciate that as the MSME, which is the real working capital going across on the non -home loan segment really going for the capital consum ption and really helping us in building the right kind of book . But incrementally, we don't see so much of a difference between the quality or the performance of the portfolio at this period of time. And other thing, you have to really note that this is al l secured by self-occupied residential properties which are there.
Kunal Shah: Okay. And secondly, on che que disbursal, I'm not sure if that was touched upon but how much was the impact and has it normalized? And should we see the disabled disbursements co ming back to normal? And if you look at the July months of disbursement, how the trend has been. Yes.
Sachinder Bhinder: So, Kunal, the earlier part of the call, we said that we had a sanctioned growth of 25% on the sanction part. On the sanction to disbur sement, we were at around 77%. So, we are optimistic of whatever we are there to bounce back in the coming quarters.
Kunal Shah: Okay. But that will come immediately. So, we, it has got normalized right from the start of this fiscal this quarter.
Sachinder Bhinder: It will get normalized.
Kunal Shah: Okay. Ye s.
Moderator: Thank you very much, Mr. Shah. The next question is from the line of Anurag Mantry from Oxbow. Please go ahead.
Anurag Mantry: Yes, just two data keeping questions if you can quantify. You mentioned in the employee opex

there was a onetime reversal, I think if I heard correctly because of ESOPs. If you can just
quantify that number. And the other one on the data keeping again is in t he yield . I think you
 mentioned that there is some interest cost reversal because of two reasons. If you can just quantify both these numbers will be very useful.

Ghanshyam Rawat: Your question for the sequential quarter or for the or you talking Y-o-Y?

Anurag Mantry: No, so for this specific quarter, I'm just asking the absolute numbers. So, I think in opex you mentioned that there was a onetime reversal in the employee cost because I think some reversal if I heard correctly.

Ghanshyam Rawat: It's a true s ense not a reversal but is because when certain ESOP is given the past got matured. So now new provision was lesser than the last year's requirement. So that was a difference in the ESOP. And apart from that, I think is normal. When you compare quarter fou r to quarter one obviously disbursement remain higher in the quarter three, quarter four. So, in those periods variable costs are generally higher than the quarter one variable cost at the employee level.

Anur

ag Mantry: Got it. Can you quantify that provis ion for ESOP number broadly just to get a sense of how much improvement has happened because of that in the FS?

Ghanshyam Rawat: So, cost in this quarter is INR4 crore.

Anurag Mantry: Got it. And the interest cost -- sorry, the yield interest reversal, can you quantify that as well?

Ghanshyam Rawat: I think that's difficult to comment because those system -based reversal happen in the system itself. So, we will come back an exact amount.

Anurag Mantry: Okay. No worries. Ye s, thank you so much.

Moderator: Thank you so much. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes. Hi, sir. Two clarifications from my side. On the cost of borrowing, if I have to look at the bank borrowing have the incremental rates changed versus last quarter? You mentioned about the incremental borrowings but how about banks?

Ghanshyam Rawat: Bank borrowings, I think from banks we borrow money from the two, three benchmarks. T -bill linked money, repo -linked money and as well as other benchmark of six-month MCLR output are put together. So, my bank money is borrowed in this quarter is at 8.40.

Mona K hetan: Okay. And what was the same last quarter?

Ghanshyam Rawat: I think a 10-bps difference is there.

Mona Khetan: Okay.

Ghanshyam Rawat: Last quarter, 10 -bps is a lot cheaper.

Mona Khetan: Yes. Sure. Secondly, sir, if I can get a share of loans above INR25 lakh ticket size and INR15 lakh ticket size. At the end, wh at was that number a year ago?
 Ghanshyam Rawat: I think ticket size details are too granular number to cater to say at a large forum. We have given an overall ticket size detail in our presentation. How has home equity has grown; home loan has grown. We have seen a natural increase in our ticket size at home, around 6% to 8% in the home loan side. And MSME, or let's put together, you see, we have seen a 10% plus increase in ticket size at a Y-o-Y basis.

Mona Khetan: Okay. Could you just get above 25 la kh ticket size share in AUM? Is that -- even the rough number you have, that would be useful? Thank you.

Ghanshyam Rawat: Yes. That we can get. Because we don't have much focus on the larger ticket.

Mona Khetan: Okay. But do you have a back of the envelop e number, share of AUM above 25 lakh ticket size?

Ghanshyam Rawat: Yes. It's around, it's around 5% to 6% on my loan count basis.

Mona Khetan: On AUM Basis?

Ghanshyam Rawat: Yes, let's say, out of 2 lakh -plus customers, there the 5% customers are there, who has more than 25 lakhs.

Mona Khetan: Okay. Based on the number of customers not AUM .

Ghanshyam Rawat: Yes. Number of customers.

Mona Khetan: Okay. Thank you.

Moderator: Thank you so much. The next question is from the line of Adityapal , MSA Capital Partners. Please go ahead.

Adityapal: Thank you so mu ch for the opportunity, sir. So , just wanted to quickly understand what would be our geographical concentration amongst our top three states and how does the management think about it?

Sachinder Bhinder: So, as you are aware, I think, we've already discussed Rajasthan, Gujarat, MP and Maharashtra
are the core four states which is there. So, the AUM accordingly is lined up. And as we really
appreciate the 367 to 371 branches, we have 108 branches in Rajasthan. So based on that, it
really is the one which is giving the disbursement as well AUM but the other thing to really
notice that you had the other st ates also really coming across.
So, from a level of 60%, 70 % iniatial years , we are at around 30% to 35% on the AUM level.
And since we have 108 branches, we have a contribution coming from the base states. So that's
how we are stacked in the four states what we talk about.
Adityapal: So, these four states currently contribute to 35% of the yea

r?
Sachinder Bhinder: No, I'm talking about Rajasthan, that alone contributes to around 35% of the AUM.
Adityapal: Okay, understood. And combined the …
 Sachinder Bhinder: So, I think you should really appreciate that we have 33% of the branches of pan -India, which
is there in Rajasthan, right? So, I have 108 branches of the total 371 branches in Rajasthan.
Adityapal: Sir, also my second question is that, how are we thinking on branch productivity? So, today we
have around INR46 crores, INR47 crores of AUM per branch . Going forward, how are we
thinking? And also, if you can give a bit color on branch economics, that is, after completing
three years, what is the -- generally, what is the opex?
Sachinder Bhinder: I think on the granularity, we don't comment. I think you would really appreciate that the first
ones which are there, which really help us to build, they help us to really scale up in the new
markets. And in the line of our contig uous location expansion strategy, it helps us to build up
the other states and other branches. And our constant endeavour is to really build that in a way
which is much more granular, mak e them cost effective and make them ROA accretive.
Adityapal: And sir, any color on how do we think on AUM per branch productivity going forward?
Sachinder Bhinder: So, I think you look at the market potential, you look at the credit behaviour , look at Aavas'
behaviour . I think all those metrics are the one which really decide what it is there. It is not a
secluded division of a numerator, denominator. It is more to do with our understanding of the
geography in detail, local dynamics, our understa nding of the market and the credit behaviour.
that decides the viability. And accordingly, branch is sized according to the market opportunity
and accordingly resourced.
Adityapal: Sir, just understanding. So, when we say 20% to 25% AUM growth, how can we understand --
how much will come from productivity gains and how much will come from organic?
Ghanshyam Rawat: You see, our AUM growth guidance is 20% to 25% , branch count will increase by 10% in let's
say, we are targeting three years. As well as the manpower will increase by less than 10%. So,
this will give productivity leverage every year for the three years. It's the metrics we are looking .
Adityapal: Thank you so much.
Moderator: Thank you so much. The ne xt question is from the line of Nihar Shah from New Mark Capital .
Please go ahead.
Nihar Shah: Hi. Good evening to everyone. Just a few questions from my side. My first question is can you
tell us what the BT -out this quarter was? And what is the trend in being over there? How are you
seeing trends in BT -out?
Sachinder Bhinder: Good evening, Niha r. On the lines, what Ghanshyam ji really referred, while answering the
earlier questions, we continue to be at aroun d 5% to 5.5%. And I think that is backed up by on
an annual basis. And this is backed up by our good predictive models based on our last couple
of years where we have been in a position to really predict what would be the customer behaviour
and actually st op the righ tful customers which are there.
And wherever we feel that the customer is getting over leveraged or the cash flows are not
justified, we let it flow to the for a balance transfer and we really look at the ones which the
 customer has been over l everaged. The performance of that with outside of us is five times worse
off than it would have been other.
So, I think a very packed of cash flow-based lending, right kind of underwriting and retaining
the right kind of customers has helped Aavas over a period . And with technology and our
predictive models really helping across to predict the behaviour and hold the customer despite
the compe

titive pressures and the market, we've been able to maintain that in a range bound manner.
Nihar Shah: But is the nu mber of people coming for BT -outs also increasing? So, you all are obviously retaining, are y ou all retaining more customers or is the retention rate also sort of largely similar? Just trying to understand that from more, from a competitive and intensity p erspective?
Ghanshyam Rawat : No, as you know, we are more focused in Tier 3, Tier 4, Tier 5 and we are not seeing any change in last, let's say, couple of qua rters, including this quarter . No increase on the BT -out request.
Nihar Shah: The second question that I had was this loan sanction to disbursal ratio, is there any drivers of that being so low this quarter that was just out of the ordinary or is there some normal seasonality or something? We can just dive a little bit deeper into, why you think that corrected so sharply?
Ghanshyam Rawat: You are aware in this quarter when a regulatory circular was there and where some disbursement practices got improved in this quarter. So that has impacted us spill over certain sanctions could not disburse, so those will be convert ing in the coming months. Apart from that I think there's not much to read on that ratio.
Nihar Shah: Okay. So, it's largely because of the RBI c ircular that?
Ghanshyam Rawat: Yes, we got 25% growth in sanctions. But disbursement didn't happen because certain formalities customer s were yet to complete as per the revised guidelines with what disbursement should be treated.
Nihar Shah: And is this the same thing that im pacted the NIMs, you mentioned that there was some RBI circular on the NIM impact. If there's a way yo u can quantify that potentially?
Ghanshyam Rawat: I think NIM has naturally seen certain compression , drop in the yield has also impacted, major component is that our assignment income is less in this quarter and cost of borrowing is a natural increase we have seen, so all this led to NIM compression. Spread level was maintained majorly helped by Opex saving s in this year. So, ROA impact is very minimum, is a 15-bps which will get positive in the coming quarters once we will have a better assignment income, in the coming quarters.
Nihar Shah: Great. Ghanshyam ji. Great -- all the best on the quarters forward.
Ghanshyam Rawat: Thank you.
Moderator: Thank you so much, Mr. Shah. Ladies and gentlemen, due to time constraint that was the last question. I now hand over the conference to Mr. Sachinder Bhinder , MD and CEO of Aavas Financiers Limited for closing comments. Please go ahead, sir.
 Sachinder Bhin der: Thanks. As we conclude today's earning call, I want to express my heartfelt gratitude to each one of you for your participation and engagement. The dedication of our team, the trust of our shareholders, and the loyalty of our customers has been instru mental in our growth. In our Aavas 3.0 journey, we are dedicated to building a robust framework that supports our ambitious growth and ensures corporate governance, asset quality, sustainability and resilience.
I express my deepest gratitude to all our re gulators and stakeholders whose constant faith and support have been helpful in the journey. Together, we shall forge a new era in affordable housing and MSME finance, empowering countless lives and reshaping India's socio -economic landscape. Thank you and have a wonderful financial year ahead.
Moderator: Thank you very much. On behalf of Aavas Financiers Limited , we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

Ref. No. AAVAS/SEC/2024- 25/476
Date: July 30 , 2024

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter ended June 30 , 2024
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated July 15, 2024 bearing Ref. No. AAVAS/SEC/2024- 25/429 please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational p erformance of the Company for the Q uarter ended June 30 , 2024 held on Thursday , July 25, 2024.
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor- intimation

We request you to take the same on your record.
Date and time of occurrence of event/information: July 25, 2024 and Earni ng Conference Call commenced at 6:30 P.M .

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SHARAD PATHAK
COMPANY SECRETARY AND CHIEF COMPLIANCE OFFICER
(FCS -9587) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited
Q1 FY'2 5 Earnings Conference Call"
July 25, 202 4

Management: Mr. Sachinder Bhinder – Managing Director & Chief Executive Officer
Mr. Ghanshyam Rawat – President and Chief Financial Officer
Mr. Ashutosh Atre – President and Chief Risk Officer
Mr. Selvin Uthaman – Chief Business Officer
Mr. Surendra Sihag – Chief Collection Officer
Mr. Ripudaman Bandral – Chief Credit Officer
Ms. Jijy Oommen – Chief Technology Officer
Mr. Anshul Bhargava – Chief People Officer
Mr. Rajaram Balasubramaniam – Chief Strategy Officer & Head of Analytics
Mr. Rakesh Shinde – Head Investor Relations
Moderator: Ladies and gentlemen, good day, and welcome to Aavas Financiers Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the compa ny as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportun ity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded .

 I now hand the conference over to Mr. Rakesh Shinde , Head of Investor Relations at A avas Financiers Limited. Thank you and over to you sir.
Rakesh Shinde: Good evening, everyone. I extend a very warm welcome to all participants. Thank you for participating in the earnings call to discuss the performance of our company for Q1 FY '25. The results and the presentation are available on the stock exchanges as well as on our company website and I hope everyone had a chance to look at it.
With me today, I have entire management team of Aavas including Mr. Sachinder Bhinder , MD and CEO, Mr. Ghanshyam Rawat , President and CFO, Mr. Ashutosh Atre , President and CRO, Mr. Selvin Uthaman, Chief Business Officer; Mr. Surendra Sihag, Chief Collection Officer; Mr. Ripudaman, Ch ief Credit Officer; M s. Jijy Oommen, Chief Technology Officer; Mr. Anshul Bhargava, Chief People Officer; Mr. Rajaram Balasubramaniam, Chief Strategy Officer and Head of Analytics .
We will start this call with an opening remark by our MD , Sachinder Bhin der, CFO Ghanshyam Rawat and CRO Ashutosh Atre , followed by a Q&A session. With this introduction, I hand over the call to Sachinder. Over to you, Sachinder.
Sachinder Bhinder: Thank you, Rakesh and good evening, everyone. I welcome you all to our Q1 FY '25 Earnings Call and thank you for joining the call late in the evening. Let me now take you through the key highlights of our performance in Q1 FY '25.
We are delighted to repo rt a robust growth of 22% Y -o-Y in AUM reaching INR178 billion. Along with this strong growth, we have ensured best -in-class asset quality with 1+ DPD at 3.65%, an improvement of 3 bps Y-o-Y, and a GNPA of 1.01%. Our net profit for Q1 FY '25 stands at INR1.26 billion, registering a growth of 15% Y -o-Y. In terms of business updates, in Q1 FY '25, we disbursed INR12.11 billion, delivering a growth of 13% Y -o-Y.
At the end of Q1 FY '25, our AUM stood at INR178.41 billion, up by 22%, which aligns with the target to grow our AUM by 20% to 25%. The robust 25% Y-o-Y growth in the sanction serves as a clear indicator of our robust trajectory. This ensures confidence to deliver sustainable growth in the disbursal for the entire FY '25.
We have opened four new branches during Q1 FY '25 in our existing states to deepen our reach.
We have seen a strong uptake in the logins led by diversified omnichannel lead generation funnel including digital, e -Mitra, RRO, and Mitra, resulting in better d isbursement and building a healthy business pipeline.
In terms of technology update, I'm happy to share that we have completed the milestone of adoption and stabilization of salesforce with 1.9 lakh + loan applications processed through salesforce. Additionally, we have stabilized Oracle Fusion , our ERP application. A new lead management system built in Salesforce has successfully gone live with selected branches in pilot form.
Our loan management system and Oracle FLEXCUBE is at an advanced stage o f testing and will go live in the coming quarter. Technology is playing a key role in transformation and
 turnaround time improvement. Our login to sanction turnaround time has improved to 8 days in Q1 FY '25.
In terms of financial performance for the quarter, our net profit grew by 15% Y -o-Y, led by growth both in interest income and non -interest income. Our consistent efforts to optimize costs have resulted in a remarkable improvement in Opex to Asset ratios by 52 bps, which is now at 3.27% in Q1 FY '25 from the previous year's quarter at 3.79 %.
Our asset quality continues to be pristine with 1+DPD at 3.65% as of June 24, down by 3 bps over Q1 FY '24, our GNPA stood at 1.01 % in Q1 FY '25 and credit cost remain ed at 20 bps.
In terms of liability , we have one of the best well -diversified

liability franchises. We have
always been innovative in exploring new avenues of sourcing and I am happy to share that we have started exploring co -lending.
Our incremental borrowing cost increased by 30 bps Y -o-Y and 17 bps Q -o-Q to 8.31 %, indicating the cost of borrowing peaking out in line with the benchmark rates. The FY '25 Union budget marks a transformative leap in addressing India's housing needs by significantly expanding the Pradhan Mantri A was Yojana to i nclude 30 million additional houses. The Government of India's commitment to providing housing for all.
We are committed to a strong growth trajectory and our focus on innovation, technology and cost optimization will continue to drive our success, and I' m confident that with our dedicated

team and strategic initiatives, we will achieve our goals and deliver value to our stakeholders.
I would now hand over to our CFO , Ghanshyam Rawat to discuss the financials in detail.
Ghanshyam Rawat: Thank you Sachinde r ji. Good evening, everyone and a warm welcome to our earning call. First to update on the borrowing .
In terms of borrowing, we continue to borrow judiciously , raising around INR 11.35 billion at 8.31% in Q1 , 2025. Total outstanding borrowing as of 30th June 2024 stood at INR 158 billion.
Overall borrowing mix as of 30th June 2024 is 47.8% from term loan from the bank, 24% from assignment and securitization, 19.6% from NHB refinancing and 8.6% from debt capit al market.
During the quarter, overall cost of borrowing increased by 1 bps Q-o-Q to 8.08%. Our incremental cost of borrowing for Q1 FY '25 was 8.31%. Lender support continued to remain extremely strong. There is access to diversified and cost -effective long -term financing. We maintain a strong relationship with the development financial institutions. To meet long -term business growth, we have progressed on the co -lending tie-up with a PSU bank. As of 30th June 2024, we mai ntain ed sufficient liquidity in the form of cash and cash equivalents and unavailed cash credit limit of INR17.5 billion and documented unavailed sanction of INR12.6 billion.
In terms of spread : As of 30th June 2024, the average borrowing cost of 8.08% against the average portfolio yield of 13 .08% resulted a spread of 5%. We have been able to maintain our spread around 5% in line with our guidance , despite competitive pricing pressures.
 Our margin , NIM as a percentage of total asset during Q1 FY '25 stood at 7.31%. Our NIM in absolute terms has increased by 10% Y-o-Y Q1 FY '25.
In terms of cost , our Opex to Asset ratios improved 52 bps to 3.27% in Q1 FY '25 versus 3.79% in Q1 FY '24. We are commit ted to gradually bring down t he Opex ratio to around 3%. Credit cost during the quarter stood at 20 bps in Q1 FY '25 versus 16 bps in Q1 FY '24 and Q4 FY '24.
In terms of other parameters, profit after tax during the quarter increased by 15% Y-o-Y to INR12.61 billion. ROA stood at 3.01% and ROE 13.14% in Q1 FY '25. IGAAP to IndAS reconciliation has been explained in detail for profit after tax and net worth on Slide number 30 and 32 of our presentation.
We are very well capitalized with a net worth of INR39.03 billion and CAR at 44.48%. Total number of live accounts stood at 2,23,600 + translating into 16% Y-o-Y growth, employee count was 5,904 as of 30th June 2024 versus 5,700, 30th June 2023 .
Now, I would like to hand over the line to our CRO Ashutosh Atre to discuss assets quality.
Ashutosh Atre: Thank you, Ghanshyam ji. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you.
Asset quality and provisioning : Our asset quality as mentioned by Sachinder ji, continues to show improvement. The 1 day past due metric improved by 3 bps to 3.65% in Q1 FY 2025 compared to 3.68% in Q1 FY 2024. As of 30th of June 2024, our Gross stage 3 stood a

t 1.01%
and Net stage 3 at 0.72%.
In terms of geography , 1+DPD and GNPA in our core vintage states remained well below 4% and 1.1% , respectively, while for Other emerging states 1+DPD and GNPA remained well below 3.5% and 0.9% . respectively.
Similarly, in terms of ticket size of more than INR15 lakhs, 1+DPD and GNPA remained well below 3.3% and 0.8%, while in case of ticket sizes less than INR15 lakh, 1+DPD and GNPA remained below 4% and 1.25% , respectively. Our total ECL provisioning including that of for COVID -19 impact as we ll as Resolution Framework 2.0 stood at INR 907.5 million as of 30th June 2024. Aavas is strongly positioned to continue delivering industry -leading asset quality.
With this, I open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shreepal Doshi from Equirus . Please go ahead.
Shreepal Doshi: Hi, sir. Good evening and thank you for giving me the opportunity. So, my first question was on business momentu m and particularly on disbursements. So, the run rate has come off materially from the 4Q levels and within housing, the degrowth is even higher. While I understand that 1Q tends to be soft , but what is it that led to this lower disbursements during the qu arter?
Sachinder Bhinder: Thanks, Shreepal . As you really appreciate d and you highlighted, we always have a muted quarter one. But here I would like to highlight on against robust sanction growth of 25% we had
 sanction to disbursement around 78 % which led to the growth being muted or on the lower side.

But as i pointed out on a 25% sanction growth , we expect the momentum to come back in the coming quarters.
Shreepal Doshi: So, sir, if we have to look at it from a different angle on a yearly basis, what sort of disbursement s we are targeting and how do you see it shaping up over the quarters?
Sachinder Bhinder: See, as I said, one parameter is the sanction growth which is there and I said that we are at around 78% this quarter. And in the coming quarters, we'll have the sanction to disbursement ratio really covering up to the normal levels of 85 %- 87%, that's the normal range which will remain.
So, we are confident of bouncing back on the quarter number. So, what instils confidence is one is the login growth and second is the sanction growth. These are the two parameters which really help us give that confidence. So, unlike a normal one, we have a s anction gro wth which is already available with us and that will translate in the coming quarters.
Shreepal Doshi: So, are you saying that there was no, I mean material momentum decline in terms of the number of logins during the quarter?
Sachinder Bhinder: No, as you reflect, as I highlighted, there is a growth in login and there is a growth in sanctions, and both we've given the numbers out, so there's no problem in momentum growth if I were to really put across. There's a decrease in the sanction to disbursement ratio which has resulted into the disbursement take on the little muted side.
Shreepal Doshi: Okay. Sir, the second part was about the end use of the other mortgage category that we have classified this q uarter. So, what would be the end use there ?
Sachinder Bhinder: These are typically the loan against property and the top up loans . The loan against property is for the personal consumption. These are all backed by self -occupied residential properties. The micro MSME where it is typi cally the unserved, underserved, which we really focus on as a specialized HFC, which is unique to Aavas, really helps in building the capital creation for the working capital customers on the micro MSME side. And we've seen the degrowth on the LAP and the top up side, and really, it's gone into the capital consumption on the MSME side. And

that's around 22%.
Shreepal Doshi: Okay. So, the last question was on pricing. So, we had done a rate hike couple of quarters back. So why has there not been any improvement on the yield side during the quarter? So that was the question, sir.
Sachinder Bhinder: Yes. So, I think if you see the disbursement yield , there is an improvement on the disbursement yield on Q-o-Q and compared to the previous quarter. But on the overall yield side, I think we've seen not that kind of compression, which was normally there in the earlie r times, and maintaining a consistent spread of about 5 %.
Shreepal Doshi: Okay, got it, sir. I'll come in the queue if I've more quest ions. Thank you.
Sachinder Bhinder: Thanks, Shreepal.

PUBLIC Moderator: Thank you so much. The next question is from the line of Mr. Renish, ICIC I. Please go ahead.
Renish: Yeah, hi sir.
Sachinder Bhinder: Good evening, Renish.
Renish: Yeah, good evening, sir. Congrats on a good set of numbers during extremely challenging environment. Sir, just two questions from my side, one on the spread in the NIM side again. So, when we look at the incremental cost of borrowing at around 8.3 % versus blended cost of 8.07 %, you know, which essentially means that going ahead, the blended cost will converge towards the incremental cost.
And when we look at the yield, it's down trending since last many quarters. So how confident we are about sort of maint aining this 5% spread for the full year? I mean though, you know, we know that we have increased our PLR by 40 bps, I think in April, but that doesn't reflect in this quarter, maybe it should reflect from second quarter. What is your internal assessment, s ir?
Sachinder Bhinder: There are two parts to the question. The second part I'll have Ghanshyam ji to respond. On the first part, we've been giving our guidance . Our endeavour is to maintain 5% and as you will really appreciate that there has been a spike in the incremental cost of borrowing and the same transmission has n ot been possible at the ground because of which you do not see this incremental increase in the cost of borrowing being able to be passed on to the existing set of disbursement customers . On the yield side and the placement, I'll let Ghanshyam ji to really respond on the second part.
Ghanshyam Rawat: Thank you, Sachinder. You see this quarter when we bor row fund , NHB contribution always remain low than what we borrowed for full year basis. So, this year new limit will come once we complete this quarter . Then the contribution of NHB borrowing will increase overall borrowing, so we are confident that now c ost of borrowing is almost peaking out now at this level . And we borrowed good amount of money as a T-Bill linked , Repo -linked money . So, whenever the rate cut come s, it will have a positive impact on Aavas ’s overall cost of borrowing .

And yield if you see, last quarter to this quarter we have almost a 17 -18 bps higher yield on the new business we got in this quarter . So, we are quite hopeful that we are going more granular , smaller ticket going forward in our business strategy . So, I hope that that will also help to maintain our overall yield level . On new disbursement , we will have further increase in yield. So, our endeavour is to maintain the 5% spread going forward.
Renish: Got it. And my last question Sachinder sir again on the disbursement side. So, sir when we s ay our sanction to disbursement remains at 77 % versus 85 %, 87% normally, so which means the disbursement is lower by maybe 7% to 10% this quarter because of seasonality, is that the fair assumption?
Sachinder Bhinder: One is the seasonalit y and second is the recognition of the disbursement. As you are aware, I think both parts have led to the current, but the positive side in the green shoots is that you have the momentum which

is there the -- which was reflected in the numbers.
 Renish: Got it. And would you like to share the absolute disbursement expectation for this year?
Sachinder Bhinder: So, see we've always guided on our AUM growth of 20 % to 25 %. I think we are confident of the fact that we will be able to deliver in that range and I think that will come across by two parts. One is disb ursements coming across Q-o-Q and the foreclosures being controlled at the rate at what we have been able to manage. I think both really contribute. So, we are confident on this side of delivering the growth whic h we always guided of 20 % to 25 % and the BT out being restricted to a level at which we are comfortable at.
Renish: Got it. And sir just last book keeping question. What is the interest reversal because of the RBI circular?
Sachinder Bhinder: I think Renish, we can discuss offline on this . Whatever is there on the RBI stipulation, we followed completely what is needed as per the guideline, what has been mandated. So, we follow the rules and circular in total.
Renish: Okay, so it is fair to assume that by end of June we are fully compliant and going ahead there should not be any reversal impact?
Sachinder Bhinder: So, we are compliant on that, Renish. What we are saying is on the coming quarters we will have the bounce back of our disbursement comi ng into play.
Renish: Got it. Okay, that's it sir. Thank you and best of luck sir.
Moderator: Thank you very much. The next question is from the line of Shweta from Elara. Please go ahead, ma'am.
Shweta: Thank you, sir, for the opportunity. Sir sorry I'm h arping on the same question all over again. So, we had seen 25 bps PLR increase in Q4 , but if I look at the yield movement, I mean, there might be one -offs in Q1, but when do you see this reflecting ahead on each front?
Ghanshyam Rawat: If you see last quarter we published at 13.13% and we increased a 25-bps in the Ma rch itself. So, in a contractual rate a high bps drop is o n account of fresh business because fresh business is still lesser than the AUM yield . If you ask me at the computed level ye s obviously. due to RBI circular there is a certain interest cost reversal and from this March to June end NP A also increased so the 90 days period i nterest got reversed . If you factor both, there then there is the only marginal drop which is equivalent to my AUM will drop.
Shweta: Okay fair point sir. Sir secondly how are we placed today on the BT out cases, has that number seen sort of spike b ecause if I go by the calculations on your prepa yments and repayments. So, could you just throw some light on BT out for this quarter?
Ghanshyam Rawat: Yes. If you see in this quarter overall BT in the industry is 5.6% at annualized basis which is within our control and which is within our last year's t rack record. We generally assume in our budget 6% is a BT out to industry . During the quarter customer close / partly close account s. They pay the EMIs also. So overall my repayment in the AUM is a 16%. which is within the budget, as per our assumption and past year track record also.
 Shweta: Okay. So, there is no unusual spike here on the BT out?
Ghanshyam Rawat: No unusual spike. Last year if you see overall with 16% - 17.6% was a repayment from opening AUM to closing AUM.
Shweta: Right.
Ghanshyam Rawat: We still are at 16% in this quarter.
Shweta: Okay, sir. Thank you and best of luck.
Moderator: Thank you so much. The next question is from the line of Raghav Garg, Ambit Capital . Please

go ahead.
Raghav Garg: Yes. Hi, thanks for the opportunity, sir. Just my first question what is the total number of employee s that you had as of June end a nd a related question is why have the employee expenses d

eclined on a Y -o-Y basis? T hose are my first two questions?
Sachinder Bhinder : Yes, see on the employee count as of the 30th June there were 5 ,904 employees and compared to the previous year it has incr eased about 204. There is a one time set off which is the long -term incentive plan and the ESOP cost which has got reversed because of which there is an employee cost reduction.
Raghav Garg: Understood. Sir, my second question is from the annual report for FY '24. So, what I see is that there is a certain purchase of software worth about INR29 crores which has been capitalized.
And when I look at the intangibles under development line item also there is about INR22 crores, INR23 crores worth of expenses waiting to be capitalized, I think next year again related to software.
So can you tell us what is the nature of this expense and it doe sn't seem to be a one time capital expenditure because it ha ppened last year, it happened in '24 and probably you're going to capitalize it again in next year. So, if you can explain what is the nature of this expense and if this is going to be a recurrin g expense, then why not expense it rather than capitalizing it?
Ghanshyam Rawat: Raghav I think in last few years in the quarterly call and annual call we explained that Aavas took complete tech transformations in the company. First, we took a Salesforce as LOS as a tech transformation. Then we took ERP Oracle Fusion as a tech transformation as well as during this time we took a lot of digital initiatives also to have a very let's say different level of customer experience onboarding to exit of a customer.
And now in this quarter we are under pr ogress to go live for the Oracle FLEXCUBE is a LMS system. All three , four systems and apart from that there are few -- very few systems are there like we took a treasury software also along with that we had upgraded o ur people software -- Human software. So, all put together is a total capex in the company roughly in two years something we already capitalized, something will be capitalized put together everything will be INR45 crore around capitalization INR45 crore to INR50 crore capitalization.

So, it is not that any revenue expense is getting capitalized. C apitalization is purely of capital expenditure. The company will get benefit in the next 10 years and the entire cost will benefit to us.
Raghav Garg: Understood. So ideally maybe in a couple of years or maybe after next year this capitalization whatever this am ount is should run down. It won't continue at this INR25 crore s, INR30 crore s kind of run rate beyond next year, is that a fair assumption?
Ghanshyam Rawat: This year is the final year in capitaliz ation . The two years put together we will have a capitalization around INR45 crore to INR50 crore.
Raghav Garg: Understood. Sir, the reason I asked is that given my limited understanding I thought it was more of a subscripti on-based model. But given that this expense is going to run down after next year maybe I'll try to understand that offline from you as to what exactly is the nature of this expense.
Moderator: Sorry to in terrupt Mr. Garg, may we request you to return to the questio n queue for follow -up questions.
Raghav Garg: Sure.
Moderator: Thank you so much. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Good evening, everyone. Thank you for taking my question. Sir first things first. I mean you spoke about disbursal yields earlier what were the disbursal yields in 1Q?
Sachinder Bhinder: So, Abhijit we've always guided on our spreads and on our AUM growth. T he incremental disbursement yields which really, we don't comment because I think that tra des off moves across on Q-o-Q. I think important is that we've been able to maintain a

spread of 5 %. On the basis of that, on a sequential basis of Q1 previous year I can really say that incremental yield is higher by 17 bps.
Abhijit Tibrewal : Got it. This is fair. Thank you. Sir, the other question that I had w as on spreads a lready a lot of questions have come your way on spreads. But given our guidance of 5% and now that we are eventually here, just trying to understand given the competitive intensity which is not allowing you to transmit higher cost of borrowings to customers?
Are we also doing something on the mix side to ensure that even if cost of borrowing stabilizes and the competitive intensity remains this way which will mean continued pressure on yields?
Are we doing something about mix as well to see to ensure that the spreads can at least be

maintained at 5% kind of levels?
Sachinder Bhinder: Yeah, Abhijit you are right. I think the endeavour as you rightly said, and I would really articulate in the form that the focus on the ticket size which is going to be less than INR15 lakhs to contribute higher and even in the buckets which we are their incremental increase granularly on the yields or the disbursement yield is our endeavour . And because of that, we will really try to maintain our spreads.
 And when we see the peaking out of the cost of borrowings , As a result of which when we say that we've been able to have our disbursement up. So, the focus really is to work across on high er yielding products , which is within th e segment, which is the self -occupied residential properties, home loan segments really to build in those lines . So that's been our focus and we will continue to build on that.
Abhijit Tibrewal : Okay. And sir just one last clarification. Just trying to understand two things, two clarifications. One is I mean have we changed the way in which we report or compute NIM? Because for the last financial year FY '24 you have reported a NIM of 7.91. For th is quarter you have reported a NIM of 7.31. So, is there a change in the way we compute and report NIMs?
Ghanshyam Rawat: No, there is no change in the reporting at NIM. NIM is the same way we compute what we have reported earlier and now reported. But in this quarter, NIM got impacted by two reasons . One is assignment income for this quarter is lesser than what we see for the full year basis because first quarter generally remains muted for assignment. But as we progress on a full year basis assignment income will catch up.
Secondly, obviously c ost of borrowing increased t hat has also impacted. Further, as we mentioned our spread came down. So that is also impacted at a NIM level. But one time impact of assignment , will come back in the full year basis.
Abhijit Tibrewal : Got it. But our presentation is showing that 70 bps decline in the reported NIM?
Ghanshyam Rawat: Yes, few bps is because spread also came down. So, if you take that spread reductions which is there and then around 20 bps to 25 bps is on account of assignment. So that will come back in the remaining year. I think there was question on this spread and all these things. We always say this thing we will maintain this spread, but you will appreciate this thing. We always give one more commentary if we lose at a spread so we will make up the same thing through opex leverage. So, this quarter , last year few quarters now opex leverage, we have around 50 bps in this quarter.
Abhijit Tibrewal: Got it. Thank you so much, Ghanshyam ji.
Moderator: Thank you.
Sachinder Bhinder : Thanks, Abhijit.
Moderator: The next question is from the line of Jigar Jani from B&K Securities. Please go ahead, sir.
Jigar Jani: Yes, hi, thanks for taking the question. So, on the opex front, we were guiding for 20 bps to 25 bps each year progression. But if I compare on a FY '24 basis, we were at 3.58%. This quarter, we are al

ready at 3.27%. So, we are well below what we had guided for the full year. So how should we see the opex to asset number for the full year FY '25? That's the first question. And secondly, the growth guidance that we making in this is 22 % to 25 %, how much upside would be there because of the CLSS announcement in the budget? And if you could also simultaneously share in what format if you have had any discussions with NHB on this in what format is the CLSS -- CLSS scheme going to come in?
 Sachinder Bhinder: So, we've always guided on the AUM growth of 20% to 25%, on t he opex to asset ratio, we are at around 3.2 7% for the current quarter. Our endeavour will continue to maintain and some of them I think on the employee cost side, which was incidentally nature, which came across in this quarter, I think operationally we will try, and it is the long -term guidance in the coming year to come to a level of 3%. So, we'll continue to strive towards that and maintain that . And on the CLSS, I think Aavas as a normal strategy has never built the growth based on any of the subsidy schemes or other, we are into sp ecific ones which are going to the self-construction individual homes. The housing for all PMAY work will have a positive impact for us but nothing on the CLSS specific we have been guiding on -- on those lines.
Jigar Jani: Okay, sir. Thank you.
Moderator: Thank you so much. The next question is from the line of Shubranshu Mishra , Phillip Capital . Please go ahead, sir.

Shubranshu Mishra: Hi, good evening. Thanks for the opportunity. Just to start harp on the CLSS part again, there's been some degree of budget announcement without any fine print, we know the fine print comes out, do we think that will change our AUM or disbursement growth guidance going forward? That's the first. Second is what really changes when we see this fine print of CLSS because when CLSS got knocked off in 2022 and since then the developers have pivoted towards other kind of inventory. So, for them to repay that back into affordable housing will take some time. So, in that case certifying a disbursement at scale with this scheme would also take time. That's a fair assessment.
Sachinder Bhinder: Sorry, actually you're n ot audible.
Shubranshu Mishra: No, my question was, with the fine print of CLSS coming out in the next few weeks will change our AUM and disbursement g rowth. That is the first question. Second one was in 2022, the CLSS got knocked off and the developers are repivoted towards other kinds of format, which is not affordable housing. So, there has been a supply side crunch. This supply side reattributing itself will take some time for the developers to realign to the fine print of CLSS. So, do we think that the fructification of disbursements at scale will also take time? Maybe 12 months to 18 months.
Sachinder Bhinder : I think from that perspective, we are not in the developer segment or in the segment of those builder led supply which is there. Aavas has a clear -cut focus in Tier 2 to Tier 5 towns and more on self -construction individual homes, which is our main sta y. And whatever is an additional, we are not projecting any growth because of any of the schemes really coming across. The ones which are there on the urban led supply, which is a part of our affordable vertical in our business they are depending upon whatever the inventory comes up, they do have an upside for us as a housing finance company.
Shubranshu Mishra: So, if I have understood that correctly, we won't change our AUM or disbursement growth guidance basis. The scheme fine print which comes out in the nex t few weeks.
Ghanshyam Rawat: Fine print yet to come. But in last PMAY -- seeing on the CLSS strategy, we've seen that it has positive impact on the growth on as well as on the quality side. It has improved significant

 affordability of the home when people take a loan from us. So, we w ant to wait for the fine print, but it has a pretty positive impact.
Shubranshu Mishra: So, the question is that will we change our growth guidance when that fine print comes ?
Sachinder Bhinder: So, I think let's wait for the fine print. And as what Ghanshyam ji said, it always has a positive impact, A, on the affordability and B, on the quality of files which is there. So, once we get the fine print, I think we will come back to you on what would be the implications for the growth side.
Shubranshu Mishra: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Kunal Shah , Citigroup . Please go ahead.
Kunal Shah: Yes, hi, sorry if I'm being repetitive because I missed the earlier p art. So, on the non -home loan side anything to read into in terms of the GS3? I don't know if that was answered but there is an uptick both on a Y-o-Y and Q-o-Q. So, anything maybe are we seeing slightly higher stress one in 1+DPD or 30+DPD depending in that bucket? Ye s.
Sachinder Bhinder: No, Kunal, there's nothing substantial to read across. I think you will really appreciate that as the MSME, which is the real working capital going across on the non -home loan segment really going for the capital consum ption and really helping us in building the right kind of book . But incrementally, we don't see so much of a difference between the quality or the performance of the portfolio at this period of time. And other thing, you have to really note that this is al l secured by self-occupied residential properties which are there.
Kunal Shah: Okay. And secondly, on che que disbursal, I'm not sure if that was touched upon but how much was the impact and has it normalized? And should we see the disabled disbursements co ming back to normal? And if you look at the July months of disbursement, how the trend has been. Yes.
Sachinder Bhinder: So, Kunal, the earlier part of the call, we said that we had a sanctioned growth of 25% on the sanction part. On the sanction to disbur sement, we were at around 77%. So, we are optimistic of whatever we are there to bounce back in the coming quarters.
Kunal Shah: Okay. But that will come immediately. So, we, it has got normalized right from the start of this fiscal this quarter.
Sachinder Bhinder: It will get normalized.
Kunal Shah: Okay. Ye s.
Moderator: Thank you very much, Mr. Shah. The next question is from the line of Anurag Mantry from Oxbow. Please go ahead.
Anurag Mantry: Yes, just two data keeping questions if you can quantify. You mentioned in the employee opex

there was a onetime reversal, I think if I heard correctly because of ESOPs. If you can just
quantify that number. And the other one on the data keeping again is in t he yield . I think you
 mentioned that there is some interest cost reversal because of two reasons. If you can just quantify both these numbers will be very useful.

Ghanshyam Rawat: Your question for the sequential quarter or for the or you talking Y-o-Y?

Anurag Mantry: No, so for this specific quarter, I'm just asking the absolute numbers. So, I think in opex you mentioned that there was a onetime reversal in the employee cost because I think some reversal if I heard correctly.

Ghanshyam Rawat: It's a true s ense not a reversal but is because when certain ESOP is given the past got matured. So now new provision was lesser than the last year's requirement. So that was a difference in the ESOP. And apart from that, I think is normal. When you compare quarter fou r to quarter one obviously disbursement remain higher in the quarter three, quarter four. So, in those periods variable costs are generally higher than the quarter one variable cost at the employee level.

Anur

ag Mantry: Got it. Can you quantify that provis ion for ESOP number broadly just to get a sense of how much improvement has happened because of that in the FS?

Ghanshyam Rawat: So, cost in this quarter is INR4 crore.

Anurag Mantry: Got it. And the interest cost -- sorry, the yield interest reversal, can you quantify that as well?

Ghanshyam Rawat: I think that's difficult to comment because those system -based reversal happen in the system itself. So, we will come back an exact amount.

Anurag Mantry: Okay. No worries. Ye s, thank you so much.

Moderator: Thank you so much. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes. Hi, sir. Two clarifications from my side. On the cost of borrowing, if I have to look at the bank borrowing have the incremental rates changed versus last quarter? You mentioned about the incremental borrowings but how about banks?

Ghanshyam Rawat: Bank borrowings, I think from banks we borrow money from the two, three benchmarks. T -bill linked money, repo -linked money and as well as other benchmark of six-month MCLR output are put together. So, my bank money is borrowed in this quarter is at 8.40.

Mona K hetan: Okay. And what was the same last quarter?

Ghanshyam Rawat: I think a 10-bps difference is there.

Mona Khetan: Okay.

Ghanshyam Rawat: Last quarter, 10 -bps is a lot cheaper.

Mona Khetan: Yes. Sure. Secondly, sir, if I can get a share of loans above INR25 lakh ticket size and INR15 lakh ticket size. At the end, wh at was that number a year ago?

 Ghanshyam Rawat: I think ticket size details are too granular number to cater to say at a large forum. We have given an overall ticket size detail in our presentation. How has home equity has grown; home loan has grown. We have seen a natural increase in our ticket size at home, around 6% to 8% in the home loan side. And MSME, or let's put together, you see, we have seen a 10% plus increase in ticket size at a Y-o-Y basis.

Mona Khetan: Okay. Could you just get above 25 la kh ticket size share in AUM? Is that -- even the rough number you have, that would be useful? Thank you.

Ghanshyam Rawat: Yes. That we can get. Because we don't have much focus on the larger ticket.

Mona Khetan: Okay. But do you have a back of the envelop e number, share of AUM above 25 lakh ticket size?

Ghanshyam Rawat: Yes. It's around, it's around 5% to 6% on my loan count basis.

Mona Khetan: On AUM Basis?

Ghanshyam Rawat: Yes, let's say, out of 2 lakh -plus customers, there the 5% customers are there, who has more than 25 lakhs.

Mona Khetan: Okay. Based on the number of customers not AUM .

Ghanshyam Rawat: Yes. Number of customers.

Mona Khetan: Okay. Thank you.

Moderator: Thank you so much. The next question is from the line of Adityapal , MSA Capital Partners. Please go ahead.

Adityapal: Thank you so mu ch for the opportunity, sir. So , just wanted to quickly understand what would be our geographical concentration amongst our top three states and how does the management think about it?

Sachinder Bhinder: So, as you are aware, I think, we've already discussed Rajasthan, Gujarat, MP and Maharashtra are the core four states which is there. So, the AUM accordingly is lined up. And as we really appreciate the 367 to 371 branches, we have 108 branches in Rajasthan. So based on that, it really is the one which is giving the disbursement as well AUM but the other thing to really notice that you had the other st ates also really coming across.
So, from a level of 60%, 70 % iniatial years , we are at around 30% to 35% on the AUM level.
And since we have 108 branches, we have a contribution coming from the base states. So that's how we are stacked in the four states what we talk about.
Adityapal: So, these four states currently contribute to 35% of the yea

r?
Sachinder Bhinder: No, I'm talking about Rajasthan, that alone contributes to around 35% of the AUM.
Adityapal: Okay, understood. And combined the …
 Sachinder Bhinder: So, I think you should really appreciate that we have 33% of the branches of pan -India, which is there in Rajasthan, right? So, I have 108 branches of the total 371 branches in Rajasthan.
Adityapal: Sir, also my second question is that, how are we thinking on branch productivity? So, today we have around INR46 crores, INR47 crores of AUM per branch . Going forward, how are we thinking? And also, if you can give a bit color on branch economics, that is, after completing three years, what is the -- generally, what is the opex?
Sachinder Bhinder: I think on the granularity, we don't comment. I think you would really appreciate that the first ones which are there, which really help us to build, they help us to really scale up in the new markets. And in the line of our contig uous location expansion strategy, it helps us to build up the other states and other branches. And our constant endeavour is to really build that in a way which is much more granular, mak e them cost effective and make them ROA accretive.
Adityapal: And sir, any color on how do we think on AUM per branch productivity going forward?
Sachinder Bhinder: So, I think you look at the market potential, you look at the credit behaviour , look at Aavas' behaviour . I think all those metrics are the one which really decide what it is there. It is not a secluded division of a numerator, denominator. It is more to do with our understanding of the geography in detail, local dynamics, our understa nding of the market and the credit behaviour. that decides the viability. And accordingly, branch is sized according to the market opportunity and accordingly resourced.
Adityapal: Sir, just understanding. So, when we say 20% to 25% AUM growth, how can we understand -- how much will come from productivity gains and how much will come from organic?
Ghanshyam Rawat: You see, our AUM growth guidance is 20% to 25% , branch count will increase by 10% in let's say, we are targeting three years. As well as the manpower will increase by less than 10%. So, this will give productivity leverage every year for the three years. It's the metrics we are looking .
Adityapal: Thank you so much.
Moderator: Thank you so much. The ne xt question is from the line of Nihar Shah from New Mark Capital . Please go ahead.
Nihar Shah: Hi. Good evening to everyone. Just a few questions from my side. My first question is can you tell us what the BT -out this quarter was? And what is the trend in being over there? How are you seeing trends in BT -out?
Sachinder Bhinder: Good evening, Niha r. On the lines, what Ghanshyam ji really referred, while answering the earlier questions, we continue to be at aroun d 5% to 5.5%. And I think that is backed up by on an annual basis. And this is backed up by our good predictive models based on our last couple of years where we have been in a position to really predict what would be the customer behaviour and actually st op the righ tful customers which are there.
And wherever we feel that the customer is getting over leveraged or the cash flows are not justified, we let it flow to the for a balance transfer and we really look at the ones which the
 customer has been over l everaged. The performance of that with outside of us is five times worse off than it would have been other.
So, I think a very packed of cash flow-based lending, right kind of underwriting and retaining the right kind of customers has helped Aavas over a period . And with technology and our predictive models really helping across to predict the behaviour and hold the customer despite the compe

titive pressures and the market, we've been able to maintain that in a range bound
manner.
Nihar Shah: But is the nu mber of people coming for BT -outs also increasing? So, you all are obviously
retaining, are y ou all retaining more customers or is the retention rate also sort of largely similar?
Just trying to understand that from more, from a competitive and intensity p erspective?
Ghanshyam Rawat : No, as you know, we are more focused in Tier 3, Tier 4, Tier 5 and we are not seeing any change
in last, let's say, couple of qua rters, including this quarter . No increase on the BT -out request.
Nihar Shah: The second question that I had was this loan sanction to disbursal ratio, is there any drivers of
that being so low this quarter that was just out of the ordinary or is there some normal seasonality
or something? We can just dive a little bit deeper into, why you think that corrected so sharply?
Ghanshyam Rawat: You are aware in this quarter when a regulatory circular was there and where some disbursement
practices got improved in this quarter. So that has impacted us spill over certain sanctions could
not disburse, so those will be convert ing in the coming months. Apart from that I think there's
not much to read on that ratio.
Nihar Shah: Okay. So, it's largely because of the RBI c ircular that?
Ghanshyam Rawat: Yes, we got 25% growth in sanctions. But disbursement didn't happen because certain
formalities customer s were yet to complete as per the revised guidelines with what disbursement
should be treated.
Nihar Shah: And is this the same thing that im pacted the NIMs, you mentioned that there was some RBI
circular on the NIM impact. If there's a way yo u can quantify that potentially?
Ghanshyam Rawat: I think NIM has naturally seen certain compression , drop in the yield has also impacted, major
component is that our assignment income is less in this quarter and cost of borrowing is a natural
increase we have seen, so all this led to NIM compression. Spread level was maintained majorly
helped by Opex saving s in this year. So, ROA impact is very minimum, is a 15-bps which will
get positive in the coming quarters once we will have a better assignment income, in the coming
quarters.
Nihar Shah: Great. Ghanshyam ji. Great -- all the best on the quarters forward.
Ghanshyam Rawat: Thank you.
Moderator: Thank you so much, Mr. Shah. Ladies and gentlemen, due to time constraint that was the last
question. I now hand over the conference to Mr. Sachinder Bhinder , MD and CEO of Aavas
Financiers Limited for closing comments. Please go ahead, sir.
 Sachinder Bhin der: Thanks. As we conclude today's earning call, I want to express my heartfelt gratitude to each
one of you for your participation and engagement. The dedication of our team, the trust of our
shareholders, and the loyalty of our customers has been instru mental in our growth. In our Aavas
3.0 journey, we are dedicated to building a robust framework that supports our ambitious growth
and ensures corporate governance, asset quality, sustainability and resilience.
I express my deepest gratitude to all our re gulators and stakeholders whose constant faith and
support have been helpful in the journey. Together, we shall forge a new era in affordable
housing and MSME finance, empowering countless lives and reshaping India's socio -economic
landscape. Thank you and have a wonderful financial year ahead.
Moderator: Thank you very much. On behalf of Aavas Financiers Limited , we conclude this conference.
Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

“Aavas Financiers Limited
Q2 FY '25 Earnings Conference Call ”
November 07 , 202 4

Management : Mr. Sachinder Bhinder – Managing Director and Chief Executive Officer
Mr. Ghanshyam Rawat – Chief Financial Officer
Mr. Ashutosh Atre – Chief Risk Officer
Mr. Surendra Sihag – Chief Collection Officer
Mr. Ripudaman Bandral – Chief Credit Officer
Ms. Jijy Oommen – Chief Technology Officer
Mr. Anshul bhargava – Chief People Officer
Mr. Rajaram Balasubramaniam – Chief Strategy Officer and Head of Analytics
Mr. Rakesh Shinde – Head of Investor Relations
Mr. Selvin Uthaman – Chief Business Officer
Moderator: Ladies and gentlemen, good day and welcome to Aavas Financials Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward - looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future p erformance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference call is being recorded.
I now hand the conference over to Mr. Rakesh Shinde, Head of Investor Relations at Aavas Financi ers Limited. Thank you and over to you, sir.
Rakesh Shinde: Thank you. Good evening, everyone. I extend a very warm welcome to all participants. Thank you for participating in the earnings call to discuss the performance of our company for Q2 and H1 FY'25 . The results and the presentation are available on the stock exchanges as well as on our company website and I hope every one had a chance to look at it.
With me today, I have the entire management team of Aavas including Mr. Sachinder Bhinder – M.D. and CEO, Ghanshyam Rawat – CFO, Ashutosh Atre – CRO, Selvin Uth aman – Chief Business Officer, Surendra Siha g – Chief Collection Officer, Ripu daman Bandral – Chief Credit Officer, Jijy Oommen – Chief Technology Officer, Anshul Bhargava – Chief People Officer, Rajaram Balasubramaniam – Chief Strategy Officer and Head of Analytics.
We will start this call with an opening remark by our M.D. and CEO, Sachinder Bhinder , followed by CFO, Ghanshyam Rawat and CRO, Ashutosh Atre. After that, we will start with the Q&A session.
With this introduction, I hand over the call to Sachinder . Over to you, Sachind er.
Sachinder Bhinder: Thank you, Rakesh and good evening, everyone. I'm delighted to welcome you all to our Q2 FY'25 earnings call and thank you for joining the call on the late evening. Hope everyone had a wonderful Diwali. Let me now take you through the key highlights of our performance in Q2 FY'25.
We delivered a growth of 20% Y -o-Y in A uM, reaching Rs. 184 bn. Along with this stated growth, we ensured best -in-class asset quality with 1 +DPD below 4% at 3.97% and GNPA of 1.08 %. Our net profit for Q2 FY'25 stands at Rs. 1.48 bn, registering a growth of 22% Y -o-Y. In terms of business update, in Q2 FY'25, we disbursed Rs. 12.94 bn, whereas in H1 FY'25, we have disbursed Rs. 25.05 bn, resulting in a growth of around 8% Y-o-Y in H1 FY'25.
In Q2 FY'25, we achieved another milestone in our technology upgradation journey by going live with the loa n management system, Oracle Flexcube . The one -time LMS shutdown coupled with an extended monsoon in several parts of the country had affected the building and construction activity, both of which resulted in lower fresh disbursement and subsequent part disbursements . This is one of the fundamental reasons for the mut ed disbursement in Q2 FY'25.
However, we are confident of covering up on the disbursement s in the 2nd half of the financial year, which is typically a strong period for us. We have already seen green shoots with September and October cumulative disbursement growth of 22% Y-o-Y.

Our focus is to underwrite quality business with risk -adjusted returns. Our incremental business yield has gone up by 25 bps across products.
We have opened five new branches during H1 FY'25, four branches in our existing states to deepen our reach, and one branch in the new state of Tamil Nadu.
We have seen robust login s led by a diversified omni -channel lead generation funnel, including digital, CS C (common service centers), e-Mitra, RRO, Mitra, resulting in a better disbursement growth and building a healthy business pipeline.

Let me give you update on the terms of technology updates.
We have implemented bank -level systems with robust regulatory compliance.
Our loan management system, Oracle Flexcube , has gone live across branches and is stabilized.
Our new lead management system built in Salesforce has successfully gone live across branches. This will allow us to integrate seamlessly with other aggregator channels.
Our fully integrated systems leading to better visibility, inter -team collaborations, and seamle ss customer service will also play out in the coming months. Technology is playing a key role in the transformation and TAT improvement. Our login to sanctioned TAT has improved to eight days in Q2 FY'25.
In terms of financial performance for the quarter and half year,
Our net profit in H1 FY'25 grew by 18% Y -o-Y to Rs. 2.74 bn, led by a growth in net interest income coupled with sharp improvement in operating leverage. Our consistent efforts to optimize costs have resulted in a remarkable improvement in opex -to-asset ratios by 40 bps , from 3.65 %

in H1 FY '24 to 3.25 % in H1 FY'25.
We continue with our guidance of improving cost -to-asset ratio by 20 -30 bps every year .
Our asset quality continues to be pristine . With 1 +DPD of less than 4% at 3.97, as of September 2024, our GNPA stood at 1.08% in H1 FY'25 and our credit costs improved further to 11 bps in Q2 FY'25 from 20 bps in Q1 FY'25. We continue to guide 1 +DPD of less than 5%, a GNPA of less than 1.25%, and a credit cost of below 25 bps .
We are committed to a strong growth trajectory and our focus on quality business growth and cost optimization will continue to drive our success. I am confident that with our dedicated team and strategic initiatives, we will achieve our goals and deliver o ur value to our stakeholders. Thank you for your continued support and trust in Aavas .
I now hand over the line to our CFO, G hanshyam Rawat, to discuss the financials in detail. Over to you, G hanshyamji.
Ghanshyam Rawat: Thank you, Sachind erji. Good evening, everyone, and a warm welcome to our earning call .
First, to update on borrowing side. In terms of liability, we are one of the best well -diversified liability franchises . We have always been innovative in exploring new avenues for sourcing.
I am happy to share that we have successfully raised NCDs amounting to Rs. 6.3 bn from IFC in the month of October. This is the largest debt fund raised by the company till date. This achievement will enable us to channel these funds towards affordable housing and green individual homes, reinforcing our unwavering commitment to sustainable and inclusive development.

We are a unique HFC where our tenure of liability is higher than the tenure of assets . We continue to borrow judiciously and raising around Rs. 25.7 bn at 8.42% in H1 FY'25. Total outstanding borrowing as of 30 September 2024 stood at Rs. 161 bn.
Overall borrowing mix as of 30th September 2024 is 50 .8% from term loan, 25 .1% from assignment and co -lending, 18 .1% from NHB refinancing and 6% from Debt Capital Market. Lender support continues to remain extremely strong as Aavas evolves.
There is access to diversified and cost -effective long -term financing from various lenders. We maintain a strong relationship with development financing institutions. To meet long -term business growth, we have progressed on co - lending tie -up with the PSU B ank. As of 30th September 2024, we maintain sufficient liquidity in the form of cash and cash equivalent and unavailable CC

limit of Rs. 15.1 bn and documented unavail ed sanction s of Rs. 4.65 bn.
In terms of spread, as of 30th September 2024, an average borrowing cost of 8.15% against an average portfolio yield of 13.04% resulted in a spread of 4.89%. This is a sequential drop in the spread by 11 bps on account of increase in cost of fund by 7 bps Q-o-Q coupled with the yield compression of 4 bps Q -o-Q. However, we are passing on the cost of fund increase by raising our BPLR by 25 bps w.e.f. October. This will result in improvement in the yield and recouping spread in coming months.
We have 30% of our liability linked to external benchmark which will allow us faster repricing of liability in case of rate cut scenario. Our margin, NIM as a percentage of total assets during Q2 FY'25 stood at 7.78%. Our NIM in absolute terms has increased by 8% Y-o-Y in Q2 FY'25. In terms of cost, our opex -to-asset ratio has improved by 29 bps to 3.18% in Q2 FY'25 versus 3.47% in Q2 FY '24. However, adjusted to some one -off item cost reversal, there is a 10 bps Y -o-Y improvement in Q2 FY'25 . We are committ ed to gradually bringing down opex ratio by below 3%.
Credit cost during the quarter stood at 11 basis points in Q2 FY'25 versus 18 basis points in Q2 FY '24 and 20 basis points in Q1 FY'25 . In terms of other parameters, R oA has seen improvement of 18 bps Y-o-Y to 3.49% and R oE improvement by 77 bps Y-o-Y to 14.87% in Q2 FY'25 .
We are well capi

talized with a net w orth of Rs. 40.48 bn and C RAR at 46.48%.
Total number of live accounts stood at 2,29,000 + translating into 15% Y-o-Y growth. Employee count remained flat Y-o-Y at 5,761 as of 30 September 2024.
Now I would like to hand over the line to our CRO, Mr. Ashutosh Atre to discuss asset quality.
Ashutosh Atre: Thank you, Ghanshyam ji. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you.
Asset quality and provisioning. A avas is strongly positioned to continue delivering industry -leading asset quality. Our asset quality remains within the

guided range with 1+DPD below 5% at 3.97% in Q2 FY'25 and Gross State 3 and Net State 3 under 1.5% stood a t 1.08% and 0.78% respectively.
In terms of geography, average 1 +DPD and GNPA in our vintage state remained well below 4% and 1.1% respectively. Whereas other emerging states, 1 +DPD and GNPA remained well below 3.3% and 1% respectively. Similarly, in terms of ticket size of more than Rs. 15 lakhs, 1 +DPD and GNPA remained well below 4% and 0.8%. Whereas in case of ticket size less than Rs. 15 lakhs, 1 +DPD and GNPA remains below 4.5% and 1.25% respectively.
Our total ECL provisioning, including that for COVID -19 impact as well as Resolution Framework 2.0 stood at Rs. 946.1 mn as of 30th of September 2024.
With this, I open the floor for Q&A.
Moderator: Our first question is from Renish Bhuva from ICICI Securities . Please go ahead.
Renish Bhuva : Hi, Sir. Congrats on a good set of numbers. So just two things from my side, one on the spreads. This is the first time spreads fell below 5% and it is due to the combination wherein asset yield continues to moderate and cost of fund continue to rise. And this is despite our range bound disbursement of around Rs. 1,200 crores to Rs.1,300 crores from the past, 4 - 5 quarter except Q4.
Sir what is happening on the asset yield side? On cost of borrowing, we all can understand you know the systemic rates are still elevated and banks are looking to pass on. But we just need to understand what is happening on their side, specifically because disbursement is also range bound .
Sachinder Bhinder: Thanks Renish, from the perspective of this, as you are rightly articulated on the cost of funds thin g there is an increase. I think if you look at the last two years, our disbursement yields had been lower compared to the AuM yield.
So, to cover up that we are trying to push the disbursement yield, but it is taking effect with a lag. However, our endeavour compared from H1FY24 to H1FY25, we have increased the disbursement yield by 25 bps. But since I have an AuM lag of the last couple of years where the disbursement yield was lower than my AuM yield, it is taking time to really cover up.
However, as I said, our endeavours continue to increase the disbursement yield. In that our focus on the lower ticket size where we have risk adjusted returns and self -construction individual houses. So that's what we have guided our endeavour with that wi ll continue to be in the range of around 4.8 to 5% as we speak.
Renish Bhuva : Okay, so 4.8% to 5%, let's say it would be FY'25 or near term?

Sachinder Bhinder: Yeah, FY25 and as we see the rates are picking up once the cost of funds started coming down, we see the trajectory moving up. So, there's a conscious effort as I've been re -iterating on every call that efforts to increase the disbursement yields on a Q -o-Q basis and we've seen the green shoots. It is taking time for us to really cover up, but our endeavour is to see the pickup over quarters.

Renish Bhuva : Got it. Would you like to share the disbursement yield number, given the blended yield at 13% and despite the 30% LAP book, we just wanted to get a sense you know whether internally how you guys think about it? 30% LAP book, blended yield at 13%.
Sachinder Bhinder: So, Renish, from that perspective, currently it

is lower by around 30 bps as we speak and as you would really look at it, the previous year it was 55 bps lower than the AUM yield.
Renish Bhuva : No, I didn't understand this. Can you please repeat.
Sachinder Bhinder: The current AuM yield stands at 13.04%, the current disbursement yield of the H1FY25 is 30 lower than the AuM yield the previous year it was 50 bps lower .
Renish Bhuva : Got it. Secondly, on the growth side, Q1FY25, we were guiding at 21 - 23 % kind of a growth rate. Given the muted first half and if I calculate the disbursement rate to achieve the desired growth, the number works out to be ~Rs. 4,000 crores in second half , so naturally, which means, we'll miss the guidance. So, keeping in mind that scenario, what you guys think will be the exit AuM growth for FY25 and maybe in FY26?
Sachinder Bhinder: So, see, R enish, as I have guided that September and October put together, we had a 22% Y -o-Y growth. H2 conventionally remains strong for us. So, we continue our guidance for the current year of AUM of 20% plus.
Renish Bhuva : Ok. That's it from my side sir. Thank you and best of luck.
Sachinder Bhinder: Thanks, R enish.
Moderator: Our next question is from the line of Shweta Daptardar from Elara Capital . Please go ahead.
Shweta Daptardar : Thank you, Sir for the opportunity and congratulations on a good quarter. So, I have couple of questions. One is on the product category. So, if I look Y-o-Y basis LAP has declined steeply and so has MSME grown sharply. So, is this by demand, design or increased regulatory oversight on LAP plus Top -up Loans?
My second question is our foray in Tamil Nadu. So, if you look at Tamil Nadu geography, so there is intense competition out there. You have Aptus and Chola and many players, especially on the LAP front. So how distinctly A avas will be positioning itself for the competitive intensities there?
And just one data keeping question, what is the rate differential between LAP, MSME versus home loans and your BT -Out ? Thank you.
Sachinder Bhinder: Thanks Shweta , So, I think, you have three questions. The first question is about MSME. I think we are a unique HFC , we have been conventionally underwriting self -employed non -professionals (SENP) , we were able to write MSME. And these are micro -MSME, which are backed by self -occupied residential properties.
The best part about that is that this helps us to do a value addition to the working capital requirements of the SENP . So, it is going to finally an economic benefit

use for that. And we do it with Udyam Aadhar , which is helpful for us. And this portfolio really helps us for the securitization piece , because it qualifies as a priority sector lending for the banks. And this has been over the last four to five years focus area for the franchise. That's one.
Secondly, your question on Tamil Nadu. If you look at the state, we've opened at Hosur. So, in line with our contiguous geographic expansion strategy, we look at immediate ones near the geographies which we are operating. Karnataka, we've been operating for last four years. Hosur happens to be one of the influx for us to understand Karnataka, Tamil Nadu, and Telangana AP side. So, I think from that perspective, it's just a starting point for understanding and going into those regions.
On the kind of competition there , I think we are uniquely poised in the segments which we serve , in unserved, underserved, and partially banked. The classic case is Karnataka, where we do continue to see a good amount of growth, and that gives us a good amount of confidence to really stare across in the southern states because of the kind of availabi lity of the unique SE NP base and self - construction individual houses. So that is where our focus is.
This is in line with our contiguous geographic expansion strategy, and this helps

us to navigate in the southern region. And if you l

ook at it at 372 branches across
14 states and 14th state in Tamil Nadu, we've not been present in south. So that will help us in the coming months to grow.
So that is the second part of the question. On the yield side, the differential between HL and non -HL portion is around 200 to 250 bps . That's the differential between the housing loan and non -housing loan portfolio. Hope that answers your question.
Shweta Daptardar : What is the BT number?
Sachinder Bhinder: The fourth question of the BT out. BT out, we are at a range of 5.2 %, and I think the BT retention model with us really works across analytics and the integrated model which Aavas has developed over a period of time on predicting the BT out really helps us to hold the customers as a part of retention. And since it is what I would really say is a direct source business, it also really helps us to hold the customers back into our for ay. So, there's a transitioning o r movement of customers i s restricted. So, we currently are at 5.2% annualized.
Shweta Daptardar : That's helpful, sir. Thank you so much.
Sachinder Bhinder: Thank s Shweta .
Moderator: Thank you. Our next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Yeah, good evening, everyone. And thank you for taking my question. Sachinder sir again, kind of labouring on the spreads, compression that we've seen partly explained in the prior question. But we're trying to understand our earlier long - term guidance used to be spreads of 5%. For this year, we guided for 4.8% to 5%. Now, I mean, with a declining interest rate cycle ahead, although transitory, but the spread could be in further pressure going ahead.

Plus, if we recall, sometime in March, we had taken a retail PLR increase of 25 bps . So, if you look at our yields that has not really kind of translated into AUM or portfolio yields. From that level, our yields are down . So now, if we are going to take another 25 bps increase in retail PLR, what is the confidence that we have with regards to this translating into improvement in portfolio yields is something I wanted to understand.
Sachinder Bhinder: I think, Abhijit, I'll answer the first question and then I'll have Ghanshyamji, really talk about the cost of funds perspective. I think as I told earlier, if you look at our disbursement yields versus the AUM yields, th ere was the last couple of years' a drag . Even with the increased RPLR, we've not been able to cover up that. There's a conscious effort to really put that across by increasing the disbursement yield. So, as you would rightly appreciate, it takes its own time. Secondly, on the RPLR increase, around 35% of our book continues to be on the fixed rate. So that translation is only impacted by a little bit. And again, as I said, the last two years have been more on the lower disbursement yield. That has impacted.
The second part is very important. If you look at the trajectory of A avas over the last couple of years, the cost of funds in the last two years, and I'll have Ghanshyam ji really talk about the cost of fund trajectory and why is that impacted our spread from a level of 4.59 % or 4.69 % to a 5.86 %, that is their Aavas range. I think the cost of fund is one of the factors which has led to the spread compression.
But as I said that even at 4.89 %, we continue to guide on 5% plus minus 20 bps for the current year. On the cost of funds, I'll have Ghanshyamji to talk about the one. And in case the rate cut happens, we have 30% of the liabilities which are on a repo base. We see a cost of fund a decrease and resulting in the increase in the spread . Over to you, G hanshyam.
Ghanshyam Rawat : Yeah, Abhijit, like now , cost of borrowing is stabilizing at this level. Like recently we raised IFC money, which came at a six -month O IS plus 148 bps , which is a t sub 8% in our cost of borrowing. So, it'

s a cost of borrowing is getting stabilized.
And on the yield side , as Sachind erji mentioned, in the last two quarters, we have seen a continuous basis, 25 bps improvement versus the last year. Another 25 bps , we are making efforts in the coming quarters. So that will lead to almost new business yield versus my AU M yield. So, whatever drag we have seen in the last couple of quarters, that will get minimized in the coming quarters. So , with both those two items, we will reach, closer to 5% spread.
And obviously we are expecting now, maybe it's difficult to predict anything, but

whenever rate downward starts, so it will have a positive impact on a spread side, which we are seen in an earlier phase also.

Abhijit Tibrewal: Got it, Ghanshyamji . Just one follow -up question to that. Sachinder sir, I'm just thinking a loud , please correct me if I'm wrong, while our BT outs at 5.2% annualised is indeed very good. I mean, in the last one year or so, given that our disbursement engine has not fired as what we would have liked, given that we

are retaining customers and which is reflecting in lower BT outs, is that also one of the reasons why, I mean, our yields have been under pressure?

I'm just kind of trying to understand, when we look at you at your size and scale and compare it with a whole host of smaller HFCs today, we have not seen that yield pressure for them. Is it about your size and scale, which is a little bit of a problem or how should we interpret that?

Sachinder Bhinder: So, I'll address the question in two parts. First part on segment and second part on Ghanshyamji to the model which is there. I think from a perspective of the total at 5.2%, there is a yield compression which comes to at around 15 bps on an annualised basis to retain the customers . As we speak on H1, we had cases about Rs. 400 crores worth coming for retention . So, I think there is a yield compression to hold that.

On the second part of it, how A avas has really navigated that at that stage and how do we maintain that? I'll have Rawatji really talk about the tech piece on which we've actually helped us to retain the customer, predicting the part where our AI really model plays an important role.

Ghanshyam Rawat : Abhijit, it is always very important to retain your performing customers. And we made long back our predictive model that has helped us in our journey, despite in affordable housing piece, where a lot of customers come first time to us, and BT out is alway s maintained less than 6% in last so many years.

And I want to add only one more thing about what Sachinder said. If we retain the customers, obviously, we retain only performing customers. And even if we reduce some rate on those customers, but in the year one itself, we rec over the fee amount, which is equivalent to take care of my one -year loss. So, it's a win - win situation for us, because we also brought down your cost of borrowing. When we lend it to those customers, cost of borrowing used to be in double digits. Now, we have cost of borrowing has come down to 8%.

So, it is always retained to that customer, good strategy for us. And we are not losing much out of those retaining those customers. And one more datapoint, I think, whosoever customer goes out, we also do assessment on those customers, how they are performing in the market. You will be surprised to see those performance, those customers are much poor than what we have customer inside o ur company. So that shows us our model is performing very well for us.

Abhijit Tibrewal: Got i t Ghanshyamji . Thank you so much for answering my questions. I wish y ou and your team the very best. Thank you.

Ghanshyam Rawat: Thank s Abhijit .

Moderator: Our next question is from the line of Kushan Parikh from Morgan Stanley. Please go ahead.

Kushan Parikh: Thank you for taking my question. I have two questions. One is around the operating cost.

Basically, we have seen a considerable improvement in this quarter and obviously, guides for 20 to 30 bps improvement in opex -to-asset. Just wanted to know , if you could elaborate, how have we driven this

improvement on a Q-o-Q basis, especially on the employee expense side, which has had a sequential drop . And how should we think about opex going forward in context o f the 2Q improvement that we have seen? Should I also put forward my second question?

Sachinder Bhinder: Yeah .

Kushan Parikh: Sure. So, the second question is around the credit cost. So, we guide for less than 25 bps credit cost over the longer period . Last two, three quarters, we've had a couple of quarters with lower credit cost around 11 odd bps . Just wanted to understand, obviously, this would be the outcome of the ECL model. Are we seeing better asset quality outcomes than what we had modelled in the ECL and hence the provisioning requirement is reducing? Or is there an overlay component that was present earlier, and which is not there now? Wanted to understand the reasons for the, the dip in credit co st as well.

Sachinder Bhinder: So, on the opex…

Kushan Parikh: How sustainable that is going forward?
Sachinder Bhinder: So, I'll answer the first question . Second question, I'll have Raw atji really take up. On the operating leverage, really pumping in on opex -to-asset ratio, you've seen a sequential reduction on H1 by 40 bps . That's around 3.25 % compared to the previous year for 3.65 %. If you look at last three years, the employee strength has been constant. So, I think that is where it really kicks in.
Secondly, having invested in the technology, we are seeing now the green shoot has earlier guided in our conference calls and quarterly calls. We said that we'll start seeing the green shoots really coming across from the tech impleme ntation.
So, the operating leverage has started really kicking in. And as we go in the quarters ahead, we expect it to be our guided range of coming to below 3 %. Now, again on this, we really look at it very granularly on the cost reduction. If you adjust by the ESOP cost, there was a reversal.
We continue to stand at 3.37 %, even with that. So, one is you remove the ESOP cost reversal because which is one time kind of thing, but the rest of them has really kicked in because of the operating leverage really coming across from the way we manage our stuff and wherein tech has really played an important role.
And we will continue to do that in the coming months.
As we guided that, I think a couple of quarters, we will be sure about that this is sustainable, this is consistent, and we continue our endeavour as a team to really build on our digital initiatives, our initiatives on digital collections, our initiative on digital sourcing. And after the system's going live, we'll have reduced cost of acquisition, reduced cost of collections, which really would really kick in the coming times. On the second part of the credit cost being low, I'll have Ra watji really talk about in detail.
Kushan Parikh: Before we move to that, just one question. If you could quantify the ESOP cost reversal that we had this quarter?

Sachinder Bhinder: Yeah. So, as I said, the normal case scenario, we were at 3.25 %. If the ESOP cost, if I don't include th at, we would have been at 3.37 %.
Kushan Parikh: Understood. Okay. Thank you.
Ghanshyam Rawat : As you know, A avas is always a credit conscious company since beginning. So, we have invested in underwriting, technical, legal, RCU., And on top of that, we have one of the best collection team in the company. So, top of that, we always believe that our credit cost will not be more than 20 bps . If you see from COVID, from demon time, from RERA, across the time, we are not more than 20 bps .
Yes, after the COVID, everything, I think portfolio quality got improved Q-o-Q.
We're consistently maintaining 1+DPD

less than 5%, and NPA is around 1%. All this goes into model. And as per the ECL model, our cost is where we are today. It is continuously will be maintained less than 20 bps . Right now, we are just between 11 to 12 basis points.
Sachinder Bhinder: And just to add on to what Rawatji said, I think the fundamental principle and the DNA of the company is the sound risk management principle, which gives risk adjusted returns. The sound underwriting principles laid across on the framework of putting across self -constructed individual house to be funded, where it is occupied, where the LTVs are there. So, the end usage is also there.
So, I think a couple of factors which have been there, which become the bedrock of really building a strong fundamental franchise, which works on sound risk management principles, a sound understanding of risk adjusted returns. Now, coupled with the digita l initiatives and the tech initiatives, which really helped tread the path as we've crossed the 2.5 lakh plus of customer base.
And secondly, having a repository and understanding of having underwritten over the last 12 -14 years, as we speak, about 4 lakhs plus of customers, I think we've found across based on very well diversified understanding at a macro and a micro level of what to underwrite and what to let go. So, I think as we traverse the journey, the guardrails are very clear. The guardrails are good enough that we don't slip, but not strict enough that we don't traverse the journey.
So, I think from a perspective, we would continue to traverse the path which is risk adjusted returns, risk managed control, and sound underwriting practices, this is coupled with the digital and the new age AI based thing, which will help on our kind of stuff which we've been traversing.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg: Hi, good evening. Thanks for the opportunity. Sir, you mentioned about 22%

disbursement growth for September and October. Is that right? And is that the number that you expect to sort of achieve over the second half? Or will it be higher?
Sachinder Bhinder: Thanks Raghav. As I spoke that September and October cumulativ e, we are at 22% of disbursement growth as we speak. We've guided that for the current year on an A uM basis, we would be 20% plus.

Conventionally, H2 has been stronger Aavas . And as we laid out, I think two principal factors for an elongated monsoons in the regions which we work in the Western and the Northern parts of India, because we are a self -construction, final company which fund is self -constructed homes. That's one.
Secondly, a part of regulatory change of the way you treat the disbursements, I think both cumulative put together. And the third is an LMS shutdown because in the month of August when we went live, I think resulted in that. But we are confident with what we've seen in September and October to continue. And we continue to guide with the 20% plus for the current year, the A UM growth. And we are confident of traversing the journey for the current year.
Raghav Garg: And sir, how many employees did you have in this quarter? I heard you said that your employee count has been flat.
Sachinder Bhinder: So, 5,761 is the ex act employee count. And Raghav, this has been there across for the last three years, if I were to really put across. So, there's no, hardly a growth about 30 to 40 absolute employees over a period of last one year. I think this is aided by you see operating leverage really coming across. So, I give you an example of saying with the kind of increase in the AUM, increase in the number of accounts, we hardly had any addition in the collection where the digital initiatives or digital collections, no touch collections, which are there, which really helped us to really be doing a touch -free kind of stuff, which is there.
I think the seco

nd leverage, which we'd really like to kick in after the SFDC, the loan origination system, the lead management system really going live. We'll start seeing that really fructifying into the final operational efficiencies really kicking in.
Raghav Garg: Sir, what's the off role count as of September?
Sachinder Bhinder: The total count is 5 ,761, Raghav.
Raghav Garg: Sir, that's on -role, right? I'm asking off -role because that's something that...
Ghanshyam Rawat : It's around 1 ,800 employees.
Raghav Garg: Okay, 1 ,800 off -role. And another question, see when I look at your intangibles, right, they're at about Rs. 47 crores, Rs. 48 crores. That has increased by about Rs. 5.5 crores in last six months. I just wanted to understand, you know, this number is up 13% YTD. What is the nature of this expense?
Sachinder Bhinder: Raghav, can you come back again? I think we lost your connection. We heard 47. What was that? Can you reframe the question?
Raghav Garg: The total intangibles on your balance sheet, they are up about 13% YTD. They stand at about Rs. 47 crores, Rs. 48 crores. None of the other affordable H FCs have such a number. I just wanted to understand what kind of expense is this, which is being capitalized? Where exactly are you spending or where exactly have you spent this money to the extent of Rs. 48 crores?
Ghanshyam Rawat : Raghav, in last few quarters, including this quarter, we mentioned that we are doing tech transformations, for LOS, LMS, EGL, and the data warehouse

technology transformations, along with the lead management solution. Some of them have gone live, which got capitalized. Some of them have just gone live, but the hyper care period is on. So that majorly is towards IT spend, which we have invested for IT capitalization. Technology expansion.
Raghav Garg: Sir, what I understand from, all the tech investments that the affordable H FCs do, what I understand is that it is mostly subscription -based, right? I mean, you pay a subscription fee to your technology partner, which is Salesforce or someone other, and therefore, shouldn't it be expensed through the P &L?
Ghanshyam Rawat : No, when projects get implemented, till the project goes live, implementation partner expenses, they sit with you, plan and develop your model for you, and then implement. It takes almost 12 months' time, to make the program develop, then allow them. Yes, once it has gone live, then it becomes a subscription model, like Salesforce is now a subscription model, because it has gone live, and we have capitalized the Rs. 12 crore s, which we invested in the Salesforce loan origination system . Sim ilarly, LMS now is going live, so their fees are to be capitalized, then it will go on a subscription model, from January onward .

Raghav Garg: Understood.
Ghanshyam Rawat: Yeah. As you mentioned earlier, total capex, we are doing around, put together what we already capitalized and which is in the pipeline, will be around Rs. 60 crore s, total amount we'll capitalize in the IT projects, which will be amortized in the next seven years.
Raghav Garg: Understood. Sir, I have one more question, can I ask?
Ghanshyam Rawat: Yeah, please.
Raghav Garg: Sir, your repayment rates have increased in this quarter, but I heard you saying that the BT rate is still at 5.2%, which is same as Q1, so why is it that the repayment rates have increased in this quarter?
Ghanshyam Rawat : No, I think it is a steady state, we don't see any spike, any change in overall rate. BT-out is in the range of 1.2 %-1.25% every quarter, so in first half we have seen already 5%, and put together, full year basis, it will be around 17% to 18%, and which will have three components, one component will be 5% to 6% BT out, and around 6% customer pay out of his own pocket as a monthly EMI, and 6% generally customer pay out of whenever they have surplus money, they can pay back to me,

part payme nt also. Until now, we are around 16%, which is almost 2% better than what we forecast in our annual assumption s.
Raghav Garg: Understood, sir, that's very helpful.
Ghanshyam Rawat: My annual assumption in budget is we take 18% in overall basis.
Sachinder Bhinder: So, we are at around 16% as we speak.
Raghav Garg: Thank you.
Moderator: Our next question is from the line of Yash Gujarathi from Citigroup. Please go ahead.

Yash Gujarathi : Hi, sir. Thanks for the opportunity. So just wanted to get your thoughts on incremental asset quality in the month of October. How's the collection move? And sir, while the 1 +DPD continues to be below the guided range, it has seen some increase of 30 bps . So, any thoughts there?
Sachinder Bhinder: So, I think if you look at, as we spoke, I think you had an extended rainfall, you had an extended one, you had Diwali, which came after the festival season, I think there was some part of it was there. But as we speak, on the month of October we were at around 3.84% , from around 3.97% . So, there is a sequential decline on month -on-month . So, we have recouped what was being left out. So, we continue our guidance of less than 5%. But as we speak, from a 3.97 %, we are already at the end October of at 3.84 %.
Yash Gujarathi : Got it. And just to follow up on that, was there any discrimental increase in the less than 1.5 mn segment or it was broadly stable increase across both?
Sachinder Bhinder: It was broadly stable. There's nothing, anything which is incrementally or differential, which would really give any difference as far as our understanding and our numbers really show. I think we track, I think, as you will really appreciate, we track it o n a sequential absolute basis, and across the product segment. So, we've not seen anything. I think we've been cautiously optimistic in the approach of our underwriting perspective really to build on the quality which we deliver. And as earlier said, we continue to guide at a 5% is less, 1+DPD.
Yash Gujarathi : Got is sir. Thank you.
Moderator: Our next question is from Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity. So, my question was on liability side. Any fresh sanctions from the NH B fund incrementally?
Ghanshyam Rawat : Yeah, we already applied to National Housing Bank for this year limit, because generally NH B accept the limit once we publish our result and upload to Stock Exchange and MCA website. So, it's in process.
Shreepal Doshi: Okay. So, for this year, we are yet to receive any of this?
Ghanshyam Rawat : Yes, current year refinance limit is yet to be sanctioned by them.
Shreepal Doshi: Okay. Got it. And just on the asset quality front, I mean, if you look at the mortgage segment, there's the NPA increase has been sharp , like in the last, say, four, five quarters. So, anything that you could sort of explain why is it so?
Ghanshyam Rawat : You see, a non -home loan majorly goes towards the self -employed. And secondly, we overall see risk -adjusted return how to make out of that book. This book was already given a t almost 250 to 300 bps at a higher rate of interest. But ultimate loss we are no w seeing in last couple of years. Recovery pattern is the same. Whether it is a home loan or a non -home loan. In both the cases, security is a residential, self -occupied housing property. So, yes, NPA is more, but ultimately, loss is similar. Similar in tho se classes, in both the assets.

Second thing, this asset is also now reached at a maturity, because non -home loan business, we started four, four and a half, five years back. Now, this asset is reached at a maturity level now. Home loan is a last 10 -yearbook we have on the maturity term. So, but we are confident, we don't see any sort of risk around the NPA numbers on both the products, whether it is home loan or

non -home
loan.
Shreepal Doshi: Got it. So, this last question is squeezing here. In terms of product mix, will the loan book mix remain at where it is, or will there be some change in the mix?
Ghanshyam Rawat : It is almost at the optimum level. It will remain in the same range, maybe 3 -5% here and there, but it will be in the same range.
Shreepal Doshi: Given the RBI norms for NBFC -HFC, I think the 75%, we are already there, r ight, in terms of housing loans.
Ghanshyam Rawat : So, I think we are fully compliant as per NHB and regulatory norms on the home loan and non -home loan components, and we don't see any change to be done at our end.
Shreepal Doshi: Got it, sir . Thank you and good luck for the next quarter, sir.
Ghanshyam Rawat: Thanks, Shreepal.
Moderator: Our next question is from the line of Mona Khetan from Dol at Capital. Please go ahead.
Mona Khetan: Hi Sir, good evening. I have this question on the opex front . You mentioned about the ESOP cost reversal, which has helped lower the cost -to-assets over the last two quarters. So, is this one -off fully accounted for, or we will see some more benefits from ESOP cost reversal coming in the subsequent quarters instead?
Ghanshyam Rawat : No, ESOP cost reversal happens only in Q2. Overall savings we see on H1-to-H1 level is 40 basis points. Even if we exclude this ESOP also, then we will have a 30 bps better opex improvement on H1 -to-H1.
It is not accounting of what has been left out or what must be provided. It remains accounting of points of time, basically. Every quarter reassessment of a long -term incentive plan happens, and on that basis, whatever is available has been, benefit has been taken in the books of accounts, because ultimately it is a non -cas h item.
Mona Khetan: Got it. So, for this fiscal, is it fair to say that the improvement in opex -to-assets will be higher than, what we are sort of guiding for of 20 to 25 bps given this 30-bps improvement, even ex-of the ESOP impact?
Ghanshyam Rawat : We, I think in the beginning of the year, we guided 25 to 30 bps annual savings after the tech transformations for a couple of years, till we reach at a 3% opex level. Full year guidance, almost we have achieved in the H1, and as a management, efforts are there to maintain this 30 bps by the year end.
Mona Khetan: Got it Sir. Thank you so much. That's from my side. All the best.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to Mr. Sachinder Bhinder , MD and CEO of Aavas Financi ers Limited, for closing comments.
Sachinder Bhinder: Thanks. As we conclude today's earning call, I want to express my heartfelt gratitude to each one of you for your participation and engagement. The dedication of our team, the trust of our shareholders, and the loyalty of customers has been instrumental in our growth.
We aspire to reach a milestone of Rs. 1 trillion in assets under management by 2033 and broaden our horizon as a Pan India player. I express my deepest gratitude to all our regulators and stakeholders, whose constant faith and support have been the wind beneath our wings. We remain optimistic about the future and are confident that our strategic initiatives will continue to drive sustainable growth and create shareholder value.
If you have any further questions or require additional information , please feel free to reach out to Mr. Rakesh Shinde, our Head of Investor Relations. Thank you and have a wonderful year ahead. God bless.
Moderator: Thank you very much. On behalf of Aavas Financiers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Ref.No. AAVAS/SEC/202 4-25/944
Date: February 04, 2025

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter and Nine Months Ended December 31 , 202 4.
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to our letter dated January 20, 2025 bearing reference number Ref. No. AAVAS/SEC/2024 -25/885 , please find enclosed the transcript of the Earnings Con ference Call held on Thursday, January 30, 2025 on the Financial and Operational p erformance of the Company for the Q uarter and Nine Months ended December 31, 2024.
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .
We request you to take th e same on your record.
Date and time of occurrence of event/information: January 30, 2025 and Earning Conference Call commenced at 06:00 P.M .

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SAURABH SHARMA
COMPANY SECRETARY AND COMPLIANCE OFFICER
(ACS -60350) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

“Aavas Financiers Limited
Q3 FY '25 Earnings Conference Call ”
January 30 , 202 5

Management: Mr. Sachinder Bhinder – Managing Director and Chief Executive Officer
Mr. Ghanshyam Rawat – Chief Financial Officer
Mr. Ashutosh Atre – Chief Risk Officer
Mr. Rakesh Shinde – Head of Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financial Limited Q3 FY25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not guarantees of future performance and involves risks and unce rtainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference call is being recorded.
I now hand the conference over to Mr. Rakesh Shinde, Head, Investor Relations of Aavas Financiers Limited. Thank you, and over to you, sir.
Rakesh Shinde: Thank you, Steve. Good evening, everyone. I extend a very warm welcome to all participants. Thank you for participating in the earnings call to discuss the performance of our company for Q3’ and 9M’ FY25 and the business outlook going

forward.
The results and the presentation are available on the stock exchanges. We have also uploaded the fact sheet along with our results on our company website, and I hope everyone had a chance to look at it.

With me today, I have entire management team of Aavas. We will start this call with an opening remark by our MD, Sachinder Bhinder; CFO, Ghanshyam Rawat and CRO, Ashutosh Atre, followed by Q&A session.
With this introduction, I hand over the call to Sachinder. Over to you, Sachinder.
Sachinder Bhinder: Thank you, Rakesh, and very good evening, and Happy 2025 to everyone. I am delighted to welcome you all to our Q3FY25 Earnings Call and thank you for joining the call late evening.
Q3FY25 has been a good quarter where we saw a strong traction in logins and decent pick -up in disbursements which grew by 23% sequentially and 17% Y -o-Y. In terms of A uM growth, we have maintained our growth run rate of 20% Y -o-Y. We have completed upgradation of all major tech platforms which are now stabilizing, this was one of the fastest tech implementations in the industry. We believe we have set the foundation for sustainable, scalable and profitable growth.
We now focusing on leveraging this state of art tech platforms by strengthening governance, driving scale, optimising cost and boosting operating efficiencies across functions. Ladies and gentlemen, with that preamble, I shall now take you through the quar terly performance and our assessment of the outlook.
We have delivered A uM growth of 20% Y -o-Y, reaching A uM of Rs 192 bn. In Q3FY25, we disbursed loans worth around Rs 16 bn a growth of 17% Y -o-Y with cumulative disbursement of Rs 41 bn for 9MFY25. Our Net profit for 9MFY25 grew by 21% Y -o-Y to Rs 4.20 bn. Our Net Worth continues to compound quarter after quarter at the rate of around 16% Y -o-Y.
Our calculated spread has improved by 4 bps sequentially to 5.72% in Q3FY2 5. Our NIMs expanded more than 10 bps Y -o-Y during the quarter to 7.75%. Our focus continues to underwrite quality business with risk adjusted return as a result our incremental business yield has gone up by 25 bps+ across products.
At the beginning of the financial year we have guided that we will bring down opex to assets ratio by ~20 bps every year to reach below 3%. I am happy to report a remarkable improvement in the Opex to Assets ratio by 42 bps Y -o-Y to 3.21% in 9MFY25 as a result of our cost optimisation strategy.
Our asset quality continues to be pristine, with 1+ DPD of less than 4% at 3.85% as of December 2024. Our GNPAs was at 1.14% which is quite seasonal in nature, our endeavour to maintain the pristine asset quality. Credit costs improved further to 15 bps in 9MFY25 vs 19bps in 9MFY24. We continue to guide credit cost of below 25 bps on sustainable basis . RoA improved by 4 bps to 3.26% and R oE improved by 61 bps YoY to 14.06% in 9MFY25.
We have opened 6 new branches during 9MFY25 and opening another 20+ branches in this quarter predominantly in the states of Karnataka and UP. We will be accelerating our branch expansion strategy by opening more branches in the calendar year. The new PMAY 2 .0 scheme ensures impact till last mile in more efficient way and benefit our customers immensely. We expect more budgetary allocation and supply of Affordable housing in upcoming Union budget enabling faster and deeper penetration of Housing for all.
We are committed to deliver quality and profitable business growth driven by tech - led operating efficiency and cost optimization. I am confident that with our strong risk management practices, diversified distribution reach and execution capabilities of our time -tested team, we will achieve our milestones and deliver value to our stakeholders.
I would now hand over to our CFO, Ghanshyam Rawat, to discuss the financials in detail.
Ghanshyam Rawat: Thank you, Sachinder. Good evening, everyone, and a warm welcome to our earnings call.
To provide update on borrowings first: In terms of liability, we have one of the best well -diversified liability franchises. We have always been innovative in exploring new avenues of sourcing, and I am

happy to share that we have successfully raised NCDs amounting to Rs 6.3 bn from the IFC in Q3. This is largest NCD raised by company till date. This achievement will enable us to channel these funds towards promoting Individual green homes construction, reinforcing our unwavering commitment to sustainable a nd inclusive development.
We are a unique HFC where our tenure of liabilities is higher than the tenure of assets.

We continued to borrow judiciously, raising around Rs. 46.2 bn at 8.41% for 9MFY25. Total outstanding borrowings as of 31st December 2024 stood at Rs. 172 bn. Overall borrowing mix as of 31st December 2024 is 50.3% from term loans, 24.8% from assignment/securitization, 15.9% from NHB refinancing, and 9.0% from debt capital markets.
Lender support continues to remain extremely strong as Aavas evolves . There is access to diversified and cost -effective long -term financing. We maintain strong relationships with development financial institutions. To meet long -term business growth, we have progressed on a co -lending tie -up with a PSU Bank. As of 31st Dec 2024, we maintained sufficient liquidity in the form of cash and cash equivalents & unavailed CC limit of Rs. 18.95 bn and documented unavailed sanctions of Rs. 22.8 bn.
In terms of financial performance: Our Net profit for Q3FY25 grew by 26% Y -o-Y to Rs 1.46 bn led by robust growth in Net Income coupled with sharp improvement in operating leverage. Our spread improved by 5 bps to 4.94% driven by a 14 -bps expansion in the AUM yield to 13.18% on account of 25 bps increased in BPLR in Q3FY25; whereas our cost of borrowings increased by 9 bps Q -o-Q to 8.24%.
We have 32% of our Bank borrowing are linked to EBLR such as T -Bill / Repo / MIBOR and 19% are linked <3 -month MCLR which will allow faster reprising of 51% bank borrowing in case of rate cut scenario.
Our NIM in absolute terms has increased by 16% Y -o-Y in Q3 FY25. Our margins, NIM as a percentage of total assets during Q3FY25 stood at 7.75%, and at 7.54% during 9MFY25. RoA for the quarter increased by 31 bps YoY to 3.37% in Q3FY25 whereas RoE improved by 115 bps YoY to 14.21% in Q3FY25.
In terms of other parameters: We are well -capitalized with a Net worth of Rs. 41.97 bn and CRAR at 45.56% . The total number of live accounts stood at 2,36,000+ translating into 15% Y -o-Y growth . Employee count grew by 6% Y-o-Y at 6,284 as of 31st Dec 2024 as against disbursement growth of 11% Y -o-Y and A uM growth of 20% Y-o-Y which indicates our productivity enhancement by various efforts taken by company.
I would now hand over the line to our CRO, Ashutosh Atre, to discuss the asset quality.
Ashutosh Atre: Thank you, Ghanshyam Ji. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you.
Asset Quality & Provisioning: Aavas is strongly positioned to continue delivering industry -leading asset quality. Our asset quality remains within the guided range with 1 day past due below 4% at 3.85% in Q3 FY25 and Gross Stage 3 & Net Stage 3 under 1.25% stood at 1.14% and 0.81% respectively.
In terms of geography, average 1+DPD and GNPA in our vintage states remained well below 4% and 1% of A uM respectively. Whereas other emerging states 1 + DPD and GNPA remained well below 3% and 1% of A uM respectively. Similarly, in terms of ticket size of more than 15 lacs 1+ DPD and GNPA remained well below 4.0% and 0.8%; whereas in case of ticket size less than Rs 15 lacs 1 + DPD and GNPA remained below 4.5% and 1.25% respectively.
Our total ECL provisioning, including that for COVID -19 impact as well as Resolution Framework 2.0, stood at Rs. 1.01 bn as of 31st Dec 2024. As per our quarterly exercise of bureau scrub analysis we have only 6.7% customers overlap with MFI exposure and out of this 6.7% only 2.2% are into 90+ DPD.
With this, I open the floor for Q&A
Moderator: Thank you. The first ques

tion is from the line of Renish Bhuva from ICICI Securities .
Please go ahead.
Renish Bhuva : Hi, Sir. Congratulation s on the good set of numbers. Sir, I have 2 questions. One on the asset quality, though 1+DPD have fallen but at the same time and there is a marginal increase, in the GS3. So just, wanted to understand , this basically implies there is higher default flows in the delinquent buckets.
So how is the underlying health of the portfolio looking like and does this pose a risk to our near -term asset quality and credit cost guidance because of higher default flows in this quarter from the delinquent pool ?
Sachinder Bhinder: Thanks Renish. I think if you look at the 1+DPD, we continue to be at less than 4%, which is at 3.85%. I think it was a mix of seasonality and festivities in the last quarter, but I think we are confident at this period of time to deliver and maintain the pristine asset quality. So, nothing as far as any alarming or disturbing point of concern.
Renish Bhuva : So, the sequential increase in GS3 is pure seasonal and it will come back in Q4?
Sachinder Bhinder: That's right and again to re -iterate that if you look at the 1+DPD it is a 3.85% and I think that is a good indicator for us.

Renish Bhuva : Second is on the AuM by ticket size. What % of our AuM is more than Rs. 15 lakh ticket size? I know in in terms of number of active loans it is 15% but in terms of AuM it would be higher, right? So, would you like to share that number? And also, the yield difference between more than 15 lakhs and less than 15 lakhs.

Sachinder Bhinder: Renish, it becomes quite secular, but as I was to put across, it would be in the range of ~60 %, when it comes to less than Rs. 15 lakhs and that is where we continue to build our yields, and the yields are around 200 bps higher. So that is the bifurcation between the less than Rs. 15 lakhs and more than Rs.15 lakhs.

Renish Bhuva : Sir, can you please repeat that share in terms of AUM? I'm so sorry.

Ghanshyam Rawat: Renish ~80% of book is less than Rs. 25 lakhs where we focus on less than 15 lakhs , and we have ~60%, book at less than ■15 lakhs , this is on amount basis. And the volume we have already given in our presentation where 85% book is a less than Rs. 15 lakhs.

Sachinder Bhinder: You can refer to the Slide #17 on the investor presentation.

Renish Bhuva : But Sir, that number is in terms of active loans, right? So, in terms of AUM, it will be higher. So, I just wanted to know that.

Ghanshyam Rawat: I have updated you on count , we have already given in our presentation where 85% loans are less than Rs. 15 lakhs. And in a value terms, ~60% is less than Rs. 15 lakhs and ~80% is less than Rs. 25 lakhs.

Renish Bhuva : Got it, Sir, and 200 bps is the yield difference.

Ghanshyam Rawat: Yes, you're right.

Renish Bhuva : That’s it from my side. Thank you and best of luck.

Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar : Thank you, Sir for the opportunity. It's a couple of questions. So are we changing our guidance on growth front or is it that 20% is now a new normal and also give to related question. If we aim for 20% even for this current fiscal. So that would mean almo st adding up Rs. 700 crores of book in one quarter.

I mean of course seasonally second half has been very strong. You have demonstrated that your earlier as well, but still Rs. 700 odd crores of run rate is slightly on the higher side viz -a-viz. our historical run rate. Can you shed some light on this?

Question #2. So, I remember you have always been very articulate and impeccable in terms of BT restricting them to below 6%. Now in the current scheme of things, wherein, many of the NBFC's, AHFC's, etc. The competition is gaining strength and intensifying . So how do you see this? The BT -out cases going forward. Whether the c

urrent set of measures will sort of continue to help us curb below 6%.

One last question, so you mentioned last quarter and this quarter in the opening remarks as well. You are opening branches in Karnataka and UP. Now I understand larger part of portfolio is below Rs. 15 lakhs and below Rs. 25 lakhs but one of our peers whic h has a portfolio about Rs. 20 lakhs have been facing, tough time as far as Karnataka is concerned, you know, especially because of E -Khata and other such challenges.

I mean ours is a continuous model. I remember you explained how we are expanding to Karnataka from Tamil Nadu in the last quarter contiguously. But still are you facing any challenges? considering the fact that you are sort of now moving into Karnataka belt . Thank you.

Sachinder Bhinder: Yeah. So, you have 3 questions. I'll address it one by one. First is about the growth of the AuM. We continue to guide on a 20 – 25% of an AuM growth on a long -term basis .

I think the traction which we got in the Q3 and the numbers in Jan really give us confidence on delivering the guided AuM growth of ~20. And as we speak, we are expecting January to be at around 15 - 20% on the growth trajectory.

So that's one second on the BT -out. As you reflect and we've been talking about our predictive models, where AI has really played out, very well. We are happy to note that BT -out % is at ~5.4%. So, I think this is one of the best in class when it compares to the industry peers. Couple of factors really go into this one is aided by our predictive models which are able to predict what is the probability and chance of the BT out. And I think that is what is perfected.

Third is on the branch expansion model. I think what you reflected is E -khata as we see and as we speak, I think we are minimal at this period of time what Karnataka is. But going forward as we talk to the people across, I think that easing out of E -Khatas are moving across. It has started now really getting stabilised. And as we go forward, we will see that really becoming stable over a period of time. So, I think we are confident with the environment and by the time our branches open up , it would be fully stable.

The other part, which is very essential to really notice there are lot of affordable supply which is there where Aavas is one of the strong bearers in that state and these are the properties which are directly allotment by the government authorities and as we speak, Aavas has a quite a good amount of pre sence in there. Karnataka has a good amount of stock as we speak across the various districts and places. And we will be able to maintain that along the time this stabilises, as an initial output really to deliver good volumes.

Shweta Daptardar : Sure, Sir. Just I'm squeezing in one allied question. Any geographic challenges are we facing? I mean this is outside MFI and the noise around . But any geographic challenges in the markets which we are present?

Sachinder Bhinder: As our CRO mentioned, he described about the 1+ ranges. Nothing as glaring or anything which is alarming at this period of time, that's what we've seen in our 1+DPDs and neither in the GNPAs. And what we are doing is we are cautiously optimistic and watchi ng out wherever we feel there is a slacking , we actually tighten our credit and underwriting norms.

Shweta Daptardar : Thank you so much for the elaborate answers.

Moderator: Thank you. The next question is from line of Yash Gujarathi from Citi group. Please go ahead.

Yash Gujarathi : Thank you for the opportunity. Just one question on the provisioning front again. So , we've seen margin al increase in provisioning on GS3 however, on GS2, it has increased sharply. So , any change in policies there? Or how do we see it moving? And sir, just to add on that, even our ECL provisioning is around 65 bps for total A uM. So , would we see it increasing as well? That's the question on provisio

ning?

Sachinder Bhinder: I'll have Ghanshyamji to answer that on the ECL model comparison, how it stands up and what is the difference which I have made on that.

Ghanshyam Rawat: Thank you, Sachinderji. On ECL, I think there are two questions on the ECL provisioning change between Stage 2 and Stage 3 and overall, 9MFY25 to 9 MFY24 . During this quarter, we have moved our entire ECL provisioning model from our historical model to Bolt -on. It's a universally accepted Deloitte model , wherein when we went live under this, we have made three major changes in our provisioning norms. First, in earlier model, there used to consider point -to-point NPA slippage , now in the new model, we consider every bucket flow of NPA , Stage 1 to Stage 2, Stage 2 to Stage 3. So , the movement of every bucket , the model considers . Earlier, we used to consider at the point of time, i.e. quarter -to-quarter or year -to-year and when we do revisit our model. Now these new models do every month, we reconsider the fresh data, how much in this month as case has moved, how much case has gone backward. So , in the real time, the modelling flow rate approach is adopted in this new model.

Third important, I think in the earlier model, it was very difficult to adopt macroeconomic factors. Now in new model, we adopted Vasicek model, which is a macroeconomic factor where it tested various economic factors. The ultimate model has found that 2 f actors is very important for us, which we ha ver adopted in a Vasicek model basically.

Now after doing these changes, initial provisioning is what Ind AS described in their detailed guidance note. So , everything got now adopted, and it's one of the best models ECL model we adopted here.

There is one more question, 9 -month -to-9-month ECL in the volume provision. 9MFY24 , there w ere a few one -off items . One was that we have the one subsidiary where because subsidiary was difficult to operate, we applied to close that subsidiary . So, we had done onetime write -off of whatever the balance was there. It was around Rs. 1 crore.

Secondly, we have a certain asset acquired for sale under SARFAESI , which we have provided in the 9 MFY24 . So , both items put together has around Rs. 4 crores extra provisioning in 9MFY24 , which not there during 9MFY25 . I hope we clarified that.

Yash Gujarathi : Yes, sir, that's helpful. So , would we also see this 65 bps of provisioning on the overall portfolio also going up eventually?

Ghanshyam Rawat: No. I think when we went to model, it considers the entire portfolio. So based on the current assessment, it will remain at the same level.

Yash Gujarathi : Got it. sir. And sir, second is on the margins. So, we understand this BPLR hike taken in October for 25 bps . So, is that now completely accounted for? Or would we also see some impact in the fourth quarter?

Ghanshyam Rawat: It got accounted.

Yash Gujarathi : Entirely?

Ghanshyam Rawat: It got accounted. But if you see sequentially, we are making a better yield on our new disbursement Q-o-Q, Q1, Q2, Q3, every quarter, yield is improving on our

disbursement Y-o-Y basis. So that's the positive note . There's now less difference between new business and the old business.
Yash Gujarathi : Right. Got it. So, sir, the disbursement yield which was around 30 bps lower than the AuM yield. So , has that difference narrowed now?
Sachinder Bhinder: Yes, it has narrowed down, Yash. As Rawatji pointed, across various product segments and various parts, we continue to focus there . In the previous question, when I referred to ~40%, I was referring to less than Rs. 10 lakh s focus area, so where I stand corrected. So , our focus continues to be there , on that where we get the risk adjusted return yield s. And we've seen uptick Q-o-Q. And with the same endeavour , technology and those things are also helping us to really improve it in a right and scientific w

ay.
Yash Gujarathi : Thank you so much for the clarification. That’s it from my side.
Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg: Okay. I had my first question where I want to understand a bit more on sourcing part. So, has your DSA sourcing gone up? Or if you can give us a number, say, compared to last quarter or last year. The reason I ask is that after several quarters, the number of loan files disbursed per branch, that has registered a positive growth rate.
Otherwise, if I look at last few quarters, then it was mostly a declining trend. And at the same time, when I look at some of the cost economics metrics, such as opex per new file disbursed, that has also declined. So what is leading to such improvement.
Is it because of higher sourcing from DSA channel?
Sachinder Bhinder: Raghav, it is multitude of factors which are there, but it is some of the digital channels which we have embarked on in typically the Mitra, eMitra, CS C tie-up, and our acquisition through the WhatsApp chatbot and from our own website. I think that as a percentage of the digital part has started contributing and firing.
We continue to be a predominant ly direct sourcing franchise. And as we speak, I think on the employee count also when we see that the employee count, whatever addition have happened on the ROs, which is our relationship officers at the ground. So, we continue to be a dominant direct sourcing. A certain part of digital channels, which are started firing also have resulted in that mix shift. We continue to be at 80%, 85% of the direct sourcing part.
Raghav Garg: Understood. So, I think say you are about, I think, 12 files per branch per month. Is this a run rate that one can assume going forward at least the first 9 months of a fiscal? I know Q4 generally tends to be higher. But at least for the first 9 months, is 12 files disbursement per branch, is that something that we can work with?
Sachinder Bhinder: Raghav, I think if you look at, we have widespread across 373 branches. So , depending upon our understanding of the market, depending upon our location strategy , depending upon what are the risk metrics, and the kind of deployment of our resources and the market which we would like to really hold on to, I think those risk metrics really contribute to that.
The positive side in the last 9 months to report is that we've seen an increased RO productivity per file. I think those are the metrics that we monitor. Because this direct averaging out becomes a little very different model altogether. So , we divide it in a much micro detailed one on the market size, looking at the geography, state, our vintage in the state, the credit portfolio behaviour and then really deciding what is that we really want as an output.
Raghav Garg: Understood. No, fair enough. The only reason I was asking this is the data that made available to us. Of course, you would have a much more nuanced view of how it works. But anyway, my last question is on the ticket size. When I look at the ticket size this quarter on disbursement, for last 2 quarters, that has increased at about 4% to 6% in each of the last 2 quarters, on a Q-o-Q basis, not Y -o-Y. So that's a pretty steep increase in ticket size. Why is this the case that the ticket size is in creasing at, say, at an average of 5% for each of the last 2 quarters?
Sachinder Bhinder: I think if you look at the real estate inflation, it is not even meeting the real estate inflation. And if you talk about the kind of growth which has happened in the land rates in the states which we work across, that is higher than this. So, if you adjust to buy that, I think it is below whatever is the retail real estate inflation, which is brought into the pricing, which is prevalent in the markets which we operate. That's one.
Secondly, some of the proportion where we a

re present, where cost of construction is higher than what the normal one. And it is really inched up considering the kind of rural ability to spend and rural ability to really build good, better and bigger houses .
So, I think these 2 things have really contributed to one.

It is an output which is there, which is not a determinant on what we really drive for or be focus for us. So, our focus is clear cut on the input, which is there. And whatever comes across in the output and rightfully so on a risk -adjusted matter is what we really monitor for.
Raghav Garg: Sir, let me ask this in another way. So , your, I think, less than Rs. 15 lakhs by value, the A uM mix is about 45%. What was this last year against 45% currently?
Ghanshyam Rawat: The AuM of less tha n Rs. 15 l akhs ticket size currently stands at ~60% . If you see 9MFY24 to 9MFY25 , is a 6% increase in the overall ticket size, which we feel is the inflation, property prices, rising income levels, all our factor s. And as far as the combination of ticket size is concerned, we are 1% to 2% here or there, doesn't make a big change in our business model.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: So, the first thing is, again, coming back to provisioning and asset quality while Ghanshyamji did explain about the change in ECL model that we have done and which is there, maybe it could have led to a onetime change in the PCRs across these 3 stages. What I wanted to understand is if I look at the last 10 quarter data, our Stage 3 provision cover has very slowly and gradually been inching up. So , while I understand this is an outcome of the ECL model that we have, but inherently, what i s it kind of telling us about the risk metrics?
Ghanshyam Rawat: Abhijit, it generally remains between 27% to 29% in our ECL model for Stage 3 provisioning . And as you know, if you see last so many quarters, the ageing of portfolio was 6 years, 7 years, 8 years, 10 years. Now today, we have a 12 -year, 13 -year business operation basically.
So, ageing in ECL modelling , ageing of the portfolio , ageing of, let's say, NPA assets is also increased certain level of your provisioning. Apart from that, I don't see any sort of, any variation or disturbing factor in the ECL model.
Abhijit Tibrewal: Got it, Ghanshyamji. The second question that I had was obviously around the demand environment while you did say that looking at trends in 3Q and Jan, it gives us that confidence that maybe we can be at the lower end of our guided range of the AUM growth? But I'm just trying to understand more and more NBFCs and HFCs as the report, they have been talking about a weak macro environment and given the fact that we also have a presence in the MSME segment?
I'm just trying to understand how you are looking at basically, the risk environment today. When I recall you and Ashu tosh sir, have called out that at least looking 1+DPD in GS 3, you're not seeing any significant increase in risk . But how are you looking at the broader macro environment today?
Sachinder Bhinder: Yes. So , Abhijit, there are 2 things. I think important to note is we are there in the part of MSME, which is micro MSME is the one which is backed by our understanding of risk and doing a cash flow -based underwriting and backed by self -occupied residential proper ty. I think that's one very big differential when it comes to the very base of risk management practice.
So, the Tier 3 to Tier 5, wherever we are operating, we have seen those demands really being coming up. And as we speak about on a risk management framework, we cautiously monitor as to what are the trends which really show up. If we find anything on the segm ent-wise strain because of the macro environment having a waterfall effect on those economies or on those segments of customers, we hold on to that.
So, at this period of t

ime, what we speak, I think we are well guarded with a cautious approach of underwriting and continue to do that in a long -term period. And that will be our continuous basis of a robust risk management practice.
Secondly, when you talk about the home loan demand, I think you have to look at it from the perspective of 2 parts. We are into Tier 3 to Tier 5 where it is self - construction individual house. Again, a certain part of you would have really looked at PMAY 2.0 in 2 parts, which is the ISS, which is the interest subsidy scheme, where we've already received around 4,000 plus of applications to us, and the affordable piece where it is the ULB -led supply, which has really come in post all the elections being ove r.
So, the strong self -construction individual consumption continuing to grow. Second is the government's focus on housing for all and the PMAY 2.0 really helping in the segments which are really focused on economically weaker section where Aavas operates. And third is the urban -led supply from the affordable housing, again, a part of PMAY. I think these are the 3 strong factors for us to say that there is the real demand coming and flowing in.
Abhijit Tibrewal: Got it. So incrementally, if you look at the last maybe 3 – 6 months after the elections have been over, you would say the demand has improved barring the seasonality?
Sachinder Bhinder: Yes. Demand has to see an uptick and specifically in certain segments and verticals

as I speak of the PMAY -led affordable supply, which is there. The other question, which was there on the Karnataka, we say that as we are present in there, there is a supply which is there from the urban -local bodies available.
And we are confident having done that business , we have 20,000 plus of customers in that, and we've done that business right from the time when we started off and when the supply really came in, we are confident of doing that because that's a hard work of having the liaising with the urban local bodies and building that business.
Since there's a specific vertical which focuses on that, we will be able to cater to the inventory supply, which is really coming up and source it in a much faster , granular and quicker manner.
Abhijit Tibrewal: Got it. This is useful. And I just wanted to squeeze in one last question, while this has partly been addressed earlier on yields where we did take, I think, a 25 bps PLR hike in October and that has reflected in our yields. Just trying to understand in the past, we have seen all these PLR increases that you or other HFCs have taken, they're not really reflected in a sustained yield expansion .
And again, I think maybe that is because the disbursement yields kind of remain below the book yields. What's the sense now you think these yields can be absorbed or given the competitive intensity over a course of time, they will drift down?
Sachinder Bhinder: I think you will have to look at the PLR increase was in line with our cost of borrowing really increasing to size up on that side. And that was the market scenario, which was there really to have had the increase, which is there. I think as I've been talk ing earlier that we continue to increase our disbursement yield on product metrics and again, with risk -adjusted returns.
So, our endeavour really continues to do that. And as we speak on 9MFY25 period, we are above 25 bps compared to what we were there. And every Q-o-Q, we see that impact really on the disbursement yield coming. And secondly, on the PLR impact, what you were really referring to, we have a book which is 30% fixed, so implication comes only on the rest of the book, which is a floating rate book.
So, I think it is important to really build in a right risk -adjusted manner to increase the disbursement yields to really inch up. And we've seen that trajectory well in control and inching up as we progress on Q-o-Q basis. And again, with the sca

le of business
what we really aim for.
Moderator: The next question is from the line of Rajiv Mehta from YES Securities.
Rajiv Mehta: Congrats on good results. I have a couple of questions. Sir, this 30% -odd boost to productivity from a reduction in log in to sanction TAT. So , have you raised business targets for ROs and branches since they can execute much higher volumes now? And on the same lines, can one expect that disbursement growth be much higher in FY26 than the usual run rate of 17%, 18%?
Sachinder Bhinder: Rajiv, you referring to which data, if you can again articulate .
Rajiv Mehta: No, sanction TAT has come down, right, from 10 -odd days to 7 -odd days. Yes. So, the efficiency and productivity has gone up?
Sachinder Bhinder: Yes. That you see reflect in the metrics also from perspective of disbursement coming up. I think we've seen that improving from the 13 days to the 7 days really frees up efficiency from the under writer perspective and really help in a much faster, predictable manner, what used to be earlier.
Rajiv Mehta: Okay. And see on asset quality, typically, in Q4 , we generally pulled back 1 +DPD substantially every year. Are we confident of doing that this year as well? Because see, the business and liquidity backdrop for some of the delinquent customers could be challenging this year versus the preceding year. So , are we looking for a very similar pullback that we generally deliver in Q4?
Sachinder Bhinder: I think if you look at Rajiv, from a perspective of Q2FY25 to Q3FY25 , I think 1 +DPD is already at around 3. 85% which is well below our guided range of 5%. We are below 4% at 3.85%. I think that's a good indicator for us. We continue to endeavour to really control and maintain the pristine quality considering the way we underwrite and the way we really collect that.
And I think a couple of things they have got across where technology has helped us to really predict the path of bouncing, the predictive path of customer behaviour and the part. So , I think it gets front -ended when it comes to our collection efficiency to really have the right kind of predictive models helped by our AI, which is proprietary led internal development.
So having perfected that, that becomes a good one. And you' ll be happy to know that we even use voice bot, and others really go across collect. And we are very, very clear as to what is the range and what is the method of even the collection, what it would happen. So , I think technology on that side really plays a part.
So, it's a mix of the right kind of technology, right kind of risk management practices

and the efficiencies which we really bring into counter and deliver the pristine quality as a franchise.

Rajiv Mehta: Okay. And one last thing is on the comment that you made that the incremental business yield has been improving every quarter and across products. So how is this being achieved? I mean are we slightly pushing on rates or some other kind of pricing efficien cies we are tapping here?

Sachinder Bhinder: I think, Rajiv, as I said that, again, it is risk -adjusted returns. I think wherein we've implemented loan origination system by SFDC. And I think therein, there is a clear visibility on the risk metrics, which really gives us a pricing input, which is bec ause of that, it is really helping us to price it right according to the risk metrics.

I think that really played out in helping us to be much more predictable in the output, which we can deliver. Again, segmental focus on less than Rs. 10 lakhs, which is where you get good yield; a focus on inching up, where you find that you get the right risk-adjusted returns by pricing it right.

I think these are the 2 things which are very important, and we've seen that moving across Q-o-Q. And our endeavour will continue to grow that, again, cautiously with risk-adjusted returns.

Moderator: The next question is from

the line of Shreepal Doshi from Equirus.

Shreepal Doshi: My question was on RM level target. So , when in newer geography, what sort of RM level, KR As we said in terms of business sourcing versus matured branches. And the level of disbursement that we have done this quarter, do you aspire to maintain it going ahead, like the revival in disbursement.

Ghanshyam Rawat: No. As you know, Aavas when entering the new geography, we take our own time to understand that market, people behaviour , geographical behaviour , the local population behavioural , legal and technical title. So immediately in the few initial few quarters, we d on't give as such any large target to them. The major focus was that there should not be any delinquencies in the initial quarter, there should not be slippage in the initial few quarters in any bucket.

So, we, as a company, don't have philosophy initially in a new geography to give targets in those markets. But wherever we have the strength, where we have maturity, there definitely we strengthen our branches through process, policies, through understanding, through flowback learning, and then accordingly, we ask them the returns also by giving targets.

RO has a different maturity. RO who has done 1 year, 2 -year plus in the system, they definitely have a better target . The RO who comes new in the organization , they have a lower target in the system.

Shreepal Doshi: So, sir, especially for states like Karnataka versus Rajasthan and Gujarat and Maharashtra, I mean and within Karnataka, we've been there for almost a couple of years now. So , what would be the differential in terms of branch level efficiencies in terms of business?

Ghanshyam Rawat: Karnataka has now come up in the fourth year of business operation. So , branches, which has completed 3 -year plus, they are at par with our mature states like Rajasthan, MP, Gujarat. And the branches, which we opened the last 1 -year branches, those branches are showing the progress as we desired.

Shreepal Doshi: Got it. And sir, on disbursement front, sir, like will this run rate continue or ?

Ghanshyam Rawat: As a Karnataka as whole is doing a disbursement growth better than our overall company growth. Much better growth. As well as performance also, quality front also, Karnataka is doing fantastically well for us.

Shreepal Doshi: Got it. And then just the second part of the question was on disbursement side. So will we be able to continue with this disbursement momentum because in the last few quarters, there have been some like ups and downs. So , will we be able to continue now incrementally?

Sachinder Bhinder: Yes. So , on that part, if you look at it, when we refer to ups and downs, it has always been an upward trajectory. And every Q-o-Q, we've seen that traction really moving across. And as earlier guided that, we see a good uptake and green shoots in January at this period of time, and we are confident of pushing that every quarter and build at scale with quality.

Moderator: Next question is from the line of Shubranshu Mishra from Phillip Capital.

Shubranshu Mishra : So, what is the yield on book for home loans, LAP and MSME? And what are the onboarding yields for these products?

Ghanshyam Rawat: Home loan versus, let's say, non -home loan, which is MSME LAP, there is always difference of 250 bps between home loan to non -home loan. Yes, MSME businesses give us another 75 bps better pricing than the LAP portfolio. We do out of non -home loan, we do around 75% business as an MSME business, which is our focus area on the MSME.

Shubranshu Mishra : So, what is the home loan yield?
Ghanshyam Rawat: It would remain in the range of between 11.5% to 12%.
Shubranshu Mishra : This is an A uM. And what is on disbursement for the same?
Ghanshyam Rawat: As we mentioned that the difference between the new business versus our old business A uM, difference is 30 to 35 bps as of no

w.
Moderator: The next question is from the line of Chandra from Fidelity.
Chandra: Could you just share maybe the percentage of disbursements that you had this quarter below 10% yield and maybe what it was for the previous quarter. And directionally, I think you were trying to reduce it. So, if I had to look at it maybe a year out, would you think it's a reasonable chance that the amount you're disbursing below a 10% yield in single digit essentially would drop? That's one.
Second is; after declining for a while, the spreads have finally inched a little bit. Do you think it's reasonable that at some point in time, you'll cross 5% and you settle back to maybe 5.20%, 5.30% at some point in time? Is that a realistic possibility?
And just lastly, what would you think you're capacitating the business for in terms of next year, just in terms of disbursements? I mean, obviously, first half was a little weak because we had some issues. But I mean, are we capacitating for maybe a growth of disbursements of maybe 17%, 18% on the base of this year? How should we think about it?
Sachinder Bhinder: Yes. So, you have 3 questions. First is on the yield, but we look at it from a ticket size perspective. I think that is the input which we really look at it. On a ticket size of less than Rs. 10 lakhs, our endeavour continues to be in the range to cover up at around ~35%. As we speak, we are in the range of 30% to 35% when it comes to a ticket size less than Rs. 10 lakhs. And this has a real right kind of risk -adjusted yielding up good spreads as well as the yields. That's number one. Num ber two .
Chandra: So that means, 30% to 35% towards 35%, you're saying. You're saying, gradually you want to increase the share below Rs. 10 lakhs.
Sachinder Bhinder: Yes. Our aim presently is to get to the 45%. Currently, we are hovering between 30% to 35% of the loans which are less than Rs. 10 lakhs in ticket size. So , it's not a yield, it's on ticket size, okay? That's one.
Secondly, on the part of we are capacitated, and we are looking at again on a guidance level of continued A uM of between 20% to 25%. So , we'll continue our guidance on AuM of 20% to 25%. And as we speak, I think our concentrated efforts to really get in the yield improvement on Q-o-Q basis, we will continue that in the next financial year also, again, with the risk -adjusted returns metrics and robust risk management practices.
Chandra: Sure. And on spreads, do you think that getting to 5.20% at some point is a realistic possibility?
Sachinder Bhinder: See, Chandra, this is, I think, an outcome of the cost of borrowing. And if you would have seen that is one part. I think we work on the input, what is we get. Whatever the difference between would be really the one . We've always guided that we will really look at the kind of spread, which was at around 5%, which we've guided across.
It all depends upon how the economic environment on the macro side really stands out. If the rate comes in, I think we will have the benefit. And as what Ghanshyamji really talked about, we had EBLR, Repo Link, TB Link kind of borrowings, which will have an immediate impact on our cost of borrowing. I think that is a differential, whi ch will come across really spanning out on the increase in the spreads.
Moderator: The next question is from the line of Bunty Chawla from IDBI Capital .
Bunty Chawla: Congrats on a good set of numbers. So, during this quarter, we have seen there is an inch up in the cost of borrowings. Although you have shared that we have raised the Rs. 600 crores from IFC at a competitive rate, which I believe it should be lower than the borrowings at the book level for you. So, what is the reason behind increasing the cost of borrowings?
What we have observed that, there has been a minimal or no MCLR hike from the banks as such during this quarter. So then also there has been an increase in the cost of

borrowing during this quarter. And how should shape up this cost during next quarter an d FY26?
Ghanshyam Rawat: Yes. During this quarter, overall cost of borrowing is increased by 9 bps . Yes, you are right , Rs. 600 crores we borrowed f rom IFC, which is much lesser than what a cost of borrowing. But as you know, we borrow a lot of money from banks, which is a 1 -year MCLR, 6 -month MCLR.
So, what money we borrowed a year back at, let's say, SBI MCLR used to be 8.3%, 8.4%. Today, let's say, MCLR is reach at 9%. So that impact pass es on when the

liability reset s in that quarter . So , I think by the next year, most of the liability are getting re -priced, what we borrowed earlier in different point of time.
So more or less, we are seeing a stabilization in cost of borrowing side, few basis points here and there. And because we hope if some cut comes, so that will be a positive note for us.
Bunty Chawla: That's very helpful, sir. And previously, you said because of the rate cut, we will be getting benefit. Any rough sense, if there is a 50-bps rate cut, what kind of positive impact we have on the spreads or the margins? Any rough cut?
Ghanshyam Rawat: As I mentioned, our 50% borrowing are marked -linked borrowing where , which is Repo linked, TB linked, and less than 3 -month MCLR. So , we hope that that should be a positive impact within 3 -month time frame. But it's difficult to predict how it will get translated once the rate cut starts.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for the closing comments.
Sachinder Bhinder: Ladies & Gentlemen, as we conclude today's earnings call, I want to express my heartfelt gratitude to each one of you for your participation and engagement. The dedication of our team, the trust of our shareholders, and the loyalty of our customers have been instrumental in our growth.
We aspire to reach a milestone of Rs. 500 bn in assets under management in the next 4 to 5 years and broaden our horizons as a Pan -India player and continue our cost optimization strategy.
I express my deepest gratitude to all our regulators and stakeholders, whose constant faith and support have been the wind beneath our wings. We remain optimistic about the future and are confident that our strategic initiatives will continue to drive sust ainable growth and shareholder value. If you have any further questions or require additional information, please feel free to reach out to Rakesh Shinde – Head of Investor Relations.
Thank you and have a wonderful year ahead. God bless.
Moderator: On behalf of Aavas Financiers Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

Ref.No. AAVAS/SEC/202 5-26/219
Date: April 30, 2025

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter and Financial Year Ended March 31, 202 5.
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in reference to our letter dated April 16, 2025 bearing reference number Ref. No. AAVAS/SEC/2025 -26/125, please find enclosed the transcript of the Earnings Con ference Call held on Thursday, April 24, 2025 on the Financial and Operational performance of the Company for the Q uarter and Financial Year ended March 31, 202 5.
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take the same on your record.
Date and time of occurrence of event/informatio n: April 24, 2025 and Earning Conference Call commenced at 06:00 P.M.

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SAURABH SHARMA
COMPANY SECRETARY AND COMPLIANCE OFFICER
(ACS: 60350) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

“Aavas Financiers Limited
Q4FY25 Earnings Conference Call ”
April 24, 202 5

Management: Mr. Sachinder Bhinder – Managing Director and Chief Executive Officer
Mr. Ghanshyam Rawat – Chief Financial Officer
Mr. Ashutosh Atre – Chief Risk Officer
Mr. Rakesh Shinde – Head of Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financiers Limited Q4FY25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to pre dict.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rakesh Shinde, Head, Investor Relations of Aavas Financiers Limited. Thank you, and over to you, sir.

Rakesh Shinde: Good evening, everyone. I extend a very warm welcome to all participants and thank you for joining us today on earnings call to discuss the financial and operational performance of our company for Q4 and the full year FY25. The results and the investor pre sentation have been uploaded on the stock exchanges and are also available on our company website. I hope you have had a chance to review them. Joining me today is the entire management team of Aavas. We will begin this call with the opening remarks from our MD, Sachinder Bhinder; CFO, Ghanshyam Rawat; and CRO, Ashutosh Atre. This will be followed by a Q&A session. With that, let me now hand over the call to Sachinder. Over to you, Sachinder.

Sachinder Bhinder: Thank you, Rakesh, and good evening, everyone, and a very happy new financial year to all of you. Thank you all for joining us this evening. I truly appreciate your presence and continued support.
We are proud to share that during this quarter, we achieved a significant milestone, crossing the INR 200 bn mark in A uM. This is more than just a number. It reflects our unwavering support, guidance and valuable feedback. It also reinforces our commitment to making affordable housing finance and MSME credit more accessible to thousands of families and businesses across Bharat.
Q4FY25 was marked by strong operational performance. We witnessed healthy traction in customer logins and a robust pickup in the disbursement, which grew 27 percentage Q -o-Q. During the quarter, we achieved our highest ever volumes crossing 55,000 in logins and INR 20 bn in disbursements for the first time.
We have completed upgradation of all major tech platforms, which are now stabilizing. This was one of the fastest tech implementations in the industry. We believe we have set the foundation for sustainable, scalable and profitable growth.
As we step into the new financial year, our focus is clear to fully leverage the state -of-the-art platforms by strengthening governance, accelerating scale, optimizing cost and enhancing operational efficiencies across the organization.
Ladies and gentlemen, with that preamble, I shall now take you through the quarterly performance and our assessment of the outlook.
We have delivered A uM growth of 18 % Y-o-Y, reaching an A uM of INR 204 bn. In Q4FY25, we disbursed loans worth around INR 20 b n, whereas in FY25, we had disbursed INR 61.2 b n, a growth of around 10%. Our net profit for FY25 grew by 17 % Y-o-Y to INR 5.74 bn.
Our net worth continues to compound quarter after quarter at a rate of around 16 % Y-o-Y. Our calculated spread has improved by 15 bps sequentially to 5.87% in Q4FY25. Our reported NIMs expanded by 37 bps during the quarter to 8.11 %. Our focus continues to underwrite quality business with risk -adjusted return. As a result, our incremental business yield has gone up by 22 bps in FY25.
At the beginning of the financial year, we have guided that we'll bring down opex to asset ratio by 25 bps this year. I'm happy to report we have delivered a reduction in opex to asset ratio by 26 bps Y -o-Y to 3.32% in FY25 as a result of our cost optimiz ation strategy.
Our asset quality continues to be pristine with 1 +DPD of less than 4 % at 3.39 % as of March -25. Our GNPA was 1.08 % down 6 bps Q -o-Q. Credit costs improved further to 15 bps in FY25 versus 16 bps in FY24. We continue to guide credit costs of below 25 bps on a sustainable basis. R oA remained stable at 3.27 % and the R oE jumped by 18 bps Y -o-Y to 14.12 % in FY25.
We continue to strengthen our distribution network by opening 30 new branches during the FY25. Going ahead, we aim to accelerate our branch expansion strategy in the first half of FY26. The required capacity is already in place to support this planned scale up. In addition to expanding our branch network, we continue to prioritize value -

accretive partnerships that enhance our digital channels, CS C, eMitra and Ecosystem channel partners, enabling us to tap into new customer segments, particularly new to credit and new to mortgage customers.
The new PMAY 2.0 scheme ensures impact in the last mile in a more efficient way and benefit our customers immensely. The scheme aligns well with our mission to provide affordable housing finance, and we expect it to drive higher demand in the products, furthering supporting our growth and expansion across Bharat.
We are committed to deliver quality and profitable business growth driven by tech -led operating efficiency and cost optimization. I'm confident that with our strong risk management practices, diversified distribution reach and execution capabil

ities of
our time -tested team, we'll achieve our milestones and deliver value to our stakeholders.

With that, ladies and gentlemen, I would now hand over to our CFO, Ghanshyam Rawat, to discuss the financial in details.
Ghanshyam Rawat: Thank you, Sachinder Ji. Good evening, everyone, and a warm welcome to our earnings call. First, to provide update on borrowing side. In terms of liability, we have one of the best well -diversified liability franchises. We have been innovative in exploring new avenues of sourcing . This year also, we raised NCD amounting to INR 6.3 bn from our institutional investors. We will channelize these funds towards retail loans for individuals and the promotion of green home constructions, underscori ng our unwavering commitment to sustainable and inclusive development.
We continue to borrow judiciously and raised around INR 61.8 bn at 8.42% for FY25. Our average tenure of borrowing continues to be higher than assets with a positive ALM across the bucket s. Total outstanding borrowing as of 31st March 2025 stood at INR 179 bn.
Overall borrowing mix as of 31st March 2025 is 51% from term loans, 25% from assignment, 14% from National Housing Bank refinancing and 10% from Debt Capital Market . Lender support continued to remain extremely strong as Aavas grow. There is access to diversified and cost -effective long -term financing. We maintain a strong relationship with the development financial institutions. To meet long -term business growth, we have progressed on a co -lending tie -up with the PSU bank.
As of 31st March 2025, we maintained sufficient liquidity in the form of cash and cash equivalents and unavailed CC limit of INR 16.52 b n and documented unavailed sanction of INR 13.47 bn.
In terms of financial performance, our Net Profit for Q4FY25 grew by 8% Y-o-Y to INR 1.54 bn, led by robust growth in operating income on account of healthy improvement in operating leverage.
During the quarter, our spread moderated by 5 bps sequentially to 4.89% on account of softening A uM yield by 5 bps to 13. 13%, while our cost of borrowing remained unchanged at 8.24%. We have 36% of our borrowings are linked to EBLR such as repo rate, T -Bill, MIBOR and 21% linked to 3 -month MCLR, which will allow us faster repricing of 56% borrowing in line with the interest rate trend.

Our NIM in absolute terms has increased by 14% Y-o-Y in Q4FY25 and 13% Y-o-Y in FY25. Our margin NIM as a percentage of total assets during Q4FY25 stood at 8.1 1% and at 7.64% during FY25. R oA for the quarter stood at 3.37% in Q4FY25 where R oE at 14.4% in Q4FY25.
We are well capitalized with a net worth of INR 43.61 bn and C RAR at 44.5%. The total number of live accounts stood at 246,000 +, translating into 13% Y-o-Y growth.
Now I would like to hand over the line to our CRO, Mr. Ashutosh Atre, to discuss asset quality.
Ashutosh Atre: Thank you, Ghanshyam. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you. Asset quality and provisioning. Aavas is strongly positioned to continue delivering industry -leading asset quality. Our asset quality remains wi thin the guided range with 1 day past due below 5% at 3.39% in Q4FY25. And Gross Stage 3 and Net Stage 3 under 1.25% stood at 1.08% and 0.73%, respectively.
In terms of geography, average 1 +DPD and GNPA in our vintage states remained within 4% and 1.25% of A uM, respectively, whereas other emerging states, 1 +DPD and GNPA remained well below 3% and 1% of A uM, respectively. Similarly, in terms of ticket size of more than INR 15 lakhs, 1 +DPD and GNPA remained well below 4% and 1%, whereas in case of ticket size less than INR 15 lakhs, 1 +DPD and GNPA remains below 4.5% and 1.5%, respectively.
Our total ECL provisioning, including that of COVID -19 impact as well as resolution framework 2.0, stood at INR1.01 billion as of 31st of March 2025.
With this, I open the fl

oor for Q&A.
Moderator: Thank you. The first question is from the line of Renish Bhuva from ICICI Securities . Please go ahead.
Renish Bhuva : Hi, Sir. Congrats on a good set of numbers. Sir, I have 2 questions from my side. One on the asset yields. When we look at the asset yields, it has been static around very narrow range between 13.1% to 13.15% for last 10 quarters despite we've been increasing PLR rates, etc. And now since we are entering easing rate cycle and having a 70% floating rate book, how do you see asset yields settling in near term?
And also, as you have been highlighting since past many quarters about change in sourcing strategy with more focus on small ticket loan moving to risk -based pricing, etc. When do you see this sort of reflecting in yields and ultimately, we reaching 5% spread?

Sachinder Bhinder: Thanks, Renish. I think, as earlier guided by us, our constant delivery has to increase the disbursement yields, and that also is structurally by really looking at the risk -adjusted returns. As we have shared that over the last one year, we've increased by around 22 bps , and I think it's more about the segment rather than the play -out on the interest rates, which is there.
We've had a mix of adjustments according to the product mix, the loan category type, and the use of state -of-the-art BRE engines for getting the risk -adjusted pricing returns in the right format. So, Renish, as you would appreciate that the disbursement yields over the last couple of years have been lower than the A uM yield.

And a catch -up becomes very difficult in such a loan growth A uM, which we have built over the last couple of years. But our endeavour continues to build across on an incremental disbursement yield. And as we speak, we will take another 3 -4 quarters to really build that in a right framework where we try to be around A uM disbursement yield on an incremental disbursement yield as we continue to increase and step up our efforts.
Renish Bhuva : Okay. So, I mean this is also important from a spread perspective because the 70% floating rate book will continue to impact our yields going ahead. So, strategically, how will you address that?
Sachinder Bhinder: So strategically, I think it is about the disbursement yields to be really sticking out. I think that will actually help across the spreads in the falling interest rate scenario, it's about whether we'll be able to source the customer at that interest rate . The answer is yes. As a team, as management, we are fully confident about the fact of our disbursement yields, so to say.
So, I think that even in the falling rate scenario, as you speak, Renish, the lowering of the cost of borrowings, we will continue to build our disbursement yield, as I spoke across on 3 parameters. One is the product type. Second is the product segment, when we say product segment is less than Rs. 10 lakhs, currently at around 32%, 33%, inch up of around 3% will really get the metrics right for us. That's right and again to re -iterate that if you look at the 1+DPD it is a 3.85% and I think that is a good indicator for us.
Ghanshyam Rawat: Renish, what Sachinderji said, our entire loan book, which is 70% of the floating rate is linked to our PLR basically. And our PLR is dependent on our cost of borrowing. If we see cost of borrowing also, 70% liability is on floating rate. Of this, 56% is linked to Repo rate, T -bill, and less than 3 -month MCLR.
And the remaining 20% is linked to 6 -month to 1 -year MCLR. So, as we have a positive impact on cost of borrowing, which we will pass it on the floating rate asset side. So, we don't think in a falling interest rate scenario, there will be any negative impact on the spread. In the past also, we have seen, it always helps us to protect some spread.
Renish Bhuva : OK. So maybe just a follow -up on that Ghanshyam Sir . As you rightly said, maybe on a blended bas

is, 25% to 30% borrowing is linked to EBLR and maybe 3 -month MCLR.
So, when we look at the 50 basis points of reported cut and when we look at the cost of borrowing, it remains static on a sequential basis. So, I'm just wondering why the rate cut is not reflecting on the cost of borrowing, let's say, even of 5 basis points?
Ghanshyam Rawat: Yeah, let's say in the Q4, we see only a 25 -bps repo cut. My repo borrowing immediately got impacted in a positive manner in the next month when the reset came, we have seen a positive impact. MCLR is yet to be reduced by the bank in this quarter. They will start to reflect the interest rate cut scenario in this quarter. So, we are very confident that going forward, it will have a very positive tr ajectory on the cost of borrowing side.
Renish Bhuva : Okay, got it. And the last question on staff cost, we have seen a sharp increase of more than 20% sequentially. So, anything specific to read into this?
Sachinder Bhinder : See, Renish . If you look at it, we have increased 30 branches during the year with the last 25 branches got operational in Q4. So, that is the one which has increased the

branch strength, the consequent employee deployment in those branches. And moving forward, we are trying to get the front -loading of the branches in H1. So, it's more to do with the resource and capacity planning for the branches which we open.
Ghanshyam Rawat: No Renish , whatever you see Op ex including manpower cost increase in the Q4, is an investment in the company for take care of future growth in the company. In the manpower, the expansion of the branches these 2 are major. But third, importantly, in this quarter business has grown around 30% of Q3 to Q4, which has a variable cost which is linked to the business growth, sales team incentive and other variable expenses.
Renish Bhuva : OK. Thank you and best of luck, Sir.

Moderator: Thank you. We have our next question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : Hi. Thank you for the opportunity and congratulations on a good set of numbers. My first question is, if you see at your Stage 3 provision coverage, incrementally it has been rising and this time, it was above 32%. So, how to look at it? Where should this number stabilize, or some maths, if you can help us to understand this number?

My second question is, usually in your 4th quarter, you have a negative net slippage, either because your gross slippages are lower, or you have better recoveries which come through. This time, I know it's not a big positive number, but it's still an improvement QoQ, and it's not a negative number. So, am I missing something over here? Or have some recoveries not come through, or has something happened on that front? These are my 2 questions. Thank you.

Ghanshyam Rawat : Thanks for that question. First, I'm taking your slippage part. For Stage 1, we have shown a good amount of improvement, which is coming less than 4%. Our guidance is 5%, which gives us a confidence that in another 1 or 2 quarters, we will come back to les s than 1% of our gross NPA. We are confident and I think nothing too much read out of that in the overall gross NPA level. That's one part.

Second piece, Stage 3 increase in the provision. As I mentioned in the last quarter's con -call, we have moved to a new system – Bolton. It is an international -level computation of probability of default and ECL methodology. In which, we made two important changes in the system. The new system takes care of every month's slippages, rollbacks, and roll -forwards. Earlier this was done on a point -of-time basis. Secondly, economic changes in behaviour, changes in the economic scenario are also got factored in the system. So, after putting these two factors in the system, the provision increased little bit last quarter also, and the balance has increased in this quarter. Going forward, we see it to

remain in the same range of 30 to 33% for stage 3 as a posing requirement.

Shreya Shivani : Correct. You had changed the ECL methodology in Q3. So, going ahead on it should be at 33% -34%, did you say level?

Ghanshyam Rawat : Yes, you can take somewhere between 30 to 34%.

Shreya Shivani : Okay. That is useful. Thank you so much for answering.

Moderator: Thank you. The next question is from the Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar : Thank you, sir, for the opportunity. So, couple of questions.

Now we have crossed INR 20,000 crores of overall A uM and you also pleasantly mentioned in your opening remarks about scalability focus. So , definitely, it is presumed that scalability challenges sort of pain out above INR 200 bn AuM. But if I look at and see, the larger part of scalability is determined by the branch expansion network.

But if I look at the new branches that were opened during the whole of FY25, they were largely, or rather fully, concentrated in your existing states whereas you had mentioned earlier that there will be focus also on entering into new territories. And I think that would be the way forward for achieving further scalability. So, if can elaborate on that?

Second is, have we benefited more from securitization volumes as far as margins are concerned, because the run rate on quarterly basis is only climbing?

And third question is, how is the MSME scenario sort of panning out? Because I remember, last quarter, you sort of had mentioned some cautious commentary that you are monitoring trends and there has been strain on macros per se. And you mentioned you've st ayed guarded. So, any scenario change, especially in the M SME segment? These are my three questions.

Sachinder Bhinder: Yes. Thanks, Shweta. I think it's a great one to have crossed INR 20,000 crores A uM. So we have built our focus on risk -adjusted returns. And on the expansion side, when you highlighted, new branches opened in the quarter 4, it was within the existing states. Even within the existing states, if you look at it, there were 10 -plus branche s in Karnataka.

And as we have always guided, within a range of 3 to 4 years, we open up a new state. So, in the current year, we will have one of the other states, Tamil Nadu, getting opened up with this. We started one branch last year in Hosur, just to understand the periphery. So that's about our expansion strategy as we move forward in the Southern States and continue to expand in the existing states.

Unlike last year, it was a rear -ended , which was in Q4, we will try to front -end this time in H1on branch expansion side. We are confident to grow from scale and reach the INR 50,000 crore A uM mark in the next 5 years. We are confident with our

geographical strength, liability franchise, branch expansion, and technology implementation, we will be able to achieve this mark.
On MSME and overall HL (Home Loan) side, if you look at it, we have been cautiously optimistic. And this stems from the fact that there are certain segments in the industry where we see the rising delinquency in MFI unsecured loans and increasing over - leve rage of customers and Waterfall effects, which can come across because of certain global changes in the tariff form.
It's too early though , assess them, but we have been very cautiously optimistic on these segments, and we will watch out for segments emerging, the areas based on

risk-adjusted returns. Accordingly, what we feel across, which is right from an institutional per se, we will step up our accelerator.
The case in point, as we highlighted that in the last quarter, we were at an overall login of 55,000. But we had taken a cautious stance of looking at the underwriting perspective, tighten credit controls, and tightened the segments. Our login -to- sanction ratios are around 38%.
A cautiously optimistic stance which was taken, understanding

the situation which is
there in the local markets and local geographies. As and when it opens up, we will really like to span out and accelerate the commitment . We are optimistic on the way we have underwritten, and we will accelerate in the coming months.
On the 3rd question which you had Shweta, Ghanshyamji will answer.
Ghanshyam Rawat: Shweta, assignment is one of important funding tool. Whenever we have opportune time and pricing, we do assignment since it helps greatly in the ALM management. Because over the entire tenure, all loans are assigned to the banks. If you see at the full-year basis, last year we had a net upfronting and unwinding of INR . 43 crores. This year, it was INR 46 crores, just 8% -9% increase in overall basis on a for the full year, whereas our total interest income has grown almost at 18% to 20%. All assignment income is the outcome. The main focus was to get the best deal for assignment from the banks and big lending partners and to manage our funding program in line with our ALCO management.
Shweta Daptardar : Okay, sure. Thank you and best luck.
Moderator: Thank you. We have our next question from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg: Sir. Hi. Good evening and Congrats on this quarter's results. I have 2 questions. One is your home loan disbursement for the quarter are about 3% lower compared to last year. Why is that the case because you've tightened your underwriting criteria? If that 's the case, then can you indicate to what extent have your approval ratio come down. That's my first question.
Sachinder Bhinder: Yes, thanks. I was talking that despite the logins being at 55,000, our conventional login -to-sanction ratio, which was hovering around 42%. For the quarter, it stood at around 38% , this translated into a lower disbursement . And looking at the emerging scenario, we were cautiously optimistic about what to underwrite in the segments which we saw.
On your part of HL group, there has been growth of more than 5% on a full -year basis. We continue to trend in a way which is cautiously optimistic, considering that, as you are fully aware of the local scenarios in the geographies and the rising delinquencies in the MFI. We remain cautiously optimistic and will continue to trend in that range and continue with our endeavour to be around 20% of A uM.
Raghav Garg: Thank you. Sir. Bringing back to my second question, I think it has been partly answered previously. In the last 6 -7 years, Barring the COVID year, you'll usually see net recoveries in the 4th quarter, but this time, there was a slippage, a minor one. Also, when you look at the stock of GNPA in the 4th quarter, it's usually lower by about 5–10% Q-o-Q. This time it's actually marginally up. Can you please talk if there are

any collection issues or repayment issues which you are facing or maybe at the industry level, and for what reasons?
Ghanshyam Rawat : We, as I explained earlier, our bouncing trend is in control which is similar to what we see earlier, and our 1 +DPD has already come down to less than 4%, which gives us a confidence that our rollback of NPA will happen in the next one to two quarters. We didn't see any specific challenge in any particular state. It's almost a similar behaviour all across the states. A nd we are very confident it will come back to less than 1% in the next one to two quarters.
Raghav Garg: Understood. Sir, my last question on funding costs. So incrementally, I think you're raising at 8.5% versus a book cost of about 8.2%. I'm also considering that 70% of the assets are floating rate now. Do you think that incremental cost being higher than

book cost and yields coming down because of the rate cuts, your spread could
decline furt her from here on from 4.89%?
Ghanshyam Rawat : Yes. Because last year was an interest -rising scenario, in which fresh borrowing cost was definitely higher than my

own book, let's say, older liability book, which we have
seen till Q4.
But we are seeing and observing this trend will change in the coming quarter s, where
the new borrowing will be at p ar or lower than my total liability book. And old liability
book also gets reset in a faster mode as we see the repo cut, MCLR rate cut, T -bill
rate cut that will give a further positive towards my old liability book. I hope that
clarifies your question.
Raghav Garg: Sorry, does your assets will also get re -priced lower towards what extend.
Ghanshyam Rawat: Yeah. As I mentioned earlier, my assets are linked to our PLR. Our PLR is computed based on the cost of borrowing. So there is always a lag impact , what we see there is
the change in the PLR and a change in the cost of borrowing.
Raghav Garg: Yes. So, did I hear it right that your PLR linked to your funding cost?
Ghanshyam Rawat: Yes, you're very much right.
Raghav Garg: So eventually, if the cost of funds has to come down, then the PLR will also come
down. And then to what extend?
Ghanshyam Rawat: It's not that 100% linkage. There is always a time lag impact in that scenario.
Sachinder Bhinder : See, Raghav, there are 2 points. One is the time lag impact which Ghanshyamji was referring. And secondly is the disbursement yield which you underwrite the business.
I think in the earlier conversation also I guided that we will continue to hold on to our
disbursement yield despite in the lowering rate scenario, and that is on account of
structural adjustments on the product type and the product segment per se, as we
speak about less than 15 lacs or 10 lacs, where you have the yields whi ch are not so
interest sensitive, but it is about how you underwrite and how you manage the risk out
or whether risk -adjusted returns.
Raghav Garg: Okay. And just one last question, the total employee count as of now for both on -roll and off -roll, if you can mention that.

Sachinder Bhinder : Yeah. So that is 7,2 33. It is an increase because we had a rear -ended branch expansion in Q4, which resulted in this addition, and the rise in the field force at the
frontline, which is our RO. Because we are dependent on full -hog sourcing from a
direct source.
And that has an immediate impact on increase in our logins. For the first time, we saw
the quantum of logs reaching 55,000. As we have already entered the new financial
year, the ecosystem tie -ups, which we have done would require the field force to
complete and execute leads which get generated from our ECO channel partners like
CSC, E-MITRAS, and India Postbank.
Raghav Garg: Sir, this 7200 is total of on -roll and off -role or just on -roll?
Sachinder Bhinder : Yes, this is the one which is the total employee strength which is there of 7,2 33.
Moderator: Thank you. We have our next question from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe : Hi. I just wanted to get a little bit of a sense of the growth trajectory. This time, we have kind of come off a little bit, versus the 20% growth guidance that we have been talking
about. So how should we see the trend in disbursements and loan growth going
forward?
Sachinder Bhinder : So, Nischint we continue to guide around 20% of the growth. I understand there is a certain amount of slippage, which is there from a growth perspective on the A uM. It is
about 120 –125 crore short to reach that kind of level. But we had in Q4, despite that,
we had stock . We were very cautious on the kind of underwriting we have done.
As a result of which, against a normal 42% login -to-sanction ratio, we were at around
38%. So, as we stepped into the new financial year, we are confident that with the
increase in the kind of logins and improvements in certain areas, where the
geographies and the overall credit behaviour will show off, we'll be able to accelerate
our path in this financial year an

d in the coming quarters actually.
Nischint Chawathe : So, I was just curious, how do we sort of reconcile this? I mean, I know we need to sort of protect our spreads because of which we are going a little more granular, going
a little bit down the risk curves. But at the same time, probably what you seem to b e
indicating is that this may not be the best time to do it. And your login -to-sanction ratio
has come down.
Arguably, if you kind of continue to go down the curve or go down lower tickets, this
ratio will kind of remain low or maybe come off as well. So, how do we really reconcile

the conflict between growth and margins?
Sachinder Bhinder: I think from a margin perspective, we are very clear that, what we have built across last year, we want to further scale up on the margins. And herein, when we talk about, we are confident that we will get across more than 20% disbursement growth in the current year.
This gives us confidence to return to our guided 20% AuM CAGR, as we've always guided on. Again, this aligns with the product segments which we are focusing on. So, I think learning experience we gained in the last year will actually reflect across in

getting the quality and getting the right customer type, which we have learned in the last one year.
We are confident that, based on our underwriting practices, our distribution strategy, and our incoming input, which is there, which will be more refine d, giving us confidence in growth of over 20% plus on the disbursements finally enabling on the AuM growth on guided path of 20%.
Nischint Chawathe : And finally, while quite a few of your peers have focused on fee income, insurance distribution, etc. Do we see any of those levers that you'll be working on?
Sachinder Bhinder: So, from a customer perspective in the fair practice code and what ius doing what is right for the customer, we will continue to do and play out on that which is rightfully securing the customer from the perspective of credit insurance. In case of any even tuality, the financial burden of paying the EMIs does not fall on the customer.
So certain parts of the fee income really give a little spike when you are there in the less -than -10-lakh, less -than -15-lakh income range, for sure. So, we will try and push what is right for us from the fee income perspective and insurance coverage, which covers the credit insurance for the customer, more from a protection perspective rather than being a pure revenue source.
Nischint Chawathe : So fair to say that fee income and other income kind of broadly goes grows in line with loan growth.
Sachinder Bhinder: Yes. And secondly, the ones which we've invested in the new states and in the last couple of branches and the last Q4, which was like r ear-ended, and 24 of them came across the Q4, which will start firing in this year. So there also, we expect that growth really coming from the additional 30 in the FY25 , but the Q4 was 24. So that also will help us to really build the disbursement and the growth momentum.
Nischint Chawathe : Got it. Thank you very much and all the best.
Moderator: Thank you. We have our next question from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Yeah. Good evening and thank you for taking my question. So, I mean just kind of circling back to the provision cover that we have increased in this quarter for a long time, I mean, this number used to be in that range of, I would say, 27% to 30%, thereabo uts, right? And we did share that we have changed the methodology.
But my question here is today, when we look at the large housing finance companies who are predominantly operating in the prime segment, they are all maintaining provision covers of, I would say, 40% to 55%, some of them even 60%. But if I look at all the affordable housing finance companies, most of them have until, let's say, last quarter, even you had a provis

ion cover of about 30%.
So today, I mean, I see provision cover of about 25% to 30%. And now with this change in methodology, it's increased to about 32%. Do you think there is a case that over a course of time, you as well as all your affordable housing finance peers will have t o increase their provision covers towards that 40%, 45% to 50%.
Ghanshyam Rawat : No, Abhijit, you know we all adopted ECL methodology. And ECL methodology is based on your past few years' behaviour basically. In our model, we took a 7 -year

behaviour methodology, in real time how the asset has flown even in various bucket of time at different point of time.
When assets become NPA, how much days it takes to roll back as a standard asset, how much time take to close that asset . What loss we make and when we recover those assets. And we also considered that net present value got factored in this value in the loss report.
So, it's based on individually on each company. In last 7 -8 years, our behavioural book didn't show more than this result, we already built on. And we don't see any major change going to be. Based on behaviour, we are confident that it will remain between 32% to 34%, for my NPA provisioning. And on overall basis, it will remain somewhere like overall today, we are at 0.66%, it will remain less than 0.7%.
Abhijit Tibrewal : Got it. Thank you. The second question that I had that the runoff in the book looks slightly elevated while you did acknowledge that there is an endeavour to maintain

the disbursement yields by strategizing on the product type and the product segment.
Just trying to understand, I mean, we have seen already 2 rate cuts, maybe a third one in the offering in the near term, has anything changed in terms of aggression of your HFC peers or PSU banks, which would warrant that maybe going forward, that could be either higher BT pressure or pressure on yields to retain customers?
Sachinder Bhinder: So, I think, Abhijit, there are 2 parts to it. One part is that in the segments which we serve, we do not have PSU and others really competing in. As we speak, we are around 20 % of new to credit and 92 % is new to mortgage customers. So, I think from a segment perspective, from a competition perspective and the market perspective, the PSUs and the bigger range housing finance companies do not really compete in this segment. That's one.
Second is the segments which we serve have an average EMI range of INR 12,500 and an average ticket size of INR 11.45 lakhs to INR 11.75 lakhs and that a marginal increase in the EMI doesn't have such a big bearing cost when it comes to the rate increase or being so much of interest sensitive in the segments which we serve.
Thirdly, from a perspective of having already been there on the rate cycle and the yields which are already low, I think the chances of probability of the BT actually reduces, that's one. Secondly, I think we work very intensely on our models to really predict the customer behaviour from a perspective of the customers' chances of doing a balance transfer.
So, the customer behaviour earlier, the model was reactive, then we got it to a steady - state model. Now it is proactive really giving us a 30 - to 60 -day period before the customer really thinks about looking at BT. As a result of which, if you look at our BT outs have been steady and not gone beyond 6 %.
Abhijit Tibrewal : So, in that case, what is resulting in the higher runoff in the book?
Ghanshyam Rawat : I think there may be some gap. Otherwise, overall basis, if we see runoff, last year was 17.2% of our opening AUM and this year also, it is 17.4% of opening AUM. I don't think there any change. Obviously, assets getting older, so in EMI, the principal comp onent get increases. Beyond that, we didn't see any change in our prepayment behaviour in overall book.

Abhijit Tibrewal : Got it. And then the last question that I had, while we have alrea

dy discussed a lot on
spreads. I'm just trying to understand going forward, I mean, are we going to work with the base case spreads of 5%? Or is there at least an internal target to increase it further in the coming quarters and years?
Ghanshyam Rawat : Our first target and our efforts are there to go back to 5% plus spread that we are working around that. As Sachinderji mentioned, our disbursement yield has already got improved 2 2 bps . We are making continuous efforts there to increase our disbursement yield. And Abhijit, you are doing analyst of this space last so many years and you will appreciate that in Aavas also, if you refer earlier falling market interest rate scenario in 2019, we were at a 5% spread. In interest rate falling mark et, we're able to have an increase spread of 50 bps . I'm not committing the same level will be in the coming year falling market but generally, it gives a positive impact on the spreads that we want to mention.
Abhijit Tibrewal : Got it. Yes, that is that is very appreciated. Thank you so much. That's also.
Moderator : Thank you. We have our next question from the line of Yash Gujarathi from Citigroup. Please go ahead.
Yash Gujarathi : Hi, Sir. Thanks for the opportunity. On the login to sanction ratio, which you mentioned, which has come down from the 42% to 38% level. So, any specific geographies contributing to it? And what trends or indicators would suggest it normalizing up to, say, maybe to 40% in a couple of quarters or something like that?
Sachinder Bhinder : So, on this, yes, there are a couple of states which are in the western part of India, specifically where we see this. And some part where we were cautious on the MFI kind of exposure and where we see the overleveraging happening. So, I think these are the broad segments and the states where we felt that it is the time to really to look at it what is right to be underwritten with the risk -adjusted returns. So, as we move into the coming months, when we see the behaviour to be right, we wi ll accelerate, and we will step up.
Yash Gujarathi : Okay. Got it, sir. And sir, on the margins front again, just to check, so only about 36% of the book is linked to repo, which would have a faster repricing. But fair to assume the other rest of the almost 50% book, there would be some time lag and yields a nd margins could be under pressure in H 1FY26 because of the time lag and eventually catch up.
Ghanshyam Rawat : Yes. Your assessment looks okay. But we have 56% borrowing is linked to repo linked, T-bill link, 3 -month MCLR link, where we see faster impact and then remaining

borrowings will eventually, when banks will start to translate repo cut in the MCLR cut, have a positive impact on us.
Yash Gujarathi : Got it. And sir, lastly, on the Op ex bit, fair to assume that it will again be elevated in the H 1FY26 as well. And just wanted to check if you have called out any specific number of branches for the full year or for H 1FY26 ?
Ghanshyam Rawat : I think it's more or less a stabilization level of Op ex to A uM. And on a full year basis, as you mentioned, there will be growth impact on Op ex side, there will be the technology transformation will also have a positive impact. So, on a full year basis, definitely, we will have a saving of 10 to 20 bps .

Yash Gujarathi : Okay. So, 10 to 20 bps savings on the Op ex to assets for the FY2 6?
Ghanshyam Rawat : On full year basis, ye s.
Moderator : Thank you. We have our next question from the line of Kushan Parikh from Morgan Stanley. Please go ahead.
Kushan Parikh : Thank you for taking my question. This is more on again, the margins. Just wanted to understand what is the current differential between the disbursement yields and the book yields? And also, I understand that we'll probably bridge this gap in the next 3 t o 4 quarters, but is there a strategy to increase the disbursement yield over the book yield? And what

would our threshold be? Will we just look for 5% plus kind of spreads or can we go even higher than that?
Sachinder Bhinder : So, there are 2 parts to it. We continued our approach to increase our disbursement yield. And as we spoke, we increased by 22 bps in the current year. Again, this is a mix of both risk -adjusted returns on the product segment the customer type and I talk about less than INR 10 lakhs, less than INR 15 lakhs, that's where we are trying to step up where you get risk -adjusted return at a higher rate.
So, this inch up on the disbursement yields really to help us to get to a level where we will be nearing our A uM. That's been guided and our endeavour is there. And we've seen that marginal increase by about 25 bps actually happening this year. Now this is aided by, again, we talked about that certain of our BRE -related stuff where we are able to get the pricing ri sk right based on the customer type and the risk which we are underwriting.
So, the mix of these 3 things actually have helped us, and we will continue to build on those segments and those areas where we are able to inch up right with the right kind of risk -adjusted returns.
Kushan Parikh : Understood. So that should mean that the spreads will continue to increase even beyond 5% or probably the mix will be stabilized at around the 5% threshold?
Sachinder Bhinder : So, we've guided for the 5 %. Our endeavor is based to really inch up our disbursement yield in the right proportion with risk -adjusted returns. Any fallout or any momentum which we get because of cost of borrowing would be an added advantage, which will be there as what earlier Ghan shyam talked about in the falling rate interest scenario, we had some spikes which happened because of the lower cost of borrowings.
Kushan Parikh : Understood. O kay. Thank you. That's all that. That was one question.
Moderator: Thank you. We'll take our last question from the line of Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta : Hi, Good Evening. Just a couple of things. Sir, you spoke about incremental business yield being higher to 22 basis points in FY25 versus previous year. But this will also have a product mix benefit in play. So, if I would ask you about incremental busines s yield in pure home loan, how much has that improved in FY25 versus FY24?
Sachinder Bhinder: I think sequentially on the different product mix, the product type, we had an inch up. So, this average out to really increasing in the overall yield. So, it was around 17 bps if I were to talk about on a normal HL portion, which had an increase in that. So, one is

the mix and second is about the incremental increase in the segments of HL, which really helped us to get the yields up.
Rajiv Mehta : Correct. And are you seeing right now competition moving down where incremental lending yield has yet either in home loan or LAP? Or do you believe that they will only move down once they see their own cost of funds going down?
Sachinder Bhinder: I think in the segments which we operate, these are primarily new to credit segments and new to mortgage segments. In these segments, we don't see unlike a prime segment where you have the rate and the rate -sensitive customer and being the playout which happens in that market.
I think, in the segments which we serve, still the space is good enough and the segment is good enough. You don't see that kind of competition which you see in the normal prime markets where it becomes interest sensitive or a rate -sensitive customer depend ing upon the areas where they operate in Tier -1 markets.

Rajiv Mehta : So, your BRE -led efficient pricing of segments should not mean that you lose some incremental market share if there is an opportunity, right?
Sachinder Bhinder: No, it will actually further add up. See, it will help us to do the right risk -adjusted return at the right kind of inching up the disbursement yield

and building up the momentum
on the disbursement with increased disbursement yields.
Rajiv Mehta : Okay. And just one last thing. Are we targeting any specific disbursement growth for home loan, just for home loan? I mean you said that you want to grow disbursement by 20% for next year ballpark. But if I were to ask you within 20% ballpark number, what is the target for home loan?
Ghanshyam Rawat : In the entire loan book and the assets and mix, basically, we have our endeavoured to maintain at home loan between MSME and LAP loan mix is a 65% :35% ratio at the loan book level.
Rajiv Mehta : Okay, get it. Thank you.
Moderator : Thank you. Ladies and gentlemen, this would be the last question for today and I now hand the conference over to Mr . Sachind er for closing comments over to you.
Sachinder Bhinder : Ladies and gentlemen, as we conclude today's earning call, I want to express my heartfelt gratitude to each one of you for your participation and engagement. The dedication of our team, the trust of our shareholders and loyalty of our customers has been in strumental in our growth.
We aspire to reach a milestone of INR 500 bn in assets under management and in the in the coming 5 years and broaden our horizons as a pan India. I express my deepest gratitude to all our regulators, stakeholders whose constant faith and support have been the wind beneath our wings. We remain optimistic about the future and are confident that our strategic initiatives will continue to drive sustainable growth and shareholder value. If you have any further questions or require additional information, please feel free to reach out to Rakesh, our Head of Investor Relations. Thanks for this.
Moderator: Thank you, Sir. On behalf of A avas finances Limited, that concludes this conference.
Thank you for joining us and you may now disconnect your line.

Call: Aug 2025

INTERNAL
Ref. No. AAVAS/SEC/2025 -26/538
Date: August 19, 2025

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter ended June 30 , 2025
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated July 29, 2025 bearing Ref. No. AAVAS/SEC/202 5-26/466 please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational p erformance of the Company for the Q uarter ended June 30 , 2025 held on Tuesday , August 12, 2025 .
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take the same on your record.
Date and time of occurrence of event/information: August 12, 202 5 and Earning Conference Call commenced at 6:00 P.M . (IST) .

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SAURABH SHARMA
COMPANY SECRETARY AND COMPLIANCE OFFICER
(ACS-60350) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

"Aavas Financiers Limited
Q1FY2 6 Earnings Conference Call "
August 12, 202 5

Management: Mr. Sachinder Bhinder – Managing Director and Chief Executive Officer
Mr. Ghanshyam Rawat – Chief Financial Officer
Mr. Ashutosh Atre – Chief Risk Officer
Mr. Rakesh Shinde – Head of Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financiers Limited Q1FY26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the com pany as on date of this call.
These statements are not guarantees of future performance, involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on a touch -screen phone. Please note that this conference is being recorded.
I would now hand the conference over to Mr. Rakesh Shinde, Head, Investor Relations of Aavas Financiers Limited. Thank you, and over to you, sir.
Rakesh Shinde: Thank you, Muskan. Good evening, everyone. I extend a very warm welcome to all participants and thank you for joining us on today's earnings call to discuss the

financial and operational performance of our company for Q 1FY26, along with the business outlook going forward.
The result and the investor presentation have been uploaded to the stock exchanges and are also available on our company website. I hope you've had a chance to review them.
Joining me today is the entire management team of Aavas. We will begin this call with opening remarks from our MD & CEO Sachinder Bhinder, CFO Ghanshyam Rawat and

CRO Ashutosh Atre. This will be followed by a Q&A session. With that, let me now hand over the call to Sachinder. Over to you, Sachinder.
Sachinder Bhinder: Thank you, Rakesh, and good evening. Thank you all for joining us this evening. I truly appreciate your presence and continued support.
Q1FY26 was a landmark quarter for Aavas, marking a pivotal moment in our journey. We successfully concluded the change in the promoter process and are proud to welcome CVC Capital Partners as a new promoter. The trust and conviction shown by CVC in Aavas is a strong testament to the strength of our franchise and the vast opportunity in the affordable housing finance sector in India. Their global perspective, institutional depth and strategic insight will posit ion Aavas to accelerate into its next phase of g rowth and innovation.
I would like to take this opportunity to express my sincere gratitude to the visionary leadership of our former promoters, Kedaara Capital and Partners Group. Under their stewardship, what began as an ambitious proof of concept has grown into a scalable institution, one that has transformed lives and made affordable homeownership a reality for thousands of families.
The quarter also marks a significant milestone in our commitment to governance, transparency and putting the customer at the center of everything we do. We've taken a historic step by transitioning to a realization -based model for disbursement recognition , a forward -looking and conservative approach that reflects our intent to stay one step ahead, aligning not just with regulatory expectations, but with their true spirit. The change offers a more accurate view of underlying business performance, strengthen s transparency and reinforces our longstanding focus on quality over quantity.
On the demand front, we are encouraged by strong traction. Logins volume grew by 17% Y-o-Y, indicating a robust underlying housing demand. In markets where we hold a higher share, we are witnessing a healthy appreciation in real estate prices, further underscoring structural demand strength.
On the credit front, we continue to maintain a cautiously optimistic stance on underwriting. While we have not observed any material deterioration in our own asset quality, we remain vigilant given cautionary signals reported by some peers in specific customer segments, geographies and risk profiles. In this context, drop in our sanction ratio is a deliberate outcome of our calibrated risk strategy and not a reflection of demand.
Our strategic focus remains on optimizing yield and credit quality. We achieved a 35 bps Y -o-Y improvement in the yield this quarter, driven by targeted initiatives to enhance portfolio mix and pricing. Recent trends are encouraging. Disbursement growth in July reached approximately 16 % Y-o-Y, demonstrating positive momentum and reinforcing our confidence in gaining further traction in the coming quarters.
We continue to maintain best -in-class credit metrics and are actively evaluating our credit framework to ensure it remains robust and responsive to evolving market dynamics. This disciplined approach helps us balance growth, yield and asset quality, posit ioning us well for the quarters ahead.

Considering the perceived stress in certain sectors of salaried class, we remain focused on the self -employed segment, where we continue to see a better risk reward profile. Additionally, our strategy to focus more on loans exceeding Rs. 5 lakh s, which typically exhibits stronger asset quality trends and portfolio behavior.
Government initiatives such as interest subsidy scheme under PMAY 2.0, combined with a supportive interest rate environment, continue to bolster homebuyer sentiment and improve affordability. I'm pleased to report that 450 Aavas customers have benefited from these schemes, receiving subsidies totaling more than Rs.15 m n.
We also want to acknowledge the NHB fo

r its continued leadership in promoting
transparency, governance, inclusion, diversity and capability building in the sector.
We are proud to share Aavas has won the Product Innovation Award at NHB's inaugural Housing Finance Excellence Awards 2025.
Returning to our operations. While the transition to realization -based accounting has

meaningfully impacted our sanction to disbursement ratio, we are now seeing signs of normalization. In fact, July disbursement grew 16% Y -o-Y, reflecting a gradual return to our business -as-usual levels.

Our AUM grew 16 % Y-o-Y despite a softer disbursement quarter impacted by a change in disbursement recognition in Q1. Based on the current trends, we now expect the full year's growth in the range of 18 to 20 %. While we remain confident of a rebound starting Q2, we will have better visibility on overall growth as we progress further into the year and continue to pursue our objectives with prudence and discipline.

In terms of our distribution strategy, we are beginning to see positive results from our diversified approach. We have successfully empaneled digital partners such as CS C, eMitra and India Post Payment Bank, all of which are contributing to a robust and diverse lead generation pipeline. I'm pleased to share that within less than a year of onboarding CS C, we are already receiving more than 1,000 + monthly logins , a strong indicator of potential in this partnership.

Additionally, we are continuing to strengthen our distribution network with plans to open 10 new branches in September . As highlighted earlier , our strategy this year is to front -load branch expansion in the first half (H1) rather than concentrating opening in the second half as in the previous years. I'm also pleased to share that we are entering a new state, Tamil Nadu and all 10 of these upcoming branches will be located there.

As we look ahead, our long -term strategic priorities remain clear: to fully leverage our strong digital and operation platforms, further strengthen governance, drive scale efficiently, optimize cost and enhance productivity across the organization.

With that preamble, I would like to take through our quarterly performance.

We have delivered an AUM growth of 16 % Y-o-Y, reaching an AUM of Rs. 207 bn.

During Q1FY2 6, we disbursed loans worth Rs. 11.5 bn, maintaining our focus on quality origination.

Our net profit for Q1FY26 grew by 10 % Y-o-Y to Rs. 1.4 bn, led by robust 16 % Y-o-Y growth in NII on account of healthy improvement in spreads. Our net worth continues

to compound steadily, growing at 16 % Y-o-Y with the strength of our capital position driven by consistent compounding internal accruals.

Our spread improved sequentially by 22 bps to 5.11%, while our calculated spread rose by 16 bps to 6.03% in Q1FY26. Reported NIMs expanded by 16 bps during the quarter to 7.48 %.

Continued focus on low -ticket, high -quality underwriting has led to a 35 bps increase in the incremental business yields. The opex to asset ratio declined sequentially by 25 bps to 3.46%. On a Y -o-Y basis, the increase is primarily due to a higher ESOP cost. Adjusted for this, the ratio would have been 3.34 %.

Our asset quality continues to be pristine with 1+ DPD of less than 5 % at 4.15% as of June 2025, while GNPAs was 1.22 %. The sequential uptick in the delinquency is seasonal and has already moderated with 1 + DPD falling below 4 % in July. Credit costs remained with the guidance of 24 bps. We continue to maintain our guidance of keeping credit costs below 25 bps on a sustainable basis.

ROA stood at 2.94 %, while ROE at 12.56%, reflecting the impact of strategic investment and ESOP related investment in talent.

We remain committed to delivering quality, profitable and sustainable growth powered by technology, efficiency and cost optimization with a robust risk management framework, deep and diversified distribution network and the s

trong

execution capabilities o f our experienced team, we are confident of achieving our strategic milestones and delivering the long -term value to all stakeholders.

With that, ladies and gentlemen, I conclude my prepared remarks, and I would now hand over to our CFO, Ghanshyam Rawat, to discuss the financials in detail.

Ghanshyam Rawat: Thank you, Sachinder ji. Good evening, everyone, and a warm welcome to our earnings call. To provide update, first, we're covering our borrowing. I'm pleased to share that we have received a fresh sanction from the National Housing Bank, a fter a gap of 1 year , and we successfully completed a drawdown of Rs. 2 bn in this quarter. This will further provide cushion to cost of borrowing s and strengthen our funding position.

Our ability to reduce the cost of funds reflects the strength of our one of the most well diversified and resilient liability franchises in the industry. Staying true to our strategy of innovation in sourcing , we anticipated a potential easing in interest rates and proactively shifted a meaningful portion of our borrowings to EBLR -linked instruments. This forward -looking approach is now delivering results with our

liabilities repricing faster than those of man y peers.
As a result, we have already seen a 22-bps reduction in our overall cost of borrowing from EBLR -linked borrowings with incremental borrowing now being raised at even more competitive rates. We expect continued downward pressure on our overall cost of funds as w e scale up borrowing through the se channels.
We continue to borrow judiciously, raising around Rs. 17.03 bn at 7.82% for Q1FY26. In this quarter, we raised NCDs amounting to Rs. 4 bn from marquee institutions. Our average tenure of borrowing continued to be longer than that of our assets, ensuring a very positive ALM across all-time buckets .

As of 30 June 2025, total outstanding borrowing stood at Rs. 182.86 bn. The borrowing mix as of 3 0 June 2025 comprised of 49% from term loan, 25% from assignment, 14% for NHB refinancing, 11% from debt capital market.
T- We have 38% borrowing linked to external benchmarks such as the repo, Bill and MIBOR, 20% linked to sub -3-month MCLRs, enabling faster repricing of nearly 58% of our total borrowing in line with the interest rate movements.
Lender support remains strong as Aavas continue to evolve . We maintain access to diversified and cost -effective long -term funding. Our relationship with development financial institutions remains robust, supporting our strategic funding goals.
As of 30 June 2025, we maintained ample liquidity, including cash and cash equivalent of an unavailed cas h credit limit of Rs. 18.77 bn and d ocumented unavailed sanction limit of Rs. 25.98 bn.
During the quarter, our cost of borrowing declined by 22 bps Q-o-Q to 8.02%, driven by proactive liability management and repricing benefits.
Now profitability and capital position. Our net interest margin in absolute terms grew by 16% Y-o-Y in Q1FY26. Net interest margin as a percentage of total assets expanded by 17 bps Y-o-Y to 7.48% in Q1FY26. We remain well capitalized with a net worth of Rs. 45.1 bn and capital to risk -weighted assets ratio (CRAR) is 43.2%, significantly above the regulatory requirement s.
Now I would hand over to line to our CRO, Mr. Ashutosh Atre, to discuss the assets quality.
Ashutosh Atre: Thank you, Ghanshyam ji. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you .
Aavas is strongly positioned to continue delivering industry -leading asset quality. Our asset quality remains within the guided range with 1 +DPD well below 5% at 4.15% in Q1FY26 and Gross Stage 3 and Net Stage 3 under 1.25%, stood at 1.22% and 0.84%, respectively. We did observe some seasonal upticks in delinquencies during the quarter as is typical in the first quarter. However, 1 +DPD levels have already s

hown
normalization trends in July, reinforcing our confidence in the stability and resilience of the p ortfolio.
In terms of geography, average 1 +DPD and GNPA in our home state continues to remain well below 4% and 1% of AUM, respectively . Whereas some emerging states of North continue to have 1 +DPD and GNPA well below 3% and 1% of AUM, respectively.
Similarly, in terms of ticket size of more than Rs. 5 lakh, 1 +DPD and GNPA remained well below 4% and 1% of AUM. Our total ECL provisioning, including that for COVID -19 impact as well as Resolution Framework 2.0 stood at Rs. 1.14 bn as of 30th June 2025.
Our disciplined underwriting standards, coupled with the proactive risk management framework, have enabled us to stay ahead of emerging macroeconomic challenges. While several peers have reported asset quality pressure due to sectoral or regional headwinds, our portfolio has remained resilient.

We continue to follow a rigorous credit assessment process; stress tested across multiple economic scenarios and remain selectively calibrated in our exposure to high -risk segments. This approach has helped us preserve asset quality, which continues to rank among the best in the industry.
Barring few isolated pockets, we are not seeing any broad -based credit quality concerns. Our early warning systems remain stable. And with credit performance well under control, we expect growth to start picking up in the coming quarters.
With this, I open the floor for Q&A session.
Moderator: Thank you very much. We will now begin the question -and -answer session. The first question is from the line of Kunal Shah from Citigroup.
Kunal Shah: So firstly, in respect to disbursements, so you indicated because of change in the recognition, the way now we are doing it with the credit to the customers. So, would

this have the recurring effect over the next 2, 3 quarters and for the entire fiscal as well or do we expect that whatever business maybe we were not able to book it in 1Q, that would happen in 2Q and 3Q, and we could see a relatively higher run rate of disbursements over the next 2 quarters? And just to clarify, this 18% to 20%, which you highlighted for FY26, that was with respect to disbursement growth or AUM growth?

Sachinder Bhinder: Yes. Thanks, Kunal. To answer on the 18% to 20%, that is the AUM growth, which I referred to. Secondly, you are spot on, on saying that whatever we've had because of this realization , as one of the metrics, we will cover that up in Q2 and Q3. This is a ruling impact which happens because we had , including the che que cut, if you would look at, we would have had been in a double -digit kind of a scenario on the disbursement. But as we trend into the new quarters, which are Q2 and Q3, we will see that it's settling down.

Kunal Shah: So, when you say like July disbursements are growing at 16 -odd percent. So , what is the run rate now in terms of the absolute number?

Sachinder Bhinder: So, on a run rate, we are anywhere close to Rs. 600 crores, if I were to really put that in perspective, Rs. 550 crores to Rs. 600 crores is the current run rate, which is there.

Kunal Shah: So, July we have got to Rs. 550 crores, Rs. 600 crores?

Sachinder Bhinder: Yes, that's the range. So , as we speak, we have 16 % Y-o-Y. And these are , Kunal, fully che que realized, which we're referring to.

Kunal Shah: Yes. So , compared to maybe less than Rs. 400 crores, which is there on average for 1Q, we are back to Rs. 550 crores, Rs. 600 -odd crores?

Sachinder Bhinder: Yes, spot on.

Kunal Shah: Yes. And secondly, maybe we saw one of the peers getting the credit rating upgrade. So, I wanted to check with respect to credit rating.

Ghanshyam Rawat: As we are above Rs. 200 bn of AUM. Assets quality is pristine at 1+ and 90 +. Our lifetime write -off is one of the best in the industry, which is just 11 bps . On the liability side,

we are one of the best franchises . So, by seeing all these things, we are quite optimist ic, and we are engaging with the rating agencies. Our existing rating agencies

are CARE and ICRA. We are engaging with both . And we are hopeful they will take up our case positively.

But ultimately, we want to say , all rating agencies are very independent rating agencies. It is their own decisions while assessing every company. But as management , we feel confident our case is due for rating positive lookup in the coming quarter.

Moderator: The next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: My question was on asset quality front. So , while there are some green shots as you highlighted visible in the month of July. But if you look at the 1Q performance versus the other 1Q performances, the DPD deterioration has been much higher. So, what would you attribute this relatively higher deterioration in the DPD movement or even, let's say, GS 3 numbers? And I think you also highlighted there are some pockets where relatively the DPD deterioration has been much higher. So , which are these pockets?

Sachinder Bhinder: Thanks, Shreepal. There is a 14-bps Q-o-Q increase in the GNPA , and this is largely seasonal in nature. So historically, Q1 tends to show some movement in delinquencies due to timing factors. And typically, we see recovering starting in Q2 with normalization by Q3 and Q4 well within our guided range.

As for the 1 +DPD, it has risen approximately 76 bps Q-o-Q. Again, this is primarily seasonal. Encouragingly, we've already seen a reversal in July, which has close d below the 4 % mark, indicating the trend is stabilizing.

From a geographic lens, we had highlighted a few markets where delinquency showed some spike. In response, we have proactively tightened credit norms in those areas. I would like to emphasize that there's nothing alarming. We understand these markets well and are familiar with their cyclical patterns.

Furthermore, we've already seen early resolutions happening in the current quarter and are confident of a rollback in delinquencies in Q2. Lastly, since we report GNPA on the loan book and given that the book size doesn't grow meaningfully this quarter, there is always a 2 to 3 bps impact from a denominator effect, which has slightly exaggerated the GNPA ratio.

Shreepal Doshi: Got it. Sir, which pockets are the , if you could highlight that will be very helpful.

Sachinder Bhinder: Yes. On the specific pocket , as earlier spoken by our CRO, we are seeing some part of that in Maharashtra, MP and a little bit on Karnataka.

Shreepal Doshi: Got it. And sir, my next question was to Ghanshyam, sir. What percentage of our bank borrowing is linked to repo and T -Bill? I recall you said it's higher percentages, but

what percentage is it?
Ghanshyam Rawat: We have around 38% linked to repo and let's say, T -Bill and other EBLR -linked benchmarks , which is truly driven by how the rate of interest is moving interest rate scenario.
Shreepal Doshi: So, 62% is linked with the MCLR?

Ghanshyam Rawat: Not 100% . Out of that balance is roughly 24% - 25% linked to up to 3-month MCLR basically, 1 -month MCLR. So , those are faster moving buckets when banks start to pass on the transition repo link on the MCLR front.
Rakesh Shinde: Shreepal, 38% is linked to EBLR, 22% is fixed and 40% is linked to MCLR.
Shreepal Doshi: Okay. Got it. And one last question. On the NHB borrowing front, what was the rate that you were able to garner these funds?
Ghanshyam Rawat: Generally, when NHB give the loan , it gives under various schemes like Pradhan Mantri Awas Yojana , women ownership empowerment fund which they have. But on average , it comes roughly 7% depending upon what rate they are giving that quarter.
Shreepal Doshi: Okay. Because in previous quarters, you had highlighted that there was not a material difference

between, let's say, market -linked borrowing versus the NHB because the NHB itself does not have much of the funds from the funded schemes. So , I think now you are saying that there is some benefit under from these schemes ?
Ghanshyam Rawat: Yes. NHB borrowing is always an important piece of funding as it is a long -term borrowing. Yes. But after reduction in repo rate, 3-year , 7-year AA, AA+ rated paper has also brought down to 7.5% in the market.
Moderator: The next question is from the line of Chintan Shah from ICICI Securities.
Chintan Shah: Yes. So firstly, sir, on the disbursement front, so given that we have moved to a realization -based model, had we not moved to this model, then what would have been the disbursements for the quarter?
Sachinder Bhinder: Yes, Chintan. As highlighted in my opening remarks, Chintan, the primary reason for the impact of the quarter has been the operational shift and how we recognize the disbursement. Starting Q1, we had moved to che que realization -based recognition process. This means as we now record disbursements only once the funds are credited to the customer's account rather than at the time of che que issuance. This change has led to the significant drop in our sanction -to-disbursement conversion ratio, which declined by ~10% to <75%.
Typically, once a che que is handed over to the customer, it takes about 15 to 30 days to get credited depending upon the specific cases and specific geographies and the type of transaction. As a result, Chintan, any che que which is issued close to 15th or 20th of the month may get realized within the same month, effectively pushing the month end for recognition purposes earlier than actual calendar month end. Having said this, it is also important that certain product categories such as MSME and LAP under our NHL segment were not impacted. They operate on 100% RTGS disbursement. In home loan products like self -construction, plot plus construction also saw a lim ited impact. However, categories like builder purchase and resale purchase were more severely affected due to the che que -based disbursement structure. From a business activity perspective, if we would have had the same one, we would have been in double -digit growth .
Chintan Shah: Sorry, double -digit growth on the disbursement versus 5% Y -o-Y decline, right?
Sachinder Bhinder: Yes. Right.

Chintan Shah: Sure. That's on a Y -o-Y basis. Okay. Sure. Got it. And sir, on this builder finance, how much contribution in our disbursement would be from the builder finance?
Sachinder Bhinder: So, this is not about builder finance. It is a purchase where the person is buying based on the allotment by the builder or a resale purchase. And as you would appreciate, this takes its own time. And by the time the che que realization happens, it has a definite period of anything where it ranges from 15 to 45 days depending upon the geography, the location and the type of transactions.
Chintan Shah: Yes. So , I mean to say that builder finance means wherever we are financing to the customer who has purchased from the builder, like typically, this disbursement would be like 15%, 20% of the total disbursements .
Sachinder Bhinder: No, it's about 5 to 10 %, not more than that because we are there in self -construction individual house and primarily in Tier 3 to Tier 5 markets. So , this is not one of the builder supply -led kinds of market that we focus on.
Chintan Shah: Sorry, I just missed that number. You said 5 % to 10%, right?
Sachinder Bhinder: Yes.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Sir, 2 things . Sir, first thing is just trying to understand from what you have reported in

terms of yields, it looks like we have not done any PLR changes during the quarter. So just trying to understand in July and August, have we made any PLR change

s?

Sachinder Bhinder: No, we've not made any PLR changes in the quarter.

Abhijit Tibrewal: Got it. And what's the thought process like now? I mean we will also be reviewing sometime in the third quarter is what most of your peers have shared. Is that the same thought process we also have that PLRs will be reviewed sometime in the third quarter?

Ghanshyam Rawat: As you see, our cost of borrowing, we have seen a 22-bps improvement Q-o-Q. And we want to see another one more quarter how the entire cost of borrowing pans out. Then accordingly, I think we will take, as you rightly said, somewhere second quarter end or in third quarter, we will see how the overall transition of reduction in interest rate by RBI is panning out in overall cost of borrowing, overall lending profile. Accordingly, we will decide at that point of time.

Abhijit Tibrewal: Got it, Ghanshyam ji. And then the only other question, Sachinder sir, that I had was on asset quality. It has already been discussed by a few participants earlier. But what I'm trying to understand, I mean, we have always come across as an affordable hous ing franchise, which has the best infrastructure or collection franchise. And despite that, I mean, a 76-bps Q -o-Q deterioration in 1 +DPD, if my memory serves me right, only during the second COVID wave, did we see such kind of deterioration. So , beyond the seasonality, right, and you also shared that things are looking better, the 1 + DPD number has declined below 4% in July. But we've seen this kind of deterioration, which was more pronounced than just seasonality in this quarter. So , can you share with us in this broader forum, what is led to this in your view? And what is now kind of leading to recovery? Because a lot of times, we hear this is because of macro economy, a weak macro, right? But macros have not really

improved in the last maybe 1 or 2 months. So , what is it that led to this? And in your view, what is kind of leading to the recovery now?

Sachinder Bhinder: See, on the part of 1 +, when you're referring to the COVID, it had ranged beyond 7 %-8%. So , we never crossed 5 % on our side as far as the 1 + is concerned. And as we speak, I already highlighted , in the month of July, which I have gone on record to say that we've pulled back and 1 +DPD levels have really shown normalization in July. So, there is confidence in stability and resilience. That's point number one.

Point number two , in our some of the geographies which I have highlighted are average, which are our home state, which is the bulk of our AUM plus the northern states where 1 + is below 4 %, GNPA is below 1 % of this. Some of the states which I earlier highlighted in the call, which is Maharashtra, some parts of M adhya Pradesh and a little bit of Karnataka have really shown the spike. And some part was seasonal and some part there, we've pulled back on the credit side and really tightening our norms to the segment which we serve . And specifically, if I were to talk about it, it is in less than Rs. 5 lakhs segment, which we've seen the elevated levels.

Abhijit Tibrewal: Got it. And sir, just a follow -up there. In the state of Gujarat, particularly Surat or somewhere, we're not seeing anything unusual?

Sachinder Bhinder: No, we've not seen anything -- any unusual or material deterioration as far as that is concerned, whether it is Surat or whether it is any of the locations in Gujarat. And these also , we are cognizant of the fact, and we are confident of really pulling it back as we trend in this quarter. And some of the green shoots, as already highlighted, are the 1 + claw -back, which has happened.

And Q1 typically seasonally actually had moved up. So , 2 or 3 factors which led to that, but July is really the data, and our numbers really talk about what we've really put in and our efforts really fructifying into crystallizing the efforts and pulling it back. And

as a credit first and the risk first institution, we always believed quality over quantity. So, if you look at the perspective of these states, where sanction ratios will be well below the other home state and the states where we have function ed. We've tightened our credit bucket. We've tightened our qualifiers when it comes to the segments, the geographies and the products.

Abhijit Tibrewal: Got it, sir. And sir, lastly, if I can ask, you shared that this is a onetime impact, and we understand something similar in 1Q of last year, where RBI had come out with a circular right, wherein we said that only after the che que is handed over, should we recognize disbursement. I'm glad this is one step forward now where we say only when the money gets credited to the customers' account is where we will show it as disbursement.

But just trying to understand on a rolling basis, right, I mean, while 2Q, 3Q will be better, but whatever we lost out in 1Q, how will they be made up? Because whatever you may be hand over in terms of che que s in the month of February or March, they will eventually get in cash or credited only in April next year?

Sachinder Bhinder: So, I think as you start building upon that kitty of che que , which is cut depending upon the transaction, there is a rollover period which starts moving across. It's not that the disbursement is lost. When we say that there's already a che que , there's a

transaction which has to be completed depending upon the type of transaction, as re-sales , as builder purchase as a part of those transactions, it takes its own time. So, unlike normal times , we would have been wary of the fact that there were no che que cuts, if there were no disbursements really on the level of che que cuts not happening, would have been a concerning point . So , you build across a pipeline, and you build that pipeline and the pipeline has a rollover impact coming across depending upon when it gets credited and when it gets realized in customers' account. So yes, the Q1 had an impact. But Q2, Q3 onwards, it will have a rolling impact, which would be there.

Aavas has always believed in governance and quality first. And I think this is a historic step to really go across and get this on ethic. It's a big change for the distribution, for the teams and for us as well. But we believe what is right from an institutional perspective, from a governance perspective, from a fair practice for customer transparency, it's a bold step by Aavas as an institu tion.

Moderator: The next question is from the line of Bhavesh Kanani from Svan Investments. Yes, Mr. Bhavesh, go with the question, please.

Bhavesh Kanani: Yes. Sir, just curious on this realization impacting the disbursements. While we are using che que as an instrument to disburse the money, any reason why we are not pushing out disbursement to, let's say, NEFT, IMPS route so that the credit is faster? And even the period that you mentioned, 10, 15 days before which the che que is credited, that sounds unusually longer than one would expect. So , this is one.

And second, more of a clarification. You mentioned that the 1 +DPD sequential increase , we have seen is already normalizing in July. So , should we expect Q2 , 1+DPD number to be flat Y-o-Y?

Sachinder Bhinder: See, I'll answer your 2 questions. The first question is on the type of transaction. If you look at -- I highlighted, when the transaction type is typically an MSME or a LAP or a top-up wherein the RTGS space or where the construction is there, self -constr uction, the first disbursement tranche is happening, those are the ones which will go through as far as RTGS is concerned.

The nature of transaction when it is a resale and as you will appreciate, resale has its own time between the buyer and the seller negotiating, the time when he gets a token for registration, all that, it's a long -drawn process, which really builds ac

ross when it comes to building the che que getting issued, getting realized. It is subject to the transaction really going through. So that is the nature of the transaction of resale or in the case of fresh builder purchase. So , these are the typical 2 transac tions where you have to really hold on to the time. And certain geographies like Gujarat, Maharashtra and other places like Karnataka was there, where e -Khatas and others had a long - standing queue when it came to completing the transaction. So those are very nature of geography and the nature of the places which you really operate in.

So primarily, the type of transaction and the nature of the normal Sub -Registrar Office really defines how much time it will take. But the positive side, if you look at it, even with that, neither do we charge any interest to the customer nor we realize th at from a disbursement perspective. So , we are neutral on that actually.

Bhavesh Kanani: Got it, sir.

Sachinder Bhinder: Yes. Second question of yours on 1 -day DPD, 1 -day DPD July is lower than the last year Q2. And I already highlighted that it is below 4 %. And with our efforts and understanding of risk and credit and part of it, we are confident of rolling it back and being in a guided range of less than 5%.

Bhavesh Kanani: I understand, and I appreciate the confidence you have of rolling it back. Just want to get it specific that when we say roll back, are we confident of getting back to Q2 last year?

Sachinder Bhinder: Yes, yes, that's what we said that we remain in the guided range of less than 5 %. And one of the green shoots clearly, I already talked about are the July numbers which are on recor d. So that gives us confidence .

Bhavesh Kanani: Sure. Sir, just last one on the same point. While you explained the geographical perspective of where this 1 + DPD deterioration is coming from, any common thread from borrowers' profile perspective, which could have led to this sequential

movement?
Sachinder Bhinder: I think one thing which is clear -cut spanning out is less than Rs. 5 lakhs, if I were to look at in these geographies. But that's not the case in the other geographies like Rajasthan, Haryana, Delhi and UP, which I mentioned. These are the geographies in Maharashtra, MP and Karnataka, so to say, which is less than Rs. 5 lakhs, which we've seen the spike in elevated levels when it comes to the ticket size.
Bhavesh Kanani: Any common thread on occupation type of the borrower, which may be more impacted than the others?
Sachinder Bhinder: Nothing specific, which we really have been able to figure that out. So , it is less than Rs. 5 lakh segment, which is hitting, and smaller cities in the smaller ticket size, which is there.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital.
Raghav Garg : I have 2 questions. One, I noticed that your employees per branch, that number has been going up since last 2 quarters, which is leading to higher growth in employee expenses also. So, I wanted to understand what is your strategy in terms of branch staffing and why have we increased people at the branches in the last 2, 3 quarters? That's my first question.
And then my other question, in this same backdrop, how do you continue to deliver on opex efficiency because now you're saying 18%, 20% AUM growth but with probably a higher employee base? Those are my 2 specific questions.
Sachinder Bhinder: Thanks, Raghav. See, on your question of the employee increase, if you look at the Q4, we added branches in the last Q4 that had an increase in our employee strength.
And going forward, we will add new branches in Tamil Nadu, as I spoke on the call. So this front -loading of the thing is not where we've already had the branches, so we had to put the manpower in place.
Raghav Garg : Sorry to interject you, but I've been looking at this trend of employees per branch, which i

s a simple calculation of employees divided by branches, whereas some quarters ago, that number used to be, say, 15 -16, now it has come up to 18. And hence, the question on employees increase in our branches.

Sachinder Bhinder: Raghav, I really appreciate your question. See, if you look at -- we never had the earlier tie-ups of digital fulfillment like CS C, eMitra and the India Post Payment Bank . The CSC is the one which is a new tie -up which is there, and which has started giving us green shoots. So that required for a fulfillment perspective, the staff to be there to handle that channel and to engage and to get the business out of that channel. So, I think that's one part as far as digital channels are concern ed, addition of the manpower.
Secondly is on the branch side. So, these 2 cumulative added actually has increased the manpower, and we have not added manpower compared to -- if you look at last 2 years, we never added manpower, rather, we continued the one. This is a time when the channel addition happened and the branc h addition happened.
And last 2 years, we've been into a transformation and transition phase. We completed with that. Now with growth and expansion of the states and the geographies in place, that's going to be our focus areas.
Raghav Garg : Sir, understood. But coming back to the original question, while good to see that you're adding employees and you're adding channels, but it is also resulting in a higher growth in the employee cost versus the AUM growth, which is negating the opex efficie ncy manifest that we understand, right? So, I wanted to understand from that perspective also that you're guiding for AUM growth, but also with a higher employee base and probably higher employee cost.
Sachinder Bhinder: Yes. So, Raghav, we will really appreciate when you put across the branches, we should , as a franchise in the last 2 years, we were flat on the employee side. Once we've added the channels, we have added the branches, we've added the employees as a result of which , their conversions or their really productivity doesn't set in, in the first couple of months, right? So, I think we'll have to give the time really for the channel as well as the branches really to complete and increase the productivity rates. While I look at it as an investment in our employee base, which we will be able to monetize in the coming quarters. We are confident on that.
And we continue our view of cost optimization, which we've continued monitored across saying that we'll try to be operationally efficient. So , this is the current investment, which is there to support the business growth.
Moderator: The next question is from the line of Harshit Toshniwal from Premji Invest.
Harshit T oshniwal : Sir, I just had one question to understand it better that there would be a point of time from which we would have changed the disbursement recognition, say, somewhere in the start of the 1Q, if I assume. Then am I right in the assumption that our 2Q

number will be higher than a regular because there will be some flow -through from the end of the 1Q flows and 2Q will remain the way it is?

And in that context, should we assume that if you say, for example, look at the H1 disbursal post 2Q versus the H1 disbursal last year, then it will be a like -to-like comparison itself. And am I reading it right that it's just a Q1 disbursal shifting to Q2, that is the only impact of the change and H1 versus H1 will be same compa rison?

Sachinder Bhinder: Yes, you're spot on, and you articulated it very well. The one, which is the rollover of Q1 will have an impact and rolling positive impact on Q2 and the real comparison

would be H1 versus H1. So, spot on, on your value of evaluation and articulation of the quantum of the rollover.

Harshit Toshniwal : Understood. So, sir, just on the July number, which you said Rs. 600 crores, then…

Sachinder Bhinder: Rs

. 550 crores to Rs. 600 crores.

Harshit Toshniwal : Right. So that is having that advantage of some flow -through from June.

Sachinder Bhinder: Yes, right.

Harshit Toshniwal : Okay. Got it. And the second -- yes, sorry.

Sachinder Bhinder: See, as you rightly pointed out, there is some part of che que cut. As I talked about, it takes somewhere between 15 to 30 days and some transactions 30 to 45 days. So , some which got in the month of May got in June, some part of latter end of May got in the first week of July. And June really transformed and rolled back to the month of August. So , there is a lowering impact, which really comes in.

Harshit Toshniwal : Got it. Sir, even though I'm just trying to clarify myself itself on Y -o-Y basis, will it be like-to-like comparison or not is what I'm thinking? Because will it be or not is the one question. And second, sir, also to add to it that if you look at the indu stry, other players itself, I'm not asking names or etcetera, but are we the only one who are following this right now or has the industry already shifted to a large extent? I'm not sure if some other player would have commented on this point itself, but just wanted to get your understanding?

Ghanshyam Rawat: We can't comment on the industry. I think everybody has their own way. But as Aavas, we always believe in the best level of governance and fair practice when we deal with our customers. So , we discuss at a Board level and Board has also guided us it's better to transit from che que to real money when we put in the pocket of a customer on that day, we did the disbursement as well as we charge the interest from that day. It has impact on the business. As Sachinder ji, I think mentioned, and I think 1 or 2, 3, 4 questions have come on this topic, and I think we tried from our side to answer that questions. But it has impacted our business in this quarter. And then after it created an opening buffer, then rolling buffer will help us to maintain our business in Q-o-Q.

Harshit Toshniwal : Got it. Sir, one final thing, if I may ask just one last question, that our employee per branch of 18, so to Raghav's question, there is slight increase, but I'm saying that if I compare it to any other peer, that number is around 11, 12 at best, I think e ven for the peers also that 11, 12 number is I'm seeing is at the highest one. I'm just trying to understand that is there a rationalization program or what could be the reasons that our employee per branch is so high to that extent?

Sachinder Bhinder: So, if you look at our direct distribution model, the majority is direct distribution. In the direct distribution model, the employee on roles would be higher than what typically intermediate -led or channel -led kind of distribution would happen. So that's the primary difference when you compare to the cohort which yo u are really comparing with. So, this has a positive impact. If you look at from the perspective of 2 things I would clearly highlight is the quality which we demonstrate over a period of the last 13 years. Second is on the BT out because it's direct source, the control of the

customer with us is much more pronounced with us. So , as a result of which our BT out percentage is the lowest at 4.9 %.

Harshit Toshniwal .: Sir, I was just looking at the calculated repayment rate, sir. If I just do a basic calculation, then that 16%, 17% of annualized run rate, repayment rate is something which is very similar across all players. And so , I'm just trying to differentiate. I'm not sure within that repayment, obviously, it will be some BT out, some regular payments. But I'm just trying to understand that then even if we look at the other peers, there the intermediate channel would be a part, but direct would be a larger part of the sourcing is what our understanding was that. So , I'm just trying to understand that from your perspective, is this 18 is ju

st a matter of the business model or there is more to do with it and more related to efficiency, which we have room to improve in that case?

Sachinder Bhinder: So, I think there are 2 points. One point is on the BT out. If you compare it with the

cohort, which is there, I think you would really have the numbers, and I can really tell you with confidence that we would be the lowest at 4.9 % of the BT out.
Secondly, I think from the perspective of referring about 18 % of that, that's a function of how much the part prepayment on those really happening fast. But the comparison is the normal rundown, which is on the tenure. Second is a part prepayment and third is the BT out. I think that component, which we are very watchful, and we are mindful is the lowest, which is at 4.9 %.
And as you really build the digital channels, others which are direct sourced, but sourced through one requires manpower and requires a field force really to complete that. And a certain part of it really starts investing earlier than finally giving you that productivity.
Moderator: The next question is from the line of Sanket Chedda from DAM Capital.
Sanket Chedda : Yes, sir, just to allude on the previous question that this Q1 disbursements were weaker than last Q1. And if you put together the first half for last year and this year, you mentioned that it would be similar. Is that right?
Sachinder Bhinder: What similar, Sanket , come again?
Sanket Chedda : So, first quarter disbursement is slightly lower than last year's first quarter. But as Harshit highlighted that maybe Q2, if you include Q2, then first half of this year will be similar to first half of last year in terms of disbursement to which ordered?
Sachinder Bhinder: No, we talked about that comparable ones will come across where you have the rollover of the first quarter coming to quarter 2. We've not told that H1 will be equivalent to H1 of last year. So , if that is the impression which you are holding. H1 to H1 will be higher.
And one we've gone out and talked about July -to-July comparison, which was there.
So, I went on, Rs. 550 crores to Rs. 600 crores is the disbursement, which is there, which is 16 % compared to the previous July, actually, if you were to really look at it.
Sanket Chedda : Okay. And this July, the disbursements have grown 16% over last July?
Sachinder Bhinder: Yes. And we are confident , because of this rollover and others in July, August, September, we are confident of growth , which is in range of double -digit growth.

Sanket Chedda : Okay. And sir, full year loan growth guidance you alluded to would be 18%, 20%. The similar run rate we should assume on the disbursement.
Sachinder Bhinder: Yes. See, we have guided the AUM growth, and we are confident with our kind of efforts in quarter 2 really giving us a good upside. We will continue to be in the range of 18% to 20% of the AUM side.
Sanket Chedda : Okay. And this is for this year or maybe going ahead also, this is a new normalized level of growth guidance that you would carry?
Sachinder Bhinder: So, I think once we stabilize, if you look at the Q1, so Q1 really cover up doesn't happen as you really would appreciate. As we get into the next financial year, we come back to our guidance of between 20 -25% once this everything settles down.
So, I think if you look at last couple of years, the tech transformation, the transition and this bold step of doing what is right from a fair practice code and customer transparency, all that settling down . That impact would get finally over in the current financial year. And the next financial year, we would look at 20 -25 % of AUM growth.
Sanket Chedda : Sure, sir. And lastly, last year went into tech upgradation and we did expect some operating efficiency to kick in maybe going ahead. Do you see that coming anytime soon in this year? If yes, how much of opex benefit that we should ass

ume maybe this
year o r next year?
Sachinder Bhinder: I think we continuously focus and guide across getting the tech transformation and something which we've done over a period . If you look at the 3 clear -cut demonstrable ones was the TAT, which has come down from 13 days to 6 days. If this tech transformation not been there, doing this online disbursement, realization disbursement would never have been possible for us.
I think that is a move forward, which is helping us to do what we are doing at this period of time because of the underlying tech, which is available to us, giving us good governance, compliance and customer transparency for our transitioning.
With everything done and dusted with us from a tech transformation perspective, from a perspective of transition, we are there to really get that growth coming back and going ahead. And again, doing whatever is required from a cost optimization perspectiv e as we start seeing that green shoots really coming across, we will continue to guide that we will work across towards the cost optimization, which is led by technology, keeping risk and quality intact.
Moderator: Ladies and gentlemen, as that was the last question for the day, I will now hand the conference over to the management for the closing comments. Over to you, sir.
Sachinder Bhinder: Ladies and gentlemen, as we conclude today's earnings call, I want to express my

heartfelt gratitude to each one of you for your participation and engagement. The dedication of our team, the trust of our shareholders and the loyalty of our customers have b een instrumental in our growth.

I express my deepest gratitude to all our regulators and stakeholders whose constant faith and support have been the wind beneath our wings. We remain optimistic about the future and are confident that our strategic initiatives will continue to drive sustainable growth and shareholder value. If you have any further questions or require

additional information, please feel free to reach out to Rakesh, our Head of Investor Relations.

Thank you and have a wonderful time ahead. God bless.

Moderator: Thank you. On behalf of Aavas Financiers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you .

Call: Nov 2025

INTERNAL
Ref. No. AAVAS/SEC/2025 -26/815
Date: November 1 7, 2025

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter and Half Year ended September 30, 2025
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated October 29, 2025 bearing Ref. No. AAVAS/SEC/202 5-26/765 please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational p erformance of the Company for the Q uarter and Half Year ended September 30, 2025 held on Tuesday , November 11, 2025 .
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take the same on your record.
Date and time of occurrence of event/information: November 11, 202 5 and Earning s Conference Call commenced at 6:00 P.M . (IST).

Thanking You,
FOR AAVAS FINANCIERS LIMITED

SAURABH SHARMA
COMPANY SECRETARY AND COMPLIANCE OFFICER
(ACS-60350) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

“Aavas Financiers Limited
Q2FY2 6 Earnings Conference Call ”
November 11, 202 5

Management: Mr. Sachinder Bhinder – Managing Director and Chief Executive Officer
Mr. Ghanshyam Rawat – Chief Financial Officer
Mr. Ashutosh Atre – Chief Risk Officer
Mr. Rakesh Shinde – Head of Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financiers Ltd H1 and Q2FY26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call.
These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in a listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note, this conference is being recorded.
I now hand the conference over to Mr. Rakesh Shinde, Head Investor Relations of Aavas Financiers Limited. Thank you, and over to you, sir.
Rakesh Shinde: Thank you . Good evening, everyone. I extend a very warm welcome to all participants

and thank you for joining us on today's Earnings Call to discuss the financial and operational performance of our company for H1 and Q2FY26, along with the business outlook going forw ard.
The results and the investor presentation have been uploaded to the stock exchanges and are also available on our company website. I hope you've had a chance to review them.
Joining me today is the entire management team of Aavas. We will begin this call with opening remarks from our MD Sachinder Bhinder, CFO Ghanshyam Rawat and CRO

Ashutosh Atre. This will be followed by a Q&A session. With that, let me now hand over the call to Sachinder. Over to you, Sachinder.
Sachinder Bhinder: Thank you, Rakesh. A good evening to all. I thank you for joining us on this earning call. I hope you had a joyous Diwali and have a prosperous Samvat 2082.
I am pleased to share that CARE Ratings has revised its long -term rating outlook on Aavas from 'Stable' to 'Positive'. This represents an important step toward a potential rating upgrade to AA+, which will further enhance our ability to diversify liability profile in a cost -efficient manner. The outlook revision reflects Aavas' strong fundamentals —quality growth, robust asset quality, sustained profitability, a solid capital position, and stability of our management team.
As highlighted during our last quarter's commentary, we are pleased to share that we have made our entry into Tamil Nadu with opening of eight new branches, and we plan to add another eight in H2, taking our network to 405 branches across 14 states. We will continue to expand in a contiguous, cluster -based manner, adding 20 –25 branches in H2 to deepen penetration in existing markets. As our Tamil Nadu base strengthens, Andhra Pradesh and Telangana become natural next expansion opportunities under the same d isciplined approach.
On to business front, after the transition to the new disbursement recognition framework in Q1, operations have now normalized, resulting in a strong 36% QoQ and 21% year -on-year growth in disbursements during Q2. Our sanction -to-disbursement ratio, which was impacted in Q1, has recovered and now stands at ~80%, demonstrating improved conversion efficiency. Entering the second half of the year—traditionally a strong period for us —we expect this momentum to sustain and further strengthen.
On the credit front, we continue to maintain a cautiously optimistic stance in our underwriting approach. While our asset quality continues to show steady improvement, we remain vigilant and are closely monitoring developments across specific customer segm ents, geographies, and risk profiles – especially in light of cautionary signals observed among some industry peers. Our calibrated risk strategy remains firmly anchored in prudence and discipline, guided by sound underwriting principles rather than any pe rceived weakness in demand.
Our AUM grew by 16% year -on-year to Rs. 213.6 billion. Given the current momentum and positive market environment, we now anticipate full -year AUM growth of around 18%. The broader macroeconomic backdrop remains supportive – the government's continued thrust on retail consumption, along with structural reforms such as GST rate reduction and income tax rationalization, expected to further strengthen housing demand in the coming quarters. Additionally, a conducive interest rate scenario continues to support a ffordability and demand momentum in our core segments.
Furthermore, government initiatives like the Interest Subsidy Scheme (ISS) under PMAY 2.0, coupled with a stable interest rate environment, continue to support homebuyer sentiment and affordability. We are pleased to report that over 2,300 Aavas customers have already benefited from these schemes, receiving subsidies amounting to more than Rs. 75 million.
As we look ahead, our long -term strategic priorities remain clear —to fully leverage our strong digital platforms, distribution network, further strengthen governance,

drive scale efficiently, optimize costs, and enhance productivity across the organization.
With that preamble, I will now take you through our quarterly performance.
After crossing the Rs. 200 bn milestone earlier this year our AUM has now reached Rs 214 bn.
During Q2 FY25, we disbursed loans worth Rs 15.6 bn, registering a 36% sequential and 21% year -on-year growth, while maintaining our strong focus on quality origination and prudent underwriting.
Our

Net profit for Q2 FY26 grew by 11% YoY to Rs 1.64 bn led by robust 18% YoY growth in NII on account of healthy improvement in spread. Our Net Worth continues to compound steadily, growing at 16% YoY, with the strength of our capital position driven by consistent compounding internal accruals.
Our NIMs expanded by 56 bps sequentially to 8.04% during the quarter. This improvement was supported by significant improvement in spread coupled with our continued focus on risk -adjusted pricing, which resulted in a 10 -bps increase in incremental business yields over H1 FY25.
Our Opex -to-Assets ratio saw a marginal increase of 5 bps sequentially to 3.51%, while the Cost -to-Income ratio declined by 260 bps quarter -on-quarter to 43.7%, reflecting improved efficiency gains.
Our asset quality remains pristine, with 1+ DPD below 5%, improving by 16 bps sequentially to 3.99% as of September 2025, while GNPA levels remained stable at 1.24%. Credit costs improved sharply by 8 bps sequentially to 16 bps. driven by lower 1+ DPD flow and improvement in Stage 2 buckets. We continue to maintain our guidance of keeping credit costs below 25 bps on a sustainable basis.
Our ROA improved significantly by 46 bps sequentially to 3.40% and ROE improving by 175 bps QoQ to 14.31%.
We remain committed to delivering quality, profitable , and sustainable growth powered by tech -led efficiency and cost optimization. With our robust risk management framework, deep and diversified distribution network, and the strong execution capabilities of our experienced team, we are confident of achievin g our strategic milestones and delivering long -term value to all stakeholders.
With that, Ladies and Gentlemen, I would now hand over to our CFO, Ghanshyam Rawat, to discuss the financials in detail.
Ghanshyam Rawat: Thank you, Sachinder ji. Good evening, everyone, and a warm welcome to our earnings call.
To provide update on borrowings first , our ability to improve the cost of funds continues to underscore the strength and resilience of Aavas' well -diversified liability franchise. In line with our strategy of innovation in liability sourcing, we proactively anticipated a potential softening in i nterest rates and strategically shifted a sizeable portion of our borrowings to EBLR -linked instruments and shorter -tenure MCLR structures. This forward -looking approach has continued to yield tangible benefits in Q2, as our liabilities are repricing faster than those of many peers.

This positions us well to maintain a competitive cost of funds while supporting sustainable quality growth. As a result, we have seen an additional 17 bps improvement sequentially in our cost of funds led by EBLR -linked borrowings and other borrowings.
Our spread improved sharply by 34 bps year -on-year to 5.23% in Q2, while the calculated spread increased by 59 bps year -on-year to 6.27% in Q2 FY26. We continued to borrow judiciously, raising around Rs. 13.96 bn at competitive rate at 7.83% for Q2FY26.
Our average tenure of borrowings continues to be longer than that of our assets, ensuring a positive ALM across all time buckets.
As of 30th Sept 2025, total outstanding borrowings stood at Rs. 186.87 billion.
The borrowing mix as of 30th Sept 2025 comprised of: 50% from term loans , 25% from assignment , 14% from NHB refinancing and 11% from the debt capital markets .
We have optimum mix of various benchmark of interest rates such as 36% of borrowings linked to external benchmarks such as Repo, T -Bill, and MIBOR, and 25% linked to sub -3-month MCLR, enabling faster repricing of nearly 61% of our borrowings in line with i nterest rate movements.
Lender support remains strong as Aavas continues to evolve . We maintain access to diversified and cost -effective long -term funding. Our relationships with development financial institutions remain robust, supporting our strategic funding goals.
As of 30th Sept 20

25, we maintained ample liquidity, including cash and cash equivalents and unavailed CC limits of Rs. 18.94 billion and d ocumented unavailed sanctions of Rs. 21.51 billion .
Profitability and Capital Position , ou r Net Total Income (NIM) in absolute terms grew by 18% YoY in Q2 FY26. Net Interest Margin (NIM) as a percentage of total assets expanded by 26 bps YoY to 8.04% in Q2 FY26.
We remain well -capitalized, with a net worth of Rs 46.8 billion and a Capital Risk - Weighted Assets Ratio (CRAR) of 46.4%, significantly above regulatory requirements.
I would now hand over the line to our CRO, Ashutosh Atre, to discuss the asset quality.
Ashutosh Atre: Thank you, Ghanshyam Ji. Good evening, everyone. I am pleased to share the key

portfolio risk parameters with you.
Asset Quality & Provisioning , Aavas is strongly positioned to continue delivering industry -leading asset quality. Our asset quality remains within the guided range with 1 day past due well below 5% at 3.99% in Q2FY26 and Gross Stage 3 & Net Stage 3 under 1.25% stood at 1.24% and 0.84%, respectively.
From a geographic perspective, asset quality in our home state continues to remain healthy. The average 1+ DPD and GNPA stood well below 4% and 1.25% of AUM. Similarly, in our emerging markets, we are observing healthy credit performance, with 1+ DPD and G NPA levels remaining comfortably within 3.5% and 1% of AUM, respectively.
Our total ECL provisioning, including that for COVID -19 impact as well as Resolution Framework 2.0, stood at Rs. 1.21 bn as of 30th Sept 2025.

Our disciplined underwriting standards, coupled with a proactive risk management framework, have enabled us to stay ahead of emerging macroeconomic challenges. While several peers have reported asset quality pressures due to sectoral or regional headwinds, our portfolio has remained resilient.
We continue to follow a rigorous credit assessment process, stress -tested across multiple economic scenarios, and remain selectively calibrated in our exposure to higher -risk segments. This approach has helped us preserve asset quality, which continues to rank among the best in the industry. With this, I open the floor for Q&A .
Moderator: Thank you very much. We will now begin the question -and -answer session. The first question is from the line of Renish from ICICI. Please go ahead.
Renish Bhuva : Hi Sir, congratulations on a good set of numbers. My first question is on basically yields? So, while our spread expanded for the last 2 quarters, but this is largely driven by cost of fund benefit and yield continues to fall. So, what explains the drop in yields on sequential basis and where do you see yields settling in near term? Because at some point in time, we also have to review our PLR. And given that , there is sharp reduction in cost of fund, we might have to lower our PLR maybe in th e next couple of quarters. So, where do you see the yields settling and ultimately spread?
Sachinder Bhinder: Thanks, Renish. I think as highlighted earlier, our incremental business yield is still lower than our existing portfolio yield, which naturally pulls down the blended portfolio yield. And this has been the key driver of the 5-bps compression during the quarter. Additionally, in the current environment of heightened asset quality concerns and tighter credit conditions, we believe it is prudent to underwrite better quality, lower risk customers even if there is a part compression in the disbursement yields and tight lower pricing. The intent is to protect portfolio quality and maintain long -term risk-adjusted returns. This said, positive momentum on placement yields with 10 bps Y-o-Y improvement in H1 FY26 and gap between incremental yield and portfolio yield has narrowed meaningfully.
Again, just to elaborate that we have taken some structural actions to support yield sustainability, sharper focus on the low -ticket size

and new -to-credit customers
where yields are structurally higher, deeper penetration of the underserved geographies and higher yielding product segments along with deviation metrics and system -based guardrails to ensure pricing discipline is there on the ground. I think all this will really help us to do , I think the positive part on, Renish , is that we have had momentum continue on the yield side as we speak.
The second question was on the PLR. So, we are closely monitoring the rate environment. So, far, we have not seen a meaningful reduction in MCLR from the banks and therefore the full transmission of lower rate has not yet taken place on the liability side. That said, our incremental disbursements are already being priced competitively which means our incremental spreads are still lower than the reported portfolio spread. In fact, our effective yields are already lower than most peers. We are also addressing customer level retention specifically and I think we will continue to evaluate the cost of funds, Renish. And based on how the MCLR transmission plays out in the coming quarter, the ALCO will review and take a considered view on revising the PLR.
Renish Bhuva : So, basically, let us say, till September -25, whatever benefit we got on the borrowing side, let us say, there is no further benefit on the cost of borrowing, we will keep PLR where it is currently. Is that the fair presumption?

Sachinder Bhinder: So, I think , at ALCO, we will review and take a considered call based on the scenario in the coming months.
Renish Bhuva : Got it, sir. Sir, my second question is on the cost side, right? So, we have been highlighting that we have taken many initiatives to improve productivity and bring

down cost ratios. But somehow our cost -to-income is still around 41% -42% even if
adjusted f or ESOP versus peers are below 35%. So, there is a gap. So, when do you
see this cost -to-income ratio converging towards industry average?
Sachinder Bhinder: Renish, the movement in OPEX to asset ratio this quarter is largely operational and timing -related rather than structure. So, this reflects the implementations which were made as a part of our branch and distribution expansion plan. However, since disburse ments are relatively softer, the cost -to-asset ratio appears temporarily elevated.
So, if you look at it, there is a 14% Y -o-Y increase in the number of employees. This includes 1,150 employees we added. We still have the monetization of that to happen. So, I think that is one part. But this is a part of investment which we look at. As we speak, we have added branches in Tamil Nadu. Still, they must come to a level where it starts being productive as we speak , in the coming quarters.
Now, if you exclude the ESOP expense, the Y -o-Y increase in the OPEX ratio would have been 16 bps since Quarter 2 of last year had ESOP reversals which created a base effect. This all being a denominator effect with softer asset growth in the quarter, the benefit of operating leverage has still not flowed in. But on the positive side, as I reflected, the cost -to-income ratio has improved by 262 bps sequentially, indicating that the cost structure is already beginning to sta bilize.
Renish Bhuva : So, this trend will continue going forward? That is what you are trying to highlight?
Sachinder Bhinder: We have actually guided that we are committed to bringing the OPEX to asset ratio below 3% over the medium term. And as disbursement scales, AUM growth normalizes, and technology and branch projective benefits continue to accrue. We expect operating levera ge to further steadily improve.
Renish Bhuva : That's it, sir. Thank you and best of luck.
Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah : Yes, hi. Thanks for taking the question. So, firstly, on assignment income, overall, when we look at it compar

ed to the assignments which were done, in fact, the run rate has been quite high. So, is there anything, maybe, is it more of a demand -supply thin g, or is there anything in that?
Ghanshyam Rawat : Hi, Kunal. If you see from assignment volume perspective what we do every quarter and every H1, there is not much of a change as our AUM is growing. We generally keep between 15% - 20% growth in the assignment in the volume. But more particularly, now this year, our assignment, we used to do last year roughly 8.5% or plus. Now, we are doing 7.5% plus, basically. So, almost 100 basis points saving, which is giving us a better, let 's say, spread and better income generation on that assignment if we do same transaction during this year. So, that is a positive impact coming on the income side.

Kunal Shah : And this was not there in first quarter or was it there in first quarter as well? Because even compared to the first quarter, it seems to be high?
Ghanshyam Rawat : First quarter, the rate started to fall , so we got some benefit. But Quarter 2, we got a very good amount of benefit in the spreads.
Kunal Shah : And this will continue. So, now, incrementally, we will be doing it at this spread only?
Ghanshyam Rawat: Yes. Incrementally, until we see reversal in interest rate scenario, this trend will continue.
Kunal Shah : Sure. Got it. And secondly, on the disbursement side, so this entire impact of maybe the change in the recognition, which was there, has it played out in Q2 itself, the entire rollover effect or there will be something which will flow through in Q3 too?
Sachinder Bhinder : Kunal, we have regained healthy momentum, delivering 36% Q -o-Q and 21% Y -o-Y growth and disbursement. See, over the last 5 months, our monthly disbursement run rate has remained above Rs. 500 crores and with H2 being seasonally strong for us, we are workin g towards taking this run rate to Rs. 700 crores plus kind of a range. On the demand side, monthly login volumes have remained robust at 15,000 plus, reflecting about 23% Y -o-Y growth. So, in that sense, we work towards achieving our AUM growth aspiration.
We want to be clear that the portfolio quality remains good, but I think whatever it was on the Q1, it has played out in Q2 and we don't see any of that really coming in the coming quarters. So, as I stated, we have stabilized and we are there on a normal pace, which is required at a normal steady state.
Kunal Shah : Got it. And lastly, on repayment rate and BT out, so BT out is now 5.7 % and if you look across the product segment, it seems like it has gone up a bit on the home loan, while maybe I think the mortgages, and all have almost remained steady. In fact, mortgage is also up a slight bit. So, maybe any pressures in any particular states or with any

particular customer profile, if you can highlight that?
Sachinder Bhinder : Kunal, our BT out rate for H1 stands at about 5.3%, which is around 10 bps higher than the same period last year. See, specifically in Q2, BT out was at around 5.7% compared to 4.9% in Q1, if you compare that, indicating a normal seasonal variation. We have deployed predictive analytics to ensure that we engage with potential BT out customers. That is what we really continue to do. So, we will continue our retention measures. At this period of time, we do not see anything which is on the alarming side. What actually we have seen other than the BT was the repayment rate, which increased by around 200 bps actually. These are part prepayments. This was driven by higher repayments, and this was incrementally higher outflow which happened this quarter. In note, Kunal, if I were to look at it, there is increase in the part prepayment is also reflective of improved credit behavior and liquidity at the borrower end, which continues to b e a positive indicator on asset quality.
Kunal Shah : Got it. Thanks, and all the best.
Sachinder Bhinder :

Thanks, Kunal.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes. Good evening, sir. Thank you for taking my question. Sir, first thing on asset quality, while our 1+DPD has improved by about 15 bps Q-o-Q, which is appreciable. In your opening remarks and Ashutosh's opening remarks, I remember hearing you speaking about what has helped us achieve this asset quality.
But at the same time, you also acknowledged in your opening remarks that you remain cautious because of what you are seeing in some of the industry peers. Some of the industry peers have called out localized pain in various pockets . Some calling it some spillover from MFI, Micro LAP into affordable housing. Some saying it is more to do with US tariffs, which has impacted a few industries, right? Whether it be diamond, gem s jewelry , textiles, leather.
Is there anything that we are seeing at our end, right? Which you are monitoring now, right? While your asset quality is holding up, right? But something that you are monitoring at your end?
Sachinder Bhinder: Thanks, Abhijit. I think overall, as you were talking about the tariff impact, I think if you look at the entire portfolio level, less than 1.8% of AUM would be having exposure to those tariff related items because we are in assessm ent of those segments of customers.
So, we are seeing pockets of stress, but not material at the portfolio level in certain geographies and we have taken corrective actions. And this is where typical states like Karnataka, Madhya Pradesh had seen and Gujarat had some part of tariff industry related disruptions in Surat. But we have limited exposure on that as far as this is concerned. And Karnataka, the MFI related disruption because of the ordinance, we acted early by tightening the credit filters, slowing down disbursement in affected micro markets and strengthened field verification.
The situation is stabilizing and we continue to operate with rightful cautious mode in these specific pockets. As far as Madhya Pradesh is concerned, there is a stress which is localized in the Eastern belt of MP. We have selectively tightened our underwriting and adopting a stance which is with sharper credit and income assessment standards.
As highlighted, the 1+DPD continues to remain contained at around 4% which is encouraging and reflects a low opening flow of new cases. And we have also seen an improvement in Stage -II indicating better stability in early delinquency buckets, Abhijit.
Abhijit Tibrewal: Got it. Thank you for that. Sir, the second question I have is, this quarter, this first half, right, the AUM growth is tracking around 16% Y -o-Y. What we have started seeing in the last 2 quarters is in your presentation, you started sharing your aspiration of where you want to scale up your AUM by FY30, which is about Rs. 55,000 crores. And which then kind of translates into almost a 23 % of an AUM CAGR from now to FY30. So, I am just trying to understand now that CVC is clearly working a long with you. In addition to expansion in Southern India and the digital transformation now complete, what are the other changes that you are making, right, which kind of makes you put out that aspirational target of getting to Rs. 55,000 crores by FY '30 ?
Sachinder Bhinder : See, on a 20% plus annual growth over the next 5 years is driven by a combination of following factors. If I were to really point it out, one is geographic expansion , second is employee productivity enhancement and investment in technology and sourcing channels. So, I will give you a broad breakup, 8% will be driven by branch expansion

in our existing footprint and the new states, 7% -8% comes from our productivity enhancement and 5% is expected from an inflation -led increase in the ticket size. So, as we speak, Abhijit, Tamil Nadu, Andhra Pradesh and Telangana, th

ese are the three open states which are available for us to really venture in and make our footprint visible . So, that is an open landscape available. Plus , from a digital sourcing perspective, we have diversified our mix by having digital channels like CSC, Mitra, and others , and that volume also we start seeing a steady increase on month -on-month and quarter -on-quarter basis. So, we are optimistic with these implementations and with som e of the projects which we have worked across to really get that in motion. We are confident as a management team that we will be able to deliver on the guided level of 20% plus annual growth over the next 5 years.
Abhijit Tibrewal: Got it, sir. And then, one other question I had is, while you said, right, the BT outs are still calibrated 5.3% for 1H, somewhere around 5.7% for the second quarter. So, there are other peers who kind of now started calling out that, say, the BT outs or t he portfolio attrition is elevated, primarily because in addition to banks being aggressive, now there are a lot of balance transfers which are happening to other peer affordable HFCs as well. So, is that not something which is kind of wo rrying us?
Sachinder Bhinder: So, I think we were very proactive, Abhijit, if you look at Aavas , we have deployed predictive analytics to really identify and engage with the potential BT out customers proactively. And the other part, Abhijit, is that in -house sourcing model, unlike the others where it is either a channel -led or led by the partners, I think our in -house sourcing model also enables us that we have deeper customer relationships and stronger retention. So, I think these are the two parts which really flow out for help us in this scenario. And for strong credit customers, we offer selective rate rationalizations or top -up wherever we feel.
Again, if you really look at it, the customer behavior, wherever there is a BT out performance, we let the customer exit are the one historically, the portfolio we let go performs 3x worse when that was in our books. Validating that the disciplined approac h to the portfolio quality over volume is what we really embark upon.
So, I think when there is a possibility of holding the customer rightfully so on his cash flow -based underwriting stuff, we continue to hold. Wherever we let go, the performance really deteriorates and historically, that is what we have seen. But we are mi ndful of the fact that whatever our efforts will continue to hold this in the coming times.
Abhijit Tibrewal: Got it. Thank you. And Sachinder sir, I wanted to sneak in one last question. I don't feel too good asking you this, right? But somewhere during the quarter, it has had an impact on the stock price, as you will appreciate, right? There have been speculatio ns and media articles, right? So, just trying to understand, is everything okay when it comes to our promoter, everything going in the right direction?
Sachinder Bhinder: So, Abhijit, let us not mull over on the pure media or market speculations. All I can say is I am here and fully committed to Aavas and its performance. And so are the Aavas Board and the Promoter Group.
Abhijit Tibrewal: Got it, sir. This is useful. Thank you so much.
Moderator: Thank you. The next question is from the line of Vishal Gutka from ASK Investment. Please go ahead.

Vishal Gutka : Yes. Hi, team. Congrats on a good set of numbers. Sir, I have two questions. First is I wanted to understand your thoughts on dividend payouts, given you are well capitalized and the change in ownership has happened? And the second question was with regard s to, you told that Eastern Belt of MP is facing problems. So, can you please highlight why it is facing such problems, sir? Thank you.
Ghanshyam Rawat : Yes. Obviously, your question is valid to ask from the shareholder side and what is about the dividend. But affordable housing, all stack, whether we are

all peer group is growing at a good pace. And as Sachinder ji mentioned, we are embarking on a 20% -25% growth rate in the next 5 years. So, keeping that thing in mind, we will need excess capital which we have as of now to meet our growth plans. But once we reach a level where ROE versus growth is a good crossover to on steady state basis, we will start to pay back the dividend to shareholders. And as regards MP, I think Ashutosh is right to answer your question.
Ashutosh Atre : Vishal, see we have a process of understanding the portfolio based on various cuts, geographically, ticket size wise, and various other cuts. So, in that comparative study within Madhya Pradesh, we found that in the Eastern belt, we had few cases going bad. So, that is the reason Sachinder ji mentioned that within MP, one belt was

showing stress in few cases. And we have taken corrective actions, we have brought senior people in credit and taken the learnings from this. So, it is a comparative statement when we were talking about state -wise and then further zonal and further cuts on the state. So, that is it.
Ghanshyam Rawat : But overall, I think as a company, we are very comfortable on asset quality, either bouncing rate or 1 plus or 90 plus. Bouncing rate is steady state basis. I think we didn't see much change. 1+ increased in last quarter , but I think we gained back our momentum and are reaching less than 4% now. And in next 2 quarters, it will start to show results in the 90+ also.
Sachinder Bhinder: And just to add on, there has been no meaningful increase in our bounce rate. They continue to remain stable at around gross of 18% net at 13.5%, which is broadly in line with the level seen in Quarter 2 and H1 of last year.
Vishal Gutka : Got it. Sir, I just had one more question. We keep hearing, reading the sel l-side report, which generally highlights that employee attrition challenge, given that we have very tight credit filter, which is very good in long term, but in near term, what do you call, if it increases the employee attrition, so how would you like to addres s the challenge for employee attrition overall?
Sachinder Bhinder: See, attrition for FY25 has come down by 7 percentage points from FY24 level. And during Quarter 2 FY26, it is further reduced by 100 bps to 17% in Q2 versus 18% last year. What we have done is, we are benefiting from our regional HR strategy, where we have ensured that HR person's presence in every region to address ground employees' concerns, motivate them, engage them, and train them. So, all this really helps us to maintain the levels at which we really are desirable.
Vishal Gutka : Got it. Wishing you all the best for future quarters. Thank you.
Sachinder Bhinder: Thank you.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi : Hi, sir. Thank you for giving me the opportunity. Sir, my question was pertaining to lending rate. So, what is our incremental lending rate in HL and MSME?
Ghanshyam Rawat : At overall mixed level, as Sachinderji mentioned, we are almost 25 bps lower than our overall portfolio yield at this moment, which is very much in line with our strategy because cost of borrowing is continuously falling. Our incremental cost of borrowing is almost 60 bps plus better than last year. So, it is affordable to us in our growth as well as maintaining the spread strategy.
Shreepal Doshi : Got it. So, with the cost of fund benefit flowing in, what is our PLR strategy in the second half?
Ghanshyam Rawat : We are, I think, Sachinderji who addressed this question. Again, I will elaborate. Banks are our large st lending part ner, the short term MCLR got readjusted, but still 6 months and above MCLR is yet to pass the benefit. We are closely watching the interest rate scenario. If we see steady state basis, our cost of borrowing is falling.

So, definitely,
we will think about reducing our PLR and we will consider this thing in the next ALCO. However, we are already passing a few benefits to the ne w acquisition of customers so that we will remain on the competitive curve.
Shreepal Doshi : Got it. So, sorry for asking this question again because I joined the call a little late. Thank you for answering.
Ghanshyam Rawat : Thank you.
Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead.
Nischint Chawathe : Hi, thanks for taking my question. This is just a follow up. You mentioned that your incremental cost of funds is 60 bps lower and incremental spread is around 25 bps lower. Does it mean that incremental lending rate is around 100 bps lower than the book rate?
Ghanshyam Rawat : No. My incremental lending rate is 25 bps lower than my total AUM rate. That is within our strategy because my incremental cost of borrowing is almost 60 bps better than last year.
Nischint Chawathe : So, your incremental spreads are technically better than the book spread?
Ghanshyam Rawat : That is converting in the better spread.
Nischin Chawathe : No. So, what it means is that your incremental spreads are actually better than the book spreads?
Ghanshyam Rawat : Yes, incremental to incremental, it is right .
Nischint Chawathe : No, I am trying to say that the incremental spread is today higher than the book spread.
Ghanshyam Rawat : If I compare incremental to incremental, it is right.
Sachinder Bhinder : So, I think, Nischint, we highlighted the improvement in the kind of yields which we

are doing, and we highlighted that the sequential improvement quarter -on-quarter
and year -on-year.
Nischint Chawathe : Yes, got it. Thank you very much.

Sachinder Bhinder : Thanks, Nischint.
Moderator: Thank you. Next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.
Mona Khetan : Hi, good evening, sir. And thanks for taking up my question. So, I have two questions. Firstly, in our sourcing mix, is there any contribution of DSA? If any?
Sachinder Bhinder: So, I think as a part of the alternate strategy, we have CSC, eMitra, others which really come across and build across. From a pure perspective of DSA, I think it is not meaningful at this period of time from our stage. We continue to do it more from a direct source channel to an allied channels which are CSC, eMitra, Mitra and which are around our ecosystem, so to say.
Mona Khetan : So, it will be fair to say that it is sub 5% or?
Sachinder Bhinder: Yes, it is less than 10%.
Mona Khetan : Less than 10%. And secondly, if you could share the AUM mix based on ticket size, less than 5 lakhs, 5 -15 and above 25 lakhs?
Sachinder Bhinder: That is there. If you look at the presentation, it is available on the presentation.
Mona Khetan : Yes, that is on the number of loans. I was looking for the AUM mix. That 's based on the number of loans.
Sachinder Bhinder: Rakesh, Investor Relations will come back to you on specific data if you are really referring to on the value side.
Mona Khetan : Sure. Thank you.
Sachinder Bhinder : So, just to give you a broad scape, less than 25 lakhs, we have around 76.7 %, that is around 77% is below 25 lakhs.
Mona Khetan : So, about 23% of the AUM is above 25 lakhs.
Rakesh Shinde : Right, that is right .
Mona Khetan : And anything on less than 5 lakhs as well?
Rakesh Shinde : Less than 5 lakhs, it is around 11% of outstanding AuM .
Mona Khetan : 11% of AUM.
Rakesh Shinde : Yes, right .
Mona Khetan : And do you also have between 5 -15 or sub 15 will also work?
Ghanshyam Rawat : Those are very finer details. I think these are business intelligence. I think we do not share all this much in detail.
Mona Khetan : Sure. Thank you and all the best.
Ghanshyam Rawat : Thank you.
Moderator: Ladies and gentlemen, as that was the last ques

tion for the day, I will now hand the
conference over to the management for the closing comments. Over to you, sir.

Sachinder Bhinder: Ladies & Gentlemen, as we conclude today's earnings call, I would like to extend my sincere gratitude to each of you for your time, engagement, and continued support. The progress we've made is a testament to the unwavering dedication of our team, the trust placed in us by our shareholders, and the enduring loyalty of our customers. Looking ahead, we remain optimistic about the opportunities that lie before us. We are confident that our strategic initiatives, underpinned by prudent risk management and a customer -centric approach, will continue to deliver sustainable growth and long -term value for all our stakeholders. Should you have any further questions or require additional information, please feel free to reach out to Rakesh Shinde, our Head of Investor Relations. Thank you once again, and we wish you all the absolute best in the d ays ahead. God Bless.
Ghanshyam Rawat : Thank you, everyone.
Moderator: Thank you. Ladies and gentlemen, on behalf of Aavas Financiers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

INTERNAL
Ref. No. AAVAS/SEC/ 2025 -26/2368
Date: February 12, 2026

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter and Nine Months ended December 31, 2025
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated January 20, 2026 bearing Ref. No. AAVAS/SEC/202 5-26/2252 please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational p erformance of the Company for the Q uarter and Nine Months ended December 31, 2025 held on Thursday, February 05, 2026 .
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take the same on your record.
Date and time of occurrence of event/information: February 05, 2026 and Earning s Conference Call commenced at 05:30 P.M. (IST).

Thanking You,
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Scrip Code: 541988

"Aavas Financiers Limited
Q3FY2 6 Earnings Conference Call "
February 05, 202 6

Management: Mr. Sachinder Bhinder – Managing Director and Chief Executive Officer
Mr. Ghanshyam Rawat – Chief Financial Officer
Mr. Ashutosh Atre – Chief Risk Officer
Mr. Rakesh Shinde – Head of Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financiers Ltd 9M and Q3FY26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call.

These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in a listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note, this conference is being recorded.
I now hand the conference over to Mr. Rakesh Shinde, Head Investor Relations of Aavas Financiers Limited. Thank you, and over to you, sir.

Rakesh Shinde: Good evening, everyone. I extend a very warm welcome to all participants and thank you for joining us on today’s Earnings Call to discuss the financial and operational performance of our company for 9M and Q3FY26, along with the business outlook going forw ard.
The results and the investor presentation have been uploaded to the stock exchanges and are also available on our company website. I hope you’ve had a chance to review them. We have also uploaded an Excel fact sheet containing historical data on our websit e for your easy reference.
Joining me today is the entire management team of Aavas. We will begin this call with opening remarks from our MD Sachinder Bhinder, CFO Ghanshyam Rawat and CRO Ashutosh Atre. This will be followed by a Q&A session. With that, let me now hand over the call to Sachinder. Over to you, Sachinder.

Sachinder Bhinder: Thank you, Rakesh. A good evening to all. I thank you for joining us on this earning call.
The recent macro developments have been very encouraging for the Indian economy. The Atmanirbhar Union Budget, followed by positive progress on the India –US trade arrangement, marks an important inflection point. These developments are expected to support external stability, improve systemic liquidity, ease interest rates, and create a more favorable environment for credit growth.
Q3 also saw several structural reforms, including GST rationalization, labor code implementation, progress on key trade agreements, and continued FDI liberalization. Together, these measures should strengthen household balance sheets, drive an urban consum ption recovery.
The Union Budget 2026 reinforces the government’s focus on capex -led growth, while continuing to support consumption and affordable housing. Alongside this, the High - Level Committee on Banking for Viksit Bharat clearly positions NBFCs and housing finance c ompanies as key enablers of credit expansion. The emphasis on developing tier-2 and tier -3 city economic regions creates a strong structural tailwind for affordable housing.
Overall, we believe the macro environment is becoming increasingly supportive for housing finance, with improving affordability, stable funding conditions, and a strong runway for sustainable growth.
Moving to Aavas’s performance, I am pleased to share that during Q3FY26 our Balance Sheet size crossed Rs. 20,000 Crs marking an important milestone in our growth journey.
During the quarter, we also successfully raised approximately Rs 975 crore (USD 108 million) from a marquee Multilateral Financial Institution at a competitive cost. This represents the largest NCD placement in the company’s history and underscores our pos ition as one of the leading players in affordable finance. It also reflects strong external confidence in our measured, quality -led growth strategy and long -term vision. The proceeds from this financing will be deployed to support affordable housing loans for EWS and LIG households, promote women homeownership, scale green -certified housing, and expand MSME lending in underserved regions, further strengthening our developm ent-focused lending franchise.

During the quarter, we rolled out a Branch Excellence Program to drive sustainable, quality -led growth across branches. Project Neev focuses on strengthening pre -login discipline and frontline effectiveness through better field management and coaching. Project Nipun institutionalizes post -login rigor by improving approval quality, documentation discipline, and turnaround times. Project Sampoorn drives a “first - time -right” culture to enhance login quality and reduce rework. Project Setu optimizes channel man agement through digital integration and more effective partner engagement. Project RISE strengthens employee engagement through structured rewards, recognition, and clear career pathways. Together, these initiatives are creating a stronger operating backbo ne

for consistent and sustainable growth.
On to business front, after the transition to the new disbursement recognition

framework in Q1, operations have now normalized, resulting in a 10% QoQ growth in disbursements during Q3. Our sanction -to-disbursement ratio, which was impacted in Q1, has reco vered and now stands at >80%, demonstrating improved conversion efficiency. Traditionally Q4 is a strong quarter for us, and we expect this momentum to sustain.
Our credit first approach continues to benefit us with best -in-class asset quality. Our 1+ DPD has shown sharp improvement across geographies resulting in lowering GNPA during the quarter.
Our AUM grew by 15% Y -o-Y to Rs. 222 billion. The broader macroeconomic backdrop remains supportive, and a conducive interest rate scenario continues to support affordability and demand momentum in our core segments.
During the quarter, we further benefited from a lower cost of funds following the 25 - bps cut in the repo rate. In today's ALCO meeting, it was decided to pass on 15 bps of this benefit to our customers, effective 1st March. This revision will benefit around 70% of our customers who are on the floating -rate book, while maintaining an approp riate balance between customer benefit and margin sustainability.
Furthermore, government initiatives like the Interest Subsidy Scheme (ISS) under PMAY 2.0, coupled with a stable interest rate environment, continue to support homebuyer sentiment and affordability. We are pleased to report that over 2,800 Aavas customers have already benefited from these schemes, receiving subsidies amounting to more than Rs. 90 million.
As we look ahead, our long -term strategic priorities remain clear —to fully leverage our strong digital platforms, distribution network, further strengthen governance, drive scale efficiently, optimize costs, and enhance productivity across the organization .
With that preamble, I will now take you through our quarterly performance. Our AUM has now reached Rs 222 bn. During Q3 FY26, we disbursed loans worth Rs 17.2 bn, registering a 10% sequential growth, while maintaining our strong focus on quality origination and prudent underwriting. Our Net profit for Q3 FY26 grew by 16% YoY to Rs 1.70 bn led by robust 17% YoY growth in NII on account of healthy improvement in spread. Our Net Worth continues to compound steadily, growing at 16% YoY, with the strength of our capital position driven by consistently compounding internal accruals.
Our NIMs expanded by 27 bps year -on-year to 8.01% during the quarter. This improvement was supported by improvement in spread coupled with our continued focus on risk -adjusted pricing. Our Opex -to-Assets ratio saw an improvement of 7 bps

sequentially to 3.44%, while the Cost -to-Income ratio continued to trend lower by 75 bps sequentially to 42.9%, reflecting improved efficiency gains.
Our asset quality remains pristine, with 1+ DPD well below 5%, improving by 19 bps sequentially to 3.80% as of December 2025, while GNPA improved by 5 bps QoQ to 1.19%. Credit costs stood anchored at 16 bps. driven by lower 1+ DPD flow and improvement in Stage 2 and Stage 3 buckets. We continue to maintain our guidance of keeping credit costs below 25 bps on a sustainable basis.
Our ROA improved by 6 bps YoY to 3.43% and ROE improving by 8 bps YoY to 14.29%.
We remain committed to delivering quality, profitable, and sustainable growth powered by tech -led efficiency and cost optimization. With our robust risk management framework, deep and diversified distribution network, and the strong execution capabilities of our experienced team, we are confident of achieving our strategic milestones and delivering long -term value to all stakeholders.
With that, Ladies and Gentlemen, I would now hand over to our CFO, Ghanshyam Rawat, to discuss the financials in detail.

Ghanshyam Rawat: Thank you, Sachinder. Good evening, everyone, and a warm

welcome to our earnings
call.
To provide update first on borrowings past , the improvement in the cost of funds continues to underscore the strength and resilience of Aavas' well -diversified liability franchise. In line with our strategy of innovation in liability sourcing, we proactively anticipated a potential softening in inter est rates and strategically shifted a sizeable portion of our borrowings to EBLR -linked instruments and various market linked benchmarks. This forward -looking approach has continued to yield tangible benefits in Q3, as our liabilities are repricing faster than those of many peers. This positions us to maintain a competitive cost of funds while supporting sustainable quality growth.
Well diversified liability franchise linked with various benchmarks and competitively priced in Q3FY26, we were able to deliver an additional 16-bps improvement sequentially in our cost of funds and 56 bps improvement year -on-year.
In today's ALCO we decided to pass on the benefit of 15 -bps to our customers with

effect from 1st March 2026. Our spread improved by 40 bps year -on-year to 5.34% in Q3, while the calculated spread increased by 65 bps year -on-year.

We continued to borrow judiciously, raising around Rs. 46.4 bn at competitive rate at 7.66% for 9MFY26. Our average tenure of borrowings continues to be longer than that of our assets, ensuring a positive ALM across all-time buckets. As of 31st Dec 2025, total outstanding borrowings stood at Rs. 193 billion.

We have optimum mix of various benchmarks of interest rates such as 35% of borrowings linked to external benchmarks such as Repo, T -Bill, and MIBOR, and 34% linked to sub -3-month MCLR, enabling faster repricing of nearly 69% of our borrowings in line with interest rate movements.

Lender support remains strong as Aavas continues to evolve . We maintain access to diversified and cost -effective long -term funding. Our relationships with development financial institutions remain robust, supporting our strategic funding goals. As of 31st

Dec 2025, we maintained ample liquidity, including cash and cash equivalents and unavailed CC limits of Rs. 19.55 billion and d ocumented unavailed sanctions of Rs. 24.54 billion .

Profitability and Capital Position , our Net Total Income (NIM) in absolute terms grew by 18% YoY in Q3 FY26. Net Interest Margin (NIM) as a percentage of total assets expanded by 27 bps YoY to 8.01% in Q3 FY26.

We remain well capitalized , with a net worth of Rs 48.6 billion and a Capital to Risk - Weighted Assets Ratio (CRAR) of 46.4%, significantly above regulatory requirements.

I would now hand over the line to our CRO, Ashutosh Atre, to discuss the asset quality.

Ashutosh Atre: Thank you, Ghanshyam Ji. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you.

Asset Quality & Provisioning : Aavas is strongly positioned to continue delivering industry -leading asset quality. Our asset quality remains within the guided range with 1 day past due well below 5% at 3.80% in Q3FY26 and Gross Stage 3 & Net Stage 3 under 1.25% stood at 1.19% and 0.79%, respectively. During the quarter , not only in terms of percentage, as mentioned by Sachinderji, our principal outstanding of 1+DPD and Stage 3 principal outstanding has also reduced in absolute value .

From a geographic perspective, asset quality in our vintage states continues to remain healthy. The average 1+ DPD and GNPA stood well below 4% and 1.25% of AUM. Similarly, in our emerging markets, we are observing healthy credit performance, with 1+ DPD a nd GNPA levels remaining comfortably within 4% and 1% of AUM, respectively.

Our total ECL provisioning, including that for COVID -19 impact as well as Resolution Framework 2.0, stood at Rs. 1.27 bn as of 31st Dec 2025. Our disciplined underwriting standards, coupled with a proactive risk management framework, have enabled us to stay

ahead of emerging macroeconomic challenges.

We continue to follow a rigorous credit assessment process, stress -tested across multiple economic scenarios, and remain selectively calibrated in our exposure to higher -risk segments. This approach has helped us preserve asset quality, which continues to rank among the best in the industry.

With this, I open the floor for Q&A

Moderator: Our first question comes from the line of Kunal Shah from Citigroup.

Kunal Shah : So, the first question is on growth. When we look at maybe the first 9 months growth, it clearly suggests maybe the guidance which was given of closer to like 18 -odd percent. That appears to be quite stretched, and it might settle at less than 15 -odd percent. So maybe in terms of the indicators as to how do we plan to get towards 18% to 20 -odd percent growth in the coming years?

And the related question is on the branches. Last time you indicated that you will add the 20, 25 -odd branches, but we had seen some consolidation of branches in Rajasthan and Maharashtra. So maybe the addition of branches has also been not very high. So , what's happening on that front in terms of the franchise expansion?

Sachinder Bhinder: Thanks, Kunal. During H1, we undertook a significant transformation in our business and accounting processes with a calibrated tightening of credit in a relatively subdued macro and credit environment. As communicated earlier, our priority has been to prot ect portfolio quality and not to pursue just the headline growth. Accordingly, the final AUM growth outcome continues to be influenced by how the macro and credit environment has evolved even as we remain committed to our long -term growt h aspiration.

Encouragingly, post Diwali, we started seeing a pickup in the business momentum, and we expect this trend to continue through Q4 FY26. Q4 last year was a strong quarter with disbursement crossing Rs. 20 bn, and we are confident of exceeding that level comfortably this year as well. On the AUM front, H1 created a meaningful drag on the overall growth run rate , which has led to AUM growth moderating to around 15%. Given this backdrop, our focus for the remainder of the year is to maintain the current growth trajectory while continuing to safeguard asset quality rather than pushing for aggressive growth.

The second question on the growth for the next year. Looking ahead, FY27 should be a year of strong recovery, with no transformation initiatives and incremental investments being made in branch expansion to drive growth. With a stable operating environment and a stronger platform in place, we are targeting a round 25% + growth in disbursements in FY27, while continuing to build a resilient, high -quality franchise.

We are planning to have around 25% plus of disbursement growth solving for an additional Rs. 2,000 crores disbursement in next year FY27 . We are already ahead in terms of average monthly run rate which will generate additional Rs 500 cr ores business next year ; branches opened in last 12 months will give ~Rs. 200 cr ores additional business, we are opening additional 50 branches next year which will give me ~Rs 100 -150 crores business, digital channel like CSC will give me ~Rs. 500 cr ores additional business, ~Rs. 400 cr ores would be inflation and customer aspirational led ticket size growth and rest would be productivity enhancement , which would really improve the numbers as I speak .

Over and above, as I spoke about a lot of initiatives which we have taken, which have given green shoots in Q3 where customer visits related from the direct channels have improved by 30%.

And we are confident that productivity enhancement really will come through all of this. As management, we are confident with these measures which I really spoke about, contributing to a robust 25% plus growth in the coming year.

Kunal Shah : Sure. And with respect to branch expansio

n, it was quite slow during the quarter, and there was some rationalization as well?

Sachinder Bhinder: So, there were multiple branches which opened, and it was not about consolidation. So, as we speak, Kunal, we are at 410 branches as of 31st Jan 2026 . And in addition to that, this quarter, we'll add another 20 to 25 branches in Q4.

Kunal Shah : Okay. So that trajectory, maybe that guidance continues in terms of adding 20 -25 branches in the second half?

Sachinder Bhinder: Yes , and next year, we are going to add another around 50 branches. So , what we are doing is that we're going deeper into the regions where we are in Tier 2, Tier 3 towns by the RRO model. I think that deepens our market as far as concerned. We have

stabilized a lot of RROs, and we find that there is good potential . We look at converting these into model branches . What we call model branches are like self -sustained branches at a lower infra cost, which really helps us to build. So , we continue our guidance and our trajectory of geographic expansion by going deeper and opening physical branches.

Moderator : Our next question comes from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal : Sachinder sir, again, just may be repeating what you've already said, right . But again, I think while we have managed to get some handle on the BT out and the portfolio attrition this quarter, which I'm sure was driven by all the actions that you would have taken . Because, from what we hear from other housing finance companies, the competitive intensity continues to still remain very high.

But I think disbursement momentum kind of still leaves a lot to be desired. What we usually know, right, 40 :60 kind of a disbursement mix between 1H and 2H. Even if we were to do that, right, I think you'll still fall a little short of what maybe you would have targeted on disbursements for this year.

So, I mean, while you've already partly answered it in the previous question, but what were the growth headwinds this year? And what will change next year for us to start accelerating on growth, except for this addition of branches that you just explained?

Sachinder Bhinder: So, Abhijit, thanks for joining the call. See, if you place it into the 2 parts on the growth, as we said that because we had the transition to the accounting process of disbursement recognition, Q1 cover up actually delayed and lagged for our entire current financial year. So , I think that is one which was there.

Secondly, at a conscious call of some of the states which we had taken in Karnataka and other places, as we start seeing in Q2 and Q3, we started stepping up. And that's more so to really look at it from the perspective of the credit environment and the overall environment based on the e -Khatas stuff.

On the second question of how you really span out the growth for the next year. So, as we highlighted the projects , specifically , the digital channels, which really have started contributing to us , like CSC, eMitra incrementally would contribute ~Rs. 500 crores . Currently , we are ahead on monthly average run rate bringing additional ~Rs.500 crores business , and CSC and eMitra would contribute to an extent of another ~Rs. 500 crores next year. So , we are confident of digital channels.

We are confident of the branches which have opened in the last 12 months, really contributing, including the new branches, additional about Rs. 300 crores really coming across from there, plus an inflationary and aspirational growth bit of 6 % growth coming across from the inflationary -led growth, plus the initiatives, whatever we spoke about on productivity enhancement.

And as I spoke that visit to customer ratios have improved by 30% is finally really helping us to improve productivity . So primarily, the input really is getting refined and crystallized, and we've seen those green shoots in Q3. So,

we are confident that we'll be able to carry forward in Q4 and build that in the next financial year.

Abhijit Tibrewal : Got it, sir. Sir, then on the disbursements, again, if I look at the disbursement mix, very clearly . Until last year, the non -HL in the disbursements was typically used to be

around that 35% ballpark. But now if I look at this year, the non -HL piece is consistently above 40% in the mix. So , I mean, how is the demand landscape today purely in individual home loans?

And the related question here also is that, recently at least some of the larger HFCs who reported, they have all been talking about kind of moving towards near prime and affordable. So do you think that until now, we very often used to say what if there was a competition from the banks. But now if the larger HFCs also start looking at the affordable side, is it going to kind of meaningfully increase the competitive intensity in the affordable housing sector?

Sacinder Bhinder : I think your first question on the HL, NHL part, I think it is more about the recognition that pushed the HL to drag little , as far as recognition was concerned . Because as you know, the home loan transactions are operated through a check disbursement mode and NHL are more by the RTGS mode.

So that differentially had a drag on HL. So , unlike the normal one, we've not seen any drop . It is just what I would say, movement which has moved quarter -on-quarter to the subsequent quarter. That's one. So, even with our PMAY 2.0, where we've disbursed more than 2,800 -plus customers in the ISS scheme, it is also reflective of the strong home loan growth what we really see. So , the logins and those from the home loan really continue to build on, and we will continue to build in the markets where we operate on that franchise.

Secondly, on the competitive intensity, I think we stand out as far as our understanding of self -assessment based strong SENP direct model is concerned. And our inroads into Tier 2, Tier 3 markets, both from a perspective of understanding the customer and understanding the property and buying in both with the quality, which is there, I think, stands good at Aavas, which is there.

And as you highlighted, on BT out, we continue to be at 5.1% for Q3, which is 60 bps lower than the same period last year. So , I think we are confident with our kind of underwriting practice, our kind of customer segment, our deeper reach, which we continue to further build and expand, will also help us to thwart the normal competition what you are referring to.

And again, if you look at the average ticket size, Aavas continues to be in the average ticket size of Rs. 12.5 lakhs, whereas affordable for some of the peers you're talking about, the ticket size is more than double what typically we service on an average pie. So, I think from that , it is far away as far as reaching that customer segment, so to say.

Ghanshyam Rawat : Yes. Abhijit, what Sachinder ji said, I think apart from th at, 2 things are very important to see, like in Aavas today, we have 6 0% self -employed customer, whereas all large HFCs, banks have 80% to 90% salaried customers . So , in the same market, in the same geography, even though we both are present, we have a different customer class, they target different customer class. We target Rs. 12 lakhs to average ticket size Rs. 13 lakhs, Rs. 14 lakhs, Rs. 15 lakhs, they target Rs. 25 lakhs and above ticket size customers in the same market. So , that make a huge difference.

Thirdly, I think as Aavas, we are very deep rooted in those markets. We today source customers from around 2,000 -plus towns, where they are still in the large market, in the city or district headquarters, they remain up to that level. We go at a sub town level basically. So, I think that we continue to , in the same market, make a separate road for

us. There are enough opportunities in the market. So

even despite I think large HFC
focuses on affordable housing.

Abhijit Tibrewal : Just one last question on the borrowing mix. If I look at the NHB refinance from its peak of 22%, 23% kind of decline to 20% then to maybe 16% same time last year and now 14% to 12%, rather 12% now. So , I'm just trying to understand, was it because NHB was not giving a sanction because of the ongoing CVC transaction, but now that the transaction has also been concluded, have you received any new sanctions from NHB? And what are the plans to draw them dow n?

Ghanshyam Rawat : Yes, Abhijit, you are right. Our contribution of NHB refinance and overall borrowing has fallen because as you appreciated that CVC transaction was in process, and it got now completed. Now we applied for our refinance limit, which is under consideration at their end. We are hopeful that in the coming quarters, we will hear something positive from their side.

Otherwise , I think the company has done a very fantastic work and even NHB borrowing was less than in what ratio it was there 1 year back. All banks, institutions, multi -lat institutions and our borrowing is almost shown a 56-basis point reduction, which is far better than peer group, far better than the peer group.

Even sequentially, our overall interest cost is lesser than the Q2, which shows the strength of liability franchise of Aavas. Now we are already AA rated, with a positive outlook. And so that it is also helping us to explore the new market of borrowing at a competitive price.

Moderator : Our next question comes from the line of Varun Palacharla from Kotak Securities.

Varun Palacharla : My question was regarding disbursements and how we see disbursement going up or what will be the drivers? So, in light of that, I would want to ask what is the login to sanction ratio for us? How has it trended over the last 2, 3 quarters when you have tightened the screen? And is there leeway over here that as the field staff get normalized in these new credit screens the ratio might increase?

The second question is with regard to the disbursement. I think you mentioned that the new channel partners currently contribute about 7%. So how much do DSAs or connectors contribute? Because those channels can scale up faster than the others, if you can give that?

Sachinder Bhinder : Yes. Thanks, Varun. I think as you rightly pointed out, the screens on the credit quality and we had called out. So, there has been a sequential improvement where we saw improvement in the credit environment and the credit quality. Hence, our sanction ratios also improved from around 30% -32% in Q1, trending at around 38% -40% in the last quarter.

I think that's the positive side for looking at the credit quality. And Aavas has always been looking at the risk -adjusted returns and really underwriting what we feel right at that period of time, which is suitably from a credit environment perspective. So, I think that's the positive trajectory which is there. The most important point is our sanction to disbursement ratios also improved sequentially from the earlier period of time. That also gives us confidence. That's number two.

Number three, on the channels, what you rightly elicited, the scaling up, why we are confident because as a couple of digital channels like CSC, eMitra and Mitra is the

ones where we've actually put in efforts and those efforts have really shown traction in the current financial year. And as we enter Q4 and enter the new FY, it gives us confidence of an incremental scope of expanding at a faster pace, which I elicited that it is going to contribute an extra around ~Rs. 500 crores from those channels.

And the other part which we said that on a muted expansion of the branches, the last 12 months branch opening, and the new financial year branch opening further adding an impact of about ~ Rs. 300 crores, plus the retail inflationary -led and aspirational

growth, which we have taken at a very conservative level of about 6%, further contributing to another ~ Rs. 300 crores for the next financial year.

Plus , the productivity improvement, as I spoke about in my call, about the various projects and the branch excellence which we have achieved . And therein also, we've seen the green shoots about improvement in the quality of login. The customer visit increasing by 30% is really improving the quality import also will continue to contribute to our expansion of the scalability in a right format.

Plus, earlier part, as I said, that we had a little muted geographical growth on certain parts of Karnataka, knowing the credit environment and the part of the Khata -related stuff, which had held on to our disbursement. So, we've seen that acceleration also happen in that pace. So that also will start contributing. Plus, we've opened Tamil Nadu in the last couple of quarters. I think that also slowly and steadily will start contributing to our numbers as we effectively go in the next financial year. So , we are pretty confident with all the measures rightly, we will be able to scale up in a more

modular, sustainable and rightful, quality growth manner.
Varun Palacharla : I just had one more question on the incremental yield. So , after the PLR cut, what is the gap between the incremental yields and the book yields? Where will it trend towards?
Ghanshyam Rawat : I think incremental yield is already , even without 15 basis point reduction, it already got transmitted because by spread corrections which keep on happening when we source the customers. The new business will not have much impact. But by 15 basis point reduction, we will have almost 9-10 basis point overall impact on the book, because we have almost 3 0% fixed rate book. So , it will have a 9 -10 basis point impact.
Yes, and I think, let's say, I further update you on that piece. Another , we see a few basis point cost of borrowing reduction in this quarter. So overall, we are comfortable, or we are confident our spread will remain around 5.25% for the year ending , a few basis points , 2-3 basis points here and there. But roughly, we are confident to have 5.25% spread by the year end.
Sachinder Bhinder : Yes. Currently, we are at 5.34% as we speak for the current quarter, Varun.
Moderator: Our next question comes from the line of Raghav Garg from Ambit Capital.
Raghav Garg : Yes , Sir. I just had 2 clarifications before I ask my questions. One, did you say that you are targeting 35% disbursal growth in FY27? Did I hear that correct?
Sachinder Bhinder : No it's 25% +. 25% +.
Raghav Garg : 35%, is it?
Sachinder Bhinder: 25% +.

Raghav Garg : Okay. 25% +. And then, new branch addition will be 50, right?
Sachinder Bhinder : Yes.
Raghav Garg : Okay. Sir, my question is without the PLR reduction that we've -- I mean, you haven't reduced your PLR so far. It's only effective March. Despite that, the yields have come down by about 16 basis points because of competition, and that continues to intens ify. And effective March, you're taking a 15 bps PLR cut.
On the liability side, it seems that the cost of funds has likely bottomed out at 7.7%. So, for FY27, what is your expectation in terms of how much your spreads can normalize over? I think you just mentioned 5.2% or 5.25%. But are you confident that the spread decline from here will not be more than, say, 15 -20 basis points given the kind of competition that we are seeing out there?
Sachinder Bhinder: See, Raghav, we've always guided that we'll remain in the range bound of 5%. And if you look at our trajectory, we hovered around and we came down to around 4.8% down and further jump back. I think looking at the overall environment, the cost of funds and rightfully passing on the reduction in the cost of borrowings to the customer is a fair and right thing for an institution to really do.
And t

hat with continued softening, as what Ghanshyam ji highlighted about the softening of expected cost of borrowing, we'll be able to balance that on the entire portfolio. And even on the portfolio, we have 70% floating as far as the passing on the PLR r eduction is concerned.
So we are pretty confident as we've guided. So we are well above the guided level of 5%. So , we are currently at 5.34% and we are confident of 5% plus , ranging between 5.20% to 5.25% in the coming quarters.
Raghav Garg : Understood. Second question is on your branch and workforce count that has been more or less same since last few quarters. I think you may have mentioned, or another participant may have mentioned that there has been some consolidation. So I actually want ed to ask that what is your plan for next year, but I think you've already answered that, around 50 branches.
Can you give some color on employee attrition? Because I noticed that, that workforce count has not been increasing as such. And your employee productivity has also been coming down. I'm guessing that's partly impacted because of the higher attrition that 's there in the industry in general. So your thoughts on this will be very helpful.
Sachinder Bhinder : Raghav, as we speak, we are at 410 branches. So I think from a branch perspective, we continue to go and expand in more deeper in the geographies which we are, and we have an RRO model, which is a Resident Relationship Officer model, which is without the branch that is what we cover to. So, I think that is one we will further strengthen in the coming quarters.
And again, developing and building those model branches, as I spoke earlier, also will help us from a branch expansion perspective. Secondly, I think a lot of further parts on the Rise kind of program, which we've done, I think, which has resulted into hol ding on to our attrition rates at constant compared to the industry standards.
I think there are 2, 3 things which actually help us to have stability. And some of that doesn't really fortify initially in the coming immediate months on productivity . But as

you proceed and the vintage of the RRO really is the first mile relationship officer starts , you start delivering and getting the productivity over a period of the next quarter.
So, from that perspective, we're confident of getting that productivity rise. Again, this is also backed up by how we've done scientifically and analytically right to get that and help that in the right perspective. So, I think from that perspective, we are very clear that this will also help us in building across in the current quarter as well as the next quarter.
This is as a part of the branch excellence program, which I spoke across, which is Project Rise, which strengthens the employee engagement to structure recognition and clear pathway. So there's a right mechanism put in place institutionally to help that to build in a stronger and enduring way.
Moderator : Our next question comes from the line of Shreepal Doshi from Equirus.
Shreepal Doshi : My question was on the asset quality front. So undoubtedly, we've done decent performance with trends improving. So incrementally, is that also likely to help us on seeing better business momentum as we can now relax some of the underwriting related norms in the coming quarters? Would we look at doing that in order to, let's say, revive business momentum and our disbursements?
Sachinder Bhinder: So Shreepal, we've always looked at risk -adjusted return, looking at the credit environment. And whenever we felt that it is conducive as per our standards, I think we accelerate. So having seen, it is not about that having achieved a particular goal, you really step up. You really look at the environment and then you really find that it is suitable, credit conducive and it gives us risk-adjusted returns in a format which Aavas as an institution has worked across over a period o

f so many years. We actually then try to look at the market and capture and accelerate our growth pedal.
So we continue to build that. And I think what you see now is our earlier credit cautious approach considering the environment, which is resulting in such numbers. We always focused on our input quality. Whenever there is a credit conducive environment from a perspective, both customer side and the property side, we've always pushed the pedal and accelerated the pedal as it comes and as the environment really helps us.
Shreepal Doshi : So, sir, in that case, are you feeling that you are in a position where you would want to accelerate the disbursement or business momentum for us?
Sachinder Bhinder : Yes. As I spoke, so we had a couple of states as we had called out earlier, which have seen a positive credit environment really playing out, typically states of Karnataka, both from a perspective of the credit behaviors and the microfin outlay and overha ng, which was there, followed by the registration, which was actually now getting streamlined because of the Khata -related challenges which had posed. So I think as that really pushes out, we put acceleration on the right kind of credit g rowth.
Shreepal Doshi : But sir, apart from that also because Karnataka is just 4%. So I mean, are you seeing the similar trends in some of our key geographies, which is Rajasthan, Maharashtra, Gujarat, MP? So are you seeing this North Central belt also giving you signs of busine ss momentum improving at customer levels?
Sachinder Bhinder: Yes. So, in our base rate, it is such a high base level, we continue to grow in Rajasthan at a compounded rate of ~20% or so. And with 111 branches, and at an AUM which is touching about Rs. 7,400 crores for us in Rajasthan, we , at that base, continue to grow with a supreme and pristine quality.

UP is one of the areas on the expansion spree for us in the coming years to really get into much deeper. We've had 5 years plus of an experience in there and touchwood the quality has been pristine from our risk metric perspective. And that's one area whic h will go deeper further to expand the Uttar Pradesh belt, so to say. So yes, Uttar Pradesh belt, the states -- the cohort of our states, which are a 10-year kind, which is Rajasthan, Gujarat, Maharashtra and MP really contributing to the ones.
The other cohort, which is the likes of Haryana, Delhi and specifically UP, where we have been only with about 39 branches in UP, that's one state which we want to really push the pedal and accelerate given that we have had experience of more than 5 years in that state.
And plus, as we said that , called out earlier, on the southern states, we are still having Tamil Nadu, Andhra Pradesh and Telangana, 3 states actually available to us for our growth opportunities. We just entered Tamil Nadu, but these 3 states, along with Karnataka, the southern st ates, the cohort of the old states, which are vintage states and the existing ones like the UP, where we like to expand, will really help us go much deeper and accelerate growth.
Shreepal Doshi : Got it, sir. Sir, the second question was while you highlighted that we'll have 25% disbursement growth as target for FY27, what would be the loan growth aspiration for

FY27 in that case?
Sachinder Bhinder : So, I expect that we have a 25% + growth on the disbursement. See , to put that in metrics in a very simplistic manner, we said that we are doing around ~Rs.1.4 crores per branch per month on an average basis. Just a bump up of Rs. 1.6 crores to Rs. 1.7 crores really help us to move the needle much faster, plus an additional as Rs. 25 lakhs to Rs. 30 lakhs of business per branch really moves that. And why I'm saying so is based on a lot of management initiatives, which have been taken like the branch excellence program, which really help us to granularly move the needle in all of this. And incrementally, that ac

tually helps us to project that kind of forecast, that kind of growth in a very, very secular and a granular manner.
Shreepal Doshi: Got it and the loan book growth guidance for FY27?
Sachinder Bhinder: Yes, that would be in the range of 17% to 18%.
Ghanshyam Rawat: Which is almost around 300 basis points better than the FY26.
Moderator: Our next question comes from the line of Chintan Shah from ICICI Securities.
Chintan Shah: So yes, on the disbursements, again, we are guiding that it would be 25% run rate driven by the branch expansion and a couple of projects which we have implemented which is the kind of transformation projects and due to inflation. But so just on , asking in a different way, what could be the risk which could lead us to not achieve this? Do you envisage any risk? Or what could be the probable risk, which could lead to a miss on this number, if any, which you could think of right now?
Sachinder Bhinder: I think it is only about the macroeconomic stability that has to continue. There has not to be any of the typical headwinds which really should blow us out or any black swan event which is very difficult to underwrite or to predict. Other than that, on the basis of what we are currently doing and whatever we've seen in Q3 and what we've seen in Q4, I think that gives us confidence to really project and forecast with the granular and secular growth, Chintan.

Chintan Shah: Sure, sir. So , nothing related to the competition or assets, probably interest rates movement, probably that could be a deterrent to this growth, right?
Sachinder Bhinder: No, nothing of that sort that we envisage. See, if you look at a couple of things which you would try to really to highlight is the BT out. I think that's one indicator which you would really look at it. For Q3, we are at 5.1%, which is 60 bps lower than in the same period last year.
And again, from a ticket size perspective, if you look at it, whatever competition or what people are envisaging on the affordable housing finance companies as you we step up, I think the ticket size is very, very different range. That's point number two.
Point number three is, we are focused very much on self -assessment based, self - employed nonprofessionals as one of our key segments, which are around 15% new to credit. 92% of them remain to be new to mortgage, which is for the first dwelling house that t hey are taking and raising the finance, which is very different from underwriting something which has a different connotation from an affordable, which is in excess of Rs. 25 lakhs, as what people really classify.
So from our segment, we are very clear, that our reach Tier 2, Tier 3 towns, deep impact one, understanding of having underwritten more than 0.5 million customers at this period of time as we speak. That's one which we already underwritten.
Plus the kind of logins which we do every month, we have a proper data history of the customers, what we have sourced, what we have underwritten, how they have performed. I think there's a lot of data and science available to us to understand much more gr anularly, secularly, region -wise, customer segment -wise. I think that really helps us and stands out in the market actually.
Chintan Shah: Sure, sir. That is quite helpful. And just one last thing on the Tamil Nadu. Sir we have recently entered Tamil Nadu with around 10 branches. So, but given that this is a very highly competitive market, which is what we hear from peers as well, so how are we placing ourselves to gain market share? And any numbers you could throw on the disbursements or AUM targets for Tamil Nadu for FY27?
Sachinder Bhinder: So Chintan, if you look at Aavas's philosophy of doing credit right, and once we enter a new state, we give good enough time to understand the credit environment, the local environment and then really step up. And we've never chased market share, so really, so to say.

And the market share chase is typically when you go out in the market and try to do BT in and stuff like that . I think we've never believed in that philosophy.
And even if you look at from a perspective of entry into Tamil Nadu, that is where we started Hosur, we were there in Karnataka, and we entered the piece which is nearing the Karnataka belt. So understanding of the market, doing the credit right and givin g

enough time for the market to mature to understand for the segments which we serve for.I think and then typically, we step up.
And as we've guided, we will continue to do that in the near -term period. And we are confident in the next year having opened 10 and another 7 branches, we are at 17 branches, that will additionally add about Rs. 75 crores to Rs. 100 crores next year to our kitty.
But as I again reiterate, we've never chased market share. I think when you start chasing market share, I think it's very important to get the foundation right in the new state which you do.

So, like, for example, the last state which we entered was Karnataka. So we're very cautious about what we underwrite, what we put the fundamentals in place and then really accelerate which is there. And to your point of competition, I think from a perspectiv e of the market segments which we serve, we are very, very sure about the kind of potential which is available there as we are clear on SENP focus, unserved, underserved, plus the new to credit and new to mortgage.
So I think that gives us confidence getting into those markets and building that. And I think I look at from an opportunity perspective for Aavas, because if you look at, we have 3 states are actually available for us to really build on, which is Tamil Na du, Andhra Pradesh and Telangana.
Moderator: Next question comes from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Congratulations o n good performance on asset quality and spreads . I just have 2 -3 things. First is for having a better productivity, any changes planned in incentivization for employees and channels? That's first question.
Second is on this 1+ DPD improvement, did the bounce improve? Or did we make a better effort on collections and hence, were you able to correct the same a larger volume of bounce? And third is on asset quality, generally, traditionally, we see a large pullback in buckets and sizable recoveries in Q4. It did not happen last year because it was a difficult income liquidity environment for customers. But this quarter, in Q4, can we revert back to that traditional movement in asset quality, which we generally see in Q4?
Sachinder Bhinder: I think you have three questions. I'll answer the second question. I think the input quality of credit underwriting is the ones which really define on risk -adjusted returns and doing the robust risk management practices has always helped Aavas right from day 1. And foundationally, our risk architecture really contributes towards sound sourcing, sound underwriting and sound risk management.
And coupled with state -of-art digital and analytical PA R collection mechanism and as we say that we have a robust one on predictive, prescriptive and descriptive analytics to really forecast the probability of the bounce much before the customer really bounces. So I think all of have been perfected. I think all of that really put together really helps us to deliver for what we are , what numbers you see on board. That's answer to your question number two.
Question one was on the employee productivity. As I spoke that the branch excellence programs under the part of where we focus on really helping the channel and helping the last mile frontline salesperson to know where to go, how to go and how to approach aided by a digital mechanism that's led by the pin code identification, the market identification and coupled with lot of CSC -led or eMitra -led kind of sourcing, which is also he

lping to really increase the one.
So, what is important there is how do you increase the throughput when your input increases by the visits, which I said. I'm again reiterating that we've seen 30% increase in the sales visits by the front line, which has resulted into the good quality really coming in and finance resul ting into a good stable growth.
And again, we will really look at Gen AI, bot implementation in Q4, which will help in collection as an advanced stage from our analytics perspective, which will also help in the quality, which is there. And as we move on this, we will enhance digitally aided and to the frontline staff to increase their productivity in the right manner. So I think we

are incentivizing the right kind of effort by digitally aiding them to perform and helping them to really source right, source well and source it in quality manner.
Rajiv Mehta: And the third question was on the traditional pullback that we see, which is very significant in Q4 asset quality. Would we see that kind of a pullback in this quarter as well?
Ghanshyam Rawat: By seeing the January number, I think we are at a good trajectory, have a pullback in 1+. I think after a quarter of our 1+ , we start to see a good bounce back in the 90 -plus in Stage 2. So, we are quite hopeful our number will be much better on the quality front,

because across the state, we are seeing improvement .
Moderator: Our next question comes from the line of Sonal Gandhi from AM Securities.
Sonal Gandhi: So, when I look at AUM per branch for Gujarat, Madhya Pradesh and Uttar Pradesh, now these 3 states have been showing growth of less than 10%, probably MP being somewhere closer to 4%. Now if you look at the data, even the branches have not been really added over the last 7, 8 quarters in the states.
So anything that has happened in the states? Or are the attritions high, is the competitive intensity high? Or do you kind of tighten your credit features? This contributes almost 30% of your AUM, if you could talk about it?
Sachinder Bhinder: So, I think MP, we had called out earlier on certain part of which is there. I think the other , we really look at Aavas from an opportunity perspective, both from Gujarat and Uttar Pradesh. I think as we speak, we are focused on, Uttar Pradesh going really deeper into the geographies, and the districts of Uttar Pradesh, and that's what our plan is f or the next financial year. So that will actually help us to really scale that operations in Uttar Pradesh.
And specifically on Gujarat, we are going quite deep because we've realized and recognized that we are there in the state for the last 10 years. And we've had a lot of implementation programs of going deeper by the RRO mechanism, which is resident represe ntative offices, which we are looking at it, coupled by model branches.
I think that spread out for us in Gujarat will also contribute and help us to build the right mechanism and scale up rightfully in that state. So , this is what for the 3 states for Aavas which would be helpful in the coming quarters.
Sonal Gandhi: Sir, my second question was on opex -to-assets. So, we are planning to add 25 branches this quarter, probably 6 -7 already added, 50 branches next year. So that's a big chunk. So how do we see our opex -to-assets moving?
And second related would be on ROE. So our ROEs are still at 14.3%. So on a stable basis, where do you see ROEs reaching in, say, next 2 to 3 years?
Ghanshyam Rawat: Yes, we appreciate your question. I think when we opened the branch, so I think 25 branches just make out to roughly 5% of your total branch strength. And all these branches , we are opening in the deep market, so per branch opening infra -cost is not that high. Generally, now these small branches have a manpower 4 plus 1. We are going deeper through RRO, as Sachinder ji mentioned, where it hardly adds any opex cost.
So in mix all th

ese things, we are confident that our opex is more or less on downward trajectory. Yes, when CVC came, they announced ESOP plan for long -term

management growth, management performance , so that the extra cost came in this Q3.
If you remove that one, you will find it is not much change in Q2 to Q3 or on a year -on-year basis. So excluding ESOP cost, we are at a similar level. Yes, with digital , all the infra tech, we are looking forward to next year to another 2 5-basis point opex saving in the next year. And with this 25% + disbursement growth, 18% in AUM growth will give us a 25-basis point opex saving in the next year.
Sonal Gandhi: On the ROE part?
Ghanshyam Rawat: ROE, again, we are now close to 5% plus spread, which is now more or less sustainable despite 15 basis point reduction. Opex, as I mentioned, we are in that range. Credit cost, we are not seeing much change. We are confident that 20 basis point credit costs across , I think in the next couple of years, every year we don't see.
So all these lead to sustainable better ROE. And ultimately, our growth is coming back. So that will increase our leverage.
So obviously, right now, we are almost 16% on net worth growing on annually without bringing new capital on the table because of all the Ind -AS adjustment on P&L basis, you find ROE around less than 15%. But at net worth growth level without taking any new capital, it is 16% around consistently. So we are in that trajectory of, let's say, net worth growth 16% to 18% in the next couple of years.
Moderator: Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you, team.
Sachinder Bhinder: Ladies & Gentlemen, as we conclude today’s earnings call, I would like to extend my sincere gratitude to each of you for your time, engagement, and continued support. The progress we’ve made is a testament to the unwavering dedication of our team, the trus t placed in us by our shareholders, and the enduring loyalty of our customers.
Looking ahead, we remain optimistic about the opportunities that lie before us. We are confident that our strategic initiatives, underpinned by prudent risk management and a customer -centric approach, will continue to deliver sustainable growth and long -

term value for all our stakeholders. Should you have any further questions or require additional information, please feel free to reach out to Rakesh Shinde, our Head of Investor Relations.
Thank you once again, and we wish you all the absolute best in the days ahead. God Bless.
Ghanshyam Rawat: Thank you.
Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Aavas Financiers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you, team.

Call: May 2026

INTERNAL
Ref. No. AAVAS/SEC/ 2026-27/2621
Date: May 12 , 2026

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Conference Call for the Q uarter and Financial Year ended March 31, 2026 .
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated April 27 , 2026 bearing Ref. No. AAVAS/SEC/202 6-27/2489 please find enclosed the transcript of the Earnings Conference Call on the Financial and Operational p erformance of the Company for the Q uarter and Financial Year ended March 31, 2026 held on Tuesday , May 05, 2026 .
The above information is also available on the website of the Company and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take t he same on your record.
Date and time of occurrence of event/information: May 05, 2026 and Earning s Conference Call commenced at 05:30 P.M. (IST) .

Thanking You,
For AAVAS FINANCIERS LIMITED

SAURABH SHARMA
COMPANY SECRETARY & COMPLIANCE OFFICER
(ACS-60350) To,
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Mumbai – 400051

Scrip Symbol: AAVAS To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 541988

“Aavas Financiers Limited
Q4FY2 6 Earnings Conference Call ”
May 05, 202 6

Management: Mr. Manu Singh – Managing Director * and Chief Executive Officer
Mr. Ghanshyam Rawat – Chief Financial Officer
Mr. Ashutosh Atre – Chief Risk Officer
Mr. Rakesh Shinde – Head of Investor Relations
*Subject to RBI approval
This document is a transcription of the conference call conducted on 05 -May -2026.
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Moderator: Ladies and gentlemen, good day, and welcome to the Aavas Financiers Limited FY26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company a s on the date of this call. These statements are not the guarantees of

future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the lesson -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rakesh Shinde, Head, Investor Relations of Aavas Financiers Limited. Thank you, and over to you, sir.
Rakesh Shinde: Thank you, Yusuf. Good evening, everyone, and a warm welcome to all participants joining us today to discuss the financial and operating performance of Aavas Financiers Limited for Q4 and FY26, along with our outlook for the business. The results and the investor presentation have been uploaded to the Stock Exchanges and are also available on our website. I hope you have had a chance to review them.
We have also uploaded Excel fact sheet containing historical data on our website for your easy reference. Joining me today is the entire management team of Aavas. We will

begin this call with opening remarks from our CEO, Manu Singh; CFO, Ghanshyam Rawat; and CRO, Ashutosh Atre. This will be followed by a question -and -answer session. With that, let me now hand over the call to Manu. Over to you, Manu.
Manu Singh : Good evening, everyone, and thank you so much, Rakesh. Before I delve into the quarterly results, let me tell you that it's an absolute privilege to address you first time as the CEO of Aavas. I'm grateful to the Board and to the entire Aavas family for th eir trust and confidence.
Myself, I bring over 25 years of experience in lending with track records of scaling lending businesses across both geographies and product suites. My experience spans across sourcing, credit, operations, collections and a deep exposure to operating in reg ulated environments with very strong focus on risk management, governance and execution discipline.
Over the years, Aavas has built a very high -quality franchise, defined by prudent growth, disciplined risk management and a strong commitment to the communities we serve. This is evident in our consistently pristine asset quality, strong governance standar ds, rigorous compliance and best -in-class underwriting capabilities, particularly in the assessed income segment.
As we step into the next phase of our growth journey, our priorities are very clear ; to scale the franchise responsibly; enhance operating efficiency; and continue to deliver sustainable risk -adjusted returns. We will remain firmly anchored to a customer -first and credit -first philosophy and strengthen our core fundamentals in each market that we serve.
We see a significant opportunity ahead in deepening our presence, improving per person productivity, driving profitable growth, all of this without compromising on asset quality or our governance standards. Me and my team are very optimistic about the oppo rtunities ahead and look forward to working closely, engaging actively with all of you as we build the next chapter of Aavas' journey with two very important focal points, sharper execution and long -term value creation.
Quickly coming to operations for Aavas for FY26. This is a year of landmarks and milestones. In the year, we saw a change of promoters, welcoming CVC Capital Partners, our balance sheet crossing Rs. 200 billion and our net worth crossing Rs. 50 billion marks. We have expanded our reach to the southern markets, and our lifetime disbursements have crossed Rs.400 billion mark, enabling 4 lakh customers to have their dream Aavas, which is homeownership.
Further, our credit rating outlook was upgraded to positive by ICRA and CARE both. All of these stand testament to the trust customers and stakeholders place on Aavas, and we know this fiduciary responsibility of continuing to deliver on the same quarter -on-quarter.
At a very macro level, F Y26 has seen multiple structural enablers, including policy reforms, continued FDI liberalization and progress on trade agreements. The focus in Tier 2 and Tier 3 markets has also strengthened the ecosystem. Yes, the cumulative 125 basis repo cut by RBI has improved affordability, creating strong tailwinds for the segment, which is affordable housing.
From a business perspective, Q4 was encouraging. We disbursed Rs. 23.5 billion, 16% higher than same time last year and 36% growth Q-o-Q, which firmly reflects an improving operating rhythm of the business.

Our AUM at the end of FY26 stood at Rs. 234.5 billion, registering a Y -o-Y growth of 15%, while disbursements for the year grew 11% at Rs. 67.8 billion. More importantly, our credit -first approach continues to benefit us with best -in-class asset quality. Our 1+ DPD has shown sharp improvement across geographies, resulting in a lower GNPA, almost tracking close to historical low levels of 1%.

During the last quarter, we added 31 branches, bringing our total network to 435 branches across 15 states. This is a test

ament to us progressively and continually investing in our business. This expansion was largely concentrated in focused growth markets such as Tamil Nadu, Uttar Pradesh, Gujarat, aimed at d eepening our presence, improving the reach and driving incremental disbursement momentum in areas which have high potential.

As we look ahead, our long -term strategic priorities remain firm and clear: to leverage our distribution network; to take advantage of years of developed local market knowledge, which our branches have; drive scale efficiently; optimize costs; enhance prod uctivity; and start leveraging our digital platforms.

With that preamble, I now take you through our quarterly performance. Our net profit for Q4 grew by 18% to Rs. 1.82 billion, led by a robust 17% Y -o-Y growth in NII on account of healthy improvement in our NIMs. Our net worth continues to compound, steadily growing at 16% Y -o-Y. Our NIMs expanded by 44 bps sequentially to 8.45% during the quarter . NIMs improved by 29 bps overall in FY26. This was supported by improvement in spread, coupled with our continuous focus on risk -adjusted pricing suiting our custo mer segments.

Our asset quality remains pristine with 1+ DPD well below 4%, improving by 63 bps sequentially to 3.17% as of Mar -26, while GNPA improved by 14 bps Q-o-Q to 1.05%. Credit costs improved to 13 bps, driven by lower 1+ flow, and improved across buckets. We continue to maintain our guidance on keeping credit costs under check and below 25 bps on a sustainable basis.

Our ROA improved by 13 bps to 3.5% and ROE improved by 38 bps quarter -on-quarter to 14.67% in Q4. Together as a team, we remain focused on delivering quality, profitable growth, strong discipline, getting tech -led efficiencies into our business, while creating consistently long -term value for stakeholders.

With that, ladies and gentlemen, I would now hand over to our CFO, Mr. Ghanshyam Rawat, to discuss the financials in detail with you.

Ghanshyam Rawat: Thank you, Manu. Good evening, everyone, and a warm welcome to our earnings call.

First, to provide update on the borrowing. The improvement in cost of funds continued to underscore the strength and resilience of Aavas' well -diversified liability franchise . In line with our strategy of innovation in liability sourcing, we proactively anticipated the potential softening of interest rates and strategically shifted a sizable portion of our borrowing to EBLR -linked instruments and various marke t rate benchmarks.

This forward -looking approach has continued to yield tangible benefits in FY26 as our liabilities are repriced faster than those of many peers, which led to contain overall borrowing cost. This position helps us well to maintain competitive cost of funds, while supporting sustainable long -term quality growth. During FY26, we also successfully secured commitment of ~Rs. 975 crores, USD 108 million, from a marquee multinational financial institution at a very competitive cost.

This represents the largest NCD placement in the company's history and underscores our position as one of the leading players in affordable finance. It also reflects a strong external confidence in our measured quality -led growth strategy and the long -term vision of servicing in affordable housing space. The proceeds from this financing will be deployed to support affordable housing loans to EWS and LIG categories, promote women ownership, scale green -certified housing and expand our MSME lending in underse rved regions, further strengthening our development -focused lending franchise.

A well -diversified liability franchise linked to various benchmarks and competitive price; we were able to deliver 62 bps improvement in overall cost of funds for FY26. Our spread improved by 31 bps Y -o-Y to 5.20% in FY26. We continue to borrow judiciously, raising around Rs. 67.05 billion at a competitive rate of 7.61% for FY26. As on 31st M

arch 2026, the outstanding borrowing stood at Rs. 204 billion. Our tenure borrowing continued to be longer than that of our total of assets , ensuring a positive ALM acr oss all the buckets. We have an optimum mix of various benchmarks of interest rates such as 40% borrowing linked to external benchmarks such as repo, T -Bill, MIBOR and 33% linked to up to 3 -month MCLR, enabling faster repricing of nearly 73% of our borrowing in line with the i nterest rate movements. We have successfully accessed a cost -effective fund -raising avenue through the issuance of around Rs. 500 million of AAA -rated PTC first time in Aavas' history. Lender support remains strong as Aavas continues to evolve. We maintain access to diversified and cost -effective long -term funding.

Our relationship with the financial institutions remains robust, supporting our strategic funding goals. As of 31st March 2026, we maintained ample liquidity, including cash and cash equivalents and unavailed cash credit limits of Rs. 19 billion, documented unavailed sanctions of Rs. 9.75 billion.

Profitability and capital position: Net Total I ncome, NIM, in absolute terms, grew by 18% Y-o-Y in Q4FY26 and 18% in full year. Net interest margin, NIM, as a % of total assets expanded by 44 bps Q -o-Q to 8.45% in Q4FY26 and 29 bps in FY26. We remain well capitalized with a net worth of Rs. 50.5 billion with a capital to risk -weighted assets ratio of 44.6%, significantly above the regulatory requirement. Net profit for FY26 grew by 14% and net worth continued to grow at 16%.

Now, I would like to hand over the line to our CRO, Ashutosh Atre, to discuss the assets quality.

Ashutosh Atre: Thank you, Ghanshyamji. Good evening, everyone. I am pleased to share the key portfolio risk parameters with you.

Asset quality and provisioning: Aavas is strongly positioned to continue delivering industry -leading asset quality. Our asset quality remains within the guided range with 1 - day past due well below 4% at 3.17% in FY26 versus 3.38% in FY25. And Gross Stage 3 and Net Stage 3 improved to 1.05% and 0.68%, respectively. During the quarter, there was a reduction in absolute value of 1+ DPD and percentage, which improved by 63 bps and gross Stage 3 by 14 bps from December '25.

From a geographical perspective, asset quality in our vintage states continued to remain healthy. The average 1+ DPD and GNPA stood well below 4% and 1.25% of AUM. Similarly, in our emerging markets, we are observing healthy credit performance with 1+ DPD and GNPA levels remaining comfortably within 4% and 1% of AUM, respectively.

Our total ECL provisioning, including that for COVID -19 impact, as well as Resolution Framework 2.0, stood at Rs. 1.3 billion as of 31st of March 2026. Our disciplined underwriting standards, coupled with proactive risk management framework, have enabled us to stay ahead of emerging macroeconomic challenges.

We continue to follow a rigorous credit assessment process; stress tested across multiple economic scenarios and remain selectively calibrated in our exposure to high - risk segments. This approach has helped us preserve asset quality, which continues to rank among the best in the industry. With this, I open the floor for Q&A. Thank you.

Moderator: First question is from the line of Renish Bhuva from ICICI Securities.

Renish Bhuva : Congrats on a good set of numbers. Sir, just two questions. One on the medium -term strategy . I do understand you might have spent only 10 -15 days , but if you can just broadly guide us , how do you think about the sector's medium -term growth and where does Aavas stand in terms of growth the outlook? And maybe what is your aspirational growth target for FY27 and FY28? That's my first question, sir.

Manu Singh : Thank you so much for that question. I'll take them separately. I'll take your second question first, which is long -term growth strategy. Our aspiration clear

ly is to
consistently deliver 20% -plus AUM growth, largely to outperform industry. On your questio n of short - and medium -term growth, I think me and the team are very clearly focused on sharp execution of our already laid down strategies for growth.

When I mean sharp execution, I mean the following which is: getting the product and customer suite along with its pricing right; second, looking at the channel composition today in the sourcing funnel and tweaking that for optimization. Third, we've invested in geographical expansion, and other than Rajasthan, getting the high potential states like Maharashtra, Gujarat, UP, Southern states quickly climb up to their potential because they are now well staffed; last but not the least, manag ing leakages, leaka ges in funnel, which is what do you source as login, sanction, disbursement, and is it weekly disciplined into an order which follows a particular pattern of percentages. All in all, sharper execution, resulting in consistency of performance and getting bo th product , channel and geographies into their right slots.

Renish Bhuva : Got it. Now, just a follow -up on that . So where do you see ROE settling? I mean, execution obviously is also linked to yields, opex optimization, etc. From an exit 15% ROE, where do you see ROE also moving ahead?

Manu Singh : So, as I mentioned on your second question, which is long -term growth strategy or if the question still pertains to the fact of long -term indications, I think high teens is where our eyes are very clearly set on ROE .

Renish Bhuva : Okay. Got it. And sir, my second question is for Ghanshyam Sir. So , though we witnessed a Y-o-Y spread expansion, when we look at the sequential movement, it is down 15 basis points, largely due to PLR cut in March. But now, we also intend to further PLR cut of 10 basis points maybe in June? So where do you see ultimately spreads settling? Otherwise, ROA will again moderate in H1FY 27.

Ghanshyam Rawat : Thank you for the question. As you s ee, on a full-year basis, we have c ome down 62 bps in overall cost of borrowing, and which is largely stabilizing at that level. And we reached a spread of 5.2 %. As Manu mentioned, and along with all team, we talk about the right placement of product at the right price. So, that will help us going forward a slight

improvement in the yield placement of product and cost of borrowing stabilizes at this level. We're very confident to maintain the spreads 5% +.
Renish Bhuva : Okay. So , my observation is, with 15 bps PLR cut, yields are down 20 bps , which essentially means that the book yield is converging towards disbursement yield, which is lower as we have been highlighting. So just wanted to understand how your disbursement yields will move ahead, which will ultimately take care of your blended yields.
Manu Singh : Thank you so much for articulating that clearly. I think that is well established with us. And going back to my previous answer, I would like to repeat that there is enough headroom to place the product on risk -adjusted pricing. We are in the assessed income group. Every transaction is unique. And hence, I'm confident of the fact, along with my team, that the right placement of the right product will help bridge this gap.

Moderator : Next question is from the line of Kunal Shah from Citigroup.
Kunal Shah : So, a couple of questions on the growth side. You articulated aspiration to get towards 20% +. And we are seeing the network expansion. This quarter, again, larger part of the network expansion was in Gujarat, Tamil Nadu and UP, wherein we would have added like, say, 8 to 10 -odd branches in each state.
So, would that be the strategy maybe in terms of expansion? And we have seen almost flat branches in Maharashtra, MP and Rajasthan, maybe 3 branches getting added as such. So , do we see that a larger part of the expansion would be coming to these states in terms of

the branches and even in terms of the incremental growth? So that's firstly on geography .
And secondly, on the productivity side, maybe what are the initiatives we are taking incrementally just to ensure that productivity and maybe the disbursements per sales officer, that also inches up? So, if you can highlight in terms of what your near -term strategy would be in terms of inching productivity up?
Manu Singh : Thank you so much for those two specific questions. To answer your first question on geography . Yes, we are continuously focused on adding branches in states like UP, Gujarat, Tamil Nadu, where we find the perfect balance of potential as well as risk, which we are ready to underwrite. So that's a balance to look at. So, we will continue doing that.
On the second question of productivity, I'd like to answer that in a fork approach of two points. The first is, is RO enabl ed and understands what source, sources first time right, is assessed based on our risk adjustment assessment . And then, any flow -through, which is from login to sanction, sanction to disbursement, those handover gaps, at efficiency levels today, can be moved up 15%, 20% by concentrating on every branch productivity end -to-end and not purely looking at a bucket whic h is only either logi n or end result of disbursement.
Secondly, it is important for us to rebuild the muscle, which is when I mentioned in the previous question about channel management, where this sourcing coming from into the funnel is . And hence, in a branch network where there is 10 -12 years of experience available for local market expertise, the muscle of direct business is a focus that all of us, together as management team, are going to continuously work upon, which reduces dependency or if I can say it, it kind of gives more contr ol on consistency of what comes

in and hence, what goes out. So those two would be my specific answers to these questions.
Kunal Shah : So, in terms of indirect sourcing, would we want to take that proportion up? Or maybe still the focus will be more on direct sourcing, as you mentioned, like since we have the control out there?
Manu Singh : I'll answer that by saying and I'll give you an analogy on, say, for example, Rajasthan being our primary state. When we say that we are investing in other state does not mean I'm disinvesting in Rajasthan. And hence, similarly, when I look at and the team looks at channel management, it does not mean we degrow some channel. It's about rebuilding muscle into channels where we have direct control. So , it's largely about being very clear about focusing on direct and getting that muscle built up ag ain. Indirect continues the way it continues. It's an important part of the ecosystem. We value that part of the ecosystem.
We just want to continue building our own strengths, which is direct sourcing through

channels like CSC, develop our digital avenues, which is the website, our own app, which has a referral program. So , it's a step -by-step continual journey. But yes, I would pause the answer there for further questions.

Kunal Shah : Sure. And one last one with respect to yield. So , you also indicated in terms of risk - adjusted pricing to be optimized. So , have we started increasing yields in any of the product segments, any of the profile ? How are we looking at it? And when would that journey start in terms of yield optimization? Has it been rolled out on, say, a pilot basis? And when do we see the full -fledged rollout of that happening?

Manu Singh : So, as we speak, there is no better way to start a good deed than today. So , it has already started in the financial year. As I mentioned, it's a progressive journey that we have the expertise of underwriting risk very well. You've seen in the last many years that the quality of the book is pristine. And hence, our ability to buil d that muscle on risk - adjusted pricing across 435 b

ranches is a journey which is already on its way.

It's not something which has to be thought very differently. It's just about those boundary cases which need to be looked at, paused and focused to be got back to the core area that you serve. It's always the distraction of a business which becomes the attraction. And that is what me and my team are going to kind of -- we don't want to be distracted by attraction. We have core strengths. We must deepen them.

Moderator: Next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Just one question and maybe just trying to paraphrase what some of my friends earlier in this call have asked. If you look at the last 2 years, we grew below 20%. So, if you could, first, articulate where was the problem? When our peers with large balance sheets were able to grow upwards of 20%, why were we not able to grow? Was it an execution problem? Was it a competition problem?

That is the first thing I wanted to understand. You have articulated product placement, geography, so if you could add some nuances around it in terms of channel, are we going to do more of DSA sourcing going forward? When you speak about geography, what are the plans to maybe add more states in Southern India? Could you just start with that?

Manu Singh : Sure. I'll take the two questions one by one. The first is about your question about the past. Every human being, including me, becomes wiser in hindsight. So , I would start

answering by saying at every point in time, my predecessors and the management team have done their best in those times. Times are different. Variables are different. Looking progressively ahead on growth, my response would go back to the earlier two questions that we are focused on not only looking at sustainable growth, we are also investing continually in geographies like South, Gujarat, UP, where we see potential balanced with quality of the book. So, my answer very clearly remains, this is a vastly untapped market. Growth rates are there. We must make sure that we assess it right, price it right for our growth.

On your second question of sourcing, largely between direct and indirect sourcing, as I mentioned earlier, direct sourcing has always been the branch -driven model, and it has been our strength. We are attempting very quickly to rebuild. Don’t forget cycling even if you pick it up after many years. So, it's a strength that we have, and we are just going to polish it and double down on it.

The second is, it's not about reducing channel partners. Channel partners are an important source of the ecosystem. We value them. We continue doing that. As I mentioned, if there ever have been , when I look in hindsight, if there are cases which are external to boundaries, cases which don't suit our NIM profile, we will try and make sure that we are not attracted by distraction. I hope I answered your question as I'm happy to have the question again.

Abhijit Tibrewal: Yes. That answers my question. And just one last thing. You spoke about right product at the right price. And maybe earlier in the call, you also said that there will be an effort to improve the yields at which we operate. So just trying to understand , Aavas, for at least the whole of its listed history, has been a franchise which has been very strong on asset quality. Credit costs have remained benign. Are we now planning to move to a slightly different customer segment or a product segme nt, which would mean while the risk -adjusted yields go up, or the yields go up, commensurately the risks also go up? And at the same time, I mean, we might see credit cost also inching up.

Now, why I ask this is, in your press release, I remember reading that you continue to guide for less than 25 basis points in credit cost. Wherever we talk about a yield increase, there is a commensurate increase in risk as well. So just trying to understand tha

t trade -off.

Manu Singh : I'm very thankful to you for having picked this question. It gives me and my team a big opportunity to vehemently, assertively mention that increase in yield by no manner suggests increase of risk. I will repeat that, increase of yield by no standards equals mathematically to increase of risk. We take pride in the fact that our micro market knowledge is muscle exceptionally built over time. We continue t o be very vigilant about it. We are not overconfident. But we are confident on the fact that our placemen t pricing, based on every individual case, has scope of improvement. And we have already started that in practice and are seeing some early results.

Having said that, this is a journey. Nothing changes overnight. Overnight always has problems of breakage or the engine jamming. It's a journey. But yes, answering the question once again, we are not going to get into more riskier segments. We continue to maintain our guidance on credit costs.

Moderator: Next question is from the line of Gaurav Khandelwal from JPMorgan.

Gaurav Khandelwal: I've got a couple of those. First one is a follow -up on the yield part. So , 20 bps decline in yields in fourth quarter, 15 bps on back of the PLR cut, but can I also understand the competitive dynamics in that? Is it largely a function of the other part of the yields declining because of competition being too high?

That's one. And the other part to this question is, are you seeing some of the bigger HFCs now trying to enter some of the ticket sizes, ZIP codes that you operate in, primarily also because they are being pushed out from the prime mortgage side, so they're wanting to come into your ZIP code? Any thoughts around that, please?

Ghanshyam Rawat: I think Q4, the number which you are referring has an impact of reducing 15 bps PLR, which is effective on 1st of March. So , you can see a large impact, what you're referring to the number, is on account of that. And rest, obviously, this quarter is a good number, growth quarter where competition comes in this quarter. Everybody in competition wants to underwrite maximum business in that quarter.

So, we also fall into the same category. But if you see larger picture for the full year or coming year, we have deep market presence, and we don't see a competition which has, let's say, impact on yield placement. It's more largely as Manu said, we have to be conscious while underwriting the case to have a right placement of yield on that as set.

Gaurav Khandelwal: Got it. And my other question is on your opex, if I look at cost to assets or cost to AUM, in last 3 years, that had been declining, but FY26, it's moved up again Y-o-Y. Where do we see this settle? I understand you are still investing in some of the new states and there's some branch expansion. But where do , on steady state, where do we see this number settling? And could you highlight some of the use cases on tech -led efficiencies that you've been talking about?

Ghanshyam Rawat: Yes, we agree with you. Our opex efficiency, in two years, continuously , ha d shown an improvement . This year, we had higher opex than last year. It has two factors : We have invested in the branch expansion, which has led to higher manpower because we firmly believe that we must invest in the branch expansion, which will give us a better growth momentum than what we have done in the past. So, we have invested there. And those branches will start to give the results in the next full year.

And apart from that, the CVC came and brought a long -term retention plan of new ESOP and PSOP schemes basically, which has also given us some extra cost in the last full year basis.

Thirdly, what we thought of, growth for which we have invested, we have missed that growth during the year. That has also had an impact on us because denominators are not there wh ere we thought of, invested in the branch expense a nd people investment.

We are hopeful and confident, along with the entire team, and Manu is also on Board now. So , we hope we will grow back in the next year, that will bring down our opex to AUM ratio. And we maintain that once we reach a double size of the balance sheet, it will be somewhere 2.75% opex to AUM ratio.

Moderator: Next question is from the line of Raghav Garg from AMBIT Capital.

Raghav Garg : I have a few questions. One, see, when I look at your number of loans disbursed data, right, that disbursement value divided by the disbursement ticket size, for full year and even for the last 3 quarters, which is cumulative of Q2, Q3, Q4 because I think you had some problems in Q1, the volumes have not exactly grown.

On a full year basis, the total number of loans disbursed are flat. And in home loans, in fact, you've declined on a Y -o-Y basis in terms of volume. What are you doing to improve that? Because I see that your employee base has expanded, your branch network has expanded and still the volumes are down. I just want to get some sense of that.

Manu Singh : Thanks for that observation. It is very clear to us that this is an area of immediate attention for all of us . On which, as we laid down our FY27 plans, we've taken our numbers in April have been, for us, quite effective. There is also a slight change in the

sense that realization of an instrument in the customers' banking account is now the
order of the day .
Some of these have now settled down very well. And hence, we see that progressively,
the investments having been made in both people, as well as branches, along with our
technology efforts, as I mentioned in the call earlier, sharper execution focus should
start sweating these assets out. And productivity per person, as well as revenue per
person deployed on the field, i s going to be a metric that we will track hawkishly
ourselves against as we move quarter -to-quarter.
Raghav Garg : Understood. So, as you're saying that your volumes should increase and volumes, either
per person or on a per branch basis should increase, ideally that should lead to better
cost absorption, right, from a unit cost economics point of view.
Manu Singh : Yes.
Raghav Garg : So then, what are you guiding for in terms of opex to assets or opex to AUM, whichever
way you want to guide for? Sorry, if I missed that guidance, but generally, what kind of
levels do you see yourself achieving there, not just for FY27, but on a steady state basis?
Can it go below 3%?
Manu Singh : I think on a 2-to-3-year platform, yes. We are shooting for something below 3%.
However, as I mentioned, it's a journey. And this journey, both in terms of market, as
well as either tailwinds or headwinds, will have some nuances quarter -to-quarter.
Raghav Garg : Understood. And how do you think about your ticket size strategy or ticket size segment?
Because say, when I look at other mortgage loans, which are essentially all the non -
home loans, there, the ticket size has increased quite substantially Q-o-Q and even on
a Y-o-Y basis. So how are you feeling about your ticket size strategy going ahead?
Manu Singh : So, from a strategic perspective, I don't think we are changing our customer segment or
geographical segment by anything, including , and I'm repeating , at the cost of our credit
understanding and credit cost guidance. ATS, both tactically and strategically, ideally
should be moving only from an inflation perspective. The productivity lever is to be
applied to the number of customers coming in and growth there. The advantage of the
ATS should just flow into the P&L. That's a consequence, not a strategy.
Raghav Garg : Understood. Very clear. Just one more thing. Why are your overall repayment rates
higher even though your BT out rate has declined? Why is that happening?
Manu Singh : Sorry, I missed the question. Please, if you could repeat?
Raghav Garg : So, I'm

asking when I look at your calculated repayment rate on an overall basis, it's
about 20% versus 17.5% in Q4 of last year and 16.5% in Q3. Even though your BT out
rate has declined, why have the repayment rates gone up?
Ghanshyam Rawat: This has 3 components. One important component which we keep monitoring month
after month is balance transfer to, peer group, which is less than of our guidance . As a
management team , we want to keep control at less than 6%. This year, also, we have

closed at 5.5% on a full year basis. No doubt, customers sometimes get extra money,
and they pay back , there's part closures or, extra EMI they pay. Only largely on that
account , we have slightly higher repayment during this year. Otherwise, balance
transfer to BT, very much in control, which is less than 6%, very precise for this year,
5.5%.
Raghav Garg : Understood. So essentially, it's just customer prepayments .
Ghanshyam Rawat: Yes, because customers can get extra money. They want to pay more EMIs or part
payments, which we accept.
Moderator: Next question is from the line of Shreepal Doshi from Equirus Securities.
Shreepal Doshi: My first question is on technology and digital platform that we have developed over the
years. So , do you feel that there is further investment required on that front to make it
more aligned with the industry requirement and to bring down debt and then also
smoothen the overall functioning?
Ghanshyam Rawat: No. We have made a good investment in the sales force, as well as the life cycle
management, Oracle FLEXCUBE. Then we have best -in-class Oracle ERP system with
Fusion. All I think , most of the capitalization has been done. We do not see any further
investment in the entire module.
Yes, one of the collections is one of the best we have seen in last so many years, 1 -day
past due, and as well as collection . But we want to have a more technology -driven
collection, which will bring down our per unit cost down. So , we have some investment
we'll make in the collection software, but which is not so material amount.
Yes, what we've invested, it will need some small investment every year like AI, GenAI,
need to further sharpen our underwriting, acquisitions, collections and which will save
us some other cost also basically, opex, which we've invested here some amount, that
will save some other opex, manpower opex, manpower efficiency, bring the savings in
that company.

Shreepal Doshi: So, nothing major as such on the tech and digital side. The majority of our opex will be towards branch expansion and network expansion broadly, right?
Ghanshyam Rawat: Yes.
Shreepal Doshi: Got it. The second question was pertaining to how you are seeing the ground trends in terms of business momentum, as well as bounce rates, delinquency in the early part of 1Q? And how are we sort of planning or positioning ourselves to face the unfolding situation because of the Middle East war and the impact of inflation going ahead for our customers broadly?
Ashutosh Atre: We are also keeping very close watch on what is happening on the quality or maybe market trends based on this Middle East war. But thankfully, as of now, we are not seeing any kind of trend either in bouncing or in our collections . In fact, bouncing in the month of April was less than the previous month. And this year, April is better than the previous year April.
So, at the same time, we are also keeping an eye on ground feedback that if some check is getting bounced and if it is from a profile where we've envisaged that it might have been affected because of this war or anything. And the reason , if it is linked with the macroeconomic challenges. But so far, we have not seen anything. Of course, we are

keeping an eye, very close watch because ultimately, all of us are going to get affected if the petrol prices have gone up by Rs. 10 or something. So , it is going to get affect

ed.
But as of now, thankfully, nothing has happened.
Shreepal Doshi: Sir, any profiles that we have filtered which we will, let's say, not do or maybe do more checks in certain profiles? Any customer profile that you have filtered, keeping in mind the current situation?
Ashutosh Atre: It is as your guess as mine. So , the immediate visibility comes to, travel , tours and hotels, restaurants, and maybe even anything that is related to energy -related things, will be directly affected. But one thing I can tell you is that we are not financing the profile we, which are directly affected like chemical factory or anything who is into energy .
Our clients are the Tier 2 kind of a person who is getting affected or will get affected . As of now, not. But yes, we have kept some 5 -6 profiles, which are, as per our general guess, might get affected, and we are keeping track on their bouncing, 1+ or whatever.
So, that is what we've been doing as of now.
Manu Singh : Just to add, it's a very diversified book over a period of time. And hence, that's the strength of the retail business. There's no concentration risk at all.
Moderator: Ladies and gentlemen, we will take this as the last question for the day. I now hand the conference over to the management for the closing comments.
Manu Singh : Thank you. Ladies and gentlemen, as we conclude today's earnings call, I would like to sincerely thank each one of you for your time, continued engagement and support. The progress we have made reflects the strong efforts by our team, the trust of our shareholders and the confidence our customers place in us. I must also thank our regulators, NHB, for always being with us, guiding us, strengthening us as we progress into the growth journey.
Looking ahead, we remain optimistic about the opportunities in front of us. With our focus on disciplined growth, prudent risk management and customer -first credit -led approach, we find ourselves well positioned to deliver sustainable growth and consistent long -term value for our shareholders.
Should you have any other questions or require additional information, please feel free to reach out to Rakesh Shinde, our Head of Investor Relationships. Thank you once again for your continued trust and partnership. Thank you and have a very good day ahead.

Call: Jul 2026

INTERNAL
Ref. No. AAVAS/SEC/ 2026-27/2969
Date: July 27, 2026

Dear Sir/Madam,
Sub: Transcript of the Ea rnings Call for the Q uarter ended June 30, 2026 .
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with respect to our letter dated July 14 , 2026 bearing Ref. No. AAVAS/SEC/202 6-27/2897 please find enclosed the transcript of the Earnings Call on the Financial and Operational p erformance of the Company for the Q uarter ended June 30, 2026 held on Tuesday , July 21, 2026 .
The above information is also available on the website of the Comp any and can be accessed at https://www.aavas.in/investor -relations/investor -intimation .

We request you to take the same on your record.
Date and time of occurrence of event/information: July 21, 2026 and Earning s Call commenced at 06:45 P.M. (IST) .

Thanking You,
For AAVAS FINANCIERS LIMITED

SAURABH SHARMA
COMPANY SECRETARY & COMPLIANCE OFFICER
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BSE Limited
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Scrip Code: 541988

“Aavas Financiers Limited
Q1FY2 7 Earnings Conference Call ”
July 21, 202 6

Management: Mr. Manu Singh – Managing Director * and Chief Executive Officer
Mr. Ghanshyam Gupta – Interim, Chief Financial Officer
Mr. Rakesh Shinde – Head of Investor Relations
*Subject to RBI approval
This document is a transcription of the conference call conducted on 21-July -2026.
Click here to listen to the original audio
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Moderator: Ladies and gentlemen, good evening and welcome to the Aavas Financiers Limited Q1FY27 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future pe rformance and involve risks and uncertainties that are difficult

to predict.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Please note that the conference is being recorded.
I now hand the conference over to Mr. Rakesh Shinde, Head of Investor Relations of Aavas Financiers Limited. Thank you and over to you, sir.
Rakesh Shinde: Thank you, Swapnil. Good evening, everyone, and a very warm welcome to all participants joining us today to discuss the financial and operating performance of Aavas Financiers Limited for Q1FY27 . The results and the investor presentation have been uploaded on the stock exchanges and are also available on our website. I hope you have had a chance to review them. We have also uploaded an excel fact sheet containing historical data on our website fo r your easy reference. Joining me today is the entire management team of Aavas. We will begin this call with an opening remark from our CEO, Manu Singh and interim CFO, Ghanshyam Gupta. This will be followed by a Q&A session. With that, let me now hand over the call to Manu. Over to you, Manu.

Manu Singh : Thank you, Rakesh. And a very good evening to everyone joining us today. We appreciate you being here. Q1FY27 has been a strong quarter for Aavas and marks an important milestone in our growth journey. The strong performance during the quarter reflects a business that is becoming faster, fitter, more productive, with greater accountability and sharper execution a cross our organization.
We have started the year on a very strong note. During the quarter, we disbursed loans worth Rs.16.1 billion, delivering a robust growth of 41% Y -o-Y albeit on a lower base. This performance was broad -based and driven by a strong pickup in volumes, meaningful improvement in resource productivity, and healthy 38% Y -o-Y growth in the home loan segment. The quarter reflects the early benefits of our focused execution strategy, stronger field level accountability and continued emphasis on customer acquisition. The momentum witnessed during the quarter strengthens our confidence in our strategic initiatives which are underway and provide a solid foundation for the rest of the year.
Our AUM grew by 15.4% Y -o-Y to R s. 239.3 billion as of June end. Encouragingly, our monthly AUM addition improved by nearly 50% Y -o-Y during the quarter, enabling us to achieve in three months what previously took close to five months. This reflects the positive impact of our efforts aroun d customer acquisition, productivity and execution sharpness. It is a long journey ahead.
These improvements give us confidence that Aavas is well positioned to accelerate growth and deliver sustainable 20% growth over the medium term. We deliver 23% Y -o-Y growth in net profits, driven by a healthy 18% Y -o-Y growth in NII, supported by robust business growth. In addition, improved operating efficiencies reflected a 254 bps Y -o-Y improvement in our cost -to-income ratio, which further strengthened profitability during the quarter.
As we move ahead, our focus remains on unlocking the full potential of our franchise and translating it into superior operating performance. Our priorities are accelerating customer acquisition, improving productivity, driving higher revenue per resource, enhancing our branch profitability, and getting our product and sourcing mix right with increased operating leverage. We are also leveraging data and technology to strengthen decision making, improving conversion across the login to disbursement funnel, strengthening governance, processes, and delivering superior customer experiences across our lifecycle.
Importantly, our first credit approach continues to underpin our best -in-class asset quality. Our 1 +DPD improved by 39 bps Y -o-Y, reflecting the strength of our underwriting as well as collections. As a result, our gross NPAs improved by 11 bps Y -o-Y, further reinforcing the resilience of our portfolio.
During the quarter, we expanded our branch network to 440 across 15 states. We will continue to invest in branch expansion to further deepen and diversify our presence. At the same time, our focus firmly remains on ensuring faster branch -level break -evens and closely monitoring performance of newly opened branches to drive better productivity and profitability both.
With clear accountability across functions and a strong alignment throughout the organization, we are embedding greater execution, discipline and rigor at every layer of the business, underpinned by an unwavering commitment to compliance and governance. Ou r collective ambition is anchored in a simple philosophy, people, performance, perseverance.

With that preamble, I would now take you through our quarterly performance. Our net profit for Q1FY27 grew by 23% Y -o-Y to Rs. 1.71 billion led by a robust 18% Y -o-Y growth in NII on account of healthy improvement in our NIMS. Our net worth continues to compound steadily, growing at 16% Y -o-Y with the strength of our capital position driven by consistent com

pounding internal accr uals.
Our NIMs expanded by 22 bps Y -o-Y to 7.70% during the quarter, supported by improvement in cost of borrowing coupled with our continued focus on risk adjustment pricing. Our cost -to-income ratio improved by 254 bps Y -o-Y to 43.7% in Q1FY27 , driven by better cost efficiencies. As a result, our operating cost -to-assets ratio improved by 9 bps Y -o-Y to 3.37%.
We continue to deliver industry -leading asset quality with all key indicators trending positively and remaining well within our guided range. Our one -plus DPD improved by 39 bps Y -o-Y to 3.76 % in Q1, remaining comfortably below 5%. Gross Stage 3 improved by 11 bps Y -o-Y to 1.11% while net stage 3 improved by 13 bps Y -o-Y to 0.71%. Underscoring the resilience of our portfolio over time and effectiveness of our credit first approach, which continues to be the pivot of our operating mechanism. Credit costs stood at 24 bps, well within our guided ranges.
Our ROA improved by 25 bps, Y -o-Y to 3.19 % and ROE improving by 78 bps to 13.34% in this quarter. We remain focused on delivering quality, profitable growth with strong risk discipline, tech -led efficiencies, consistently creating long -term value for all our stakeholders.
With that, ladies and gentlemen, I would now hand over to Mr. Ghanshyam Gupta to discuss the financials in detail with you.
Ghanshyam Gupta : Thank you, Manu. Good evening, everyone and a warm welcome to our earnings call. To provide an update on the borrowing side, the quarter closed on a constructive note, with Aavas maintaining a stable cost of borrowing despite a volatile interest rate environment and uncertain geopoliti cal backdrop. This underscored the strength of our diversified liability franchise and strong lender relationships. We continue to enjoy broad -based lender support, providing us with access to diversified, long -term, and cost -effective funding to support f uture growth.
We continue to borrow judiciously, raising around Rs.14.74 billion at a competitive rate of 7.74% for Q1. Total outstanding borrowings stood at Rs. 207 billion, a well -diversified liability franchise linked with various benchmarks and at competitive prices . We were able to deliver a 38 -basis point year -over -year improvement in our cost of funds for current year Q1.
During the quarter, we implemented an additional 10 -basis point reduction in our PLR, effective June 2026, taking the cumulative reduction of 25 -basis point since March 2026 and passing on the benefit for the interest of the customer. As a result, our spr ead moderated and stood at 5.06% during the quarter.
Our average tenure of borrowing continued to be longer than our assets, ensuring a positive ALM across all the time buckets. We have optimum mix of various benchmarks of interest rates, such as 42% of borrowings linked to external benchmarks such as Repo, T-Bill and MIBOR and 34% linked to sub 3 months MCLR, enabling faster re -pricing to nearly 76% of our borrowings in line with interest rate movements. As of 30th June 2026, we maintained ample liquidity, including cash and cash equivalent and unavailed CC limits up to Rs.18.8 billion. Documented unavailed sanctions are Rs.4.85 billion.

In terms of profitability and capital position our NII for the quarter grew by 18% Y -o-Y, our NIM in absolute terms grown by 17% year over year, and the NIM as a percentage of total assets expanded by 22 bps year -over -year to 7.70%. Our disciplined cost management approach coupled with a continued focus on profitable growth has started yielding encouraging results reflected in a 254 -basis points year -over -year improvement in our cost -to-income ratio to 43.7 % in Q1FY27 . Our pre -provisioning operating profi t grew by 22% year -over -year to Rs.2.33 billion.
Our PAT growth was 23% Y -o-Y leading to a ROE expansion of 25 -basis point year -over - year to 3.19% and ROE improvement by 78 bps Y -o-Y to

13.34%. We remained well
capitalized with a net worth of Rs.52.2 billion and a capital -to-risk weighted assets ratio CAR of 44.66%, significantly above the regulatory requirements. With these words, I just open the floor for Q&A.
Moderator: Thank you so much. Ladies and gentlemen, we will now begin with the question -and - answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participants tab on your screen. We request participants to restrict each to two questions and then return to the queue for more questions. To rejoin the queue, you may click on the raise hand icon again. We will wait for a few minutes until the question queue assembles.
We will take a first question from Prashant Poddar of ADIA. Prashant, you can unmute

your microphone and go ahead, please.
Prashant Poddar : Hi, everyone. Manu, quickly, if you can help us understand two things, one on competitive environment in the two or three categories of loans that you participate in any geographical and if you can share a heat map also in terms of competitive environment and therefore its impact on potential profitability outlook or margin outlook or spread outlook on the business for the full year.
Second question is how much of if at all any if you expect spread compression how much of that can be addressed by operating leverage? Yes, these are my two questions.
Manu Singh : Thanks Prashant. I think I will answer both the questions together. First on the question of competitive environment, I do think that we are witnessing healthy competition across geographies. Yes, there is pressure on spreads. As I look for the complete ye ar, I do believe that spread compression from the existing point will take spread to go sub - 5%. However, I am clear on the operating levers that we have put into action are showing results in Q1 and the ROE and ROA outlook remain stable.
There are enough and more opportunities to lever on the cost -to-income side, more so on the income side. And hence, we are acutely focused on productivity per resource and revenue per resource being driven day in and day out at each of our 440 branches. Reasonably confident to make sure that the ROE and ROA that we have plan ned for the year remains where it is, even if slight compression does take place on the competitive environment.
More so, Prashant, I am heavily focused on regaining our market share in the HL segment, which is the primary aim of the HFC. Doubling down on that business will have a little bit of impact on NIM, but we are confident of making sure that we cover it up through both cost measures as well as improved operating levers on the income side.
Prashant Poddar : That is great. I joined back in queue. Thank you.

Moderator : We are now moving to our next participant. We have Renish Bhuva of ICICI Securities . Renish, please unmute and go ahead with your question.

Renish Bhuva : Congrats, Manu, on a good set of numbers. Just two things, first on this repayment rates, right? So, historically, our repayment rate has always been around 16 -17% which has gone up to more than 19% in the last two quarters. So just wanted to check, is it due to some change in product mix in a sense we are doing more of a shorter -term loan -like LAP, which is basically resulting in higher repayment rate, or is there something else because the BT out rate has also come down this quarter. So, I am just wondering why the repayment rate on sequential basis is so sticky.
Manu Singh : Yes, Renish. We did see a small uptick in the early part of the fiscal opening, which is April and early May, in specific segments, especially interest rates upwards of 14%, small ticket. But as we close the quarter in the month of June, it has rallied bac k to its usual trend. I do not expect this to continue. Parallelly, we are focused on improving our AUMs as I mentioned in my opening comments. The speed at which

we are filling our
leaking bucket is increasing across our branches.
So, regarding your question of BT out, I do not see any specific trend which is alarming. It has tapered down in June, and I expect it to be normal. Yes, part pre -payments did see some uptick, but that was more in the early part of the month, not in June.
Renish Bhuva : Got it. And secondly, on disbursement run rate, right? So obviously, this quarter, we close at Rs. 1600 crs plus, which is basically highest, in first quarter. So how should one look at this trajectory over next nine months and if you can share the June month disbursement number will be helpful?
Manu Singh : So, in the next nine months, yes, we were very conscious of making sure that the early part of the year, which is Q1, gets us onto the right footing on run rate. For two reasons, we are now heavily oriented towards P&L. And the more that you upfront your business, the more earnings you have in the entire part of the year. That has been the guiding force across the busine sses.
Secondly, June numbers are upwards of Rs. 600 crs. For the next nine months, we are committed to delivering our yearly commitment of 22% to 23% top line growth and that remains steadfast on disbursement and that moves to about 1 7%-18% on AUM. Renish, could you hear me?
Renish Bhuva : Yes, I missed one part. So, you said 22 -23% top line growth and 1 7-18% AUM growth. Is that correct?
Manu Singh : The disbursement growth, yes, 22 -23% and 17 -18% on AUM, yes.
Renish Bhuva : 17 to 18% of AUM. Okay, that is it from my side. In fact, I have a couple of more, but maybe I will come back in queue. Thank you, Manu and best of luck.
Moderator : We are moving to our next participant. We have Shreepal Doshi of Equi rus. Shreepal, please go ahead.

Shreepal Doshi : Congrats on a decent number and thank you for giving me the opportunity. My question was on the asset quality trends and so basically, there is some inch up, but I think that is because of seasonality. However, are we seeing any trends in any specific geography which is, let us say, a little more alarming or showing signs of stress?

And have you taken any additional measures on underwriting side given the macros as well as uncertainty on the rain as well? So, any caution or any measures taken on these two, because of these two events?
Manu Singh : To answer your first question, No. We continue to see healthy trends on both lead and lag indicators. Absolutely no geographical customer segment stress coming in. Having said that, we are very cautious about the fact of keeping our collections under complete control. Towards the same, in the early part of February, proactively the teams have made certain policy changes looking at the macro environment, certain segments, which would be affected by both the ongoing West Asia Conflict as well as t he ensuing expectation of shortfall of rainfall.
We are also constantly looking at indicators across industries. For example, tractor growth, tractor sales have shown a rebound after a long period of time. All in all, all our eyes are on the rearview mirror as well as looking at what is happening around the industry today. We are very confident of keeping our guidance on our credit quality to where it is.
Shreepal Doshi : Got it. Sir, could you just double click on the changes that you were talking about at ground level teams as well as on the underwriting side?
Manu Singh : This is largely, mainly focused on segments that we would have, we see could be impacted which is tours and travels, restaurants, more so from the crisis in the Middle East and the fuel crisis.
Shreepal Doshi : Got it. And then have you seen any, let us say, trends on rejection rates increasing in any category ? Maybe it could be salaried or self -employed or any geography ?
Manu Singh: I would not call any visible trend out to suggest change in our customer segment or our ap

proach. Our business is about looking at risk which is assessed at a branch level. That is continuously fortified on a monthly basis with training, outlook, lead indi cators of bounce, such that nothing creeps into the system to come up as a shock.
Moderator: We are taking our next question from Raghav Garg of Ambit Capital. Raghav, please go ahead.
Raghav Garg : Thanks for the opportunity and good evening. I have a couple of questions. One, so when you guide for 20% sustainable AUM growth, what kind of disbursements per branch are you budgeting for that? I am sure you have done the math. I think right now you are at Rs.15.5 crs of disbursements per year. So, when you guide for 20% AUM growth, what is that disbursement per branch that you are building into that? That is my first question.
Manu Singh : Raghav, I think I would like to be factually correct on your understanding and my understanding. The current year’s guidance is 17 -18% AUM growth, 20% is the medium - term guidance.
Raghav Garg : Sure Sir. So, when you guide for the medium term, what is that disbursement per branch that you are budgeting for ?
Manu Singh : Today, when we look at branches, it is a cumulative factor of small branches , large branches . I look at when I drive teams together. We look at productivity per resource deployed on the field. So, there could be large branches, small branches, there from an average of about Rs. 8-10 lakhs productivity per resource, we are looking at doubling this to at least Rs. 20 to 22 lakhs per resource deployed on the field.

Raghav Garg : By resource, you mean employee, right?
Manu Singh : Yes.
Raghav Garg : Okay. So, essentially, you are saying, per employee, you are going to double the disbursements, right?
Manu Singh : Yes.
Raghav Garg : That is essentially what you are saying. And say over a period of three years, is that understanding, correct?
Manu Singh : I would shorten it to two years
Raghav Garg : Yes. Understood. Second question is, I also hear from you about increasing your market share in home loans. Now, when I look at home loan disbursal growth on a two -year CAGR basis that has been about 5% and then when I look at that number, in terms of home loan files, that is just 1%. So, what exactly do you plan to do to regain your home loan market share, from, say, a two -year CAGR of about 1% in volumes 5% in overall disbursements value to say a higher number? What are the steps that you are taking on the ground to do that?
Manu Singh: Two things. First, the necessity of looking at this number arises from the fact that over

the last year, year -and -a-half, we would have graduated towards NHL. I want to be absolutely comfortable on both on -boarding business metrics between HL and NHL, to tend towards what the portfolio is, which is roughly 65 -35. So that is the strategic reason why the focus on home loans .

Next, when we are focused on going behind a particular segment, both tactically as well as orienting resources at every branch towards targeted customer acquisition. These have been rolled out at a branch level, resource level on who is expected to furnish what and from where, to be able to measure, monitor and hence manage this change of doubling down for the next 9 to 12 months on getting more focused on HL customer acquisition.

Raghav Garg : Should it also weigh on your yields because HL has lower yields versus a LAP? So maybe, what you are expecting over the next one year, the yield compression could be more, maybe from the second or third year onwards because HL mix will increase.

Manu Singh : As I mentioned earlier, yes, this is a conscious choice. It is a more competitive business. However, sourcing mechanisms of moving back to our main strength of doing direct business, making sure that branches are equipped with resources to go out and do th at business which comes at a much lower cost of acquisition, better q

uality, and levers to work on the income side at every transaction, in my opinion, is reasonable enough to counterbalance the small compression that we may see on being more healthier. If you look at our quarter one to quarter one numbers, this trend is already visible with 17% volume growth in HL in this quarter versus last year.

Raghav Garg : But last year was impacted, right? In terms of business, that is why I was referring to two year CAGR because last comparison of Y-o-Y may not be appropriate .

Manu Singh : I am only substantiating that point by saying that strategically we are aligned. When we know that we want to get healthier and fitter, the compensation of that small spread compression, we are cognizant in our everyday operating mechanics of getting bette r

income from every transaction that we make and there are enough and more opportunities.

Moderator: Thank you, Raghav. We are taking the next question from Rajiv Mehta of Yes Securities. Rajiv, please go ahead.

Rajiv Mehta : So sorry if I have missed something because I have joined the call a little late, but I just wanted to understand the context behind the recent PLR cut in June when the cost of funds actually firming up. And just wanted to check, on a reported basis, I thi nk you have already taken that in the reported yield and spread because we report on contractual basis, right? While the whole P&L impact of it will flow in Q2. Is this understanding, correct?

Manu Singh : I will take the first question and possibly I would want to understand the second question a little more. On the PLR, we have adopted PLR derivation mechanics with detailed operating guidelines, which includes external as well as internal factors and that formula being true to the reflection of what both external as well as internal dynamics suggest, goes through a route of ALCO discussion and is transparent in its conversion, whether it moves up or it moves down.

And hence, as you ask the question, I feel very delighted that we stand testament to the fact that even if the external world feels or believes that cost of borrowing is going up, and my own mechanism within ALCO mentions that it has to go down, we are transparent and clear about maintaining it in both letter as well as spirit. That is on the PLR. May I request a little more detail on your second question, please?

Rajiv Mehta : Yes, I was saying, what we reported the yield and spread, as of June in the presentation, that is already post the PLR cut, right? Because you report on a contractual basis.

Manu Singh : Yes, correct .

Rajiv Mehta : Got it. So, disbursement yield versus the portfolio yield after the latest PLR cut. What is the difference, what is the gap left?, because we have also been working on upping the disbursement yield to its risk -adjusted pricing, so that has been going up quarter -on-quarter and now because of the two back to back PLR cut, the portfolio yield would have come down, so what is the gap left?

Manu Singh : It is almost equal to, when I know that a left pocket is being hit, the attempt is always to make sure that the right pocket compensates for it. So, they are largely reading in tandem.

Rajiv Mehta : Okay, so they have come very close to each other.

Manu Singh : Yes .

Rajiv Mehta : Okay. And spread outlook for the year? I mean, given that you have done whatever you had to do on the yield side, and the markets will decide the funding cost. Are we still looking for a slightly softer spread in the remaining part of the year?

Manu Singh : Yes, I do think it will fall a tad below 5%. I mentioned in the early part of the conversation

that we are already on our way to make sure that our operating engines churn out both cost reduction and income support to maintain our ROA and ROE guidelines .
Rajiv Mehta : Got that, sir. Thank you so much for answering my questions and best of luck.
Manu Singh : Thank You.

Moderator : T

hank you, Rajiv. We are moving to our next participant. We are taking a follow -up question right now from Renish Bhuva of ICICI. Renish, you can go ahead with your follow -up question.
Renish Bhuva : Yes, just one thing, one clarification on this recent RBI circular on the asset classification, specifically on these repossessed assets for NPL. Have you guys assessed anything internally on this?
Manu Singh : Renish, currently this is under evaluation, and we will ensure that if any change must be made, we will make it happen
Moderator : Thank you, Renish. We are moving to our next participant. We have Shivam Saria of Antique Stock Broking Limited. Shivam, please go ahead.
Shivam Saria : I wanted a data point. So, I wanted to understand what is our yield on builder loans is , which is mainly a non -retail book and wanted to understand what are the kind of borrowers you have? That is, it.
Rakesh Shinde : Shivam, we do not do any builder loan kind of product. And we do have an NHL, LAP or MSME and the difference between HL to NHL, there is anything between 150 to 200 - basis point difference is there, but we do not have any builder loan as such.
Shivam Saria : Okay. All right. Thank you.
Moderator All right. Thank you, Shivam. Any more questions from any participants, please click on the raise hand icon. All right. Ladies and gentlemen, we will take that as the last question. And I now hand it over back to the management for closing remarks. Over to you, management .
Manu Singh : Ladies and gentlemen, as we conclude today's earnings call, I would like to sincerely thank all of you for your time, continued engagement and support. We really value it. The progress we have made reflects the dedication of our team, the trust of our cust omers, and the confidence of our shareholders and lending partners.
Q1FY27 has been an encouraging start to the year. We are beginning to see a faster, fitter and more execution focused organization. Looking ahead, we remain optimistic about the opportunities before us. With a clear focus on customer acquisition, productivity increase, disciplined growth, prudent risk management and superior asset quality, we believe Aavas is well positioned to accelerate growth and create sustainable long -term value.
Thank you once again for your continued trust and partnership. We would also like to thank and place on record the support and guidance we receive from our regulator, NHB. We remain committed to executing with discipline, delivering consistent long - term va lue, and look forward to sharing our progress with you in the quarters ahead.
Should you have any further questions or require additional information, please feel free to reach out to Rakesh Shinde, our Head of Investor Relations. Thank you and have a pleasant evening.
Moderator: Thank you so much. On behalf of Aavas Financiers Limited, this concludes today's conference call. Thank you all for joining us and you can now click on the leave icon to exit the meeting. Thank you all for your participation.